U.S. DEPARTMENT OF VETERANS AFFAIRS

Veteran Readiness & Employment M28C Policy Manual

Chapter 31 Rehabilitation Policy and Procedures

Verbatim Reference Publication & Database Index

Effective Date: May 26, 2026

Office of Veteran Readiness and Employment (VR&E)

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Department of Veterans Affairs
VR&E Chapter 31 Codification

M28C.I.A.1 — Overview of VR&E Services

VETERAN READINESS AND EMPLOYMENT MANUAL

1.01 Mission of Department of Veterans Affairs

(Change Date March 20, 2023)

The mission of VA is "To fulfill President Lincoln's promise to care for those who have served in our nation's military and for their families, caregivers, and survivors."

1.02 Scope

(Change Date October 1, 2020)

The Veteran Readiness & Employment manual or M28C provides management and operational procedures for administration of the Department of Veteran's Affairs (VA) VR&E program, as prescribed by law under title 38 of United States Code (U.S.C.), Chapter 31.

a. VA Offices Affected

(Change Date August 01, 2012)

Policies and procedures outlined in the M28C apply to VR&E offices at VA Regional Offices (RO), outbased locations within the jurisdiction of an RO, and co-located offices at a VA Medical Center.

b. Other Benefits and Services Covered under Chapter 31

(Change Date August 01, 2012)

The manual also provides guidance on providing vocational and educational counseling to Claimants and their dependents who are eligible for or utilizing the following educational benefit programs:

1. 38 U.S.C., Veterans Benefits

Chapter 18, Benefits for Children of Vietnam Veterans and Certain Other Veterans

Chapter 30, All-Volunteer Force Educational Assistance Program

Chapter 32, Post-Vietnam Era Veterans' Educational Assistance

Chapter 33, Post 9/11 Educational Assistance

Chapter 35, Survivors' and Dependents' Educational Assistance

Chapter 36, Administration of Educational Benefits

2. 10 U.S.C., Armed Forces

Chapter 1606, The Montgomery GI Bill-Selected Reserve

Information regarding the educational benefits listed above may be obtained at www.benefits.va.gov/gibill/.

1.03 Organization of the Manual

(Change Date August 1, 2012)

This manual contains eight Parts:

Part I, Overview

Part II, Office Administration

Part III, Program Administration

Part IV, Application, Evaluation, and Planning

Part V, Case Management

Part VI, Employment Services

Part VII, Other Benefits Case Management

Part VIII, Program Oversight

Each Part is represented by an uppercase Roman numeral. Sections are represented by upper case letters starting at “A”, e.g., Section A. In parts without multiple sections, the entire contents are outlined under Section A. Each section is divided into chapters indicated by numbers starting at 1, e.g. Chapter 1.

Within the chapter level, paragraph numbers are expressed as a two-digit decimal number following the chapter number, e.g., 1.01. The digit to the left of the decimal indicates the chapter number and digits to the right indicate main paragraphs.

Some paragraphs are divided into subparagraphs and represented by lower-case letters beginning with “a”. When further levels of organization are needed, items or topics are represented by numbers starting at “1”. Below that, blocks are represented by lower case letters in parentheses beginning with (a). For example:

1.01 Chapter and Paragraph

a. Subparagraph

1. Topic

(a) Block

To cite information from a specific location in the M28C, use the corresponding numbers and letters, without spaces, and separate by a period. For example, information in M28C, Part I, Section A, Chapter 1, Paragraph .01, Subparagraph a, is cited as M28C.I.A.1.01.a.1.

1.04 Authority of Decisions

(Change Date August 01, 2012)

Policies and procedures described in the M28C are derived from the laws contained in 38 U.S.C. VA disseminates regulations to implement these laws, which are published in the Code of Federal Regulations (CFR).

When administering Chapter 31 benefits, VR&E staff must adhere to the following, which are provided in the order of precedent – meaning the laws take precedence over the regulations, etc.:

38 U.S.C.

38 CFR

M28C

Other directives or guidance issued by VR&E Service, other VBA Business Lines, the Under Secretary of Benefits, or the Secretary of VA

Previously issued VA and VR&E letters, circulars, hotline bulletins, procedural advisories and email guidance have been incorporated into the M28C and were rescinded accordingly.

1.05 Distribution of the Manual

(Change Date October 01, 2020)

The M28C is available on the VR&E Knowledge Management (KM) portal. The M28C has a feature that allows the user to search for specific information by typing in keywords, phrases, and questions in the search box at the top of the screen.

The M28C is also available to the public at: http://www.knowva.ebenefits.va.gov/

1.06 Manual Updates

(Change Date October 01, 2020)

The VR&E manual was originally developed in 1987 and disseminated via hard copies. It was divided into three parts and aptly named M28-1, M28-2, and M28-3. Changes in the manual were made through Transmittal Letters and concurrently incorporated into the manual.

In 2011, the manual was automated and saved in the VR&E Knowledge Management Portal (KMP) and renamed as M28R (Revision). Changes and clarifications on policies and procedures were disseminated to the field via VR&E letters, circulars, hotline bulletins, procedural advisories and email guidance. The procedures from these guidance documents were subsequently incorporated into the M28R.

In 2020, the M28R was converted into an interactive, live platform and renamed as M28C (Conversion). New policies and/or procedures are directly updated in the M28C. Notifications for updates are sent out to all VR&E users via Update Notices. Additionally, there is a link on the VR&E KM that allows all VR&E KM users to view published updates for the M28C and the VR&E KM.

The M28C Update Notices consist of three sections.

Section 1: Includes updates in a chapter that introduce a new or a change in a VR&E policy or procedure. The Change Date is updated on the specific section of the chapter for each new or changed policy or procedure and is effective the date of the implementation notice. Additionally, a QA Deferral Period is granted when a new or changed policy or procedure directly impacts the administration of a claimant's benefit. A QA Deferral Date, which is the last day of the deferral period, is assigned, as needed.

Section 2: Includes a clarification or additional explanation on a policy or procedure but does not change the intent of the policy or procedure. A QA deferral date is not assigned.

Section 3: Includes miscellaneous VR&E KM changes, including updates to Appendices, VA Forms, and VR Letters. A QA Deferral Date is assigned only if the use of the appendix, form, or letter is required. The effective date of the implementation or rescission of the appendix, form, and letter is the date of the M28C Updates notice.

When an M28C chapter is updated, the previous version is retained in the VR&E KM for historical and audit purposes and is maintained in the M28C Version Histories section.

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M28C.I.A.2 — Partnerships and Memoranda of Agreement or Understanding

Chapter 2

PARTNERSHIPS AND MEMORANDA OF AGREEMENT OR UNDERSTANDING

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b. Veterans Health Administration Partnerships

c. Partnerships with Other Federal, State, and Local Agencies

d. Partnerships with National Service Organizations

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a. Development of Memorandum of Agreement or Understanding

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2.01. Partnerships

a. Partnerships within Department of Veterans Affairs Business Lines and Regional Offices

(Change Date August 1, 2012)

Establishing relationships within the Department of Veterans Affairs (VA) strengthens the network of services and resources available to the claimants served by VR&E Service. VR&E offices should work closely to develop partnerships within their regional office and within VA. There are several examples in which VA business lines work together to provide services to claimants. One example is a partnership between VR&E Service and Loan Guaranty on instances in which a claimant is receiving services under a rehabilitation plan and requires home adaptations, such as home construction, to increase his or her independence in daily living and to be able to live in a safer home environment.

b. Veterans Health Administration Partnerships

(Change Date August 1, 2012)

VR&E office staff work cooperatively with Veterans Health Administration (VHA) to meet claimants' health needs, obtain information that may impact their rehabilitation planning or program participation and provide services to facilitate successful program completion. Examples of partnerships between VR&E offices and VHA include the following:

Referral to VA Medical Center (VAMC) for healthcare and treatment

Referral to Vet Centers for Readjustment Counseling Services for assistance with adjusting to civilian life

Referral to Women Claimants Health Care for sex-specific health care services

Referral to Rehabilitation Services' for Visual Impairment Services Team (VIST) for evaluations, support with low vision aids, and provide training to assist claimants to function more independently in their homes and community

Referral to the Polytrauma Units and Traumatic Brain Injury Systems of Care for adjustment counseling, concentration, learning, and memory strategies

Referral to Prosthetic and Sensory Aids Services for durable medical equipment

Referral to Compensated Work Therapy (CWT) for supported employment or transitional work experience

Note: Some of these services are not available at every VAMC and are regionally distributed throughout the United States.

c. Partnerships with Other Federal, State, and Local Agencies

(Change Date August 1, 2012)

VR&E Service partners with various agencies at the federal level and VR&E offices partners with agencies at the state and local levels. In addition to establishing MOUs, VR&E Service often partners with other agencies on multiple projects, such as task forces, advisory committees, workgroups, and other projects that may directly impact VR&E services.

d. Partnerships with National Service Organizations

(Change Date August 1, 2012)

VR&E Service partners with National Service Organizations (NSO) to ensure claimants are educated on all the benefits they may be entitled to receive. VR&E Service partnership with NSOs has established agreements to train claimants with disabilities as National Service Officers. Claimants participating in the VR&E Program who desire employment as a National Service Officer are interviewed by the organization and, if found entitled to VR&E benefits, will work with their assigned Vocational Rehabilitation Counselor (VRC) to develop, and sign an approved rehabilitation plan to receive training through the prospective organization's supervising National Service Officer.

e. Partnerships with the Private Sector

(Change Date August 1, 2012)

VR&E Service partners with private sector employers on the national level to enhance employment opportunities for claimants with service-connected disabilities. VR&E management at the local level is expected to use existing partnerships in support of its mission, and continue to develop new partnerships at the local level.

f. Partnerships with Faith-based, Nonprofit, Community Initiative Agencies

(Change Date August 1, 2012)

VR&E Service partners with faith-based, non-profit, and community initiative agencies on the national and local level to enhance employment opportunities for claimants with service-connected disabilities.

2.02. Memorandum of Agreement and Memorandum of Understanding

a. Development of Memorandum of Agreement or Understanding

(Change Date August 1, 2012)

Every VR&E MOU or MOA must be consistent with the VA's mission and be authorized and compliant with Federal law, regulations, and funding constraints. Additionally, the existence of an MOU or MOA does not eliminate or diminish the need for additional contracts, documents, or agreements to execute the activities considered by both parties. Neither an MOU nor a MOA can be used as the sole authority or means to acquire or procure goods or services, exchange funds or property, or transfer or assign personnel.

Although the MOU or MOA can address those issues and indicate the goals and intent of the parties involved, all VA personnel must comply fully with pertinent contracting and procurement regulations and procedures. Additionally, although an MOU or MOA can address unique situations, it cannot be used in place of a contract. The MOU or MOA by itself grants no authority for the parties involved to engage in the speculated activity.

The Executive Director of VR&E Service is responsible for developing MOUs and MOAs at the national level while the VR&E Officer or his or her designee is responsible for developing MOUs and MOAs at the local level.

The following Federal statutes are commonly used to grant the underlying general authority for a VR&E MOU or MOA:

38 U.S.C.3115 authorizes VA to enter agreements with Federal agencies providing non-paid work experience, on-the-job training, or other training opportunities for VR&E claimants.

38 U.S.C.3116 authorizes VA to promote the development and establishment of employment opportunities through coordination with federal, state, and local governmental agencies and appropriate non-governmental organizations.

Neither the VA nor any person employed by the VA may agree to indemnify any other party without specific Federal statutory authorization. 31 U.S.C. 1341(a)(1)(A) and 1341(a)(1)(B), referred to as the Anti-deficiency Act, prohibits all Federal employees from making or authorizing expenditures or obligations exceeding appropriated funding and from obligating payment of money before it is appropriated. A typical indemnification clause violates both provisions of the Antideficiency Act because it potentially obligates the Federal government or VA to pay an unspecified, unlimited, and unappropriated amount of money should someone else's property be lost, damaged, or destroyed; someone is injured or killed; or other parties to the MOU or MOA incur legal liabilities or expenses. Should any prospective party to an MOU or MOA request or demand that the VA agree to an indemnification clause, VA staff must contact VA's Office of General Counsel (OGC) for assistance.

b. Information Requirements

(Change Date August 1, 2012)

The language for specific agreements must be appropriately customized to accommodate the subject matter of the agreement and the needs of the parties involved or to conform to applicable laws, regulations, or directives. The format may differ if a party other than the VA originates the MOU or MOA. However, every MOU or MOA in which VR&E services are involved must include the following necessary information:

Parties

The parties to be bound by the agreement must be identified.

Authority

The legal authority for the agreement must be cited. Federal laws, regulations or other directives must be referenced.

Purpose

The purpose or reason for entering the agreement must be stated.

Responsibilities

A description of the duties and responsibilities of the parties must be clearly outlined. The description should be as specific and detailed as required. Lengthy details may be provided in an appendix rather than in the body of the MOU or MOA.

Reporting and Documentation

The MOU or MOA must specify whether follow-up reports or documentation of actions taken are required and must state how often and to whom that information is to be submitted.

Contact Information

Contact Information for all parties must be provided, including names, office symbols, physical addresses, email addresses, website addresses, and phone numbers.

Modification

A provision stating how to modify or amend the agreement must be included. Modifications can be formal (written) or informal (oral) and can be approved only by the signatories or other appropriate individuals, if the signatories are no longer in the employ of the party in question. Modifications that change central provisions of the agreement must be formal (written), and agreed to by the individuals who initially approved the MOU or MOA or their successors.

Effective Date

The effective date of the MOU or MOA must be stated. The effective date may be a specified date after the MOU/MOA is signed by all parties or the date the last party signs the agreement.

Termination or Extension

The MOU or MOA must contain several provisions regarding termination. The document should indicate a specific date of termination upon the accomplishment of its purpose, or upon agreement of the parties. The MOU or MOA must also contain a provision stating whether the duration of the agreement may be extended and if so, the extension mechanism (e.g. by written agreement of the parties) to be used. Finally, the agreement must indicate whether a party may terminate the agreement early (by written notice to the other parties).

c. Signatory

(Change Date August 1, 2012)

The VA or VR&E Service are a party to the agreement, not the person signing for the VA. Therefore, the signatory must have the authority to sign the MOU or MOA and commit the VA to the services and or actions noted in the agreement. VBA leadership or Office of General Counsel (OGC) must be consulted to determine the approving official.

d. Concurrence Process

(Change Date August 1, 2012)

Before submitting an MOU or MOA to the approval authority for signature, the originating staff member must ensure that the MOU or MOA does not conflict with any preexisting agreements. The originating staff member must also ensure that the appropriate level of VBA leadership and OGC have reviewed and concurred upon the MOU or MOA.

Concurrence of a proposed MOU or MOA can be either consecutive, meaning completed at one agency, then forwarded to the other agency; or concurrently, meaning proceeding through each agency simultaneously. Early coordination and communication with interested offices and the use of e-mail for electronic review and editing of the draft MOU or MOA are encouraged and acceptable.

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M28C.II.A.4 — Advisory Committees

Chapter 4

ADVISORY COMMITTEES

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4.01 Vocational Rehabilitation Panel

a. Overview of the Vocational Rehabilitation Panel

(Change Date October 23, 2012)

The Vocational Rehabilitation Panel (VRP) serves as a consultative body in rehabilitation planning for complex cases when the claimant's circumstances require interdisciplinary consideration, as outlined in 38 Code of Federal Regulations (CFR) 21.60 and 38 CFR 21.62. The VRP assists in the evaluation and planning process by reviewing referred cases and submitting a report with recommendations and information for planning rehabilitation services.

b. Purpose of the Vocational Rehabilitation Panel

(Change Date October 23, 2012)

The VRP consults with case managers on the following cases:

Claimants who have a Serious Employment Handicap (SEH)

Claimants who may benefit from a program of Independent Living (IL) when achievement of a vocational goal is not currently reasonably feasible

Claimants who require determination for feasibility under the Chapter 31 program and need of Special Restorative Training (SRT) or Special Vocational Training (SVT) under the Chapter 35 program

VRP recommendations and suggestions are considered expert technical assistance to facilitate the planning and decision-making process. Recommendations and suggestions are not binding but cannot be disregarded without thorough consideration and documentation.

c. Members of the Vocational Rehabilitation Panel

(Change Date October 23, 2012)

The VRP includes a wide range of rehabilitation professionals to assure interdisciplinary expertise is available for the review of each referred case. Membership on the VRP is limited to Department of Veterans Affairs (VA) staff members. The VRP includes, but is not limited to:

A Vocational Rehabilitation Counselor (VRC), appointed by the VR&E Officer, serves as chairperson for the coordination of meetings, writing of reports, and expert knowledge of VR&E services.

A VRC, who is usually the referring VRC, for expert knowledge of the specific case.

A VA medical consultant for an expert opinion on medical issues.

A VA mental health provider for expert opinion on mental health issues.

A case may be referred to the VRP by a case manager or the VR&E Officer.

d. Roles and Responsibilities of the Vocational Rehabilitation Panel

(Change Date October 23, 2012)

The VRP members have the following roles and responsibilities:

Review each referred case in relation to the specific reason for the referral and any other problem area(s) identified in the course of considering the case.

Prepare a written report of recommendations on each case with a summary of the VRP's deliberations and recommendations.

Refer to M28C.IV.C.2 for more information on roles and responsibilities of the VRP.

e. Requirements for the Vocational Rehabilitation Panel

(Change Date August 15, 2013)

The VRP plays a vital role in the development of some rehabilitation plans by providing expert opinions and guidance on complex issues. The following information outlines the process for referral to the VRP, the responsibility of the parties involved, identifies the required elements of the case review summary, and discusses integrating the VRP's recommendations into the rehabilitation plan.

1. Referrals

(a) Referral for Rehabilitation Plans

(Change Date August 15, 2013)

The VRC must prepare a written referral when seeking the assistance of the VRP. The referral must contain the following information:

Reason for the referral, to include a precise statement of what action or information is requested.

Summary of the claimant's medical history, to include a clear description of his or her present functional abilities and limitations.

Copies of pertinent medical records from private physicians as members of the panel will have access to the individual's VA medical records.

Additional facts, observations or information deemed useful.

(b) Referral for an Independent Living Plan

(Change Date August 15, 2013)

If the VRC is seeking guidance for an Independent Living (IL) plan, then the referral must contain the following information:

Statement describing the basis for the VRC's determination that the pursuit of a vocational goal is not feasible at this time.

Statement describing the claimant's IL needs.

Specific IL objectives to be achieved by participation in the plan.

Selected services that will assist the claimant in achieving the objectives.

Brief assessment of the claimant's motivation to achieve the objectives.

2. Roles and Responsibilities for Plan Development

(a) Vocational Rehabilitation Counselor's Responsibilities

(Change Date August 15, 2013)

Preparing the referral.

Filing the referral in the claimant's VR&E record.

Routing the referral to the VR&E Officer or designee for review.

Presenting the case to the VRP.

Filing the VRP's case review in the claimant's VR&E record and centralized VRP file.

Informing the claimant of the VRP's recommendations.

Integrating the VRP's recommendations into the rehabilitation plan as applicable.

(b) Veteran Readiness and Employment Officer's Responsibilities

(Change Date August 15, 2013)

Reviewing the referral to ensure that the information is adequate for VRP review.

Advising the Regional Office (RO) Director when other non-medical specialists are needed for the panel to adequately address the issues to be considered.

Presenting the case to the VRP if the VRC is not available.

In accordance with 38 CFR 21.60(c)(1), the VR&E Officer may not serve as either chairperson or a member of the VRP.

(c) Vocational Rehabilitation Panel Members' and Consultants' Responsibilities

(Change Date August 15, 2013)

Discussing the physical, social and emotional aspects of the claimant's situation within the scope of the referral.

Developing recommendations.

Seeking additional information when needed to develop recommendations.

(d) Vocational Rehabilitation Panel Chairperson's Responsibilities

(Change Date August 15, 2013)

Scheduling the VRP meeting.

Sending the meeting agenda and referral information to all members of the VRP.

Notifying the claimant's accredited representative if the representative holds power of attorney in the management of the claimant's case.

Ensuring the consensus of the panel's recommendations are identified and documented in a signed and dated summary case review.

Submitting the VRP's case review to the referring case manager.

(e) Veterans Affairs Medical Center Consultant's Responsibilities

(Change Date August 15, 2013)

The VAMC consultant will advise the VR&E Officer when other medical and mental health specialists are needed as a part of the VRP.

3. Vocational Rehabilitation Panel Case Review Summary

(Change Date August 15, 2013)

The VRP Chairperson must ensure the VRP's findings and recommendations for each referral are documented and compiled into a case review summary that includes the following information:

Name and title of the Chairperson.

Names of the attending VRP members.

Name of the RO handling the case.

Claimant's name, date of birth, and Social Security Number (SSN) or claim number.

Concise summary of the VRP's recommendations and conclusions.

Any other pertinent information.

The VRP's recommendations may include specific actions which are required based on current information or may identify additional information necessary in developing a comprehensive rehabilitation plan.

All documentation, including the VRC's referral to the VRP and the VRP's report, must be incorporated in the claimant's electronic VR&E record.

4. Vocational Rehabilitation Panel Recommendations

(Change Date August 15, 2013)

The VRC must review all VRP recommendations and must ensure that the recommendations are sound and implemented. However, the VRC has the prerogative not to incorporate the Panel's recommendation(s) if the VRC determines that adhering to the recommendation is not as beneficial to the claimant as contemplated.

The VRC must document his or her reasons for not incorporating the Panel's recommendation(s) clearly in the claimant's electronic record.

f. Required Use of the Vocational Rehabilitation Panel

1. Special Restorative Training and Specialized Vocational Training

(Change Date December 27, 2012)

The VRC must consult with the VRP when determining the need for and feasibility of SRT, SVT, or special assistance services. See M28C.VII.A.2 for additional information on the use of the VRP during SRT and SVT processes.

2. Individualized Independent Living Plans Beyond 24 Months

(Change Date August 15, 2013)

The VRC must consult with the VRP when determining extensions of IILP services beyond 24 months to ensure that additional period of services is consistent with the needs of the claimant.

Refer to 38 CFR 21.60-21.62 for additional information on the VRP.

Note: Although there are regulatory requirements for the use of the VRP, a VRC may also request for a VRP review of cases that are complex and may need extensive services.

4.02 Field Advisory Committee

a. Overview of the Field Advisory Committee

(Change Date November 16, 2017)

The Field Advisory Committee (FAC) serves as the primary source through which the Executive Director of VR&E Service solicits input from field staff on a variety of issues impacting the VR&E program. The overall objective is to improve the quality of service to claimants.

b. Purpose of the Field Advisory Committee

(Change Date October 23, 2012)

The FAC functions as a resource for providing feedback to the Executive Director of VR&E Service on barriers to effective service delivery emerging in the field. The scope of activities is generally limited to preparing for and executing action items identified in quarterly meetings. All members of the FAC serve at the discretion of the Executive Director of VR&E Service with approval from the Office of Field Operations (OFO).

c. Members of the Field Advisory Committee

(Change Date October 23, 2012)

The FAC includes two VR&E Officers or Assistant VR&E Officers from each District who represent their respective District. The Executive Director of VR&E Service appoints one member to serve as Chairperson and one VR&E Service employee to serve as liaison to the FAC.

d. Roles and Responsibilities of the Field Advisory Committee

(Change Date October 23, 2012)

The FAC has the following roles and responsibilities:

Conducts meetings once per quarter.

Provides advice and counsel to the Executive Director of VR&E Service.

Assists in the analysis of issues impacting the VR&E program.

Brings emerging field issues to the attention of the VR&E Service management team.

Provides recommendations on possible solutions to challenges facing the VR&E program.

Provides a verbal briefing to the Executive Director of VR&E Service.

Provides a copy of the meeting minutes to summarize significant discussions, recommendations, and action items to the Executive Director of VR&E Service.

4.03 Veterans' Advisory Committee on Rehabilitation

a. Overview of Veterans' Advisory Committee on Rehabilitation

(Change Date October 23, 2012)

Veteran's Advisor Committee On Rehabilitation (VACOR) is authorized by statute 38 U.S.C. 3121 and operates under the provisions of the Federal Advisory Committee Act. VACOR consults with and advises the Secretary of Veterans Affairs (SECVA) on the administration of claimants' rehabilitation programs under Title 38 U.S.C. The findings of VACOR are incorporated in the SECVA's annual report submitted to Congress under 38 U.S.C. 529. Further guidance on VACOR is outlined in 38 CFR 21.400 and 38 CFR 21.402.

b. Purpose of Veterans' Advisory Committee on Rehabilitation

(Change Date October 23, 2012)

VACOR submits a yearly report to the SECVA on rehabilitation programs and activities provided to claimants. The report must include an assessment of the rehabilitation needs of claimants and a review of programs and activities designed to meet such needs.

c. Members of Veterans' Advisory Committee on Rehabilitation

(Change Date October 23, 2012)

VACOR includes the following members who are appointed by the VA Secretary:

A Designated Federal Officer (DFO)

Veterans with service-connected disabilities

Experts in the field of rehabilitation medicine

Experts in the field of vocational guidance

Experts in the field of vocational rehabilitation

Experts in the field of employment and training

One member is appointed from each the following agencies for their knowledge on the administration of claimants' rehabilitation programs under Title 38 U.S.C.:

VA, Veterans Health Administration (VHA)

VA, Veterans Benefits Administration (VBA)

Department of Education (ED), Rehabilitation Services Administration (RSA)

ED, National Institute on Disability and Rehabilitation Research (NIDRR)

Department of Labor (DOL), Office of the Assistant Secretary of Veterans Employment and Training Service (VETS)

d. Roles and Responsibilities of Veterans' Advisory Committee on Rehabilitation

(Change Date October 23, 2012)

VACOR has the following roles and responsibilities:

Meets twice per year

Assesses the rehabilitation needs of claimants

Reviews VA programs and activities to meet those needs

Submits a yearly report to the SECVA

Performs specific projects and assignments as necessary and consistent with purpose

VBA specifically is responsible for providing support to VACOR. The DFO, who must be a full time VA employee, will approve the schedule and agenda of VACOR meetings.

4.04 Self-Employment Panel

a. Overview of Self-Employment Panel

(Change Date February 14, 2017)

The Self-Employment Panel (SEP) serves as a consultative body, at the RO level, for claimants who are pursuing a self-employment plan. The SEP reviews business plans and submits a report with recommendations and information for planning rehabilitation services related to self-employment. A case may be referred to the SEP by a case manager or VR&E Officer.

b. Purpose of Self-Employment Panel

(Change Date February 14, 2017)

The SEP recommendations and suggestions are considered expert technical assistance to facilitate the planning and decision-making process. Recommendations and suggestions are not binding but must not be disregarded without thorough consideration. If the SEP recommendation is not accepted, the case manager must document clearly the reason for not accepting the SEP recommendation in the claimant's VR&E record.

c. Members of Self-Employment Panel

(Change Date February 14, 2017)

The SEP includes a wide range of professionals to ensure individuals with knowledge of self-employment are available for the review of each referred case. The SEP may include, but is not limited to:

A VRC or Employment Coordinator (EC), appointed by the VR&E Officer, serves as Chairperson for the coordination of meetings, writing of reports, and expert knowledge of VR&E services related to self-employment

A VRC, who is usually the referring VRC, for expert knowledge of the specific case

A business consultant from the Small Business Administration (SBA) or the Small Business Development Center (SBDC)

A representative from the local Chamber of Commerce

Other business professionals from the community

d. Role and Responsibilities of Self-Employment Panel

(Change Date February 14, 2017)

The SEP has the following roles and responsibilities:

Reviews each business plan and the summation of the business plan analysis, including any written reports from the VRC and the business consultant who assisted in completing the evaluation of feasibility for a proposed business plan, if applicable.

Prepares a written report of recommendations on each business plan with a summary of the SEP's deliberations and recommendations. This report must be filed in the claimant's VR&E record.

Upon receipt of the written report of recommendations from the SEP, the referring VRC must address any action items in the report. Refer to M28C.IV.C.5 for VRC next steps.

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M28C.IV.A.2 — Eligibility and Entitlement

Chapter 2

ELIGIBILITY AND ENTITLEMENT

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2.03 Basic Period of Eligibility

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2.04 Eligibility and Entitlement for Employment Assistance

a. Criteria for Employment Assistance

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2.05 Changes in Service Connection

a. Severance of the Service-Connected Disability Rating

b. Reduction to Non-compensable Service-connected Disability or 0 Percent Rating in a Plan of Services

c. Reduction to Non-compensable Service-Connected Disability or 0 Percent Rating in Applicant Status and Evaluation and Planning Status

2.06 Entitlement Limitations, Extensions, and Restoration

a. Entitlement Limitations

b. Entitlement Extensions

c. Restoration of Entitlement

2.01 Responsibilities

(Change Date August 15, 2013)

Eligibility period and basic entitlement to Chapter 31 services were established by 38 United States Code (U.S.C.) 3102 and 38 U.S.C. 3103. Duration of rehabilitation programs was established by 38 U.S.C. 3105.

Upon receipt of an application for Chapter 31 benefits, the Veteran Readiness and Employment (VR&E) staff will make the determination that the claimant meets all eligibility requirements for evaluation for Chapter 31 benefits.

2.02 Entitlement to Chapter 31 Benefits

(Change Date August 15, 2013)

Once a claimant is granted a compensable service connected disability (SCD) rating or memorandum rating establishing eligibility, the claimant must meet specific criteria for entitlement under one of the following conditions, in accordance with 38 CFR 21.40:

a. 10 percent Service-Connected Disability rating

(Change Date July 2, 2014)

The claimant must be granted an SCD or combined SCD rating of 10 percent.

The claimant must have incurred or aggravated the disability or disabilities while on active military service on or after September 16, 1940.

The claimant must be determined by a Vocational Rehabilitation Counselor (VRC) to be in need of rehabilitation services based on a serious employment handicap (SEH).

b. 20 percent or more Service-Connected Disability rating

(Change Date July 2, 2014)

The claimant must first be granted an SCD or combined SCD rating of 20 percent or more.

The claimant must have incurred or aggravated a disability or disabilities while on active military service on or after September 16, 1940.

The claimant must be determined by a VRC to be in need of rehabilitation services based on an employment handicap (EH).

c. Memorandum rating

(Change Date August 15, 2013)

A claimant will receive a memorandum rating when awaiting discharge from active military service, is hospitalized or receiving outpatient medical care, or services or treatment for a disability, and has been granted a temporary SCD or combined SCD rating with the following:

The claimant must have been rated with at least 10 percent SCD and have originally applied for Chapter 31 benefits after March 31, 1981, and before November 1, 1990, or

The claimant must have been rated with 20 percent SCD and have originally applied for Chapter 31 benefits after November 1, 1990, and

The claimant must have been determined by a VRC in need of rehabilitation services based on an EH.

Refer to M28C.III.B.2 for information on basic entitlement for seriously ill or injured and very seriously ill or injured Service member. Refer to M28C.IV.A.1 for information on establishing a memorandum rating.

A claimant must participate in a comprehensive initial evaluation in order to determine their entitlement to Chapter 31 benefits.

An entitlement determination is completed under one of two conditions:

The claim is processed for disallowance for failure to pursue.

The EH or SEH decision is made.

Refer to M28C.IV.B.1 for detailed information regarding the initial evaluation and entitlement determination process.

2.03 Basic Periods of Eligibility

a. Eligibility Period

(Change Date January 5, 2021)

A claimant has a 12-year eligibility period, from the claimant's last date of discharge or release from their active military service, to be eligible to receive Chapter 31 benefits, per 38 CFR 21.41.

Note: Effective January 5, 2021, the 12-year eligibility period does not apply to claimants who were discharged or released from active military service on or after January 1, 2013.

b. Deferral and Extension of the Basic Period of Eligibility

(Change Date August 15, 2013)

The deferral or extension of a claimant's period of eligibility is determined by a VRC, per 38 CFR 21.42, 21.44, 21.45, and 21.46.

1. Deferral of Eligibility Period

(Change Date August 15, 2013)

A claimant's basic period of eligibility may be deferred only when the claimant is prevented from starting a Chapter 31 program under one of the following circumstances per 38 CFR

21.42:

(a) A Compensable Service-connected Disability is not Established

(Change Date August 15, 2013)

A claimant's basic period of eligibility cannot begin until the claimant is notified in writing of a rating decision for a compensable SCD or combined SCD rated 10% or more. The eligibility period begins on the day the VA notifies the claimant of his or her rating decision.

(b) The Character of Discharge imposes a Restriction on Benefits

(Change Date August 15, 2013)

A claimant's basic period of eligibility cannot begin if he or she does not meet the requirement for release with an honorable, general, or other than honorable discharge from the military, or the character of discharge is considered to be a bar to benefits.

A claimant's period of eligibility may begin only when the following conditions have been met:

(1) The claimant's character of discharge or release has been changed by the appropriate authority, per 38 U.S.C. 3103, 38 U.S.C. 3105, 38 CFR 3.12, and 38 CFR 21.42.

(2) The VA determines that the claimant's discharge or release is no longer a bar to benefits, per 38 CFR 3.12.

If the claimant's discharge is no longer barred from benefits, the claimant's basic eligibility is effective the date of the determination or change in the character of discharge. The claimant will be eligible to apply for rehabilitation services.

(c) Claimant's Participation is Prevented by Medical Conditions

(Change Date August 15, 2013)

A claimant's basic period of eligibility cannot begin if a VRC determines that the claimant's ability to participate in the Chapter 31 Program is currently not reasonably feasible because of any medical condition(s) that may persist for 30 days or more. This may include but is not limited to any untreated, co-occurring, chronic, medical and mental health conditions, such as the disabling effects of persistent alcoholism, drug use, disease, chronic pain, physical impairment, and psychological health conditions that affect the general social and financial well-being of the claimant. The VRC must make every attempt to address these conditions that prevent employment through an extended evaluation only when appropriate.

The claimant's basic period of eligibility will commence on the date the VRC determines and notifies the claimant in writing that achievement of his or her vocational goal is currently reasonably feasible, or the claimant is now able to pursue an employment goal due to the claimant's medical conditions, underlying conditions having been stabilized and cleared by a medical doctor to participate in a vocational rehabilitation program.

2. Extension of Eligibility Period

(Change Date August 15, 2013)

A claimant's period of eligibility may be extended if one of the following conditions exists:

(a) Medical Condition(s)

(Change Date August 15, 2013)

A claimant's period of eligibility may be extended for the period in which the claimant is unable to participate in a vocational program in which the claimant is unable to program for 30 days or more due to medical conditions per 38 CFR 21.42.

The medical conditions also include chronic alcoholism that causes disabling effects, such as alcohol-induced physical and/or mental disorders, except for willful misconduct.

If the claimant's participation in the Chapter 31 program is delayed or interrupted due to any medical condition, the extension of the claimant's eligibility period will begin or resume on the date the claimant is notified in writing that the VRC determined that the claimant is capable of continuing his or her participation in a program of rehabilitation services.

(b) Serious Employment Handicap

(Change Date August 15, 2013)

The period of eligibility may be extended for a claimant who has been determined with an SEH and is participating in a program of IL services per 38 CFR 21.44.

The VRC determines the number of months for extension of the claimant's eligibility period based on his or her needs for a program of rehabilitation services.

The claimant's period extension eligibility may be extended if he or she is determined with an EH and an SEH and his or her need for rehabilitation services and assistance necessitate extension of his or her eligibility period to achieve his or her vocational goal.

For a claimant who has been previously rehabilitated to the point of employability, the decision for extension of the eligibility period is applicable at the time the claimant is determined in need of the services to overcome the significant impairments of employability.

(c) Program of Independent Living Services

(Change Date August 15, 2013)

A VRC may extend a claimant’s period of eligibility for a claimant who is receiving IL services or assistance if the VRC determines that he or she has an SEH and that an extension of his or her eligibility period is necessary to achieve or maximize his or her independence in daily living, per 38 CFR 21.45.

The period of eligibility may be extended for the duration that the VRC determines necessary for the claimant to achieve the IL goal.

(d) Recall to Active Duty

(Change Date August 15, 2013)

The period of eligibility may be extended for a claimant who has been recalled or ordered to serve on active duty. Recall to active duty for Reserve Components is under the authorities of 10 U.S.C. 688, 12301(a), 12301(g), 12302, 12304, 12304a, and 12304b per Pub. L. 115-48.402, 38 U.S.C. 3103 and 38 CFR 21.46.

The extension of the eligibility period includes the length of time that the claimant served in active duty during the recall, plus four months.

(e) Emergency Situations

(Change Date January 5, 2023)

P.L. 117-333, section 3 defined an emergency situation under 38 U.S.C. 3601 as a situation that:

The President declares is an emergency, and

The Secretary determines is an emergency for purposes of the laws administered by the Secretary.

It also added 38 U.S.C 3103(h), that states, a claimant's period of eligibility to participate in a rehabilitation program may be extended as follows:

shall not run during the period the individual is so prevented from participating such program; and

shall again begin running on the first day after the individual is able to resume participation in such program.

(f) Other Reasons determined by VR&E

(Change Date December 29, 2022)

P.L. 117-328, section 233 added 38 U.S.C 3103(h)(1)1, to state that a claimant's period of eligibility to participate in a rehabilitation program may be extended based on one of the following reasons:

(1) Temporary or permanent closure of an education institution due to an emergency situation.

(2) Another reason determined by the VRC, which prevents the claimant from participating in a vocational rehabilitation program.

The extension for the period of eligibility begins on the date that the claimant is prevented from participating in the vocational rehabilitation program and ends on the date determined by the VRC that:

is not earlier than the first day after the claimant can resume participation, and is not later than 90 days from the first day that the claimant can resume participation.

c. Services Prior to Discharge

(Change Date August 15, 2013)

A Service member determined entitled to services prior to his or her discharge from active duty may receive vocational rehabilitation services, but his or her period of basic eligibility begins on the date of his or her discharge from active military service. The requirements for the basic period of eligibility do not apply to the administration of vocational rehabilitation services while the claimant is on active duty. Refer to M28C.III.B.2 and 38 CFR 21.41 for detailed information about eligibility and entitlement for Service members.

d. More than one Period of Military Service

(Change Date November 11, 2023)

The eligibility period for a claimant who has more than one period of military service and applies for Chapter 31 starts from the date of his or her most recent honorable or other than dishonorable discharge.

If the last character of the claimant's discharge is dishonorable, the claimant may be provided Chapter 31 benefits for the 12-year period that began from the date of his or her most recent honorable or other dishonorable discharge.

2.04 Eligibility and Entitlement for Employment Assistance

a. Criteria for Employment Assistance

(Change Date August 1, 2012)

1. Claimant entitled to participate in the Chapter 31 Program

Any claimant who is determined eligible and entitled to participate in a rehabilitation program under 38 U.S.C. 3102 may receive employment services, except for a claimant who has been determined in need of a program of independent living services.

A claimant may be provided employment services based on one of the following criteria:

(a) A claimant has completed a Chapter 31 program of rehabilitation services and has been declared rehabilitated to the point of employability and has been determined employable in a suitable occupation.

(b) A claimant has not completed a period of rehabilitation to the point of employability under Chapter 31 but elected to secure employment without completing the period of rehabilitation to the point of employability and has been determined employable in a suitable occupation.

(c) A claimant has never received services for rehabilitation to the point of employability under Chapter 31 but has been determined employable in a suitable occupation, has an employment handicap or a serious employment handicap, and needs employment services to obtain or maintain suitable employment.

2. A claimant who previously participated in a vocational rehabilitation program under Chapter 31 or a similar program under the Rehabilitation Act of 1973, as amended.

In accordance with 38 U.S.C. 3117, a claimant may be provided limited employment assistance if he or she previously participated in a vocational rehabilitation program under Chapter 31, or a similar program under the Rehabilitation Act of 1973, as amended, even though he or she is ineligible for any other assistance under Chapter 31.

A claimant may be provided limited plan of employment services based on one of the following criteria:

(a) A claimant completed a vocational rehabilitation program under the Chapter 31 program or participated in such a program for at least 90 days, has been determined entitled to Chapter 31 benefits, and is employable in a suitable occupation. This does not apply to a claimant who reapplies for Chapter 31 benefits but the reasons for the previous discontinuance cannot be removed.

(b) A claimant has completed a vocational rehabilitation program under the Rehabilitation Act of 1973 or participated in such a program that included at least 90 days of post-secondary education or vocational training, meets the eligibility criteria described in 38 CFR 21.40, and has been determined employable in a suitable occupation.

3. A claimant who does not meet the entitlement criteria for Chapter 31 and has never before participated in a vocational rehabilitation program under Chapter 31 or under the

Rehabilitation Act of 1973, cannot be provided employment assistance under Chapter 31.

b. Duration for the Period of Employment Assistance

(Change Date November 20, 2024)

A claimant who has completed a vocational training program and is determined employable in a suitable occupation may be provided a period of employment assistance or services.

1. The period for providing employment assistance or services is not subject to the required eligibility period described in 38 CFR 21.41 through 21.45. This means that a claimant may continue to receive employment assistance after his or her 12-year eligibility period expires.

2. The period for employment assistance is not charged against a claimant's Chapter 31 entitlement. This means that a claimant who has exhausted 48 months of his or her entitlement may continue to receive employment services.

3. The period of employment assistance for claimants found entitled under 38 U.S.C. 3102 is limited to 18 months under the provisions of 38 CFR Sec 21.73. This means that the period of employment services must not exceed 18 months even in instances, such as the 60-day follow-up period after a claimant obtained employment has not been completed, or there was a lapse in providing the monthly case management appointments to the claimant.

However, the 18-month period may be extended only if the President and the VA Secretary declare an emergency situation under the provision of 38 U.S.C. 3601 and as discussed in section 2.04.c of this chapter .

4. The limited period of employment assistance of 18 months does not apply to employment assistance provided under 38 U.S.C. 3117.

c. Special Circumstance for Extension of the Period of Employment Assistance

(Change Date November 20, 2024)

The 18-month limitation for employment services may be extended only if a claimant is unable to participate in employment services during a period of an emergency situation declared by the President and the VA Secretary as prescribed in 38 U.S.C. 3601.

This means that a period of employment services may be added to the 18 months that is equivalent to the number of days or months that the claimant is unable to participate in employment services due to the emergency situation.

Refer to the Glossary of Terms for definition of emergency situation.

Note: An Employment Adjustment Allowance (EAA) cannot be paid to the claimant during this period since the claimant's inability to participate does not meet the criteria for EAA payment.

2.05 Changes in Service Connection

(Change Date August 15, 2013)

Changes in a claimant's rating decision will affect his or her entitlement to Chapter 31 benefits. The VRC must take necessary actions when one of the following changes occurs, per 38 CFR 21.48:

a. Severance of the Service-Connected Disability Rating

(Change Date May 21, 2021)

A claimant's participation in a rehabilitation program must be terminated when his or her SCD rating has been severed. A case in Applicant (APP) status or Evaluation and Planning (EP) status must placed in Discontinued (DIS) status effective the date VR&E is notified of the severance of the claimant's SCD rating. A case in Extended Evaluation (EE) status, Independent Living (IL) status, Rehabilitation To the point of Employability (RTE) status, Interrupted (INT) status, or Job Ready (JR) status must be placed in DIS status effective the last calendar day of the month that the service-connection of the claimant's disability is severed. Refer to M28C.III.A.1.02 for procedures for updating case status.

The VRC must send VR-58, Chapter 31 Adverse Decision Letter and VAF 20-0998, Your Rights to Seek Further Review of our Decision to inform the claimant and his or her designated representative, if applicable, that Chapter 31 benefits have been terminated per 38 U.S.C. 3103 and 38 CFR 21.40.

b. Reduction to Non-Compensable Service-connected Disability or 0 Percent Rating in a Plan of Services

(Change Date May 21, 2021)

When a claimant's rating has been reduced to non-compensable or 0 percent while he or she is participating in a plan of services, the claimant may continue to participate until he or she completes or discontinues participation in the program. However, if the claimant's case has been placed in Discontinued or Rehabilitated status and the claimant reapplies, he or she will not be eligible to reenter the program.

c. Reduction to Non-compensable Service-connected Disability or 0 Percent Rating in Applicant Status and Evaluation and Planning Status

(Change Date May 21, 2021)

When a claimant's SCD rating is reduced to a non-compensable or 0 percent rating while his or her case remains in Applicant status or Evaluation and Planning status, all claims processes must be terminated effective immediately and deny his or her claim. The VRC must send VR-58 and VAF 20-0998 to inform the claimant and his or her designated representative, if applicable, that processing of his or her claim has been terminated per 38 U.S.C. 3103 and 38 CFR 21.40.

2.06 Entitlement Limitations, Extensions, and Restoration

(Change Date April 1, 2021)

Claimants who train under VA education programs, including under more than one chapter of the law, and/or have transferred entitlement to educational assistance, are limited in their total period of entitlement in accordance with 38 U.S.C. 3105, 38 U.S.C. 3322, 38 U.S.C. 3695 and 38 CFR 21.4020. The Chapter 31 entitlement used by a claimant will not be deducted from his or her potential entitlement under other VA education programs. However, VR&E will deduct entitlement used in other VA education programs from a claimant's potential 48 months of Chapter 31 entitlement.

a. Entitlement Limitations

(Change Date April 1, 2021)

The total period for which a claimant may receive a program of rehabilitation under Chapter 31 alone shall not exceed 48 months, except as outlined in section 2.06.b of this chapter, per 38 CFR 21.78.

b. Entitlement Extensions

(Change Date December 27, 2012)

38 CFR 21.78 provides the authority to extend a claimant's entitlement to Chapter 31 benefits. This includes any claimant who previously utilized education benefits outlined in M28C.IV.B.1 and is currently participating in the Chapter 31 program. The extension that will exceed the 48-month limitation must be determined necessary to achieve the claimant’s rehabilitation goal.

The criteria for an extension of entitlement that will exceed the 48-month period for Chapter 31 benefits are outlined below:

1. Claimants Determined with an Employment Handicap

(Change Date March 31, 2014)

A rehabilitation program for a claimant with an EH may be extended beyond 48 months under any of the following:

(a) The claimant previously completed training in an occupational field, but the claimant’s service-connected disability(ies) worsened to the point that performing the duties of that occupation is no longer feasible, and a period of retraining in the same or a different field is necessary. An extension beyond 48 months under Chapter 31 alone shall be authorized for this purpose, per 38 U.S.C. 3105(c)(1)(A) and 38 CFR 21.78.

Note: Although the extension can exceed the 48-month limit, only the needed amount of entitlement must be requested for extension.

(b) The occupation the claimant previously trained for is found to be unsuitable due to the claimant’s functional limitations. An extension beyond 48 months under Chapter 31 alone shall be authorized for this purpose, per 38 U.S.C. 3105(c)(1)(B) and 38 CFR 21.78.

Note: Although the extension can exceed the 48-month limit, only the needed amount of entitlement must be requested for extension.

(c) The claimant previously utilized VA education benefits, and the additional period of assistance under Chapter 31 needed for the claimant to become employable will result in more than 48 months being used under all VA education benefits. Under these conditions the number of months necessary to complete the program may be authorized under Chapter 31, provided the length of the extension will not result in authorization of more than 48 months under Chapter 31 alone, per 38 U.S.C. 3695 and 38 CFR 21.78.

Note: The extension request must not exceed the 48 months of entitlement under Chapter 31 alone.

(d) A claimant in an approved Chapter 31 program has elected payment at the Chapter 30 educational assistance rate. Per 38 U.S.C. 3013, 38 U.S.C. 3695, Pub. L. 98-525, and 38 CFR 21.78, the 48-month limitation may only be exceeded:

1) If the entitlement in excess of 48 months does not exceed the entitlement previously used by the claimant in a course at the secondary school level before December 31, 1989.

2) If the claimant is training in a course on a term, quarter, or semester basis, which began before the 36-month limitation on Chapter 30 entitlement was reached, and completion of the course will allow the claimant to complete the training under Chapter 31.

(e) The assistance to be provided in excess of 48 months consists only of a period of employment assistance, per 38 U.S.C. 3105(b), 38 CFR 21.73, and 38 CFR 21.07.

2. Claimants Determined with a Serious Employment Handicap

(Change Date March 31, 2014)

In accordance with 38 U.S.C. 3105(c)(2) and 38 CFR 21.78, the duration of a rehabilitation program for a claimant determined with an SEH may be extended to exceed 48 months under Chapter 31 based on the number of months needed by the claimant to complete his or her rehabilitation under any of the following conditions:

(a) To enable the claimant to complete a period of rehabilitation to the point of employability.

(b) To provide an extended evaluation, in which the total period needed for the extended evaluation and rehabilitation to the point of employability, can be completed by the claimant.

(c) To provide a program of Independent Living (IL) services, including instances in which an achievement of a vocational goal becomes feasible as a result of the IL services.

(d) After rehabilitation to the point of employability and additional training:

(1) The claimant is unable to secure employment in the occupation he or she was trained for, despite intensive efforts by the VRC and claimant, and a period of retraining or additional training is needed.

(2)The claimant's skills developed in training for the occupation in which he or she was employed are no longer adequate to maintain employment in that field, and additional training is needed..

(3) The claimant's service-connected disability(ies) SCD have worsened to the point that he or she cannot perform the duties of the occupation he or she was trained for, and a period of training in the same or different field is needed. .

(4) The occupation, in which the claimant was previously trained for is determined unsuitable due to his or her abilities and employment handicap, and additional training is needed. .

(e) The assistance provided in excess of 48 months consists solely of employment assistance.

3. Other Considerations for Entitlement Extension

(a) Transferred Entitlement - The claimant's transferred entitlement from another VA education benefit(s) to his or her dependent(s) must be reviewed to ensure that the amount of extension is sufficient for the claimant to complete his or her rehabilitation program.

(b) Period of Employment Services - The 18-month period of employment assistance is not charged against the 48-month entitlement under Chapter 31 per 38 CFR 21.73. Therefore, this period must not be included when calculating extension of entitlement.

(c) Expiration of Eligibility Termination Date - Extension of entitlement for a claimant, who has been determined with an EH only and discharged from active duty prior to January 1, 2013, must not exceed his or her ETD.

4. Approval of Entitlement Extension

(Change Date August 16, 2024)

In accordance with 38 CFR 21.78, all extensions of Chapter 31 benefits exceeding 48 months of total entitlement require the approval of the VR&E Officer or his or her designee.

Factors, such as justification for the approval, the number of months requested, the anticipated completion date of the claimant's rehabilitation, and any additional information specified by the VR&E Officer or his or her designee must be included in a memorandum request for approval.

The request must be submitted using Appendix DS, Request for Entitlement Extension or Restoration of Entitlement. The VR&E Officer or his or her designee must sign the approval and the signed approval must be placed in the claimant's electronic record. Instructions for completing the appendix are provided at the bottom of the appendix. Entitlement extensions must be approved by the VR&E Officer or his or her designee, during plan development/redevelopment before the new or amended plan is implemented. Per 38 CFR 21.72(c), prior to the claimant starting and continuing in his or her approved training program, it is the responsibility of the VRC to ensure that there is sufficient entitlement available and approved entitlement extension is reflected in the claimant's GED record and in CWINRS Award tab.

c. Restoration of Entitlement

(Change Date April 26, 2023)

Public Law 116-315, the Johnny Isakson and David P. Roe, M.D., Veterans Health Care and Benefits Improvement Act of 2020, provided VR&E with the authority to restore entitlement to claimants who are attending a facility that closes or loses VA approval.

When a program of training or course loses VA approval or the facility closes, the VRC must notify all claimants affected using VR-78, Notification of Facility, Program of Training, or Course Disapproval, or VR-79, for Notification of Facility Closure. If a facility loses approval for a program of training or course, the VRC must not approve any further training for the disapproved program or course. The VRC must check WEAMS prior to a rehabilitation plan development to ensure the program or course is approved.

Note: The provision did not grant VR&E with the authority to extend a claimant's eligibility termination date (ETD). Therefore, if the restoration of entitlement occurs and the claimant will not be able to use the entitlement due to ETD limitations, the claimant must be informed, via VR-58 Chapter 31 Adverse Action Decision Letter. The letter must include VA Form (VAF) 20-0998, Your Rights to Seek Further Review of our Decision.

Restoration of Entitlement due to a Facility Closure or Program of Training or Course Disapproval due to a Change in Law, Regulation or Policy

(Change Date October 06, 2023)

Effective August 1, 2021, through September 30, 2025, if a facility closes or loses its approval for VA use, the claimant loses credit and is not able to transfer at least 12 credits to a new facility, the claimant's entire entitlement used at the facility that was closed or disapproved in which the claimant received a subsistence allowance payment may be restored, per 38 U.S.C. 3699(c)(2)(C).

When a facility closes or a program of training or course disapproval is due to a change in law, regulation or policy, VR&E may:

Continue to pay subsistence allowance until the end of the semester or term or 120 days from the date of the closure or disapproval whichever is sooner in accordance with 38 U.S.C 3680(a)(2)(B). Refer to M28C.V.B.7.10.a.2 for guidance on paying subsistence allowance for a facility closure or disapproval.

Restore entitlement if a claimant did not receive credit or lost training time toward completion of the program of training or course being pursued per 38 U.S.C. 3699(c)(1)(A) if the claimant was enrolled in the facility within 120 days of closure.

Any terms that are restored are not charged against entitlement.

VR&E can provide restoration of entitlement if the claimant:

Lost credits and is not able to transfer at least 12 credits to a new facility, and

His or her last enrollment period was within 120 days of the facility closure or disapproval.

Public Law 117-297, Veterans Eligible to Transfer School (VETS) Credit Act, has also made it easier to apply for restoration of entitlement. For any covered closure or disapproved after December 27, 2022, the claimant does not need to enroll in a new facility prior to applying for restoration of entitlement. The claimant will have to show he or she was unable to transfer 12 or more credits to a new facility before restoration of entitlement may be granted.

To request restoration of entitlement the claimant must submit completed VAF 28-10281, Request for Restoration of Entitlement due to Facility Closure, Program or Training or Course Disapproval. To grant the Restoration of Entitlement the VRC must verify the claimant applied to a new facility or training program and is unable to transfer 12 or more credits based off a copy of the acceptance letter and degree audit.

The following examples provide additional clarity on restoration of entitlement.

Example 1:

A claimant was enrolled in a computer science program since September 2021. The last enrollment period certified by the facility was May 2022. The facility closed effective June 2, 2022. The claimant transfers to a new school and is only able to transfer 9 credits into the new program. The claimant would qualify for restoration of entitlement for his or her entire program in this example.

Example 2:

A claimant was enrolled in a computer science program since August 2019. The last enrollment period certified by the facility was spring 2020, enrollment from 01/05/2020 to 05/12/2020. The computer science program was disapproved effective 04/20/2020. The claimant transfers to a new school on 08/23/22 and only 5 credits transferred from the old program to the new school. The claimant requests restoration of entitlement for the prior disapproved program. The claimant does not qualify for restoration of entitlement since the previous enrollment was prior to August 1, 2021.

The VRC must evaluate and determine whether the claimant meets the criteria for restoration of entitlement. If the claimant meets the criteria the VRC must:

Complete Appendix DS, Request for Entitlement Extension or Restoration of Entitlement,

Obtain concurrence from the VR&E Officer,

Place a copy of Appendix DS in the claimant’s electronic record, Inform the claimant of the restoration of entitlement via VR-77, Restoration of Entitlement, and

Place a copy of the letter in the claimant’s electronic record.

If the claimant does not meet the criteria for restoration of entitlement, the VRC must:

Notify the claimant via VR-58. The letter must include VA Form (VAF) 20-0998, Your Rights to Seek Further Review of our Decision, and

Place a copy of the letter in the claimant’s electronic record.

If a claimant’s program becomes disapproved as a result of a change in law, regulation, or policy as indicated in 38 U.S.C. 3699(d)(1)(A), the claimant may continue in the disapproved program. The VRC must determine whether continuing in the program is in the best interest of the claimant as specified in 38 U.S.C. 3699(d)(1)(B), and the determination must be documented in an electronic case note. The claimant must have already started the program at the time of disapproval.

Note: VR&E may continue to pay subsistence allowance for a Facility Closure, Program of Training or Course Disapproval until the end of the semester or term or 120 days from the date of the closure or disapproval whichever is sooner in accordance with 38 U.S.C. 3680(a)(2)(B). Refer to M28C.V.B.7.10.a.2 for guidance on paying subsistence allowance for a facility closure or disapproval.

Facility Closures or Program of Training or Course Disapproval from January 1, 2015, through August 16, 2017

(Change Date April 26, 2023)

The Act also included a retroactive provision for facilities that closed on or after January 1, 2015. This provision aligns VR&E’s authority with the authority that was granted to other VA education benefits in section 109 (c) of the Colmery Act, thus the retroactive date.

If the claimant is unable to transfer credits, he or she may have all of his or her entitlement restored that was not transferred.

To request restoration of entitlement the claimant must:

Enroll at a new facility,

Obtain a degree audit from the new facility to determine the number of credits that will be accepted into the new program, and

Submit completed VAF 28-10281, Request for Restoration of Entitlement due to Facility Closure, Program of Training or Course Disapproval, provide a copy of the acceptance letter and degree audit with request.

The VRC must evaluate and determine whether the claimant meets the criteria for restoration of entitlement.

If the claimant meets the criteria the VRC must:

Complete Appendix DS, Request for Entitlement Extension or Restoration of Entitlement,

Obtain concurrence from the VR&E Officer,

Place a copy of Appendix DS in the claimant's electronic record,

Inform-the claimant of the restoration of entitlement via VR-77, Restoration of Entitlement, and

Place a copy of the letter in the claimant's electronic record.

If the claimant does not meet the criteria for restoration of entitlement, the VRC must:

Notify the claimant via VR-58. The letter must include VA Form (VAF) 20-0998, Your Rights to Seek Further Review of our Decision, and

Place a copy of the letter in the claimant's electronic record.

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M28C.IV.B.1 — Evaluation Process

Chapter 1

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1.01 Roles and Responsibilities

(Change Date July 2, 2014)

Before a claimant can receive services from the Veteran Readiness and Employment (VR&E) program, a Vocational Rehabilitation Counselor (VRC) must make a determination as to whether he or she is entitled to services based on a comprehensive initial evaluation in accordance with 38 United States Code (U.S.C.) 3102, 38 Code of Federal Regulations (CFR) 21.40, and 38 CFR 21.50. There must be an official entitlement determination on all claims for VR&E services unless the claimant does not attend the initial evaluation.

In accordance with 38 U.S.C. 3106 and 38 CFR 21.50, the VRC is required to determine whether it is currently reasonably feasible for the claimant to obtain and maintain suitable employment after entitlement to VR&E services has been established.

a. Veteran Readiness and Employment Officer

(Change Date August 15, 2013)

The Veteran Readiness and Employment (VR&E) Officer is responsible for the management of all VR&E initial evaluation activities, which includes providing guidance and direction to VR&E staff and oversight of VR&E decisions for entitlement to services. The VR&E Officer's concurrence is required for decisions related to several aspects of entitlement determinations as outlined in this chapter.

b. Vocational Rehabilitation Counselor

(Change Date July 2, 2014)

The Vocational Rehabilitation Counselor (VRC) must ensure that the claimant participates and understands of the initial evaluation process during the comprehensive one-on-one initial interview.

To accomplish this, the VRC must:

Obtain information needed to make the entitlement determination, including Employment Handicap (EH) and Serious Employment Handicap (SEH); and to determine current reasonable feasibility for achievement of a vocational goal. The VRC uses the information obtained in VAF 28-1902w, Information for Veteran Readiness and Employment Entitlement Determination, medical records, intake interview, and other relevant records, when making the entitlement determination and feasibility decision.

Conduct and/or coordinate necessary vocational evaluations, an extended evaluations, and assessment of independent living (IL) needs, as appropriate.

Document and justify the decision-making process.

c. Contract Counselor

(Change Date July 2, 2014)

The VRC may use a contract counselor for some elements of the comprehensive initial evaluation in order to expedite the process. The contract counselor conducts activities relating to initial or vocational evaluations under the direction of the assigned VRC.

The role of the contract counselor is limited to the development of information necessary for the VRC to make an entitlement determination and rehabilitation planning decisions. The contract counselor cannot make eligibility, entitlement, or feasibility decisions. In addition, the contract counselor cannot develop or sign a rehabilitation plan, authorize or deny a benefit, process payments, or take any adverse action. The VRC is responsible for each of these actions.

d. Employment Coordinator

(Change Date August 15, 2013)

The Employment Coordinator (EC) may assist the VRC and the claimant in the development of the rehabilitation plan by providing labor market, employment, salary, job-specific, and other information related to the successful employment of the Chapter 31 program participants. In addition, the EC assists claimants in the use of the Job Resource Lab (JRL).

e. Claimant

(Change Date July 17, 2024)

In accordance with 38 CFR 21.362, the claimant must cooperate with the VRC in completing the comprehensive evaluation, which includes attending the Chapter 31 orientation, and fully participating in the evaluation process and rehabilitation planning activities. The claimant's Power of Attorney (POA) or third party, if present, must not be the sole contributor during the meeting, as outlined in M28C.III.C.1 and M28C.IV.B.1.

Refer to M28C.V.A.2.01.a.3 for more information on third-party and POA attendance.

1.02 Comprehensive Initial Evaluation and Entitlement Determination

a. Criteria for Comprehensive Initial Evaluation

(Change Date February 19, 2019)

In accordance with 38 CFR 21.40 and 38 CFR 21.50, a comprehensive initial evaluation must be provided to all eligible claimants who file a formal application for vocational rehabilitation services and meet one of the following criteria:

1. Claimants with a Service-Connected Disability (SCD)

(Change Date August 15, 2013)

Claimants with a SCD of 20 percent or greater under 38 U.S.C. Chapter 11 who incurred or aggravated the disability(ies) in active military service on or after September 16, 1940, may receive a comprehensive evaluation.

2. Service Member Awaiting Discharge

(Change Date July 2, 2014)

Service members awaiting discharge from active military service, who are hospitalized or receiving outpatient medical care, services, or treatment for a disability that VA will likely determine to be an SCD may receive a comprehensive evaluation. The Service member must request a memorandum rating verifying that his or her SCD rating will likely be 10 percent or higher and submitted an application on or after March 31, 1981 and before November 1, 1990; and 20 percent or higher for claimants who submitted an application on or after November 1, 1990.

In addition, Department of Veterans Affairs (VA) must have determined that the medical facility providing the hospitalization, care, service, or treatment is under contract or agreement with the VA. Whenever possible, hospitalized Service members should be provided an evaluation at the facility where they are receiving medical treatment.

3. Veterans who first applied after March 31, 1981, and before November 1, 1990.

A Veteran who meets the criteria below will be provided a comprehensive evaluation:

a) Has a service-connected disability or combination of disabilities rated less than 20 percent under 38 U.S.C. chapter 11;

b) Originally applied for assistance under 38 U.S.C. chapter 31 after March 31, 1981, and before November 1, 1990; and

c) Is determined by VA to be in need of rehabilitation because of an employment handicap.

4. Entitlement Under National Defense Authorization Act

(Change Date October 1, 2018)

As a result of the enactment of Public Law (Pub. L.) 110-181, which was amended by Pub. L. 115-251, a Service member who is awaiting discharge and has incurred a serious illness or injury occurred in the line of duty rendering him or her unfit for duty is determined eligible and automatically entitled to Chapter 31 services. This is without regard to a VA SCD rating, memorandum rating, or a determination of an EH. To establish automatic entitlement, the Service member must complete VAF 28-1900, Application for Veteran Readiness and Employment for Claimants with Service-Connected Disabilities, provide the required qualifying documentation, and attend the initial evaluation while he or she are on active duty.

Although entitlement is automatic, the VRC must still provide the Service member with a comprehensive evaluation to identify and document the necessary rehabilitation services that correspond to his or her identified needs.

For comprehensive evaluations of claimants automatically entitled under NDAA, the VRC must conduct the following assessments for plan development and service provision:

Identify the vocational impairments to employability to assess the needed rehabilitation services

Determine SEH

Determine feasibility of the claimant's achievement of a vocational goal

b. Criteria for Entitlement Determination

(Change Date July 11, 2017)

There must be an official entitlement determination on all claims for Chapter 31 benefits if the claimant attends the initial evaluation with the VRC. The VRC must process the entitlement determination as follows:

1. Claimant Fails to Attend Initial Evaluation

(Change Date October 1, 2020)

If the claimant fails to report for the initial evaluation, the VRC must send Vocational Rehabilitation (VR) letter VR-15, Missed Appointment-10-day Letter, and discontinue the claim if a response is not received after 10 calendar days. However, if the claimant contacts the VR&E division to report that he or she is not interested in pursuing the claim, the VRC must document the contact in an electronic case note and may proceed with disallowance; there is no need to wait for the 10-day period to expire. The VRC is not required to make an entitlement determination or complete VAF 28-1902b, Counseling Record-Narrative Report, in these instance. The claimant must be notified of the decision to close the case using VR-87, Disallowance - No Show for Initial Evaluation. A copy of the letter must be placed in the claimant's VR&E record.

2. Claimant Attends Initial Evaluation

(Change Date October 1, 2020)

If the claimant attends orientation and/or initial intake evaluation appointment, but indicates he or she is not interested in participating in services, the claimant may withdraw his or her application, refer to M28C.IV.A.1.11 for additional information.

If the claimant does not pursue VR&E services following a notice of a positive entitlement decision, the VRC must provide due process prior discontinuing the case. Refer to M28C.III.C.1 for more information on due process.

c. Severance of Service-Connection or Reduction to a Non-compensable Rating

(Change Date August 15, 2013)

If a claimant receives a rating action proposing severance of service-connection, reduction to a non-compensable rating or zero percent, and his or her initial evaluation has not begun or is in process, all processes relating to the determination of entitlement must be immediately terminated. In accordance with 38 CFR 21.48 and 38 CFR 3.105, if the proposed rating action becomes final, his or her Chapter 31 claim must be disallowed.

d. Initial Evaluation for Sensitive Level Claimant

(Change Date June 13, 2019)

All applicants requesting Chapter 31 benefits, including sensitive level claimants such as Veteran VA employees working in a Regional Office (RO), are required to meet with a VRC to complete a comprehensive initial evaluation. Due to the sensitive nature of the counseling process, these evaluations must not be completed at the RO where the applicant is employed. The policy for completing an initial evaluation for a sensitive level claimant who is a employed at the RO or a relative of an RO employee is as follows:

A comprehensive evaluation will be conducted and an entitlement decision will be made at the designated alternate RO. Refer to Appendix T for list of Alternate ROs. When transferring cases to alternate ROs, consideration must be given to required travel and other factors that could delay or disrupt the evaluation process. The case transfer is completed electronically by following guidance outlined in M28C.III.A.2 .

If the sensitive level claimant is unable to make the trip to the alternate RO due to his or her disability or other life circumstances, the Alternate RO could use Tele-counseling to meet with the claimant to conduct the initial evaluation. If the claimant is unable or unwilling to use Tele-counseling, the Alternate RO must work with the employing RO to utilize contracting. If a National contract exists, the employing RO will procure the contracted services. If there is no National contract in place, the RO will locally procure this service with the assistance of a contract specialist as outlined in M28C.V.B.3

After the sensitive level claimant’s evaluation and entitlement decision is completed at the alternate RO, and the claimant is found entitled to services, the case will remain at the alternate RO to develop and implement a rehabilitation plan.

All case management services through case closure will be completed by the alternate RO, with the exceptions of the following:

Non-Paid Work Experience (NPWE) cases, including those hired at the RO of jurisdiction

Work study claimants

Sensitive Level cases that are or will be placed in Job Ready status during FY2019

This policy also applies to cases where the VR&E Officer determines a conflict of interest may exist if the claimant's record remains at the RO of jurisdiction.

The case manager must follow the procedures for intraregional transfer of cases outlined in M28C.III.A.2.

Note: While this section pertains to Chapter 31 benefits, services must be provided by the alternate RO for all sensitive cases for which VR&E provides services, including Chapter 18, Chapter 35, and Chapter 36.

1.03 Comprehensive Approach to the Evaluation

(Change Date July 2, 2014)

A VRC or contract counselor may conduct some elements of the initial evaluation; however, only a VRC may determine a claimant's entitlement to Chapter 31 benefits. The VRC must gather pertinent information from all relevant sources to thoroughly understand the claimant's ability to obtain and maintain suitable employment.

A comprehensive evaluation for a claimant must include, but is not limited to the following activities:

Development and analysis of information necessary to determine the claimant's physical, mental, social, personal, and employment circumstances

Determination of the functional limitations of the claimant's SCD and NSCD condition(s) that affect his or her ability to obtain and maintain suitable employment

Assessment of other life circumstances

Determination of claimant's entitlement to Chapter 31 program, including EH and SEH determinations in accordance with 38 U.S.C. §3106

Evaluation of the claimant's ability to obtain and maintain suitable employment and/or increase the claimant's independence in daily living in accordance with 38 U.S.C. §3109

Assessment of claimant's vocational skills and needs

Identification of barriers that may impact the claimant's employability

Determination of compatibility of claimant's service-connected disabilities with the work requirements of his or her own business

Referral to other resources and programs for which he or she may qualify, if the claimant is determined not entitled to vocational rehabilitation services

The evidence developed during the initial evaluation will be the basis for determining a need for vocational rehabilitation services and assistance. The existence or non-existence of the vocational impairment, and the contribution or non-contribution of service-connected disability to the vocational impairment, must be clearly explained as part of the outcome of the comprehensive evaluation.

a. Tools for Initial Evaluation

(Change Date December 21, 2018)

During the initial evaluation, the VRC must take a thorough and extensive approach for collecting, reviewing, and analyzing the extent and effects of a claimant's SCD or Non-Service-Connected Disability (NSCD) condition(s) indicated in his or her life history data, such as work history, education, training, family, and community adjustment. If available, the VRC may use the following tools to assist with the completion of the initial evaluation:

Previous evaluation of abilities, aptitudes, and interests

Results of vocational and/or psychological assessments

Results of evaluations and reevaluations by a medical consultant

Recommendations obtained from the Vocational Rehabilitation Panel (VRP)

Information obtained from VA Health Administration (VHA) and/or the claimant's private medical records

Information obtained from State vocational rehabilitation counselors

Current and previous VAF 28-1902w

Written authorization must be obtained from the claimant or legal guardian prior to requesting information from sources other than the claimant or VA, using VAF 21-4142, Authorization to Disclose Information to the Department of Veterans Affairs (VA).

VRC's are encouraged to make referrals, as needed, for labor market information and other resources from the DOL-sponsored State Agencies, if information is not accessible to the VRC from other sources.

b. Previous Chapter 31 Program Participant

(Change Date May 4, 2022)

If a claimant is a previous Chapter 31 program participant, the VRC must review the claimant's previous VR&E record, Veterans Benefits Management System (VBMS), Corporate WINRS (CWINRS), and SHARE for current and historical information.

The VRC must conduct a comprehensive evaluation to determine if there are changes in the claimant's circumstances that will justify approval of additional vocational rehabilitation services. The VRC must document the decision on VAF 28-1902b, Counseling Record - Narrative Report.

1. Rehabilitated

The VRC must determine if the decision of rehabilitation will be set aside and additional services may be granted. The decision must be documented and justified in accordance with the provisions under 38 CFR 21.284.

The determination for a previously rehabilitated case must be concurred by the VR&E Officer if the case was closed within one year from the date of closure.

2. Discontinued with Maximum Rehabilitation Gain (MRG)

The VRC must determine if the reasons for prior discontinuance have been removed and if the claimant is entitled to Chapter 31 benefits. The decision must be documented and justified in accordance with the provisions of 38 CFR 21.198(c).

The determination for a previously discontinued case with an MRG must be concurred by the VR&E Officer if the case was closed within one year from the date of closure and the claimant meets the criteria outlined in 38 CFR 21.198(d).

3. Discontinued due to Unsatisfactory Conduct or Cooperation

The VRC must determine if the unsatisfactory conduct or cooperation under the provision of 38 CFR 21.364(b) has been resolved and will not likely recur, and the same or revised rehabilitation program is considered suitable. The decision must be documented and justified in accordance with the provision of 38 CFR 21.364(a).

4. Limited Employment Assistance under 38 U.S.C. 3117

The VRC must determine if the claimant meets the criteria for limited employment services as stated in 38 U.S.C. 3117.

The following conditions must be met to be eligible:

The Veteran must have a service-connected disability rating of 10% or more.

The Veteran must be determined employable in a suitable occupation.

The Veteran must have participated in a vocational rehabilitation program under Chapter 31 or a similar program under the Rehabilitation Act of 1973 as amended.

If the claimant does not meet the criteria for limited employment assistance, the claimant must be informed that her or she is not entitled to Chapter 31 benefits using letter VR-58 and VAF 20-0998. The VRC must provide the claimant with written notification on the day the decision is made, and a copy of this notification must be placed in the claimant's VR&E record.

Note: For more information on basic entitlement criteria to the Chapter 31 program, refer to 38 CFR 21.40.

c. Medical Treatment, Care, and Services to Claimants

(Change Date April 2, 2015)

In accordance with 38 CFR 21.240(a), a claimant shall be furnished medical treatment, care, and services which VA determines are necessary to develop, carry out, and complete the claimant’s rehabilitation plan. Referrals for medical services may be made to facilities over which VA has direct jurisdiction, except as authorized on a contract or fee basis under the provisions of 38 U.S.C. 17 by VHA or under the Foreign Medical Program as outlined in M28C.V.C.1 .

VR&E cannot pay VHA for any services provided to claimants by a VAMC or other VHA facility. For more information on medical treatment and services, refer to M28C.V.A.4.

d. Role of the Medical Consultant

1. When to Use a Medical Consultant

(Change Date August 15, 2013)

During the initial evaluation, the VRC may request a VAMC medical consultation for an opinion regarding the extent of the claimant's disability, the extent and nature of the limitations, medical impact on the occupation(s) being considered for the claimant, the possible need for adjustment or modification to a program of services, and other issues of concern.

2. How the Medical Consultant May Provide Services

(Change Date August 15, 2013)

The medical consultant may provide services in a variety of ways including reviewing the claimant's records and discussing the claimant's limitations, treatment plans, prognosis, and overall physical and mental health with the VRC.

3. Referrals for Medical Consultation

(Change Date August 15, 2013)

Referrals for medical consultations should provide adequate information to allow the consultant to address the referral issue. Refer to M28C.V.A.4 for complete procedural guidance on the referral process.

4. Documenting the Medical Consultation

(Change Date August 15, 2013)

The VRC must use one or more of the following methods to document the need and results of a medical consultation:

VAF 28-8861, Request for Medical Services-Chapter 31

Electronic medical notes, such as Compensation and Pension Records Interchange (CAPRI)

Electronic case note

5. Consideration of the Medical Consultant's Recommendations

(Change Date August 15, 2013)

The VRC must review and carefully consider the recommendations of the medical consultant, but the VRC has ultimate responsibility for making the entitlement and rehabilitation planning decisions. The VRC will consider the information obtained through medical consultation with all other information obtained throughout the evaluation to make sound decisions regarding the claimant's rehabilitation.

e. Medical Opinion on Functional Limitations and Capabilities

(Change Date August 15, 2013)

The VRC will occasionally need additional medical information to determine the extent of a claimant's functional capabilities and/or limitations. Additionally, medical support for a claimant's ability to perform certain essential duties of an occupation may be needed as part of the vocational exploration and rehabilitation planning.

1. Requesting a Medical Opinion Related to Functional Limitations

(Change date August 15, 2013)

VRCs have professional knowledge of disability conditions which equip them with the ability to ascertain functional limitation information required of the initial evaluation by reviewing the claimant's medical records and/or disability rating. However, if the VRC is unable to determine the extent of the functional limitations related to a disability condition or multiple conditions, a medical consultation may be required with the claimant's treating physician, physician assistant, or nurse practitioner. This may be a VA or non-VA healthcare provider, although the claimant's documented consent, using VAF 21-4142, is needed before consulting non-VA healthcare providers.

2. Requesting a Medical Opinion Related to Specific Capabilities

(Change date August 15, 2013)

A VRC may need an additional assessment of a claimant's specific capabilities related to the essential duties of an occupation being considered as part of rehabilitation planning. Alternatively, if the claimant's specific capabilities are unclear with regards to cognitive or physical functioning, the VRC may need general information about the claimant's capabilities to determine which types of occupations will be suitable based on the claimant's abilities.

When asking a treatment provider for this information, VAF 28-8861 or an electronic CAPRI referral is used. VAF 21-4142, signed by the claimant, is used when requesting information from a non-VA provider. In the Comments section of VAF-28-8861 or item 12 of VAF 21-4142, only information specifically needed in the evaluation is requested, but VRCs should not specify the means by which the treatment provider will assess the claimant for the needed information. In some cases, treatment providers will be able to provide the requested information based on existing medical treatment records. In other cases, the treatment provider may conduct an assessment or refer out to a specialist for specific assessments.

When requesting general information about capabilities, the VRC should be clear about the need. If a specific concern is present, the VRC should indicate what the identified concern is and ask the treatment provider for specific information and recommendations.

Examples of the type of information a VRC may request in a medical opinion include:

Functional limitations and capabilities that need to be identified as they relate to a specific employment goal.

Whether the proposed employment goal is unrealistic due to physical or cognitive limitations.

Any physical disabilities that may impact desired employment opportunities.

Any necessary workplace accommodations.

Whether the claimant meets or exceeds the physical requirements of the occupation.

Whether the claimant is fit to return to work based on his or her current physical or cognitive limitations.

Whether the claimant is currently engaged in treatment that is expected to improve his or her functional capacity.

Whether the claimant may have reduced work tolerance (RWT) and thus, have a reduced attendance requirement, which may only be authorized by a physician, physician assistant, or nurse practitioner. Refer to M28C.IV.C.2 for information on RWT.

3. Sources of Information to Define Occupational Requirements

(Change date August 15, 2013)

When requesting information about specific capabilities related to an occupation being explored during the evaluation, the VRC should indicate what the specific physical requirements are and whether the claimant can perform those physical requirements. An outline of the functional requirements of the occupation should be obtained from a documented source such as the Occupational Outlook Handbook (OOH), Dictionary of Occupational Titles (DOT), Occupational Information Network (O*NET), etc. This information should be cited on the request.

A list of the occupational requirements should be documented for the provider, allowing space on the referral form for him or her to indicate if the claimant can perform, cannot perform, or can perform with assistive devices. Alternatively, if the VRC and claimant are considering several occupations with differing requirements, the VRC may ask the treatment provider what level of functioning the claimant can perform in a certain category. For example, if asking about a claimant's ability to lift, the VRC may ask the treatment provider if the claimant is able to lift light, medium, or heavy weight defined in pounds according to strength ratings at Sedentary strength level: U.S. Bureau of Labor Statistics.

4. Specialized Assessments

(Change date August 15, 2013)

In some cases, treatment providers may refer out for specialized assessments such as neuropsychological assessments or functional capacity evaluations. In these cases, the treatment provider may refer to a provider within the VHA system or refer to a private provider under the VHA fee basis program.

A VRC may not request such a specialized assessment, as it is within the purview of the medical provider to determine when such specialized assessments are necessary to address the VRC's specific concerns or questions.

f. Assessments and Measurements

(Change Date September 23, 2022)

The assessment of a claimant’s interests, aptitudes, and abilities is critically important to the determinations of employment handicap and serious employment handicap. A quality evaluation that includes objective data from tests is necessary to develop an understanding of a person’s interests, aptitudes, and abilities. The VRC and VR&E Officer must determine the appropriate assessment(s) for each claimant. Each Regional Office will need to go through the appropriate channels to procure assessment tools utilizing local General Operating Expense (GOE) funds.

Interests, as related to occupational suitability and applied in VR&E, relate to a pattern or grouping of interests rather than an isolated statement expressing or disavowing interest in a particular occupation. Individuals demonstrate a pattern of interests over time. Many life activities reveal or evidence interest patterns. These activities may be evident in the use of leisure time, pursuit of education, employment, reading habits, and informal contacts with vocational activities. Interest inventories and other standardized assessment tools provide information regarding interest patterns and preferences useful in determining the suitability of currently or previously held occupations as well as those to be considered as suitable goals of vocational rehabilitation programs. The VRC will develop information on interest patterns and consider it with other factors such as abilities, aptitudes, personality characteristics, physical limitations, situational conditions, occupational opportunities, and other relevant information.

Note: A VRC may consider a claimant's expressed interest; however, the VRC makes the final decision on the suitable occupation based on the claimant's functional capabilities, aptitudes, and abilities.

1. Purpose of Standardized Assessments

(Change Date August 15, 2013)

Assessments and measurements are used to provide further information regarding a claimant's aptitudes, interests, abilities, temperament, personality, and current level of psychological functioning.

Results of standardized assessments provide, in combination with other information, a foundation for vocational exploration, determination of the suitability of current employment or a proposed vocational goal and the identification of rehabilitation needs.

Note: If the claimant has taken a battery of tests within the last two to three years, the VRC should obtain and use these results instead of administering a new assessment. The VRC must ensure major changes or events, such as significant medical changes, have occurred a new assessment is conducted with the claimant.

2. Use of Assessments and Measurements

(Change Date August 15, 2013)

When assessing interests, abilities, and aptitudes, it is generally accepted that past performance and demonstrated interests are predictors of future performance. However, when existing information is insufficient and/or contradictory, the VRC should use standardized assessments of aptitude or ability to ensure the evaluation is comprehensive.

3. Assessment Selection

(Change Date August 15, 2013)

When selecting assessments for claimants, the VR&E Officer must ensure the following:

Selected assessments are suitable.

Sufficient referral information is provided to the third party providers to ensure that appropriate assessments are utilized.

Assessments are appropriate for persons with disability(ies), cultural diversities.

The norm group of the selected assessments is standardized and includes members of the population to which the claimant belongs.

4. Vocational Assessments for Claimants with Special Needs

(Change Date March 31, 2014)

Standard assessments may not be adequate for claimants with special needs as a result of their disability conditions or age. A specialized assessment may be required in exploring a suitable vocational goal. The VRC must certify that specialized testing is required for the specific claimant due to his/her disabilities or other needs. This certification must be documented in VAF 28-1902n, Section 2, Observations from Aptitude Testing and Abilities.

5. Recommended Alternatives for Standard Vocational Evaluations

(Change Date March 31, 2014)

The VRC must refer the claimant to Veterans Health Administration (VHA) for specialized vocational assessment services. VHA is the primary resource for the provision of vocational evaluation services under the Chapter 31 program for claimants with special needs. The VRC will use the VAF 28-8861, Request for Medical Services – Chapter 31 to submit the referral.

National Contract Information on the use of the National Contract vs. local contracting activities can be found in M28C.V.B.3. In the event that the required vocational assessment services are not available through VHA, the VRC may refer the claimant to a contractor counselor. The VRC must ensure that the national contracting procedures are closely followed. Refer to M28C.V.B.3 for more information on contracting.

State Vocational Rehabilitation or Other Community Resources- If specialized vocational assessments are not available through VHA or a contract counselor, the VRC may explore vocational assessment services offered by State Vocational Rehabilitation offices. Refer to M28C.V.B.3 for more information on contracting. In addition, the specialized testing may be procured from other community resources. However, prior to the procurement of services, the VRC must certify that the requested vocational assessment services are not available through VHA or a contract counselor and that the specialized testing is required for the specific claimant due to his/her disability, age, or other needs. A VA contract specialist must provide assistance in the process for purchasing vocational assessment services to ensure that appropriate procurement procedures are followed. Refer to M28C.V.B.3 for contracting procedures.

6. Circumstances in which Vocational Assessment May be Waived

(Change Date July 2, 2014)

All eligible claimants are entitled to vocational services including a vocational assessment that assists in identifying employment that is consistent with their pattern of abilities, aptitudes, and interests. However, a vocational assessment may be waived in specific circumstances, such as:

Claimants who completed vocational testing within the last three years through Chapter 31 or Chapter 36 services

Claimants with the most severe disabilities who are unable to participate in vocational assessment

Claimants who have submitted a copy of a transcript which may be used in lieu of standardized tests to assess their aptitudes and abilities

If the results of previous vocational assessments are used, the VRC must ensure the vocational assessment report is obtained and included in the claimant's VR&E record. The vocational assessment report should include a summary of findings and assessments administered. The report should not include raw scores, answer sheets, copies of actual test or computerized printouts.

In addition, the VRC must use his/her professional judgment in determining whether previous assessment results are usable or if additional vocational assessments are needed.

The VRC must clearly document the rationale for waiving vocational assessment for claimants on VAF 28-1902n, Section 2, Observations from Aptitude Testing and Abilities.

7. Documenting Assessment Results

(Change Date August 15, 2013)

All assessment results must be documented using the following:

VAF 28-1902b, When a claimant is determined not entitled, the VR&E Counselor must document any interest and aptitude assessment results to support the justification for the decision when a claimant has overcome the effects of the vocational impairment.

VAF 28-1902n, Counseling Record – Narrative Report (Supplemental Sheet) Must be used to document the vocational exploration and planning after the claimant is determined entitled to Veteran Readiness and Employment (VR&E) services and all decisions made during plan development. Item #1 must include transferable skills analysis and Item #2 must include the items cited below.

The VRC must describe the following:

Assessment(s) used

Results of the assessment(s) and

Vocational significance of the results.

Note: If no assessment(s) are administered, the VRC must explain the rationale and the alternative information used to assess abilities, aptitudes, and interests. For example, school transcripts may be used in lieu of standardized tests to assess a claimant's aptitudes and abilities.

g. Contract Services

(Change Date August 15, 2013)

To expedite the initial evaluation process, the VRC may use the services of a contractor. The VRC must contact the applicant prior to any contractor involvement to inform the claimant that he or she is being referred to a contractor and the purpose for referral using VR-05, Appointment-Ch31 Assessment with Contractor or VR-06, Appointment–After Ch31 Assessment with Contractor, as appropriate. Additionally, the case manager must obtain the claimant's signature on VAF 3288, Request for and Consent to Release Information from Individual's Record.

The VRC must ensure that referrals for services are made to contractors with expertise in the needed area. Services should not be requested which are outside the scope of the contract. For more information on contracting activities, see M28C.V.B.3.

h. Impact of Medical Marijuana or Legalized Recreational Marijuana

(Change Date October 1, 2020)

A claimant's use of medical marijuana or legalized recreational marijuana must not prevent a claimant from receiving a program of vocational rehabilitation services. If the claimant meets the basic entitlement criteria outlined in 38 CFR 21.40, he or she will be provided services under the VR&E program. Although basic entitlement is not affected, the VRC must consider the impact of the use of medical or legalized recreational marijuana on the feasibility of a vocational goal.

The following are considerations when developing a rehabilitation plan impacted by medical or legalized recreational marijuana:

(1) Claimants using Medical Marijuana or Legalized Recreational Marijuana

The VRC must consider the suitability of a vocational goal when developing a plan of services for a claimant participating in state medical marijuana program or legalized recreational marijuana as use of marijuana may pose a safety risk in some occupations. It may also prevent a claimant from obtaining employment in certain vocational goals.

Veterans using medical marijuana in a state where it has been legalized may be provided vocationally oriented services, including retraining and job placement, if a suitable vocational goal is identified.

During case management, the VRC must monitor the claimant's continued use of medical marijuana, compliance with other prescribed treatments, and stability of treatment for other underlying conditions. As with all phases of the VR&E program, the VRC must ensure that suitability of the vocational goal or feasibility for achievement of a vocational goal is reevaluated when the need occurs.

(2) Prohibition of Plan Development for an Employment Goal in Marijuana Industry

The VRC must not develop a rehabilitation plan with the stated goal of preparing and obtaining employment in the marijuana industry. This includes positions in cultivating, distributing, dispensing, or selling marijuana.

(3) Marijuana as a Schedule I Drug

Marijuana is classified as a Schedule I drug under the Controlled Substance Act (CSA), Title 21 USC 801. State laws authorizing the use of Schedule I drugs, such as marijuana, even when characterized as medicine, are contrary to federal laws.

i. Duty to Assist

(Change Date August 15, 2013)

The VRC has a legal duty to assist the claimant in developing evidence to support his or her claim for vocational rehabilitation benefits and services when evidence of record is insufficient. Examples of evidence include medical treatment records, employer evaluations, and records of prior training. For more information on duty to assist, refer to 38 CFR 21.33.

j. Entitlement to Other VA Education Benefits

(Change Date June 4, 2021)

Claimants may have a number of other VA education benefits available for use, which gives them eligibility and entitlement to more than one education benefit. When a claimant applies for the Chapter 31 program, the VRC must review the claimant's eligibility for other education benefits is addressed to ensure that the claimant is provided appropriate guidance in utilizing his or her benefits in the most advantageous manner. Appendix AX, Chapter 31 and Chapter 33 Benefits Comparison may be used to assist with benefits counseling.

During the initial evaluation, the VRC must determine if the claimant is eligible for, is in receipt of another VA education benefit. A review of Long Term Solution (LTS), Share, and/or Veterans Information Systems (VIS), may assist the VRC in determining the claimant’s eligibility to another VA education benefit.

The claimant may opt to apply for Post 9/11 GI Bill education benefits while pursuing an entitlement determination for VR&E services. VA Education Service will complete a review of the claimant’s eligibility for Post 9/11 GI Bill benefits and send the claimant a Certificate of Eligibility (COE).

The COE lists the following information:

Remaining benefits (months and days) available under the Post 9/11 GI Bill,

Delimiting date, if applicable, and

Percentage of benefits the claimant is entitled to and the service information used to calculate that percentage.

This information is useful when assisting the claimant in making an informed decision about the use of his or her VA benefits.

Effective April 1, 2021, Education Service will no longer count entitlement used under Chapter 31 against a claimant's 48 months of entitlement available under two or more VA education programs in accordance with 38 U.S.C. 3695(a), commonly referred to as the 48-month rule.

During the period of December 10, 2015 through September 21, 2016, Education Service issued an advisory to the Regional Processing Offices regarding interpretation of the 48-month rule. As a result, claims processed during this time period do not to reflect or deduct Chapter 31 entitlement use from remaining entitlement (48-month rule). VA was instructed to honor the COEs, and awards processed during that period.

1. Election Required if Eligible Under More than One Chapter

(Change Date December 27, 2012)

When a claimant has entitlement to more than one education benefit, the claimant must elect which benefit to receive, in accordance with 38 U.S.C. 3322 and 38 CFR 21.21. Under no circumstance can a claimant receive payment from one of the education benefits listed in section 1.03.k of this chapter while receiving Chapter 31 subsistence allowance. A claimant also may not receive assistance under section 510 of title 10 or provisions of the Hostage Relief Act of 1980 (Pub. L. 96-449, 5 U.S.C. 5561) concurrently with VA education assistance, per 38 U.S.C. 3322.

If the claimant is determined entitled to Chapter 31 and is eligible for, is in receipt of, another VA education benefit, such as Chapter 33, the VRC must complete the following actions:

If the claimant is entitled to Chapter 31 benefits and services, but does not elect Chapter 31, the VRC must document the entitlement determination on VAF 28-1902b and provide due process given the claimant elected not to pursue their Chapter 31 claim.

If the claimant elects to continue under Chapter 31, the VRC should proceed with the evaluation and planning.

If a claimant is entitled to both a Chapter 31 subsistence allowance and Post 9/11 GI Bill Chapter 33 educational assistance, the claimant must make an initial election of benefits as outlined in M28C.IV.C.2.04.

2. Prior Training as Part of a Rehabilitation Program

(Change Date December 27, 2012)

When developing the Individualized Written Rehabilitation Plan (IWRP), the VRC must evaluate any prior training the claimant possesses to ensure that the claimant is taking full advantage of past experience in accordance with 38 CFR 21.21(b). To the extent possible, the utilization of prior training may reduce the amount of remaining training required and lead to employability in an expedient manner. Refer to M28C.IV.C.2.03.h and M28C.V.B.6.02 regarding retroactive inductions.

k. VA Education Benefits

(Change Date December 27, 2012)

38 U.S.C.,Chapter I, Part 21, Subpart A, governs the delivery of claimants' benefits. Title 38 includes the VR&E program, which is outlined in Chapter 31, as well as several claimants' education benefits, including:

1. Montgomery GI Bill (Chapter 30)

(Change Date December 27, 2012)

To qualify for the Montgomery GI Bill (MGIB), active-duty Service members enroll and pay $100 per month for 12 months to be entitled to receive a monthly education benefit once they have completed a minimum service obligation. The MGIB provides up to 36 months of education benefits. This benefit may be used for degree and certificate programs, flight training, apprenticeship/on-the-job training and correspondence courses. Remedial, deficiency and refresher courses may be approved under certain circumstances. Generally, benefits are payable for 10 years following release from active duty.

2. Claimants' Educational Assistance Program (Chapter 32)

(Change Date December 27, 2012)

Claimants’ Educational Assistance Program (VEAP) is available to those who entered service for the first time between January 1, 1977, and June 30, 1985. VEAP benefits can be used for degree, certificate, correspondence, apprenticeship/on-the-job training programs and vocational flight training programs. In certain circumstances, remedial, deficiency and refresher training may also be available. Benefit entitlement is up to 36 months. Generally, benefits are payable for 10 years following release from active duty.

3. Post-9/11 GI Bill (Chapter 33)

(Change Date December 27, 2012)

The Forever GI Bill provides financial support for education and housing to individuals with at least 90 days of service on or after September 11, 2001, or individuals discharged with a service-connected disability. Approved training under the Post-9/11 GI Bill includes graduate and undergraduate degrees, vocational/technical training, on-the-job training, flight training, correspondence training, licensing and national testing programs, and tutorial assistance. The program pays for tuition and fees in addition to a monthly housing allowance and a stipend for books and supplies. Benefit entitlement is up to 36 months. Generally, benefits are payable for 15 years following release from active duty. However, on August 17, 2017 the Harry W. Colmery Veterans Educational Assistance Act also known as the “Forever GI-BILL” was passed and made significant changes to the GI-BILL. The law removes the 15-year time limit for the use of Post-9/11 GI Bill benefit for those whose last discharge or release from active duty is on or after January 1, 2013, children of deceased service members who became entitled to Post-9/11 GI Bill benefit on or after January 1, 2013, and all spouses using Fry Scholarship.

4. Survivors’ and Dependents’ Educational Assistance (Chapter 35)

(Change Date August 1, 2018)

Survivors’ and Dependents' Educational Assistance provides education and training opportunities to eligible dependents of certain claimants. These benefits may be used for degree and certificate programs, apprenticeship and on-the-job training. Remedial, deficiency and refresher courses may be approved under certain circumstances. The program offers up to 45 months of education benefits. The period of eligibility varies as it is based on a number of factors. The Harry W. Colmery Veterans Educational Assistance Act decreased the amount of entitlement that new eligible individuals will receive under the

Survivors’ and Dependents’ Educational Assistance (DEA) program from 45 months to 36 months.

For more information on the delivery of these services, refer to M28C.VII.A.2.

5. Educational and Vocational Counseling Services (Chapter 36)

(Change Date December 27, 2012)

Free educational and vocational counseling services under Chapter 36 are provided to transitioning Service members and claimants six months prior to discharge to one year following discharge. Additionally, current beneficiaries of VA educational assistance qualify for service under Chapter 36, in accordance with 38 U.S.C. 3697A.

For more information on the delivery of these services, refer to M28C.VII.A.1 .

6. Benefits for Children of Vietnam Veterans and Certain Other Veterans (Chapter 18)

(Change Date December 27, 2012)

VA provides monetary allowances, vocational training and rehabilitation, education services and health care benefits to certain Korea and Vietnam Claimants’ birth children who are born with spina bifida.

Refer to M28C.VII.A.3 for additional information on the implementation of Chapter 18 services.

Note: Benefits under the Vietnam Era Veterans’ Educational Assistance Program, Chapter 34, are no longer payable as of December 31, 1989. Claimants who previously participated in this program had the option to transfer any remaining benefit to Chapter 30. Those instances are commonly referred to as 34/30 conversions

For more information refer to VA Education Benefits.

(a) Education Benefits Under 10 United States Code

(Change Date December 27, 2017)

10 U.S.C. provides the delivery of education benefits to claimants who are currently serving in the Reserve Components, as follows:

Selected Reserve Educational Assistance Program (Chapter 1606)

(Change Date December 27, 2012)

A Reservist must be actively drilling and have a six-year obligation in the Selected Reserve to be eligible for services under Chapter 1606.

Approved training under this benefit includes graduate and undergraduate degrees, vocational/technical training, on-the-job or apprenticeship training, correspondence training and flight training. Benefit entitlement is up to 36 months. Entitlement to this benefit is generally contingent upon continued service in the Selected Reserve.

(b) Education Benefits Under the Department of Defense Authorization Law for FY1981

(Change Date December 27, 2012)

Pub. L. 96-342, the Department of Defense Authorization Act for FY1981, provides education services to a distinct section of the claimant population. Those programs include the following:

(1.) Educational Assistance Test Program (Section 901)

(Change Date December 27, 2012)

Section 901 is available to individuals who entered active duty after September 30, 1980, and before October 1, 1981. Educational services are limited to onsite training at post-secondary institutions only. Benefit entitlement is up to 36 months. Generally, benefits are payable for 10 years following release from active duty.

(2.) Educational Assistance Pilot Program (Section 903)

(Change Date December 27, 2012)

Educational benefits are available under section 903 to Service members or Veterans who enlisted on active duty after November 30, 1980, and before October 1, 1981. Benefits can be used for degree, certificate, correspondence, apprenticeship/on-the-job training programs and vocational flight training programs. In certain circumstances, remedial, deficiency and refresher training may also be available. Benefit entitlement is up to 36 months. Generally, benefits are payable for 10 years following release from active duty.

l. Transfer of Entitlement

(Change Date June 4, 2021)

The Post 9/11 GI Bill allows members of the Armed Forces (active duty or Selected Reserve, officer or enlisted) to transfer unused education benefits to immediate family members. This is commonly referred to as Transfer of Entitlement (TOE).

TOE is a recruitment and retention tool used by the Department of Defense (DoD) that allows Service members to transfer months of entitlement under VA education programs to qualified dependents. The criteria for eligibility to this benefit are determined by DoD and generally requires a commitment to serve additional years on active duty.

Note: The Department of Defense writes and maintains the regulations for TOE.

During the initial evaluation, the VRC must determine if the claimant is eligible for, is in receipt of, or has completed a Transfer of Entitlement (TOE). A review of Long Term Solution (LTS), may assist the VRC in determining the claimant's eligibility to another VA education benefit.

If the claimant has completed a TOE, the VRC must counsel the claimant regarding the potential impact of the use of any transferred entitlement to the claimant's Chapter 31 benefits. Transferred entitlement that has not been used by a dependent is not counted against the months of entitlement available under Chapter 31. However, if the dependent has used or starts to use the transferred entitlement after the claimant is determined entitled to Chapter 31 benefits, the number of months used by the dependent must be deducted from the available Chapter 31 entitlement.

This could potentially impact the claimant's ability to complete his or her Chapter 31 program. In this instance, redevelopment of the claimant's rehabilitation plan may be required, or an extension of entitlement may be requested to ensure the claimant's successful completion of his or her program. While VAF 28-0957, Vocational Rehabilitation Guidelines and Debt Prevention states that it is the claimant's responsibility to notify the case manager when a dependent starts to use transferred entitlement, case managers must review LTS at least once per year to make sure the transferred entitlement has not been used.

Refer to M28C.IV.A.2 for information about calculating entitlement and entitlement extensions for claimants who previously used VA education benefits.

For the purpose of applying the 48-month rule, transferred entitlement is not charged to the transferor (Veteran or Service member) until the entitlement is actually used by the dependent. However, a claimant may exceed 48-months of benefits under Chapter 31 if necessary, to accomplish the purposes of a rehabilitation program if the specific criteria for the extension are met. Refer to M28C.IV.A.2 for more information on entitlement extensions.

The amount of an entitlement used under Chapter 31 does not affect the amount of entitlement transferred and available for the dependent. However, if the claimant later revokes the TOE and uses another VA education program, any entitlement used under Chapter 31 must be factored into the calculation of the claimant's remaining Chapter 31 entitlement.

When the claimant notifies the VRC or the VRC finds that the dependent has started to use the transferred entitlement, while the claimant is an active participant in VR&E, the VRC must go into LTS prior to sending a new authorization for the upcoming terms or semesters and determine the amount of entitlement used by the dependent for each semester or term in that time period. The VRC must manually charge the entitlement used by the dependent to the claimant's remaining Chapter 31 entitlement as outlined in Appendix DR.

Note: If the claimant is close to using his or her 48 months of entitlement or close to needing an entitlement extension, then the VRC must check LTS more frequently to ensure the claimant has enough remaining entitlement to complete his or her rehabilitation plan.

1.04 Determination for Employment Handicap

(Change Date August 15, 2013)

In accordance with 38 CFR 21.51, an employment handicap will be determined to exist only if the VRC determines that the claimant meets each of the following conditions

The claimant has a vocational impairment,

The claimant's SCD conditions contributes in substantial part to the overall vocational impairment, and

He or she has not overcome the effects of the impairment to his or her employability.

a. Vocational Impairment Assessment

(Change Date August 15, 2013)

The answers to the following questions can assist the VRC in determining the presence of a vocational impairment:

Is the claimant employable in suitable occupations for which persons without a disability can compete and qualify?

Does the claimant possess training and/or education that qualifies him or her for suitable employment?

Does the claimant possess job-seeking skills?

Does the SCD/NSCD result in any limitations which may exclude certain types of employment?

Is there potential negative attitudes by employers toward the claimant because of his or her disabilities or other reasons?

Did the claimant’s comprehensive evaluation identify restrictions on employment, which may result in the claimant's inability to obtain and maintain suitable employment?

If the VRC determines that the claimant does not have a vocational impairment, the claimant is not entitled to Chapter 31 benefits.

b. Sources of Information for Determining the Existence of a Vocational Impairment

(Change Date August 15, 2013)

The following sources of information are recommended and not limited to the following:

VAF 28-1902w

VHA and/or private medical records

Rating decisions

Labor market information

Academic records or transcripts

Previous VR&E case documentation

VRC's observation

History of employment and earnings, including resume, performance appraisals, position descriptions, attendance records

Consultation with other service providers and/or professionals

Claimant's self-report

c. Potential Impairments

(Change Date August 15, 2013)

The following factors must be considered in determining if a vocational impairment exists:

Effects of the service-connected and non-service connected disability(ies) on employability,

Physical limitations,

Psychosocial limitations,

Cognitive limitations,

Mobility limitations,

Sensory limitations,

Chronic pain,

Deficiencies in education and/or training, including civilian certifications or licensure,

Employer bias against persons with disabilities, including issues, such as anticipated poor work performance and the need for accommodation, Lack of reliable transportation,

Lack of stable housing,

Financial issues,

History of unstable work,

History of incarceration(s), and

Stigma associated with employees having a mental illness, such as perceived to be unable to cope with typical stress inherent in the workplace.

d. Contribution of the Service-Connected Disability to the Vocational Impairment

(Change Date August 15, 2013)

In accordance with 38 CFR 21.51, the service connected disability (SCD) must contribute in a substantial part to the vocational impairment. This means that the effects of the vocational impairment must be identifiable, measurable, and/or observable. When evaluating evidence that the vocational impairment results in substantial part from the SCD(s), the VRC must clearly show how the SCD impacts the claimant's ability to prepare for, obtain, or maintain employment consistent with his or her abilities, aptitudes and interests. The SCD need not be the sole cause of the vocational impairment but must contribute to the vocational impairment in more than a trivial or technical manner.

Note: The NSCD may compound the effects of the SCD on the impairment of employability; however, an NSCD or other unrelated issues must not be the sole basis of entitlement.

e. Overcoming the Effects of the Vocational Impairment

(Change Date August 15, 2013)

A claimant may overcome the effects of the impairment of employability through obtaining, maintaining, or qualifying for employment, including self-employment, in an occupation consistent with his or her abilities, aptitudes, and interests and compatible with his or her SCD conditions.

A claimant who qualifies for a suitable employment, but who does not obtain or maintain employment for reasons within his or her control, is considered to have overcome the effects of the impairment to his or her employability.

The following are factors for determining the claimant’s ability to overcome impairments of his or her employability:

If the claimant is employed or self-employed, is the claimant's employment compatible with his or her disability conditions, and consistent with his or her pattern of interests, aptitudes, and abilities?

If the claimant is unemployed but he or she possesses qualifications and/or skills for suitable employment, did the claimant make efforts to seek employment? Is his or her unemployment outside his or her control?

Note: A justification must be provided if the claimant is not employed yet found to have overcome the vocational impairment(s).

3. If the claimant is unemployment, does the claimant possess the necessary skills to obtain suitable employment?

Note: Generally, the VRC may accept the claimant's statements regarding an existing business, employment, or unemployment. However, if the claimant's statements about their employment, existing business, or unemployment raise questions of validity, conflict with other evidence, or indicate potential fraud or misrepresentation, the VRC must request supportive documentation to authenticate the claimant's statements.

f. Employment Handicap Criteria

(Change Date August 15, 2013)

An EH is present when all the following exist:

The claimant has a vocational impairment.

The claimant’s SCD contributes in substantial part to the impairment.

The claimant has not overcome the effects of his or her impairment of employability through employment in, or qualifying for employment in, an occupation consistent with his or her abilities, aptitudes, and interests.

If the conditions listed above do not exist, the claimant does not have an EH and is not entitled to receive a plan of VR&E services.

g. Prompt Notification of the Determination

(Change Date June 18, 2024)

Once the entitlement decision is made, VAF 28-1902b must be completed and uploaded to the claimant's electronic record prior to mailing the entitlement decision letter to the claimant.

The VRC must send VR-64, Ch31 Positive Decision Letter with VAF 20-0998, Your Rights to Seek Further Review of our Decision for a positive determination. If the claimant is not found entitled, the VRC must send VR-58, Ch31 Adverse Decision Letter with VAF 20-0998. A copy of the notification letter must be placed in the claimant’s electronic record.

The date on the decision letter notifying the claimant of the determination of entitlement must not be before the date of the completed VAF 28-1902b, Counseling Record- Narrative Report. The completed VAF 28-1902b must be signed and uploaded to the claimant’s electronic record.

In addition, the Entitlement Determination Notification Date in CWINRS must be the same date of the entitlement decision letter.

Note: The evidence or written justification documented on VAF 28-1902b provides the basis and support for a determination of the claimant’s entitlement to Chapter 31 benefits. For this reason, sending the entitlement decision letter to the claimant prior to completing and uploading VAF 28-1902b to VBMS invalidates the evidence and justification of the decision because it cannot be considered in an appeal of the entitlement decision.

h. Effective Dates of Public Law 104-275

(Change Date April 2, 2009)

In Davenport v. Brown [7 Vet. App. 476 (CVA, 1995)], the Court of Veterans Appeals (COVA) set aside regulations that required a causal nexus relationship between a Veteran’s SCD and EH or SEH. COVA ruled that the law did not require that a SCD contribute in any way to an

EH or SEH to establish entitlement to a program of chapter 31 services and assistance. VA regulations had stated that while a SCD need not be the sole or primary cause of an EH or SEH, it must materially contribute to the handicap. The contribution of the SCD had to be identifiable, measurable, or observable. Pub. L. 104-275 redefined the terms EH and SEH to include a requirement for impairment "resulting in substantial part from" SCD(s), effective with applications received on or after October 9, 1996. The application of the changes in law are applied based on the date of claim in relation to the following information.

1. Pre-Davenport period

(Change Date April 2, 2009)

For claims received in VA during the period from April 1, 1981, to March 30, 1995, the definitions of EH and SEH are the same as in the post-Davenport period described below, except that the Veteran's SCDs must have materially contributed to the EH or SEH, and the SEH determination is based on level of SCD.

2. Davenport period

(Change Date April 2, 2009)

For claims received in VA during the period from March 30, 1995, to October 8, 1996, a causal nexus relationship between a SCD and an EH or SEH is required. Therefore, the SCD need not be part of vocational impairment in determining entitlement to a program of Chapter 31 services and assistance for Veterans whose applications for Chapter 31 were received by VA during the period March 30, 1995, to October 9, 1996, nor to claims denied any time prior to October 9, 1996, which were not finalized by that date. During this time, the term EH is defined as an impairment of a Veteran's ability to prepare for, obtain, or retain employment consistent with such Veteran's abilities, aptitudes, and interests. The Veteran's SCD need not have materially contributed to the impairment which results in the handicap. The term SEH during this period means a significant impairment of a Veteran's ability to prepare for, obtain, or retain employment consistent with such Veteran's abilities, aptitudes, and interests. The Veteran's SCD need not have materially contributed to the impairment which results in the handicap.

3. Post-Davenport period

(Change Date April 2, 2009)

For all claims received in VA October 9, 1996, and after, Pub. L. 104-275 applies, with one noted exception. Reapplications filed by claimants with a current combined compensable rating less than 20 percent who filed an original application before November 1, 1990, are subject to the pre-Pub. L. 104-275 (Davenport period) definition of EH in determining entitlement to a program of Chapter 31 services and assistance. However, they are subject to the Pub. L. 104-275 definition of SEH.

The purpose of the phrase resulting in substantial part, in the definitions of EH and SEH is to restore VA's pre-Davenport interpretation of the statute as expressed prior to March 30, 1995, in 38 CFR 21.51(c)(2). The SCDs must contribute in more than a trivial or technical manner to the EH and SEH. The current definitions of EH and SEH are located in the M28C Glossary .

1.05 Determination for Serious Employment Handicap

(Change Date January 6, 2020)

For all claimants found to have an EH, the VRC must make a separate determination for a serious employment handicap (SEH). An SEH exists when all the following conditions have been met:

A significant vocational impairment is established

The SCD condition(s) contribute to the overall significant vocational impairment

The claimant has not overcome the significant vocational impairment

a. Factors for Determining Serious Employment Handicap

(Change Date January 6, 2020)

In accordance with 38 CFR 21.52, one or more major deficiencies that impact the claimant's ability to prepare for, obtain and maintain employment may contribute to the finding of an SEH. The VRC must explain how each factor identified contributes significantly to the impairment of employability. The VRC must also document how the claimant's SCD is part of the overall significant impairment to establish an SEH.

Factors to consider in determining if a claimant has an SEH include but are not limited to:

Number of disabling conditions

Severity of disabling condition(s)

Existence of a neuropsychiatric condition

Deficiencies in education and training for suitable employment

Negative attitudes toward the disabled

Long or substantial period of unemployment or unstable work history

A pattern of reliance on government support programs, such as welfare, SCD compensation, SCD pension, Workers' Compensation, Social Security Disability Insurance, etc.

Withdrawal from society

Difficulties with communicating

Criminal record

Extent and complexity of needed rehabilitation services and other evidence of significant restrictions on employability, e.g., high unemployment; age, race, sexual orientation and sex discrimination issues; etc.

Other factors that relate to preparing for, obtaining, or maintaining employment consistent with the claimant's abilities, aptitudes, and interests, in accordance with 38 U.S.C. 3102 and 3106

b. Required Serious Employment Handicap Determination

(Change Date January 5, 2021)

1. SEH Determination during Initial Evaluation

In accordance with 38 CFR 21.52(a), a separate SEH determination must be conducted for a claimant who has been determined with an EH during the initial evaluation.

A determination for an SEH is required for entitlement to Chapter 31 benefits when one of the following conditions exist:

The claimant's compensable SCD is rated at a combined 10 percent.

The claimant's eligibility termination date (ETD) is expired, if applicable.

The claimant's Chapter 31 entitlement has been exhausted.

When the claimant's entitlement is exhausted or his or her eligibility period is expired and cannot be extended as outlined in accordance with 38 CFR 21.44 and 38 CFR 21.78, the VRC must consider the provision of limited employment services if the claimant meets the criteria outlined in 38 U.S.C. 3117.

2. SEH Determination after Initial Evaluation

If a claimant was determined with an EH only during the initial evaluation, the VRC must conduct an evaluation for SEH if the claimant's circumstances have changed during the course of his or her rehabilitation program.

The determination for the SEH must be justified and clearly documented in an electronic case note.

Note: Once a claimant has been determined with an SEH, the SEH decision cannot be changed unless there is a finding of a clear and unmistakable error.

c. Additional Benefits for Claimants with a Serious Employment Handicap

(Change Date January 5, 2021)

In accordance with 38 CFR 21.57, claimants with an SEH are eligible for additional benefits, which may not be provided to claimants who do not have an SEH. Benefits include:

Extension of the 12-year period of eligibility, if applicable

Extension of the duration of a rehabilitation program beyond 48 months, if required to complete the program

Extended evaluation services

Possible IL services

d. Documentation and Notification of Serious Employment Handicap Determination

(Change Date June 18, 2024)

1. Initial Evaluation

(a) SEH Established

The VRC must document the decision and justification that the claimant meets the criteria for an SEH on the appropriate section in VAF 28-1902b. VAF 28-1902b must be completed and uploaded to the claimant's electronic record prior to an entitlement decision letter being mailed to the claimant.

The VRC must notify the claimant of the decision, in writing, by using VR-64, Ch31 Positive Decision Letter, and VAF 20-0998, Your Right To Seek Review Of Our Decision, and place a copy of the notification letter in the claimant's VR&E record.

(b) SEH not Established

The VRC must document the decision and justification that the claimant does not meet the criteria for an SEH on the appropriate section in VAF 28-1902b. The determination that the claimant does not meet the criteria for an SEH will apply to one of the following conditions:

The claimant was granted a combined 10 percent SCD rating.

The claimant's ETD has expired, if applicable, and cannot be extended.

The claimant's entitlement for Chapter 31 has been exhausted and cannot be extended.

VAF 28-1902b must be completed and uploaded to the claimant's electronic record prior to an entitlement decision letter being mailed to the claimant. The VRC must promptly notify the claimant of the decision verbally and in writing by using VR-58 and VAF 20-0998 and place a copy of the notification letter in the claimant's VR&E record.

2. After the Initial Evaluation

This SEH determination is conducted when there is a change in a claimant's condition(s) after the initial evaluation, or while the claimant is participating in a plan of services. The VRC must document the decision and justification that the claimant meets the criteria for an SEH in an electronic case note.

The VRC must then notify the claimant with the decision in writing by using VR-64 and VAF 20-0998 and place a copy of the notification letter in the claimant's VR&E record.

1.06 Feasibility of Achieving a Vocational Goal

(Change Date August 15, 2013)

In accordance with 38 CFR 21.53, for each claimant determined to have an EH, the VRC must also determine whether achievement of a vocational goal is currently reasonably feasible. However, the feasibility decision is not part of the entitlement decision; it is a determination that assists the VRC in appropriate planning of needed rehabilitation services.

a. Current Reasonable Feasibility

(Change Date August 15, 2013)

Achievement of a vocational goal is currently reasonably feasible when all the following conditions exist:

One or more vocational goals have been identified.

The claimant's physical, psychological, and cognitive functioning permits training for the goal to begin within a reasonable period.

The claimant either has the educational skills and background to pursue the vocational goal or will receive services through VA to develop these skills as part of his or her rehabilitation program.

b. Considerations for a Feasibility Determination

(Change Date August 15, 2013)

A feasibility determination documents whether the claimant has the potential to benefit from rehabilitation services and achieve a vocational goal. The determination should be made as soon as possible during the initial evaluation, but only after reviewing the circumstances under which current reasonable feasibility to achieve a vocational goal may or may not be found to exist.

If the VRC cannot resolve the issue of current reasonable feasibility during the initial evaluation, the VRC may authorize an extended evaluation for claimants with a SEH. For an EH, any reasonable doubt shall be resolved in favor of a finding of feasibility. A finding that achievement of a vocational goal is infeasible without a period of extended evaluation requires compelling evidence which establishes infeasibility beyond any reasonable doubt.

c. Actions Following a Feasibility Determination

(Change Date August 15, 2013)

The following actions should be taken based on the corresponding feasibility determination as listed below:

If the VRC determines that achievement of a vocational goal is currently reasonably feasible, the VRC will proceed with the rehabilitation process to the development of a suitable vocational goal.

If the VRC cannot determine if achievement of a vocational goal is currently reasonably feasible and the claimant has a SEH, the VRC will proceed with the rehabilitation process to develop an IEEP. For more information on IEEPs, see M28C.IV.C.3 .

If the VRC cannot determine if achievement of a vocational goal is currently reasonably feasible and the claimant does not have a SEH, the VRC will resolve reasonable doubt in favor of a finding of feasibility, in accordance with 38 CFR 21.53.

If the VRC determines that the achievement of a vocational goal is not currently reasonably feasible and the claimant does not have a SEH, the VRC must work with the claimant to determine if services can be provided which improve the claimant's potential to participate in a program of services designed to achieve a vocational goal, in accordance with 38 CFR 21.35(i).

If the claimant's case is discontinued for infeasibility and the VRC expects the claimant’s condition to improve within 12 months from the date of the determination of infeasibility, the VRC will diary the case to follow-up at six and 12-month intervals to ascertain if the claimant’s condition has improved to the point that achievement of a vocational goal is currently reasonably feasible. If the claimant's situation has worsened, however, the VRC must determine if he or she now meets the criteria for an SEH.

If the VRC determines that achievement of a vocational goal is not currently reasonably feasible and the claimant has a SEH, the VRC will conduct an IL assessment, as outlined in M28C.IV.C.6 . If the claimant is a Service member, he or she can receive IL services under Pub. L. 110-181, NDAA; however, IL services must focus on the transition from military to civilian life while the Service member is on active duty.

Note: The VRC must send VR-58 and VAF 20-0998 to the claimant stating that a determination has been made that the achievement of a vocational goal is not currently reasonably feasible.

d. Required Documentation to Veterans Service Center

(Change Date February 19, 2019)

The VRC must provide the VSC with a copy of the VAF 28-1902b and VAF 28-1902f when the claimant's SCD is less than 100 percent and the VRC determines that achievement of a vocational goal is not currently reasonably feasible. The VSC may also obtain the documentation from the claimants eFolder in VBMS. The VSC rating board will reconsider the claimant's SCD rating if the infeasibility finding is based on factors associated with the SCD.

e. Review of Feasibility Determination

(Change Date January 6, 2020)

The determination of current reasonable feasibility is subject to ongoing review throughout the claimant's rehabilitation program. Changes in circumstances may require a reconsideration of the vocational goal and, if necessary, a reevaluation or amendment of that goal. The VRC will review determinations of feasibility, as warranted by the facts of each case, and either retain or change the determination, as appropriate. Justification of feasibility determination and/or redetermination must be documented in VAF 28-1902f.

1.07 Initial Evaluation Outcomes

(Change Date February 19, 2019)

The following outlines possible initial evaluation outcomes and the corresponding required activity. All correspondence and written notification must be filed in the claimant's VR&E record. See M28C.III.A.1 for case status guidance.

a. The claimant is entitled to Chapter 31 benefits after completing the evaluation, but he or she does not pursue the claim by developing a rehabilitation plan or declines VR&E services for any reason.

Send the claimant a notification letter using VR-66, General Proposed Adverse Action Letter, before taking an adverse action or changing case status.

If the claimant does not respond to pursue the claim within the 30-day due process period, discontinue the claim. Notify the claimant of the adverse action using VR-58 and VAF 20-0998.

If the claimant responds and pursues the claim, continue the evaluation.

If eligible, a claimant may choose to train under another VA program, regardless of entitlement to Chapter 31. The VRC will provide the claimant with information to assist him or her in the decision-making process.

b. The claimant is entitled and a rehabilitation plan (IEEP, IWRP, IEAP, or IILP) is developed and signed by the VRC and the claimant, after obtaining any required levels of concurrence. The VRC will follow steps outlined in M28C.IV.C.2 for rehabilitation plan development. The CWINRS Claims Disposition tab must be updated prior to case status movement.

c. Achievement of a vocational goal is determined not currently reasonably feasible and the claimant does not need, is not eligible for, or cannot participate in a plan of IL services at this time.

Notify the claimant of the proposed adverse action (denial of any plan of services) in writing using VR-66.

After 30 days, if evidence has not been received leading to a new determination, the VRC must obtain the VR&E Officer's concurrence.

Once concurrence is obtained, notify the claimant of the decision to discontinue the claim using VR-58 and VAF 20-0998.

After discontinuance, provide the claimant with the follow up at 6 months and 12 months, as warranted, to evaluate if his or her circumstances have changed sufficiently to reevaluate current reasonable feasibility to achieve a vocational goal. Follow-up can be done via email, letter, or phone and documented in an electronic case note.

d. The claimant is determined not entitled to VR&E services, due to no EH or no SEH.

Disallow and discontinue the claim on the date of the decision.

Notify the claimant of the decision using VR-58 and VAF 20-0998.

e. The claimant has reapplied after his or her case was closed in discontinued status and the VRC determines the reasons for prior discontinuance have not been removed, and/or the case was closed with an MRG within the prior year and the VR&E Officer does not concur with the decision to reopen the claim, in accordance with 38 CFR 21.197(c).

Disallow and discontinue the claim on the date of the decision.

Notify the claimant of the decision using VR-58 and VAF 20-0998.

f. The claimant has reapplied after their case was closed in rehabilitated status and the VRC determines the reasons for prior rehabilitation have not been removed and/or the VR&E Officer does not concur with the decision to reopen the claim, in accordance with 38 CFR 21.196(c).

Disallow and discontinue the claim on the date of the decision.

Notify the claimant of the decision using VR-58 and VAF 20-0998.

g. The claimant qualifies for services under 38 U.S.C. 3117 only and an IEAP is developed and signed by the VRC and the claimant, after obtaining any required levels of concurrence. The VRC will follow steps outlined in M28C.IV.C.2 and M28C.IV.C.4 for rehabilitation plan development. The CWINRS Claims Disposition tab must be updated prior to case status movement.

h. The claimant's SCD rating is reduced to a non-compensable level, or severed, or claimant is found to otherwise be ineligible such as when the GED processing incorrectly granted eligibility.

Disallow and discontinue the claim on the date of the decision.

Notify the claimant of the decision using VR-58 and VAF 20-0998.

i. The claimant's death is confirmed and date of death appears in Share.

Discontinue the claim on the date the claimant's death is verified. Refer to M28C.V.C.3 for more information on deceased claimants.

1.08 Documenting Initial Evaluation Determinations

(Change Date April 2, 2009)

Determinations to allow or deny claims for Chapter 31 services and assistance must be documented to show clearly how the claimant's SCD impairs, or does not impair, a claimant's ability to prepare for, obtain, or retain employment consistent with abilities, aptitudes, and interests.

a. VA Form 28-1902b, Counseling Record-Narrative Report

(Change date October 21, 2022)

The VRC documents the entitlement decision using VAF 28-1902b. The narrative synthesis:

Provides the basis for counseling and assistance throughout the rehabilitation process, including information necessary to develop a comprehensive evaluation of the claimant's abilities, aptitudes, and interests.

Allows the VRC to revisit and review the information in order to clarify his or her understanding and implications for providing additional services.

Must contain reasoning which is clear to professionals and nonprofessionals.

Must logically support legal determinations, including overturning prior rehabilitation, discontinuance, or MRG closure; EH; SEH; entitlement determination; and determination for limited employment services.

The VRC must adhere to the instructions for completing the VAF 28-1902b, which are located under the heading, "Instructions for Completing VAF 28-1902b." The decisions the

VRC makes and documents on this form will impact the claimant's entitlement to VR&E services as follows:

Re-entrance following a prior rehabilitation, discontinuance, or previous determination of MRG closure: If the claimant's case has previously been rehabilitated, discontinued or determined to be an MRG and the claimant meets the criteria for re-entrance, continue with the evaluation. If the claimant's case has previously been rehabilitated or discontinued and the claimant does not meet the criteria for re-entrance, the VRC must consider whether the claimant meets the criteria for limited employment services under 38 U.S.C. 3117. However, limited employment services are not available if the reasons for a previous discontinuance cannot be removed for a claimant. Refer to M28C.IV.A.2.04 for criteria for limited employment services.

Automatic Entitlement under Pub. L. 110-81: If the claimant meets the provisions of the law, he or she is automatically entitled to services. If the claimant does not meet the provisions of the law, continue with the evaluation.

Vocational Impairment: If the claimant has a vocational impairment, then continue evaluating the claimant for entitlement. If the claimant does not have a vocational impairment, then the claimant is not entitled to services.

SCD Contribution to the Vocational Impairment: If the claimant's SCD contributes in substantial part to the vocational impairment, then continue evaluating the claimant for entitlement. If the claimant's SCD does not contribute in substantial part to the vocational impairment, then the claimant is not entitled to services.

Overcome the Effects of the Vocational Impairment: If the claimant has not overcome the effects of the vocational impairment, then continue evaluating him or her for entitlement. If the claimant has overcome the effects of the vocational impairment, then he or she is not entitled to services.

Employment Handicap: If the claimant does not have an EH, then he or she is not entitled to services. If the claimant has an EH, a SCD or memo rating of 20 percent or more, and is within his or her ETD, then he or she is entitled to services; however, continue the evaluation as the determination of SEH is required. If the claimant does not have a SCD rating or memo rating of 20 percent or more and/or his or her ETD has passed, the claimant must be found to have an SEH for entitlement; continue evaluating the claimant for entitlement.

Serious Employment Handicap: If the claimant does not have a SCD rating or memo rating of 20 percent or more, and/or his or her ETD has passed and the claimant does not have a SEH, then the claimant is not entitled to services. If the claimant has a SEH, then he or she is entitled to services; continue evaluating him or her for services. Evidence of multiple or significant factors that could contribute to an SEH without a decision of SEH, requires a clear and comprehensive explanation outlining why the VRC determined the criteria for SEH were not met.

Limited Employment Services: If the claimant is not entitled to VR&E services under other provisions, the VRC will determine if the claimant meets the criteria under 38 U.S.C. 3117 for limited employment services.

Note: At the time of rehabilitation and MRG case closure, the case manager will review the initial evaluation (VAF 28-1902b) and will need to explain how the services provided assisted the claimant to overcome the vocational impairment. Therefore, it is crucial that the documentation is clear and concise.

b. VA Form 28-1902f, Feasibility Determination-Narrative Report

(Change Date January 10, 2020)

Every case in which a VRC has determined that an EH exists, the VRC must also determine whether achievement of a vocational goal is currently reasonably feasible. The VRC must document and justify whether achievement of a vocational goal is or is not currently reasonably feasible on VAF 28-1902f. The VRC must document the feasibility determination as outlined in the VAF 28-1902f section titled, “Instructions for Completing VAF 28-1902f.” The VRC’s justification of this decision may include, but is not limited to:

Is the claimant physically and mentally stable?

Has a suitable vocational goal(s) been identified?

Does the claimant possess, or will the claimant receive, education or skills to qualify for suitable employment?

Will use of reduced work tolerance (RWT) enable completion of a program when it may otherwise not be feasible?

The VAF 28-1902f must be completed each time the VRC reevaluates the feasibility determination, such as following a period of extended evaluation or when a change in the claimant's circumstances prompts reconsideration.

c. VA Form 28-8606, Notes from Counseling and Next Steps

(Change Date August 15, 2013)

The VRC must indicate the next steps in the plan development process on the VAF 28-8606, Notes from Counseling and Next Steps, prior to the conclusion of the initial evaluation. Review the entitlement, feasibility determination, and next steps with the claimant. The VRC will sign and date Part II of the VAF 28-8606, provide a copy to the claimant, and place the form in the claimant's VR&E record.

d. Potential Sources of Assistance Following Denial

(Change Date December 9, 2013)

When entitlement to VR&E services is denied, the VRC and claimant must explore alternative resources, such as job placement assistance through the Disabled Veteran's Outreach Program (DVOP) or Local Veterans' Employment Representative (LVER) staff, educational assistance through other VA programs, educational assistance through grant and scholarship programs, and rehabilitation or related assistance through State agencies. The results of the exploration and referral must be documented on the VAF 28-1902b.

e. Entitlement Determination Documentation in Corporate WINRS

(Change Date February 9, 2019)

Once an entitlement determination has been made in accordance with 38 CFR 21.40, the VRC will complete the CWINRS Claims Disposition tab, select the drop-down option for the Rehab Claim Disposition and enter the Entitlement Determination Notification Date. The Entitlement Determination Notification Date must match the date the claimant was notified in writing of the entitlement decision. The Entitlement Determination Notification Date must also match the date the entitlement determination is documented on the VA Form 28-1902b.

f. Pre-Chapter 31 Salary Documentation

(Change Date October 8, 2020)

The VRC must ensure that the pre-Chapter 31 salary reported on the claimant's VAF 28-1902w, Information for Veteran Readiness and Employment Entitlement Determination, is entered in the pre-Chapter 31 salary field in the claimant's electronic record. However, if the claimant later reports a different salary from the VAF 28-1902w, the correct amount must be documented on an electronic case note and appropriately updated in the electronic record. For Service members, $0 must be entered in the pre-Chapter 31 field.

A pre-Chapter 31 salary is based on the claimant's reported monthly income at the time of the initial evaluation.

The maximum monthly salary value allowed in the CWINRS pre-Chapter 31 salary is $9999. For more information on documenting information in CWINRS, see M28C.II.A.2, M28C.IV.C.2, and the CWINRS User Guide.

1.09 Track Selection and Plan Development

(Change Date December 9, 2013)

Refer to M28C.IV.C.2 for detailed information about track selection and plan development.

a. Planning Services

(Change Date December 9, 2013)

When a claimant has been found entitled to VR&E services, an appointment to begin the track selection/plan development process must be offered within 10 business days from the date of the entitlement determination.

Note: This is a requirement to schedule an appointment to begin the process, not a requirement to complete the next appointment within 10 business days.

b. Plan Development

(Change Date April 23, 2021)

For a claimant considered to be Seriously Injured (SI) or Very Seriously Injured (VSI), track selection and plan development must be completed within 45 days from the date of entitlement determination. An IWRP with a Deferred Vocational Goal may be used to provide training for remedial or general education courses only, while exploring a suitable vocational goal for the claimant, if feasible. See M28C.IV.C.2 for detailed information on rehabilitation plan development.

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M28C.IV.B.2 — Vocational Exploration

Chapter 2

VOCATIONAL EXPLORATION

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2.01 Definition of Vocational Exploration

Vocational exploration is used to assist the claimant in selecting a suitable vocational objective that is consistent with his/her abilities, aptitudes and interests, and does not aggravate his/her disability(ies). If the claimant has transferable skills and/or training or experience in a suitable occupation, the same or a similar occupation must be considered prior to exploration of occupations requiring additional training.

2.02 Vocational Exploration Requirement

During vocational exploration, tools, resources, and a systematic method to explore different occupations are used to ensure the claimant makes an informed decision when choosing a suitable career. While the final vocational goal is not always identified prior to the development of a plan of services, initial vocational exploration counseling must be provided to every claimant in the Chapter 31 program and is required in the following instances:

Before a claimant enters into an Individual Written Rehabilitation Plan (IWRP), Individualized Extended Evaluation Plan (IEEP), or Individual Employment Assistance Plan (IEAP)

During the redevelopment of an IWRP, IEEP, or IEAP

Refer to M28C.IV.C.2 for more information on Rehabilitation Plan Development and Redevelopment.

2.03 Vocational Exploration Activities and Considerations

a. Sources of Vocational Information

(Change Date August 15, 2013)

In addition to the results of the vocational assessment, many life activities may reveal evidence of a claimant's pattern of abilities, aptitudes and interests. The case manager should use this information to assist the claimant in developing vocational exploration strategy. The activities may include:

Use of leisure time

Pursuit of education

Volunteer activities

Previous employment

Life experiences

b. Vocational Exploration Support Resources

(Change Date July 2, 2014)

Vocational exploration activities can be completed independently by the claimant at home or a VR&E Office using the Job Resources Lab (JRL) if available, or with the VRC. The following individuals or activities may assist in vocational exploration activities:

VRC

Employment Coordinator (EC)

Disabled Veterans' Outreach Program (DVOP) specialist

Local Veterans' Employment Representative (LVER)

Contract counselors using contracting procedures outlined in M28C.V.B.3

College or university career exploration, planning and placement representatives

Attendance at traditional and/or virtual job fairs

Websites to monitor electronic job board postings

c. Employment Coordinator Assistance

(Change Date August 15, 2013)

During vocational exploration, the EC serves as the subject-matter expert in employment information and can provide the following services:

Labor market information for a specific geographic area

Wage information for a specific geographic area

Traditional and virtual job fair information

Assistance in the JRL researching various occupations

d. Job Resource Lab

(Change Date August 15, 2013)

Job search activities can be completed independently by the claimant at home or at a VR&E Office using the JRL if available. The following services may be available to the claimant in the JRL:

Access to online resources

Access to job vacancy announcements and employer contact information

Printed material to assist the claimant in exploring career opportunities

The following individuals or activities may also assist in job search activities:

VRC

EC

DVOP specialist

LVER

Contract counselors using contracting procedures outlined in M28C.V.B.3

Placement and Career Services

Attendance at traditional and/or virtual job fairs

Websites to monitor electronic job board postings

e. Occupational Outlook Handbook

(Change Date August 15, 2013)

This handbook is a nationally recognized source of career information that provides valuable assistance to job seekers in making decisions about their career. It is revised every two years. It also provides the following career information:

Training and other qualifications and advancement

Average earnings

Employment outlook

Job outlook

Typical duties performed

Projected employment data

Working conditions

Related occupations

Nature of the work

For more information on the OOH

f. Occupational Information Network

(Change Date August 15, 2013)

O*NET is a comprehensive database of worker attributes and job characteristics. Using a code system, the database contains information about Knowledge, Skills and Abilities (KSA), interests, general work activities and work context. The following is a summary of information available in O*NET:

Tasks

Tools & Technology

Knowledge

Skills

Abilities

Work Activities

Work Context

Job Zone

Education

Interests

Work Styles

Work Values

Related Occupations

Wages & Employment

For more information on O*Net

g. Social Networking

(Change Date August 15, 2013)

There are two types of social networking methods available to explore vocations. A claimant exploring vocations should consider using both methods.

In-Person - A claimant discusses with family members, friends, and former colleagues different career options for assistance in identifying what might be a good career fit.

Online - A claimant may use websites such as Facebook, Twitter and LinkedIn to research companies to find out the qualifications that employers are looking for in a candidate.

h. USAJOBS

(Change Date August 15, 2013)

The website (USAJOBS) is the Federal government's one-stop clearinghouse for civil service job opportunities with Federal agencies. The Office of Personnel Management (OPM) operates this site. Although the website is primarily used for job seeking, it is also a good source for vocational exploration because it indicates labor market trends, positions available, position requirements, required education, travel requirements, salary and the locations of Federal government positions.

i. Conducting Informational Interviews

(Change Date August 15, 2013)

The purpose of an informational interview is to obtain first-hand knowledge about an occupation from someone who works in that occupation. The case manager is responsible for providing instructions to the claimant on how to conduct one’s self in an informational interview. Anticipated questions for the interview may include, but are not limited to, the following:

How does a person become qualified for work in this field?

What does a typical workday entail?

What is the potential for growth in this field?

How can the likelihood of obtaining employment in this field be improved?

What is the salary range?

What are the cognitive and physical demands of the job?

Is it temporary or permanent employment?

What are the job duties?

How would I get my foot in the door?

j. Labor Market Information

(Change Date August 15, 2013)

The U.S. Department of Labor, Bureau of Labor Statistics (BLS), provides labor market information online. The following factors are specific to a geographical area:

Highest and lowest paying jobs

Fastest and slowest growing jobs

Jobs with the highest and lowest employment rates

Local labor market information can be obtained through coordination with the EC, DVOP specialist, LVER or by accessing the Bureau's website .

k. Job Analysis

(Change Date October 16, 2024)

A job analysis is a means of identifying the activities, functions, and requirements of an occupation.

This analysis assists in determining whether a claimant's service-connected disability conditions are not exacerbated with a particular occupation's requirements and activities. It also identifies the claimant's rehabilitation needs and appropriate services.

2.04 Documenting Vocational Exploration and Rehabilitation Plan Development

(Change Date May 4, 2022)

The VRC must use VAF 28-1902n, Counseling Record-Narrative Report (Supplemental Sheet) to document the vocational exploration and planning after the claimant is determined entitled to VR&E services and all the decisions made during plan development. The vocational planning activities include selecting a suitable vocational goal that is consistent with the claimant's abilities, aptitudes, and interests and is compatible with the claimant's disability conditions.

The following information provides guidance for completion of the form.

a. Vocational Exploration

(Change Date May 4, 2022)

The VRC must summarize the activities, assignments, and results of the vocational exploration and planning activities on VAF 28-1902n. The summary may include, but is not limited to:

Completion of the next steps indicated on VAF 28-8606 and/or other activities assigned by the VRC,

Employment goals considered;

Results of any evaluations (medical, vocational, etc.);

Labor market research conducted and findings (OOH and/or O*Net)

Determination of a suitable employment goal

Informational interviews

b. Observations from Aptitude and Interest Testing and Abilities

(Change Date May 4, 2022)

In accordance with 38 CFR 21.50, the VRC must document if the claimant completed vocational testing, including:

The assessment(s) used,

Completion of a transferable skills analysis,

Results of the assessment(s), and

The vocational significance of the results.

If a vocational assessment is not administered, identify the alternative method used to assess the claimant's abilities, aptitudes, and interests. Also, describe any factors in test-taking situations, which may have affected test performance, and should be considered in interpreting the results. These include fatigue, illness, sensory or motor impediments, medication side effects, and behaviors during testing, such as indecision, impatience, or other barriers to interpretation, such as significant inconsistencies in test scores.

c. Assessment of Basic Independent Living Needs

(Change Date May 4, 2022)

The VRC must document and use the questions to determine if Independent Living (IL) needs exist. When it has been determined that achievement of a vocational goal is feasible, basic independent living needs that are identified must be included as part of the claimant's rehabilitation plan.

d. Type of Rehabilitation Plan Developed

(Change Date May 4, 2022)

In accordance with 38 CFR 21.80, the VRC will select the type of plan and explain the reason for selecting the plan.

Individualized Extended Employment Plan (IEEP)

Individualized Employment Assistance Plan (IEAP) (Limited Employment Services under 38 U.S.C. 3117

Independent Living Plan (IILP)

Combined Individualized Written Rehabilitation Plan (IWRP)/(IEAP)

IWRP with a Deferred Vocational Goal

IWRP

e. Suitability of Selected Vocational Goal

(Change Date May 4, 2022)

The VRC must identify and document the selected vocational goal and explain how the chosen occupation is suitable. This may include, but is not limited to, information pertaining to:

Aptitudes, interests, and abilities,

Employment outlook,

Transferable skills, and

The claimant's disability conditions, including the progression of the disability conditions (if applicable), that may affect successful completion of the selected vocational goal.

Note: Ensure sufficient amount of entitlement is available to complete the selected vocational goal.

f. Description of the Program Goal, Intermediate Objectives and Services Needed to Achieve Planned Goal

(Change Date May 4, 2022)

The VRC must document and describe the services that will assist the claimant in achieving the selected program goal and intermediate objectives that contribute directly to the achievement of the program goal. The VRC must include any accommodations and assistive devices or supportive services necessary for the claimant's successful completion of his or her program. Assistance from other sources outside Veteran Readiness and Employment (VR&E) Services may include, but are not limited to:

Veterans Administration Medical Centers (VAMCs)

Vet Centers

State vocational rehabilitation offices

Independent living centers

Other community supports

The VRC must identify and document all services that will address the claimant's rehabilitation needs. The services may include but are not limited to:

Required supplies and/or equipment,

Training, certification, or licensure,

Job accommodation or modification,

Employment preparedness,

Collaboration with other agencies or state programs,

Independent living services, and

Medical and/or mental health services.

Note: 38 U.S.C. 3107 requires that a rehabilitation plan must include a vocational objective for counseling.

g. Election of Subsistence Allowance Rates

(Change Date July 14, 2022)

In accordance with 38 CFR 21. 264 and Pub. L. 111-377, if the claimant is eligible for other alternative payment rates such as the Post 9/11 GI Bill Chapter 33 educational assistance monthly housing allowance or Education Allowance payable under Chapter 30, the VRC must document the rate the claimant has elected. The initial election, must be documented on VAF 28-10214, Rehabilitation Plan.

Note: For the initial election, VAF 28-10214 must be signed by the claimant and the VRC prior to the authorization of payments of subsistence allowance.

Refer to M28C.V.B.7 for more information on subsistence allowance.

h. Retroactive Induction

(Change Date May 4, 2022)

The VRC must identify and document if the claimant meets the criteria for and is interested in retroactive induction. If the claimant has previously used another VA education benefit or self-paid for previous education, the VRC must briefly explain how the claimant meets the criteria for a retroactive induction or does not meet the criteria outlined in 38 CFR 21.282.

NOTE: The VR&E Officer must provide concurrence prior to authorization of a retroactive induction on Appendix CX, VR&E Officer Concurrence – Chapter 31 Retroactive Induction. The claimant must participate in the proposed plan of services to receive a retroactive induction.

Refer to M28C.V.B.6 for more information on the eligibility criteria and procedures for processing retroactive inductions.

i. Level of Case Management

(Change Date May 4, 2022)

The VRC must document the appropriate level of required case management appointments and justify the selected level. The selection must be based on the type of program to be pursued and the claimant's circumstances.

j. Level of Approval

(Change Date May 4, 2022)

The VRC must identify and document the required approval, as applicable.

The VRC must estimate the cost of the program charges (excluding subsistence allowance and Revolving Fund Loan (RFL) during a calendar year based on the services necessary to administer the claimant's rehabilitation plan (38 CFR 21.430). Then select the appropriate level of authority required to approve the program costs, as follows:

Vocational Rehabilitation Counselor

VR&E Officer or designee

Regional office (RO) Director of the Regional Office

Executive Director of VR&E Service

If the level of authority exceeds the VRC's level, the VRC must describe the program charges and costs, and prepare a memo for approval by the appropriate level of authority.

NOTE: Required documentation for the selected approval request must be prepared and concurred on prior to the implementation of the rehabilitation plan.

Refer to M28C.IV.C.2 for more information on cost approval levels.

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M28C.IV.B.3 — Feasibility of Achieving a Vocational Goal

> This section is consolidated on KnowVA. Detailed reference guidelines are provided here for cross-reference.

3.01 Determining Feasibility Overview

Under 38 U.S.C. 3106 and 38 C.F.R. 21.50, the VRC must make a determination of whether it is reasonably feasible for a veteran to achieve a vocational goal. Feasibility is defined as a reasonable likelihood that the veteran can prepare for, obtain, and maintain suitable employment.

3.02 Resolution of Reasonable Doubt

Under 38 C.F.R. 21.57, in any determination of feasibility, all reasonable doubt must be resolved in favor of the veteran. The VRC cannot deny feasibility based on standard checklist scores or assumptions about the severity of a disability without a comprehensive evaluation.

3.03 Extended Evaluation

If feasibility cannot be determined during the initial evaluation, the counselor must authorize an Extended Evaluation under 38 C.F.R. 21.74. This allows the veteran to receive services and training (for up to 12 months, and in some cases longer) to determine if they can achieve a vocational goal.

3.04 Education Levels and Advanced Degree Approvals

> **UNDERGRADUATE VS. GRADUATE TRAINING**
>
> The counselor may approve graduate or advanced degree programs (e.g., Master's, J.D., M.D., Ph.D.) under 38 C.F.R. 21.72 if required for entry-level licensing or employment in the selected vocational goal.

> **DENIAL OF EDUCATIONAL GOALS**
>
> Denials of a higher education goal must be accompanied by a detailed written assessment showing that a lower-level degree is sufficient to achieve suitable employment in that field.

M28C.IV.C.1 — Courses of Education or Training and Facilities

Chapter 1

COURSES OF EDUCATION OR TRAINING AND FACILITIES

1.01 Overview

1.02 Approvals for a Course of Education or Training

a. Chapter 31-only Course of Education or Training and On-the-Job Training

b. Chapter 18 and Chapter 35 Courses of Education or Training

c. VA Educational Programs (Chapters 30, 32, 33, and 35)

d. Apprenticeship

e. Non-Paid Work Experience and Specialized Rehabilitation Programs

f. Institutions of Higher Learning and Non-College Degree Programs in Foreign Countries

1.03 Requirements for a Course of Education or Training Approval

a. Compliance with the Veterans Benefits and Transition Act, Public Law 115-407

b. Equal Opportunity Assurance

c. Published School Catalogs or Bulletins

d. Valid Facility Code

e. Designation of a Certifying Official

f. Compliance with e-Authorizations and e-Invoicing

g. Vendorizing a Facility

1.04 Procedures for Establishing Chapter 31-only Courses of Education or Training and On-the-Job Training

a. Required Justification for Approval

b. Required Site Visit

c. Review of School Catalogs or Bulletins

d. Requirements for the Principles of Excellence Program for Chapter 31-only Courses of Education or Training

e Waiver Request for the Chapter 31-only Course of Education or OJT

f. VR&E Officer Review

g. Regional Office Director Review

h. Executive Director of VR&E Service Approval

i. Decision Notification to the Facility

j. Request for Assignment of a Facility Code

k. Annual Compliance for Approved Chapter 31-only Courses of Education or Training and On-the-Job Training

l. Withdrawal of Approval in WEAMS after a Claimant's Completion of Training Program

m. Suspension and Withdrawal of Approval for a Chapter 31-only Course of Education or OJT

1.05 Establishing Non-Paid Work Experience and Specialized Rehabilitation Programs

a. Selecting the Training Facility

b. Approval by the VR&E Officer

c. Requesting Assignment of a Facility Code

d. Annual Compliance for Approved Chapter 31-only Courses of Education or Training and On-the-Job Training

e. Withdrawal of Approval in WEAMS after One Year of Inactivity

1.06 Suspension and Withdrawal of Facilities by Education Service

1.07 Withdrawal of Accreditation by the Secretary of Education

1.08 Recordkeeping of Approvals for Courses of Education or Training

1.01 Overview

(Change Date December 31, 2020)

This chapter provides the procedures for selecting approved courses of education or training and facilities when developing a plan of services for Chapter 31 claimants. The procedures also include the requirements and processes for approving courses of education and training provided under the Chapter 31 program and selecting the training facility that offers the approved course of education of training.

As specified in 38 United States Code (U.S.C.) 3104(b), a training program or course must be approved for Chapter 30 or Chapter 33 to the maximum extent practicable. However, if a course of education or On-the-Job Training that is already approved for Chapter 30 or Chapter 33 cannot be identified to meet a Chapter 31 claimant's need, in accordance with 38 U.S.C. 3104(b), the Secretary of the Department of Veterans Affairs may waive the requirement to use a course of education or OJT already approved for Chapter 30 or Chapter 33. This authority is delegated to the Executive Director of Veteran Readiness and Employment (VR&E) Service.

1.02 Approvals for a Course of Education or Training under Chapter 31

(Change Date December 14, 2022)

An approval for a course of education or training that has not been approved by VA for Chapters 30 or 33 must be requested for each claimant who will be attending the course of training or education.

Refer to 38 CFR 21.292 for regulatory guidance on course approvals.

The following sections outline the individual responsible for approving courses of education or training for the different education programs administered by VA.

a. Chapter 31-only Course of Education or Training and On-the-Job Training

(Change Date December 14, 2022)

As specified in 38 U.S.C. 3104(b), all courses of education or training must be approved for Chapter 30 or Chapter 33 when authorizing training for Chapter 31 claimants.

In any instance that VA does not approve a course of education or training, a waiver must be requested for each claimant to use a Chapter 31-only course of education or training under the provision of 38 U.S.C. 3672(a). A waiver is also required when establishing an on-the-job training that has not been previously approved for Chapter 30 or Chapter 33.

The Executive Director of VR&E Service grants approval for a Chapter 31-only course of education or training and OJT.

Refer to section 1.04 of this chapter for procedures and requirements for this approval.

b. Chapter 18 and Chapter 35 Courses of Education or Training

(Change Date March 15, 2019)

The Executive Director of VR&E Service grants approval for courses of education and training that are pursued by claimants' dependents in the following programs, which have not been approved by VA.

The Executive Director of VR&E Service also grants approval of programs of training or courses for Special Restorative Training (SRT) and Specialized Vocational Training (SVT).

1. Chapter 18, Children with Disabilities Born in Vietnam and Certain Korean Service Veterans, is administered for biological children of Vietnam Veterans diagnosed with spina bifida. The services provided include vocational training to enable the participant to become employable. Refer to M28C.VII.A.3 for more information on Chapter 18.

2. Chapter 35, Survivors' and Dependents' Educational Assistance or Dependents' Educational Assistance, is administered for a claimant's survivors and dependents, such as spouses, surviving spouses, or children of a Veteran or Service member. The services

provided include educational assistance or training programs administered, which have not been approved under any VA educational program listed below.

Special Restorative Training (SRT)

Specialized Vocational Training (SVT)

Refer to M28C.VII.A.2 for more information on Chapter 35.

Refer to section 1.04 of this chapter for procedures to request approval for one of the training programs above.

c. VA Educational Programs (Chapters 30, 32, 33, and 35)

(Change Date September 7, 2018)

A State Approving Agency (SAA) grants approval for all courses of education or training on behalf of VA. These include all courses of education or training pursued by claimants participating under Chapters 30, 32, 33, and 35 of title 38, U.S.C. and Chapter 1606 of title 10, U.S.C.

Note: Claimants who will be participating in a Chapter 31 program must use courses of education or training that are approved under Chapter 30 and Chapter 33 to the maximum extent possible.

d. Apprenticeship

(Change Date December 31, 2020)

In accordance with 38 U.S.C. 3687(a)(1) and 38 CFR 21.4261, an apprenticeship course must be approved by a State Approving Agency (SAA). Therefore, claimants must only attend apprenticeship programs that are approved by the respective SAA, without exception.

A waiver for the establishment of an apprenticeship is not approvable under the Chapter 31 program.

Refer to www.nasaa-vetseducation.com for a list of SAA-approved programs and M28C.V.A.1 for more information on apprenticeships.

e. Non-Paid Work Experience and Specialized Rehabilitation Programs

(Change Date December 31, 2020)

The VR&E Officer grants approval for Non-Paid Work Experience (NPWE) and specialized rehabilitation programs for Chapter 31 claimants.

Refer to section 1.05 of this chapter for procedures to request approval for NPWE and specialized rehabilitation programs.

f. Institutions of Higher Learning and Non-College Degree Programs in Foreign Countries

(Change Date September 7, 2018)

The Executive Director of Education Service grants approval for Institutions of Higher Learning (IHL) and Non-College Degree (NCD) programs, including associate degrees offered by foreign schools or extensions of U.S. colleges and universities.

Courses of education or training offered by foreign schools or extensions of U.S. colleges and universities that are not approved by the Director of Education must not be used by claimants participating in the Chapter 31 program.

1.03 Requirements for a Course of Education or Training Approval

The following elements are required for approval of a course of education or training:

a. Compliance with the Veterans Benefits and Transition Act, Public Law 115-407

(Change Date August 15, 2019)

Pub. L.115-407, signed into law on December 31, 2018, amended 38 U.S.C. 3679(e) to include the following enrollment policies:

Once a facility receives a valid authorization for Chapter 31 purposes, the facility must allow a claimant to attend or participate in the approved course(s) of education or training while VA payment is pending for a period of 90 calendar days from the date the facility correctly bills the VA for tuition and fees (T&F).

A facility must not impose any penalty, including the assessment of late fees; the denial of access to classes, libraries or other institutional facilities; or a requirement for any claimant to borrow additional funds due to delayed T&F payments from the VA.

Note: A facility may only prevent a claimant from participating in his or her approved courses, or from registering for subsequent terms, if T&F payment has still not been received after 90 calendar days and the facility correctly billed VR&E for T&F. However, facilities are still prohibited from applying penalties, including charging late fees, requiring a claimant to borrow additional funds, or preventing a claimant from utilizing an institution's facilities, even after the 90-day period has expired.

b. Equal Opportunity Assurance

(Change Date November 7, 2013)

A training facility used by Chapter 31 claimants must comply with equal opportunity requirements. VAF-10-0144a, Statement of Assurance of Compliance with Equal Opportunity Laws, must be completed, signed, and returned to VA. By signing this form, the training facility agrees to comply with Title VI of the Civil Rights Act of 1964; Title IX of the Education Amendments of 1972, as amended; Section 504 of the Rehabilitation Act of 1973; the Age Discrimination Act of 1975; and all Federal regulations adopted to implement these laws.

This assurance is binding for the period that the facility is approved to provide services to the claimant.

c. Published School Catalogs or Bulletins

(Change Date July 27, 2020)

All VA approved facilities must have published catalogs or bulletins that include the following:

Identifying data such as volume number and date of publication

Name of the school and its governing body, officials, and faculty

A school calendar showing legal holidays, beginning, and ending dates of each term, quarter, or semester, and other important dates

School policies and regulations on enrollment with dates and entrance requirements for each program

School policies and regulations concerning absences, class cuts, leaves, make-up work, tardiness, and interruptions for unsatisfactory attendance

School policies and regulations concerning standards of progress required of all students. The policies must define the grading system, minimum grades considered satisfactory, conditions for interruption for unsatisfactory grades or progress, a description of the probationary period, if any, and conditions for reentrance of students dismissed for unsatisfactory progress. It should also include a statement about progress records kept by the school and furnished to the student.

School policies and regulations on student conduct and conditions for dismissal for unsatisfactory conduct

Per 48 CFR 871.201-2 and 48 VAAR 871.201-2, a detailed schedule of fees, charges for tuition, books, supplies, tools, student activities, laboratory fees, service charges, rentals, deposits, and all other charges.

Policies and regulations of the school concerning the refund of any unused portion of tuition, fees, and other charges in the event the student does not enter the program, withdraws, or discontinues

Descriptions of available space, facilities, and equipment

A program outline for each program showing the subjects or units in the program, the type of work or skill to be learned, and the approximate calendar time and clock hours to be spent on each subject or unit

School policies and regulations on granting credit for previous educational training

Enrollment policies consistent with section 103 of Pub. L. 115-407, which are detailed in section 1.03 of this chapter and codified in 38 U.S.C. 3679(e), must be reflected. If the published version of the catalog or bulletin does not reflect such enrollment policies, a signed statement from the facility expressing agreement to comply with the requirements of Pub. L. 115-407 is sufficient until the catalog or bulletin can be updated accordingly.

All public facilities for IHL must have policies consistent with 38 U.S.C. 3679(c), as amended by section 301 Pub.L. 115-251, which extended the resident rate of tuition/fees to claimants using Chapter 31 benefits who reside in the State or U.S. Territory regardless if the claimant meets applicable residency requirements. If the published version of the catalog or bulletin does not reflect such policies, a signed statement from the facility expressing agreement to comply with the requirements of 38 U.S.C. 3679(c) is sufficient until the catalog or bulletin can be updated accordingly.

d. Valid Facility Code

(Change Date September 7, 2018)

The VRC must ensure that a training facility has been assigned a valid facility code in WEAMS prior to developing a plan of services with a claimant.

The following procedures provide instructions on accessing the Web Enabled Approval Management System (WEAMS) and validating a facility code in WEAMS:

1. Accessing WEAMS

(Change Date September 7, 2018)

WEAMS is a VA website that provides training facility information necessary in determining a training facility for claimants. WEAMS must be used to validate that a facility code has been assigned and any course of education or training has been approved.

Note: Subsistence allowance awards cannot be processed in the Subsistence Allowance Module (SAM) in CWINRS without an assigned facility code that has an “approved” status in WEAMS.

Refer to Appendix DM, Web-Enabled Approval Management System (WEAMS) Access Instructions for VR&E Staff, for information on accessing WEAMS and how to search for a facility code.

2. Validating a Facility Code

(Change Date September 7, 2018)

If the training facility is already assigned a facility code, the VRC must also determine if the claimant’s selected course of training or education is approved prior to developing a plan of services with the claimant.

(a) The VRC should take the following steps to determine if a facility code is correct:

Access the claimant's CWINRS View Folders screen.

Click on Admin on the toolbar.

Click on Facilities from the drop-down menu.

Highlight and double-click the appropriate facility. The facility code will be displayed on the View Facility Service Provider screen.

Check if the facility code displayed on the screen is correct by clicking on the WEAMS button on the middle of the page.

(b) If the facility is already assigned a facility code, the VRC must determine if the selected course of education or training is also approved. To verify if a program has been approved, the VRC must access WEAMS and proceed with the following steps:

Select the state where the facility is located.

Select the facility.

Select "programs" for a list of the approved programs.

(c) Facility Code Does Not Match in CWINRS and WEAMS

(Change Date September 7, 2018)

If the facility code displayed on the View Facility Service Provider screen does not match the facility code in WEAMS, the VRC must verify the correct facility code by sending an email inquiry to vbacofacilities.va.gov.

The VRC must notify the CWINRS Administrator of any discrepancy to ensure that the facility code is corrected in CWINRS.

3. Facility with Multiple Course of Education or Training

(Change Date September 7, 2018)

The VRC must ensure that only approved courses of education or training are used if a facility has multiple courses of education or training.

If a selected course of education or training has not been approved, the VRC must take the necessary steps to request approval for the selected course of education or training from the Executive Director of VR&E Service.

A separate facility code does not need to be assigned to a course of education or training at an already approved facility, except for a course of education or training that is offered at a different location of the facility that does not already have an assigned facility code.

4. Approved Facility with Multiple Locations

(Change Date September 7, 2018)

A facility with an approved course of education or training and assigned a valid facility code for a Chapter 31 only facility may have other training sites in multiple locations within an RO's jurisdiction, or in other jurisdictions.

The facility code for the approved facility must not be used for courses of education or training at other locations that have not been approved by VA.

Approval for those courses of education or training must be granted to the facilities in other locations and a separate facility code must be assigned prior to authorization for a claimant's attendance in any course of education or training.

5. Facility Code Not Assigned in WEAMS

(Change Date September 7, 2018)

A facility code that is not assigned in WEAMS may indicate the following:

SAA has not approved the course of education or training.

SAA has suspended the course of education or training.

SAA has withdrawn approval for the course of education or training.

Note: The VRC must not authorize training or services for any Chapter 31 claimant when a facility code is not assigned or withdrawn in WEAMS.

6. Entering Facility Code in CWINRS

(Change Date September 7, 2018)

Once a facility code and vendorization number are assigned, the VR&E staff updates CWINRS with the following information:

Facility Code

Tax ID Number

Facility Address

Point of Contact (POC), and

Information about the types of training offered by the facility

e. Designation of a Certifying Official

(Change Date August 13, 2021)

An approved facility must designate a Certifying Official by completing VAF 22-8794, Designation of Certifying Official(s).

The Certifying Official is responsible for verifying enrollment and any changes in the enrollment of a claimant participating in any VA educational program.

Note: The Certifying Official certifies enrollment in the Enrollment Manager system. However, an enrollment may also be certified on VAF 28-1905c, Certification of Training Hours, Wages, and Progress, for facilities that do not have access to the Enrollment Manager.

f. Compliance with e-Authorizations and e-Invoicing

(Change Date December 18, 2019)

All authorizations and invoices for Chapter 31 claimants must be processed using an electronic based system. Case managers must authorize services and supplies using the Invoice Payment Process System (IPPS) and service providers or facilities must create and submit invoices using the Tungsten Network.

All service providers must be able to work within the Tungsten system to receive authorizations and submit invoices for payment. The only exceptions to this policy are authorizations and invoices for Apprenticeships, OJT programs, NPWE facilities, and foreign school facilities.

Refer to M28C.V.B.2 for information on payment for services.

g. Vendorizing a Facility

(Change Date September 7, 2018)

All facilities with approved courses of education or training for Chapter 18, Chapter 30, Chapter 31, Chapter 33, and Chapter 35 must be vendorized prior to the authorization of training for claimants. This process establishes the approved facilities in the VA FSC, which ensures payments are appropriately authorized for services provided by approved facilities.

All requests for vendorization must be submitted using the web form in the Customer Engagement Portal (CEP). All requests will be processed within five business days from the date of receipt of the request. The vendor must register in CEP using ID.me. The vendor must only register once and must use ID.me username and password when accessing the site.

For detailed information regarding facility payments and vendorization, refer to M28C.V.B.2 and for information pertaining to contract activities refer to M28C.V.B.3.

1.04 Procedures for Establishing Chapter 31-only Courses of Education or Courses and On-the-Job Training

(Change Date July 30, 2021)

An approval for Chapter 31-only course of education or training and On-the-Job Training may be requested for a Chapter 31 claimant who has been determined in need of a course of education or training, but the course of education or training is not approved by VA under the Chapter 30 or Chapter 33 program per section 402 of Pub. L. 114-315 and 38 U.S.C. 3104(b).

A separate approval request must be submitted for each claimant who will be attending the course of education or training. The waiver request is specific to the claimant's approved course or program of training, and not only to the training facility.

The procedures for the approval process for Chapter 31-only courses of education or training outlined below must be followed for each claimant and not for the training facility.

a. Required Justification for Approval

(Change Date February 15, 2023)

The VRC must determine on a case-by-case basis the reason that an already approved VA facility does not meet the rehabilitation needs of the Chapter 31 claimant.

The VRC must provide justification for requesting a Chapter 31-only course of education or training approval to validate the request. The justification must be documented on Appendix CP, Approval Request for Ch31-only Course of Education or Training

In addition, the justification must clearly explain the necessity for selecting a Chapter 31-only course as it relates to the claimant's rehabilitation needs or the claimant's disability condition(s) that will prevent him or her from attending a course of education or training that has been already approved by VA.

Appendix CO, Checklist for Required Items for Approval of a Waiver for CH31-only Course or OJT, provides the necessary information and documentation for the waiver request.

Below is a sample scenario when justifying a request for approval of a Chapter 31-only course of education or training:

A claimant has been granted a service-connected disability rating for Post-traumatic stress disorder (PTSD) and has been determined that achievement of a vocational goal as a physician assistant is reasonably feasible. However, the claimant currently lives in an area without any family support. His physician recommends that he attend a training program that will allow him to be closer to his family for needed support while completing his training program. The claimant applied to two schools within commuting distance to his family, with one school being approved for Chapter 33 and the other not being approved. The claimant's application was denied by the VA-approved school but was accepted by the non-VA-approved school.

Note: The example above is only an illustration of factors that may be considered when requesting approval for a Chapter 31-only course of education or training. The justification must be based on the claimant's individual circumstances.

In some circumstances, such as the unavailability of private and/or public transportation near the claimant's residence to the training facility, may be an acceptable justification for a Chapter 31-only course approval. However, the justification must be supported by documented evidence.

b. Required Site Visit

(Change Date December 20, 2023)

A site survey of the facility must be conducted to determine if the facility site meets the requirements of 38 CFR 21.290 through 21.299 for approval of a Chapter 31-only course of education or training offered by the facility.

Note: The VRC conducts the site visit; however, this responsibility may be delegated to another qualified VR&E staff member.

The results of this visit must be documented in Appendix CQ, Site Visit Report, which must address and reference all issues outlined in 38 CFR 21.290 through 21.299, which include the following:

Adequacy of equipment, tools, and educational resource materials, e.g., computer technology, use of industry-standard tools

Compliance with Americans with Disabilities Act (ADA) and ADA Amendments Act (ADAAA), e.g., signage, lighting, parking, wheelchair access

General suitability of the course of education or training to meet the goal or objectives of the claimant's plan of services

Adequacy of record keeping and progress reporting

Cooperation of the facility to provide accurate and timely information on students' attendance, courses, and progress

Capability of the facility to receive e-authorizations and submit invoices for payment via e-invoicing since paper authorizations and invoices are not accepted, unless the facility is only seeking approval as an OJT or NPWE facility

Compliance with enrollment policy requirements, per section 103 of Pub. L. 115-407, which amended 38 U.S.C. 3679(e)

All public facilities for IHL must also comply with 38 U.S.C. 3679(c), as amended by section 301 Pub.L. 115-251, which extended the resident rate of tuition/fees to claimants using Chapter 31 benefits who reside in the State or U.S. Territory, regardless of whether the claimant meets applicable residency requirements.

The VRC must obtain recent pictures of the facility to demonstrate that the facility is clean, safe, and free of architectural barriers and deficiencies. These pictures must be maintained as part of the site visit report.

In addition, the VRC must complete Appendix CO, Checklist for Approval of a Course of Education or Training to ensure that all requirements are completed and complied with.

If the facility is located in another RO jurisdiction and is not within commuting distance for the case manager, the VR&E Officer may contact the VR&E Officer where the facility is located and request that the site visit be completed by an assigned VR&E staff of that RO.

If the program is online, the case manager must visit the brick-and-mortar location of the facility, if the facility exists. If there is no brick-and-mortar site, the case manager must visit the online site and communicate with the school program administrators to address all questions associated with a site visit.

The VRC must ensure that the facility completes, signs, and returns the following forms:

VAF 10-0144a, Statement of Assurance of Compliance with Equal Opportunity Laws

VAF 22-8794, Designation of Certifying Official(s)

VAF 22-1919, Conflicting Interests Certification for Proprietary Schools (This form must be completed by all private-for-profit and nonprofit IHL and NCD. It is not required for public institutions, apprenticeship, OJT, and NPWE programs.)

Complete and submit web form request available on the Customer Engagement Portal (CEP) at https://www.cep.fsc.va.gov/.

Note: Refer to see M28C.V.B.1.03 for information on vendorization.

The VRC must ensure that the site visit report is documented in Appendix CP, Approval of Waiver Request for CH31-Only Course or OJT.

c. Review of School Catalogs or Bulletins

(Change Date October 1, 2020)

The VRC must review existing school catalogs or bulletins, statements of charges, course outlines, and other agency approvals, i.e., state vocational rehabilitation agencies, SAAs , or nationally recognized accrediting associations, to determine the general suitability of the courses of education or training. The review of the school catalogs or bulletins must verify that the requirements outlined in section 1.03.c of this chapter are met.

The VRC must ensure that a copy of the school catalogs or bulletins are obtained and provided as documentation for the waiver request.

If the facility does not have a published catalog or bulletin, obtain a signed statement of charges from the facility.

d. Requirements for the Principles of Excellence Program for Chapter 31-only Courses of Education or Training

(Change Date July 30, 2021)

On August 1, 2021, the requirements of the Principles of Excellence (POE) Program for Chapter 31-only course of education or training were implemented per 38 U.S.C. 3679. As a result, the requirements for the POE must be met prior to approval of a CH31-only course of education or training.

The POE requires the training facility to follow the guidelines specified below:

Provide the claimant a written personal summary of the total cost of the educational program, and other issues, which should include the following:

The costs covered by Chapter 31 benefits.

The financial aid the claimant may qualify to receive.

Other information to facilitate comparison by the claimant of aid packages offered by different educational institutions.

Information on the facility’s acceptance of credits, including military credits

Any additional requirements, including training, experience, or examinations, required to obtain the license, certification, or approval for which the course of education is designed to provide preparation

Information regarding graduation rates

Job placement rates for graduates of the course of education, if available

Claimant’s expected student-loan debt after graduation

Inform the claimant of increase in tuition rates and fees within 15 days of the change.

Provide the claimant an educational plan with a timeline showing how and when the claimant can fulfill all requirements for graduation.

Assign the claimant a point of contact to provide ongoing academic and financial advice including access to disability counseling.

Allow the claimant both long and short periods for military service obligations for active-duty Service members and Reservists.

Ensure all training programs are accredited or officially approved before enrolling students.

Ensure that the training facility's refund policies follow Title IV rules, which guide federal student financial aid programs.

End fraudulent or deceitful and aggressive methods of recruiting.

Note: Training facilities that do not charge tuition and fees are not required to follow the Principles of Excellence Program guidelines.

e. Waiver Request for Chapter 31-only Course of Education or OJT

(Change Date December 20, 2023)

The VRC must submit a request for Chapter 31-only course or OJT approval using Appendix CP, Approval of Waiver Request for CH31-Only Course or OJT.

The memo must be submitted for review and approval to the Executive Director of VR&E Service through the VR&E Officer and the RO Director.

In addition, the VRC must include the following completed documentation with the waiver request:

Appendix CQ, Site Visit Report (CH31-only Course, OJT)

Appendix CR, Request for Assignment of a Facility Code

VAF 10-0144a, Statement of Assurance of Compliance with Equal Opportunity Laws

VAF 22-8794, Designation of Certifying Official(s)

VAF 22-1919, Conflicting Interests Certification for Proprietary Schools

f. VR&E Officer Review

(Change Date November 21, 2017)

The VR&E Officer reviews the site visit report including all required documentation and signs the site visit report to indicate concurrence with the survey report.

Additionally, the VR&E Officer ensures that Appendix CP, Approval of Waiver Request for CH31-Only Course or OJT, along with all required documentation are prepared for review and approval by the Executive Director of VR&E Service, through the RO Director.

Once the review is completed, the VR&E Officer submits the waiver request to the RO Director.

g. Regional Office Director Review

(Change Date July 27, 2020)

The completed Appendix CP must be submitted to the RO Director for review including all required documentation.

The VR&E Officer is notified once the review is completed and the RO Director concurs with the request.

Subsequently, the VRC submits the reviewed Appendix CP, including all required documentation for approval by the Executive Director, to the Field Services mailbox.

h. Executive Director, VR&E Service Approval

(Change Date March 29, 2023)

The Executive Director of VR&E Service reviews and approves the waiver request.

Subsequently, VR&E Service will notify the RO Director of the decision electronically within 20 business days from the date the waiver request is received by VR&E Service.

i. Decision Notification to the Facility

(Change Date September 7, 2018)

The case manager must send a notification letter to the facility informing them of the approval or disapproval of the specific course of education or OJT.

The notification will include the requirement for sustained compliance of the facility to meet the requirements outlined in 38 CFR 21.290 through 21.299 by conducting an annual site visit.

Refer to VR-56, Approval – CH31 Only Program of Training or Courses, and VR-59, Disapproval, CH31-only Program of Training or Courses.

j. Request for Assignment of a Facility Code

(Change Date December 20, 2023)

After the waiver request for the CH31-only course or OJT is approved by the Executive Director of VR&E Service, the requesting VR&E Office will be notified of the approval by the Field Liaison.

Appendix CR, Request for Assignment of a Facility Code. is completed and submitted by the Field Liaison to the centralized mailbox at vbacofacilities@va.gov.

Consequently, the request is forwarded to Education Service for assignment to an ELR, who will issue a new facility code.

The following documentation must be completed and submitted when requesting assignment of a facility code:

Appendix CR, Request for Assignment of a Facility Code

Appendix CP, Waiver Request for CH31-only Course of Education or Training or OJT

VAF 10-0144A, Statement of Assurance of Compliance with Equal Opportunity Laws

VAF 22-1919, Conflicting Interests for Proprietary Schools

Note: VAF 22-1919 is only required for private-for-profit and nonprofit IHL and NCD programs. It is not required for public institutions, Apprenticeship, NPWE, and OJT programs.

Assignment of a facility code is expected to be completed within 30 calendar days from receipt of the request and after reviewing all submitted documentation for correctness and compliance.

k. Annual Compliance Survey for Approved Chapter 31-only Courses of Education or Training and On-the-Job Training

(Change Date December 20, 2023)

1. Annual Compliance Survey

An annual compliance survey must be conducted annually for all facilities that are approved for Chapter 31-only course of education or training and OJT to ensure continued compliance with the course and facility approval outlined under the provisions of 38 CFR 21.290 through 21.299.

Note: This requirement only applies to claimants pursuing a training period that exceeds 12 months.

2. Compliance Report

The annual compliance survey must be documented in Appendix FF, Annual Compliance Survey Report (CH31, OJT).

The VR&E Officer must review and sign the report.

The compliance report must be maintained in a centralized file within the VR&E office and must be made available to the VR&E Oversight Team during the office's site visit.

l. Withdrawal of Approval in WEAMS after a Claimant's Completion of Training Program

(Change Date December 20, 2023)

Once the claimant completes the CH31-only course or OJT, the case manager must ensure that the approval is withdrawn from WEAMS.

The case manager must submit the request for withdrawal from WEAMS via email at vbacofacilities@va,gov.

The Subject of the email should indicate "Request for Withdrawal of Approval from WEAMS". The request must include the following information:

Name of the claimant

Claim number

Name of the facility

Facility code

Date of Completion of Training

m. Suspension and Withdrawal of Approval for a Chapter 31-only Course of Education or OJT

1. Request for Suspension

(Change Date September 7, 2018)

Per 38 CFR 21.4259 and 38 U.S.C. 3679, a case manager may request suspension of a facility used by claimants participating in a course of education or training approved for Chapter

31 only.

The following actions must be taken by the case manager when concerns arise, or complaints are received prior to requesting suspension of a facility:

Conduct a new site survey and complete the site visit report.

Document all deficiencies or violations noted at the facility. Violations may include the lack of facility cooperation in providing timely and accurate information, courses, and progress, or loss of school accreditation.

Submit the site visit report to the VR&E Officer for approval of the recommended suspension of the facility.

2. Suspension of Approval

(Change Date September 7, 2018)

The VR&E Officer reviews and approves or disapproves suspension of enrollments or reenrollments based on the site visit report.

Per 38 CFR 21.4259 and 38 U.S.C. 3679, a case manager may proceed with the following steps to suspend approval of a facility:

(a) Upon approval of the suspension by the VR&E Officer, The case manager must inform the school officials of the suspension based on the identified deficiencies or violations that must be corrected within 60 calendar days. A written notice of suspension to the facility must be sent to the facility via certified mail or electronically with a request for confirmation of receipt.

Refer to VR-60, Notice of Suspension – Facility (CH31 Only).

(b) The VR&E Officer may authorize an additional 30 calendar days if the request is made within 60 calendar days from the date of proposed suspension. However, the period must not exceed 90 calendar days.

(c) During the suspension, current Chapter 31 claimants may continue to attend the approved course of education or training; however, new enrollment or reenrollment will not be authorized within the suspension period.

(d) The VR&E Officer will review the corrective action(s) taken by the facility and will notify the facility if the actions taken are acceptable. The case manager must notify the facility within 10 business days from the date of receipt of the corrective actions using VR-61, Notice of Continuance – Facility (Ch31 Only).

(e) The case manager will take the following actions if the facility does not take adequate corrective measures after 60 calendar days, or within the extension granted allowing no more than 90 calendar days:

Send a notification to all claimants attending the facility regarding the anticipated termination of their subsistence allowance using VR-63, Proposed Termination of SA - Participant (Ch31 Only).

The notification for the proposed termination of subsistence allowance must be sent at least 30 calendar days prior to the actual termination of payment of the subsistence allowance.

Terminate payment of subsistence allowance effective the last day of the current term.

2. Withdrawal of Approval

(Change Date February 19, 2019)

The Executive Director of VR&E Services approves the withdrawal of approval.

The facility is no longer authorized to provide services to any Chapter 31 claimant when a facility's approval is withdrawn.

The VRC must follow the instructions below when approval of a facility has been withdrawn:

Notify the facility of the withdrawal of approval using VR-62, Notice of Withdrawal – Facility (Ch31 Only). The notification letter must be sent via certified or registered letter with a return receipt under the provisions of 38 CFR 21.4259.

Terminate payment of the claimant's subsistence allowance effective the last day of the current term.

Notify the claimant of suspension of his or her subsistence allowance and state the reason for suspension and the effective date of the suspension using VR-58, Chapter 31 Adverse Decision Letter.

Inform the CWINRS Administrator of the withdrawal of approval of the facility.

Inform the ELR regarding the withdrawal of approval.

Work with the Chapter 31 claimant to identify another suitable course of education or training that has been approved and assigned a valid facility code.

1.05 Procedures for Establishing Non-Paid Work Experience and Specialized Rehabilitation Services

(Change Date December 31, 2020)

A Non-paid Work Experience (NPWE) may only be approved at the facilities of any Federal agency, any state, or local government receiving federal financial assistance.

a. Selecting the Training Facility

(Change Date August 21, 2024)

The VRC must take the following actions when selecting a training facility for an NPWE and specialized rehabilitation services that has not been approved by VA:

1. Visit the facility to determine the adequacy of equipment, tools, and educational resource materials, accessibility to individuals with a handicap and necessity for workshop modifications. Follow the procedures outlined in section 1.05.b of this chapter and complete and sign Appendix CQ, Chapter 31 Site Visit Report (CH31-only, OJT).

2. Determine that the criteria for approval of a training establishment for a specialized rehabilitation facility outlined in 38 CFR 21.294 have been met before authorizing a claimant's training program.

3. Determine that the criteria for approval of a training establishment for a specialized rehabilitation facility outlined in 38 CFR 21.296 have been met before authorizing a claimant's NPWE program.

4. Interview trainers, managers, and other trainees to determine the quality of instruction and staff resources in the training facility.

5. Ensure the training facility or employer complies with the requirements listed below:

Sign VAF 28-1904, On-The-Job Training Agreement, confirming agreement to provide training to Chapter 31 claimants.

Sign VAF 22-8794, Designation of Certifying Officials. On this form, the employer lists staff whom/they authorize to sign any documents relating to the NPWE program. If no additional staff are identified on the form, then this employer contact will be the only person authorized to sign these documents.

Sign VAF 10-0144A, Statement of Assurance of Compliance with Equal Opportunity Laws.

Complete and sign VAF 28-1905m, Request and Authorization for Supplies- Chapter 31, if required.

Case Manager will advise the employer that a signed certificate of training must be completed by the employer and provided to the claimant and the Case Manager following the completion of the NPWE.

b. Approval by the VR&E Officer

(Change Date December 20, 2023)

The case manager must submit Appendix FG, VR&E Officer Approval Request for NPWE and SRS, the site visit report using Appendix CZ Site Visit Report (NPWE, SRS), and the completed forms specified in section 1.05.a of this chapter, to the VR&E Officer for review and approval..

The VR&E Officer must sign and date VAF 28-1904 upon review and approval of the agreement.

c. Requesting a Valid Facility Code

(Change Date January 17, 2024)

Once the VR&E Officer completes the review and concurs with the NPWE or SRS, the case manager must complete and submit Appendix CR, Request for Assignment of a Facility

Code, Appendix FG, VR&E Officer Approval Request for NPWE and SRS, and VAF 22-8794, Designation of Certifying Officials, to the centralized mailbox at vbacofacilities@va.gov.

Consequently, the Data Analyst for Procedures Team will forward the request to the point of contact in Education Service for assignment to an ELR, who will issue a new facility code.

Assignment of a facility code is expected to be completed within 30 calendar days from receipt of the request and after review of all submitted documentation for correction and compliance.

d. Annual Compliance for Approved Non-paid Work Experience and Specialized Rehabilitation Services

(Change Date January 17, 2024)

1. Annual Compliance Survey

(Change Date September 7, 2018)

A compliance survey must be conducted annually for any facility that have been approved for Chapter 31-only NPWE and SRS, which required assignment of an approved facility code that may remain active for future participants, and to ensure continued compliance with the course and facility approval provisions outlined under 38 CFR 21.290 through 21.299.

2. Annual Compliance Report

(Change Date December 20, 2023)

The compliance survey report must be documented in Appendix FH, Annual Compliance Survey Report (NPWE, SRS).

The VR&E Officer must review and sign the report.

The compliance survey report must be maintained in a centralized file within the VR&E office and must be made available to the VR&E Oversight Team during the office's site visit.

e. Withdrawal of Approval in WEAMS after One Year of Inactivity

(Change Date December 20, 2023)

Once the claimant completes the NPWE or SRS and the facility has not been used for one year, the case manager must ensure that the approval is withdrawn from WEAMS.

The case manager must submit the request for withdrawal from WEAMS via email at vbacofacilities@va,gov.

The Subject of the email should indicate “Request for Withdrawal of Approval from WEAMS”. The request must include the following information:

Name of the claimant

Claim number

Name of the facility

Facility code

Date of Completion of Training

1.06 Suspension and Withdrawal by Education Service

(Change Date October 1, 2020)

As outlined in 38 U.S.C. 3104(b), facilities approved for use in Chapter 31 must also be approved for use in Chapter 30 or 33 to the maximum extent possible. Hence. majority of Chapter 31 claimants attend facilities that have been approved by Education Service.

The suspension and withdrawal process adhered to by Education Service includes the use of a Committee on Educational Allowances to assist in determining if a facility should be suspended.

Education Service notifies VR&E Service of any facilities that are being considered for suspension or facilities that have been suspended, VR&E Service subsequently informs VR&E offices.

VR&E staff must follow the procedures detailed in M28C.IV.C.1.06 to inform claimants of the anticipated termination of their subsistence allowance and when benefits at the facility have actually been suspended.

Refer to M22-4, Part 1, Chapter 8 for more information on the specific suspension and withdrawal procedures followed by Education Service.

1.07 Withdrawal of Accreditation by the Secretary of Education

(Change Date September 7, 2018)

When a course of education or training is subject to disapproval because the Secretary of Education withdrew the recognition of the accrediting agency, which accredited the course of education or training, all claimants enrolled in the course of education or training, must be notified of the withdrawal of approval.

In this instance, the course of education or training may be considered approved for a period not to exceed 18 months from the date of the withdrawal of recognition by the accrediting agency, unless VA determines that the approval should not be extended. This means that the claimants currently enrolled in the course of education or training may continue to complete the program within the 18-month period, if VA approves the extension, per 38 U.S.C. 3679(a)(2).

Note: This 18-month period does not apply to situations in which an individual course of education or training loses accreditation. This only applies when the accrediting agency loses its recognition from the Secretary of Education.

1.08 Recordkeeping of All Approvals for Chapter 31-only Programs

(Change Date December 20, 2023)

All documentation for approval of Chapter 31-only courses of education or training, OJT, NPWE, and SRS, must be maintained electronically in a centralized electronic folder, or hard copies in a centralized folder located within the VR&E office.

These documents include the following:

All completed VA forms and appendices required for requesting approval

Annual Compliance Reports

Requests and Approvals for Suspension

Notification Letters to the Facility

Notification Letters to the Claimants

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M28C.IV.C.4 — Rehabilitation Plans to Employability

Chapter 4

Rehabilitation to Employability Plans

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4.01 Overview

(Change Date August 15, 2013)

Under the provisions of title 38 of the Code of Federal Regulations (CFR) 21.70, the purpose of a claimant's vocational rehabilitation program for employment includes the following:

To evaluate and improve the claimant's ability to achieve an employment goal

To provide services needed to qualify the claimant for employment and become employable

To enable the claimant to obtain and maintain suitable employment

An effective plan leading to suitable employment begins during the comprehensive evaluation, which includes vocational assessments and exploration activities. These activities are necessary in identifying the claimant's suitable vocational goal and a plan of services that will enable him or her to overcome employment barriers and achieve his or her employment goal.

During the evaluation and planning phase, the Vocational Rehabilitation Counselor (VRC) must determine feasibility of the claimant to participate in a plan of services.

The VRC must develop the rehabilitation plan with the claimant and/or appointed guardian using the information gathered during his or her initial evaluation. The VRC must determine necessary rehabilitation services by conducting an analysis of the following factors:

Functional capacity and/or limitations

Education and/or training needs

Basic independent living needs

Job accommodations

Other needs relevant to achievement of employment goal

This chapter provides the guidelines for developing a specific plan of services for rehabilitation to employability plans to assist a claimant in preparing for, obtaining, and maintaining suitable employment.

4.02 Rehabilitation to Employability Plans

The tracks or services to employment are defined as follows:

a. Employment Through Long-Term Services

(Change Date August 15, 2013)

A plan for employment through long-term services provides a claimant an extended period of training and rehabilitation services to ensure that the claimant acquires the skills necessary to obtain and maintain suitable employment.

This track is provided to a claimant who may need extensive training or education and necessary rehabilitation services to overcome his or her impairment of employability. Services may include, but are not limited to, remedial or refresher courses; specialized training; post-secondary education; on-the-job training (OJT); non-paid work experience (NPWE); apprenticeships; and other necessary rehabilitation services.

b. Rapid Access to Employment Services

(Change Date August 15, 2013)

A plan for rapid access to employment services provides a claimant services to enhance already acquired skills necessary for him or her to obtain and maintain employment without delay.

This plan of services is provided to claimants who express a desire to obtain employment as soon as possible and may already possess the necessary skills to qualify for competitive employment in a suitable career. Services to improve the claimant's rehabilitation potential may include short-term or refresher training, such as interview skills training; job-seeking techniques; resume development; assistance with translating military work experience into civilian work experience; and other necessary rehabilitation services.

c. Re-employment

(Change Date August 15, 2013)

A plan for reemployment services provides a claimant with necessary skills to return to the occupation he or she had held prior to entering active military service. This track is provided to a claimant who may need some short-term or refresher training and rehabilitation services to enhance his or her competency to return to his or her previous employment.

If the previous employment is no longer suitable, the claimant must be evaluated to determine if an alternative suitable vocational goal with the same employer is an option. If the claimant can no longer return to his or her previous employer, the VRC should explore the other tracks for employment.

d. Individualized Written Rehabilitation Plan with a Deferred Vocational Goal

(Change Date March 12, 2021)

The development of an Individualized Written Rehabilitation Plan (IWRP) with a Deferred Vocational Goal provides a plan of services that will allow provision of training to a claimant, for whom a suitable vocational goal cannot be readily identified, while the claimant is completing the vocational exploration and planning process to identify a suitable vocational goal.

Basically, this process allows a claimant's case to "move" from Evaluation and Planning (EP) status to Rehabilitation To the point of Employability (RTE) status without having an identified vocational goal. Vocational exploration and planning activities are conducted in RTE status while the claimant is simultaneously attending training.

1. Criteria for an IWRP with a Deferred Vocational Goal

(Change Date March 12, 2021)

The following conditions must be met prior to the execution of an IWRP with a Deferred Vocational Goal:

a. The claimant's achievement of a vocational goal has been determined currently and reasonably feasible.

b. The claimant's vocational goal cannot be readily identified at the time the plan is developed.

c. The IWRP must include vocational exploration and planning activities.

d. The IWRP must include a training objective for needed remedial and/or general education course(s) only.

e. The training must begin within three months from the date the IWRP with a Deferred Vocational Goal was signed by the VRC and the claimant, for any case in which entitlement was determined under the provision of 38 U.S.C. 3102.

f. The training must begin within six months from the date the IWRP with a Deferred Vocational Goal was signed by the VRC and the claimant, for any case in which entitlement was determined under the provision of the National Defense Authorization Act for FY 2008.

g. The maximum training period is one standard term or two non-standard terms.

h. The plan must be redeveloped with a suitable vocational goal and appropriate objectives within nine months from the date entitlement was determined.

2. Components of the Plan

(Change Date March 12, 2021)

An IWRP with a Deferred Vocational Goal must include, but is not limited to, the following conditions:

a. The program goal of the plan is “To determine a suitable occupational goal”. DOT 999, Deferred, must be used since a vocational goal has not been identified.

b. The IWRP must include a training objective, which is limited to needed remedial training or general education courses only.

c. Vocational objectives, which outline evaluations or sources of information that will assist in determining a suitable vocational goal, such as a background check, medical evaluations, or labor market research.

d. Health and medical services objective that addresses appropriate medical, psychological, counseling, and health-related services.

e. Case management level, which specifies Level 3 for the required monthly face-to-face meeting.

3. Documentation for the Rationale of the Plan

(Change Date March 12, 2021)

The VRC must document the reason(s) for developing an IWRP with a Deferred Vocational Goal for each claimant. The documentation must explain the circumstance(s) that justify deferral of the claimant’s vocational goal. Justification must be documented on VAF 28-1902n, Counseling Record and Narrative Report.

4. Exceptions

(Change Date March 12, 2021)

An IWRP with a Deferred Vocational Goal must not be used for any of the following intended services:

a. Extended evaluation

b. Independent living

c. Self-employment

5. Retroactive Induction and Retroactive Reimbursement

(Change Date March 12, 2021)

A request for retroactive induction or reimbursement cannot be approved with the development of an IWRP with a Deferred Vocational Goal. Retroactive induction or reimbursement can only be approved after all the following conditions are met:

a. A vocational goal has been identified for the claimant.

b. A DOT code other than 999 has been identified.

c. The VRC has determined that prior training will contribute to the completion of the claimant's identified vocational goal.

Refer to M28C.V.B.6 for additional information about retroactive induction or retroactive reimbursement.

6. Identified Vocational Goal

(Change Date March 12, 2021)

Once a vocational goal is identified, the IWRP must be redeveloped with the suitable vocational goal. Interruption of the case is not required when redeveloping the IWRP unless an extended period is necessary to redevelop the plan.

7. Case Closure

(Change Date March 12, 2021)

a. If a claimant does not follow through with planned services, or elects to discontinue participation in the program, the case must be placed in Interrupted (INT) status using reason code (RC) 16. The claimant must be provided with the required due process. Subsequent steps must be taken to discontinue the case.

b. Rehabilitation or MRG closure is not applicable for discontinuance of a case under an IWRP with a Deferred Vocational Goal since a suitable vocational goal has not been identified.

8. Required Plan Tracking

(Change Date March 12, 2021)

Each VR&E Officer must monitor the progress of claimants, who are participating in an IWRP with a Deferred Vocational Goal, to ensure that the plan does not exceed the specified time limits, and that a suitable vocational goal is eventually identified.

These cases can be identified by accessing the VBA Reports at the Office of Performance Analysis and Integrity website at selecting the Dashboard report titled "Occupation", and filtering by DOT code 999.

4.03 Rehabilitation Services Provided in a Rehabilitation to Employability Plan

(Change Date August 15, 2013)

The provision of rehabilitation services is governed by 38 U.S.C. 3104 to assist the claimant to reach his or her vocational goal. The services outlined in the rehabilitation plan are developed according to the individual needs of the claimant. The services may include, but are not limited to the following:

a. Academic Coursework

(Change Date August 15, 2013)

Academic coursework is a key component of most employment through long-term services plans. It is provided to assist the claimant in obtaining the skills and education necessary to obtain and maintain suitable employment.

b. Short-term Training or Certificate

(Change Date August 15, 2013)

A short-term training is provided to enhance the claimant's employment skills and/or obtain professional certification if the VRC determines that these skills/certifications are necessary for the claimant to obtain and maintain suitable employment. This short-term training may be provided in a re-employment plan or rapid access to employment plan.

c. Vocational Training Services

(Change Date August 15, 2013)

These services include on-job training (OJT), apprenticeship, non-paid work experience (NPWE), farm cooperative, independent study, and home study. These different types of services may be provided to a claimant who needs hands-on or practical demonstration of work tasks to meet the requirements for employment. Refer to for more information on vocational training services. Refer to M28C.V.A.1 for more information on vocational training services.

d. Independent Living Services

(Change Date August 15, 2013)

When results from the preliminary independent living assessment during the initial evaluation identified that the claimant has independent living needs, the VRC must ensure that corresponding rehabilitation services are outlined as part of the intermediate objectives of the claimant's plan.

e. Employment Services

(Change Date August 15, 2013)

In accordance with 38 CFR 21.88, an Individualized Employment Assistance Plan (IEAP) will be developed as part of an Individualized Written Rehabilitation Plan (IWRP), or an IEAP will be developed when a claimant is eligible for employment assistance under the provisions of 38 CFR 21.47.

An IWRP/IEAP may be developed for a rehabilitation plan with a program goal of employment. However, when a claimant has been declared job ready, the IWRP/IEAP may be updated to reflect all identified employment services and period of services, as necessary. Conversely, an IEAP may be developed within 60 days prior to the claimant's completion of his or her training program.

f. Subsistence Allowance

(Change Date August 15, 2013)

A subsistence allowance is monetary assistance provided to a claimant participating in a training program. The subsistence allowance is paid in accordance with 38 CFR 21.260. Refer to M28C.V.B.7 for procedural guidance on payment of subsistence allowance.

g. Case Management Assistance

(Change Date August 15, 2013)

The VRC must provide the claimant with continuing assistance while he or she is participating in a rehabilitation plan. The VRC must ensure that regular contact is maintained with the claimant to ensure that claimant progresses satisfactorily toward his or her employment goal. Refer to the M28C.IV.C.2 for required levels of case management and M28C.V.A.2 for case management assistance.

h. Revolving Fund Loan

(Change Date August 15, 2013)

A revolving fund loan (RFL) provides advances to a claimant who may be unable to begin, continue, or reenter his or training program. A VRC may approve a claimant's request for an RFL in accordance with 38 CFR 21.274(d). Refer to M28C.V.B.8 for procedural guidance on advances from the revolving fund.

i. Counseling Services

(Change Date August 15, 2013)

In accordance with 38 U.S.C. 3107, all rehabilitation plans must include counseling. The VRC must ensure that counseling services are provided as one of the objectives of the claimant's rehabilitation plan. These services can assist the claimant in making informed decisions in using his or her VA benefits, and resolving adjustment issues that may affect his or her ability to achieve his or her chosen vocational goal. The types of counseling services may include, but are not limited to psychological, vocational, personal adjustment, employment, or educational.

j. Dental, Medical, and Mental Health Services

(Change Date August 15, 2013)

A claimant must be provided with medical treatment, care, and services that the VRC determines necessary to complete his or her rehabilitation program. The VRC must ensure that these services are included as an objective in the claimant's rehabilitation plan.

The VRC makes the referral for dental, medical, and mental health services to the VA Medical Center (VAMC) as needed by the claimant to ensure his or her health condition is optimally maintained. If VAMC is unable to provide those services, service providers outside VA may provide those services through the VAMC fee basis.

Refer to M28C.V.A.4 for additional information on medical and other related services.

k. Payment for Licenses, Certifications, and Fees

(Change Date August 15, 2013)

The case manager may authorize payment for a license, certificate, or fee when a claimant's employment goal requires the occupational or professional qualifications. Payment may include the cost of examinations required to obtain the license, permit, or certificate. The claimant must meet all prerequisites for taking the examination, such as successful completion of training, prior to authorizing payment as outlined in 38 CFR 21.254(a).

l. Payment for Tuition, Books, and Supplies

(Change Date August 15, 2013)

A claimant's attendance in a training facility is paid by VA. This also includes payment for books, tools, and other supplies and equipment that are determined necessary for the claimant's vocational rehabilitation program as outlined in 38 CFR 21.210. Refer to M28C.V.A.3 and M28C.V.B.2 for procedural guidance for authorizing payments for tuition, books, and supplies.

4.04 Reemployment Rights Information

(Change Date August 15, 2013)

Services provided in the re-employment plan are focused on returning the claimant to the position he or she held prior to active duty. The VRC must complete an occupational analysis to ensure that the claimant's previous employment is suitable, with or without accommodations, and the claimant has the functional capacity to return to his or her former position.

The VRC must have sufficient knowledge of the Uniformed Services Employment and Reemployment Rights Act (USERRA) to assist a claimant to return to his or her previous occupation. Refer to USERRA for detailed information and File a Claim for information on applying for USERRA.

USERRA protects civilian job rights and benefits for Veterans and members of the active and Reserve components of the U.S. armed forces. USERRA states that returning Service members must be promptly re-employed in the same position that they would have attained had they not been absent for military service, with the same seniority, status and pay, as well as other rights and benefits determined by seniority.

USERRA establishes the cumulative length of time that an individual may be absent from work for military duty and retain reemployment rights to five years (the previous law provided four years of active duty, plus an additional year if it was for the convenience of the Government). There are important exceptions to the five-year limit, including initial enlistments lasting more than five years, periodic National Guard and Reserve training duty, and involuntary active duty extensions and recalls, especially during a time of national emergency. USERRA clearly establishes that reemployment protection does not depend on the timing, frequency, duration, or nature of an individual's service if the basic eligibility criteria are met.

USERRA provides protection for claimants with disabilities, requiring employers to make reasonable efforts to accommodate the disability. Service members convalescing from injuries received during service or training may have up to two years from the date of completion of service to return to their jobs or apply for reemployment.

The period for an individual to apply for re-employment or report back to work after military service is based on time spent on military duty.

For service of less than 31 days, the Service member must return at the beginning of the next regularly scheduled work period on the first full day after release from service, considering safe travel home plus an eight-hour rest period.

For service of more than 30 days but less than 181 days, the Service member must submit an application for reemployment within 14 days of release from service.

For service of more than 180 days, an application for reemployment must be submitted within 90 days of release from service.

USERRA also requires that Service members provide advance written or verbal notice to their employers for all military duty unless giving notice is impossible, unreasonable, or precluded by military necessity. An employee should provide notice as far in advance as is reasonable under the circumstances. Additionally, Service members are able (but are not required) to use accrued vacation or annual leave while performing military duty.

If a Veteran or Service member believes his or her re-employment rights are being violated, the VRC must coordinate services by referring him or her to the Department of Labor (DOL) Veterans' Employment and Training Service (VETS), or the Department of Defense Employer Support of the Guard and Reserve.

4.05 Development of a Rehabilitation to Employability Plan

(Change Date August 15, 2013)

A rehabilitation to employability plan will be developed for any claimant whose achievement of a vocational goal is reasonably currently feasible and whose rehabilitation goal is to obtain and maintain employment.

This plan is designed for a claimant who will pursue re-employment, rapid access to employment, or employment through long-term services.

Note: A self-employment plan is not included in this chapter since the requirements and services required for self-employment is distinct from these plans. Refer to M28C.IV.C.5 for procedural guidelines for developing a self-employment plan.

a. Individualized Written Rehabilitation Plan

(Change Date July 14, 2022)

When a claimant's vocational goal has been identified, the VRC must determine the claimant's rehabilitation needs and identify the corresponding services that will assist the claimant to overcome his or her impairment to employability.

An individualized written rehabilitation plan (IWRP) must be developed when the claimant is pursuing re-employment, rapid access to employment, employment through long-term services, or when developing an IWRP with a deferred vocational goal. The IWRP must be documented on VA Form 28-10214, Rehabilitation Plan.

b. Elements of the Plan

(Change Date August 15, 2013)

An IWRP must outline one vocational goal and intermediate objectives or services to be provided to the claimant.

The following are required considerations when developing an IWRP:

1. Vocational Goal

(Change Date August 15, 2013)

An IWRP must state a long-range employment goal, which clearly identifies the chosen occupational goal that the claimant must achieve during the period of rehabilitation services.

2. Intermediate Objectives

(Change Date August 15, 2013)

The IWRP must specify the intermediate objectives that outline specific services necessary for the claimant to obtain and maintain suitable employment. These services are identified but are not limited in section of this chapter.

An intermediate objective provides specific components of the services that will assist the claimant to achieve his or her employment goal.

Per 38 CFR 21.84(b)(2), an intermediate objective must have the following components:

a. The objective must be related to the achievement of the occupational or employment goal and must be observable and measurable. Example: The claimant will complete Associate of Arts in Computer Science.

b. The services for the objective to be provided are clearly specified. Refer to section 4.03 of this chapter.

c. Counseling services must be provided to all claimants with SEH.

d. The services to be provided must have a begin date and an end date.

e. The name, address, contact person, and information of the service provider must be specified.

f. The claimant's progress must be determined by identifying the following activities in the plan:

Evaluation Criteria - must specify the basis or measure for the evaluation. Example: Compliance with the training facility's policies on attendance, progress, and conduct as published in the school catalog.

Evaluation Procedure - must specify the method that will measure the claimant's progress while participating in a specific service. Example: Training progress or grades.

Evaluation Schedule - must specify the frequency of evaluation of the specific service that will be provided to the claimant.

3. Other Considerations for Plan Development

(Change Date August 15, 2013)

In addition to the services specified in section 4.03 of this chapter, the VRC must ensure that the requisites outlined below are evaluated, and if considered, actions must be taken and outlined in the IWRP as necessary.

a. Election of Benefits (M28C.IV.C.2)

b. Retroactive Induction or Retroactive Reimbursement (M28C.V.B.6)

c. Approval of Program Costs (M28C.V.B.1)

d. Reduced Work Tolerance (M28C.IV.C.2)

e. Approval for Chapter 31 only Programs of Training or Courses (M28C.IV.A.1)

f. Extension of Entitlement (M28C.IV.C.1)

4. Required Signatures

(Change Date August 15, 2013)

An IWRP is an agreement between the VA and the claimant; therefore, the VRC and the claimant must sign the rehabilitation plan and any amendments of plans.

4.06 Rehabilitation Plan Activities and Guidelines

a. VA Form 28-1902n, Counseling Record - Narrative Report

(Change Date January 10, 2020)

The VRC must ensure that all planning activities are completed and documented on VAF 28-1902n prior to the implementation of the plan, as outlined in M28C.IV.B.2.04.

b. Guidelines for Planned Services

(Change Date May 6, 2022)

Once the rehabilitation plan is signed by the VRC and the claimant, the VRC must provide the claimant with a VR&E orientation to ensure that the claimant understands the VRC's and his or her roles and requirements during the rehabilitation program. The claimant must be provided VAF 28-0957, Vocational Rehabilitation Guidelines and Debt Prevention, which informs the claimant of specific requirements when completing his or her vocational training and how to avoid creating a debt with VA.

During the orientation, the VRC must provide the claimant with concise and accurate information to ensure successful completion of his or her rehabilitation program. The orientation must include, but is not limited to, the following;

Understanding payment of subsistence allowance

Maintaining satisfactory conduct and cooperation

Reporting changes in contact information, number of dependents and rate of participation, and changes in circumstances

Obtaining required books, and supplies

Requesting medical treatment and other services

Maintaining regular contact with the VRC

After the orientation, the VRC and the claimant must sign the IWRP. The claimant must sign the VAF 28-0957. The VRC must place a copy of the two forms in the claimant's VR&E record.

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M28C.IV.C.6 — Independent Living Plan

Chapter 6

INDEPENDENT LIVING PLAN

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6.01 Independent Living Plan Overview

(Change Date August 15, 2013)

An Individualized Independent Living Plan (IILP) may be provided to claimants who cannot pursue an employment or vocational goal due to the limitations of their service-connected disability(ies) (SCD) to enhance activities of their daily living and independence from their family and community.

38 United States Code (U.S.C.) 3101, 38 Code of Federal Regulations (CFR) 21.35, and the M28C Glossary of Terms provide definitions to the most commonly used terms in VR&E related to Independent Living (IL).

a. Purpose

(Change Date August 15, 2013)

The purpose of IL services is to enable the claimant, to the maximum extent possible, to live independently and participate in family and community life. IL services are also provided to increase the claimant's potential to return to work by providing services designed to lessen or accommodate the effects of the disability(ies).

b. Entitlement Criteria

(Change Date August 15, 2013)

38 U.S.C. 3102, 38 U.S.C. 3103, 38 U.S.C. 3109, 38 U.S.C. 3120, and 38 CFR 21.162 provide the statutory and regulatory guidance for the provision of a program of IL services.

The following criteria must be met to provide a program of IL services:

The claimant must have a service-connected disability rated at 20 percent or more.

The claimant must have a Serious Employment Handicap (SEH) resulting in substantial part from the SCD(s).

The Vocational Rehabilitation Counselor (VRC) must determine that the claimant's achievement of a vocational goal is not currently reasonably feasible.

The claimant must have limitations in activities of daily living that impact his or her level of independence.

There must be a reasonable likelihood that the services to be provided will increase the claimant's level of independence.

There must be a reasonable likelihood that the gains in independence will continue after completion of the program of IL services.

c. Duration

(Change Date August 15, 2013)

In accordance with 38 U.S.C. 3105(d)(2)(A) and 38 CFR 21.76, a program of IL services cannot exceed 24 months unless one of the following criteria are met:

The VRC determines that a longer period is necessary and likely to result in a substantial increase in the claimant's level of independence in daily living. In this situation, an extension of up to six months is possible.

If the claimant served on active duty during the Post-9/11 Global Operations period and has a severe disability incurred or aggravated in such service, the VRC may request an extension of up to two six-month periods if the additional period(s) will result in a substantial increase in the claimant's level of independence in daily living.

d. Extension Beyond 24 Months

1. VR&E Officer Concurrence

(Change Date March 31, 2014)

VR&E Officer concurrence is required for any request for an extension of IL services beyond 24 months. The VRC must document the extension request on Form Letter (FL) 28-521, Request for IL Extension. The VR&E Officer must document his or her decision on the FL 28-521, which must be filed in the claimant's VR&E record.

2. Vocational Rehabilitation Panel Review

(Change Date March 31, 2014)

A referral to the Vocational Rehabilitation Panel (VRP) is required for any request for an extension of IL services beyond 24 months approved by the VR&E Officer. The VRP must review requests for extensions of IL services beyond 24 months and make recommendations on whether this action is consistent with the needs of the claimant. See M28C.II.A.4 for additional information on the VRP.

3. Executive Director of VR&E Service Concurrence

(Change Date March 31, 2014)

The Executive Director of VR&E Service must approve all extensions beyond 36 months for IL services.

The memorandum must be submitted to the Executive Director of VR&E Service through the VR&E Officer and the RO Director.

e. Services

(Change Date August 15, 2013)

The services offered by the VR&E program are governed by 38 U.S.C. 3104. IL services are outlined in 38 CFR 21.160. IL services must be individualized and designed to assist the claimant achieve the maximum level of independence possible, and when feasible, to increase the claimant's potential to return to work.

Additionally, the need for any supplies or equipment considered to address an IL need must be substantiated by results of both the preliminary and comprehensive IL assessments.

A variety of services are available to assist in meeting the claimant's IL needs, to include:

1. Incidental Training

(Change Date August 15, 2013)

In accordance with 38 CFR 21.120, the IILP may include incidental training needed to achieve the goals of the IILP.

2. Subsistence Allowance

(Change Date August 15, 2013)

Subsistence allowance may be authorized when training is part of the rehabilitation plan and all criteria outlined in 38 CFR 21.260 and 38 CFR 21.266 are met.

3. Revolving Fund Loan

(Change Date August 15, 2013)

In accordance with 38 CFR 21.274, advances from the revolving fund may be authorized in an IILP when training is an approved objective of the claimant's rehabilitation plan. Refer to

M28C.V.B.8 for information about revolving fund loans (RFL).

4. Assistive Technology Assessment

(Change Date August 15, 2013)

An assistive technology (AT) assessment may be provided to determine if independence in daily living could be improved.

5. Medical and Mental Health Services

(Change Date August 15, 2013)

The VRC must coordinate medical and mental health services with the Veterans Health Administration (VHA) as needed to ensure the claimant's health conditions are treated and stabilized to the maximum extent possible. This includes services that address personal adjustment issues the individual or family may be experiencing as a result of the effects of the claimant's disability(ies). Refer to 38 CFR 21.155 and M28C.V.A.4 guidance on delivery of services to a claimant's family.

6. Identifying Appropriate Housing Accommodations

(Change Date August 15, 2013)

VR&E must work closely with other entities within VA to identify appropriate housing accommodations to ensure that the accommodations are necessary, feasible, and provided in an appropriate manner. See section 6.04 of this chapter for additional information on housing modifications and accommodations.

7. Coordination with Community-Based Resources

(Change Date August 15, 2013)

The VRC must coordinate the delivery of services with community-based resources when these services are available and required to address IL services.

8. Equipment to Increase Independence in Activities of Daily Living

(Change Date March 31, 2014)

VHA Rehabilitation and Prosthetics is the primary provider for equipment to increase independence in daily living. However, the equipment may be provided to increase activities of daily living (ADL), as indicated on the VA Form (VAF) 28-0791, Preliminary Independent Living Assessment, if such equipment is not provided by VHA. Examples of this type of equipment include, but are not limited to the following:

Grab bars to increase independence and safety with bathing and toileting

Shower chairs

Raised toilet seats

Shoehorns

Grabbers to extend reach and mobility

f. Limitations

1. Number of New Independent Living Cases

(Change Date August 15, 2013)

Congress currently limits the number of new IL cases that can be initiated each year. The current limit is 2,700 new cases per year.

New IL cases that result from the claimant being displaced or adversely affected by a natural or other disaster do not count in the overall limit of new IL cases per year.

VR&E Service monitors new programs of IL services by tracking the number of cases entering independent living case status each year and notifying the VR&E offices of any necessary action when the statutory limit is nearing. Refer to 38 U.S.C. 3120(e) for additional information on the limitation of new IL cases.

2. Retroactive Induction and Reimbursements

(Change Date August 15, 2013)

Retroactive inductions and reimbursements must not be authorized during a program of IL services. Refer to M28C.IV.C.2 for information on retroactive induction criteria.

3. Mobility Aids

(Change Date August 15, 2013)

If the preliminary or comprehensive IL needs assessment indicates that the claimant my benefit from a mobility device, such as a wheelchair or mobility scooter, VAF 28-8861, Request for Medical Services-Chapter 31, must be sent to the prosthetics staff at the VA Medical Center (VAMC) to request a mobility assessment.

VAMC will determine the type of mobility device the claimant may need and will decide if the device or equipment can be provided by VHA.

The VA physician must concur on the need for a mobility device to ensure that the device is a medical need and not merely an expressed desire by the claimant. If the VA physician agrees that the mobility device is needed and the device cannot be provided through VHA, VR&E may provide the device as part of an IILP.

A tractor, mower, or similar equipment is not considered a mobility device or addresses an IL need since these are prohibited goods as outlined in M28C.IV.C.2.

4. Avocational Needs

(Change Date August 15, 2013)

During the preliminary IL assessment, the VRC must determine the impact of the claimant's disability on avocational pursuits. The delivery of services to address avocational needs is limited. Refer to section 6.03 of this chapter for detailed information on the provision of services designed to address avocational pursuits.

5. Independent Living Services to Service members

(Change Date August 15, 2013)

Service members who are entitled to IL services under Public Law (Pub. L.) 110-181, National Defense Authorization Act of 2008, can only receive IL services that focus on the transition to civilian life, not retention in the military.

Services such as assisting the transitioning Service member with integrating into the home and community or identifying appropriate non-military housing resources, can be outlined in the IL plan.

In accordance with 38 U.S.C. 3101(2), services provided under Chapter 31 should not duplicate the efforts of any Department of Defense or VHA programs.

6. Long Term Training

(Change Date August 15, 2013)

Long term training, such as a college degree program, must not be authorized as part of an IILP. Training is limited to short term training programs that are specifically focused on improving a claimant's independence in daily living.

7. Participation in Medical Marijuana Programs or Use of Legalized Recreational Substances

(Change Date March 31, 2014)

An IL program of services may not be denied based on a claimant's participation in a state medical marijuana program or use of a legalized recreational substance. However, the VRC must evaluate feasibility of the IL goal prior to developing an IILP.

The VRC must consider state laws and any concerns related to the claimant's use of medical marijuana or use of legalized recreational substances other than as prescribed.

IL objectives must not include provision of medical marijuana or legalized recreational substances, or tools for its cultivation or consumption. IILPs may not include training or other services related to the medical marijuana industry or legalized recreational substances.

8. Independent Living Services in Foreign Countries

(Change Date March 31, 2014)

In accordance with 38 U.S.C. 3114, the provision of IL services is limited to the United States and its territories. IL services cannot be provided to claimants residing in foreign countries.

6.02 Independent Living Planning Process

(Change Date August 15, 2013)

The development of an IL plan requires sequential steps to ensure that the proposed plan is feasible, viable, and addresses the claimant's IL needs.

The following activities must be completed prior to plan development.

a. Preliminary Independent Living Assessment

(Change Date May 7, 2021)

The VAF 28-0791, Pre and Post Independent Living Assessment, is used to determine if the claimant has any impairments to ADL and to identify IL needs. The questionnaire focuses on various ADL to determine activities that may limit the claimant's independence in daily living and must completed jointly with the claimant. The claimant's housing, emotional, spiritual, leisure, and avocational needs are also assessed to ensure that all aspects of the claimant's IL needs are addressed.

The VRC must document the findings of the preliminary needs assessment on an electronic case note.

The preliminary IL assessment findings will assist the VRC to determine the appropriate next steps, which include:

1. Independent Living Services May be Warranted

(Change Date August 15, 2013)

If the preliminary IL assessment indicates the claimant may need IL services, the VRC must schedule the claimant for a comprehensive IL evaluation (CILA) to identify those specific needs. Refer to Section 6.02.b for more information on CILAs.

2. Independent Living Services are Not Warranted

(Change Date February 19, 2019)

If the preliminary IL assessment determines that the claimant has no IL needs, or the claimant was determined to have IL needs but is unable or unwilling to participate in an IL plan, the VRC must obtain VR&E Officer's concurrence to close the case prior to taking the adverse action.

If the VR&E Officer concurs with the proposed case closure, then the VRC must notify the claimant of the proposed adverse action in writing using Vocational Rehabilitation (VR) letter VR-66, General Proposed Adverse Action Letter. The VRC must follow M28C.III.A.1 for case status movement during this notification period and case closure procedures.

Following the due process period, the VRC must notify the claimant of the case closure using VR-58 and VAF 20-0998. A copy of the notification must be sent to the claimant's representative and incorporated in the claimant's VR&E record. If the claimant has received planned services, the case manager must follow the case closure processes outlined in M28C.V.A.6.

b. Comprehensive Independent Living Assessment

(Change Date August 15, 2013)

If the PILA indicates that the claimant may have impairments in ADL or suggests the claimant may have unmet IL needs, the VRC must coordinate the completion of a Comprehensive Independent Living Assessment (CILA). The CILA must be completed by an individual certified to evaluate IL needs. In accordance with 38 U.S.C. 3120 and 38 CFR 21.294, the person or facility conducting the evaluation must have a "demonstrated ability" to provide IL services. This is customarily evidenced by specialized IL experience and/or training.

The CILA evaluation must examine further into the issues identified on the PILA, and any other issues that were not identified during the assessment process. It must identify issues that may cause potential barriers to live independently. The evaluation must be conducted in the claimant's home. When feasible, the CILA should also address issues that could potentially increase the claimant's ability to obtain and maintain suitable employment.

1. Relevant Information for the Comprehensive Assessment

(Change Date August 15, 2013)

The comprehensive IL assessment requires the analysis of information from a variety of sources, such as:

Medical records

Functional capacity testing

Consultations with medical providers

Social service evaluations and/or reports

Home based healthcare reports

Specialized IL assessments, such as occupational therapy or physical therapy evaluations

Rehabilitation engineer reports

Family members and caregivers (with the claimant's permission)

2. Conducting the Comprehensive Assessment

(Change Date August 15, 2013)

The VRC may refer the claimant to a VA contract counselor to complete the CILA. A local contract agreement must be set in place to provide this service. The CILA may also be completed by VHA if those services are available at the local VHA facility.

The comprehensive evaluation must address specific issues, which may include, but is not limited to the following:

Mobility - Ability to move efficiently from place to place within the home and community, which includes accessible means of transportation, if appropriate.

Communication - Accurate and efficient transmission and/or reception of information, both verbally and non-verbally, which includes the claimant's use of a telephone or adaptive equipment to communicate with family members, medical providers, friends, and others in the community.

Self-Care - Skills necessary to fulfill basic needs, such as access health care, safety, food preparation, hygiene, grooming, and money management.

Self-Direction - Ability to organize, structure, and manage activities in daily living. Adequate self-direction requires that the claimant be able to plan, initiate, and monitor behavior with respect to an identified outcome.

Interpersonal Skills - Ability to interact in a socially acceptable manner with family, service providers, neighbors, and others encountered in routine interactions in the community.

Productive Activities - Ability to perform activities which contribute to family and/or community.

The VRC must document the findings of the CILA in the VR&E record or by uploading the contractor report.

3. Reviewing Results of the Comprehensive Assessment

(Change Date August 15, 2013)

The VRC may utilize the VRP to assist with reviewing the results of the comprehensive IL assessment to ensure that the evaluation has identified the issues that need to be addressed in the IILP. The VRP can provide technical assistance in the development of the IILP to ensure that the proposed plan of services will enable the claimant to achieve maximum independence. Refer to 38 CFR 21.60, 38 CFR 21.62, and M28C.II.A.4 for additional information on the use of the VRP.

The VRC must review the findings of the CILA, including the VRP's recommendations if applicable, with the claimant. The information gathered during the CILA must be used in the development of the ILLP, unless the reasons for not including them have been established and documented.

6.03 Avocational Options

(Change Date August 15, 2013)

During the preliminary IL assessment, the VRC must also examine the impact of the claimant's disability on avocational pursuits. If the preliminary and/or comprehensive IL evaluation indicates that the claimant has limitations in the pursuit of avocational interests, the VRC may address the need in the IILP. Refer to the M28C Glossary of Terms for definitions, including "avocational."

Services may be provided in support of an avocational activity that the claimant can no longer perform due to the effects of his or her disability(ies). For example, the claimant may have been active in sports but is no longer able to perform this activity due to physical limitations. In this situation, the VRC may provide resources for community adaptive sports or adaptive equipment to enable the claimant to continue the activity to increase the claimant's community involvement, functional ability, and mobility.

a. Eligibility Criteria

(Change Date August 15, 2013)

The following criteria must be met to provide IL services for pursuing an avocational interest:

The disability condition(s) limits or prevents participation in the avocational interest.

The activity must have been previously performed for a significant amount of time or over a 12-month period.

A medical and/or mental health provider must provide documentation that support continuing or re-engaging in the activity is not currently contraindicated with the claimant's disability condition(s).

An expert consultation must identify accommodations required to enable continued support of the activity, which must be completed by a qualified person, such as an occupational therapist.

The pursuit of the avocational interest must improve the claimant's independence in daily living in a measurable and verifiable manner.

The claimant must have the ability and resources to sustain the activity after the period of rehabilitation services are completed.

The VRC must document this information in the claimant's VR&E record or in an electronic case note.

b. Limitations

1. Number of Avocational Needs

(Change Date August 15, 2013)

The services related to an avocational activity are limited to only one type of activity. If adaptive sports equipment will be provided for one avocational activity, then additional services for other avocational activities must not be provided even if the claimant expresses interest in other activities.

2. Updating or Replacing Existing Equipment

(Change Date August 15, 2013)

The VRC must not update or replace existing equipment that enables the claimant's participation in an avocational activity. For example, providing an updated computer program is prohibited unless if it is required to meet the goals of the IILP.

6.04 Home Modification and Home Adaptation Options

(Change Date April 23, 2021)

It is important to note that there is a difference between "home modifications" and "home adaptations". VR&E no longer has the authority to provide home adaptations. These services are provided in coordination with the Specially Adapted Housing (SAH) program. However, VR&E may provide home modifications. Home adaptation is defined as a project to adapt a housing unit including any component of construction for which any of the following requirements apply and/or are needed for completion to ensure that the housing unit is suitable or fit for the residential living needs of an eligible claimant:

A technical drawing

A permit, if required by local or State laws or building codes

The use of a licensed contractor to complete the home adaptation

A required compliance inspection under current SAH policy.

Note: The SAH agent assigned to the home adaptation must certify if a compliance inspection is required.

If the identified IL need does not meet the definition of a home adaptation as determined in writing by the Regional Loan Center (RLC), services may be provided to meet the need of a home modification using the government purchase card (GPC), local contracts, and/or the acquisition process.

Refer to M28C.V.B.4 for additional guidance on the use of the GPC and M28C.V.A.3 for the purchase of supplies and equipment. In these instances, all current cost approval limits will remain in effect, as provided in M28C.V.B.1 and M28C.IV.C.2.

a. Housing Grants for Claimants with Disabilities

VA administers five grant programs to assist Service members and Veterans with disabilities in obtaining necessary home modifications as follows:

1. VR&E Housing Adaptation Grant

(Change Date October 1, 2020)

Pub. L. 115-177 created a new section in 38 U.S.C. 2102B, which established a new grant authority referred to as the “VR&E Housing Adaptation Grant”. 38 U.S.C. 2102B provides the authority to transition home adaptations as part of a rehabilitation plan from VR&E to Loan Guaranty (LGY), specifically to the SAH program.

The VR&E Housing Adaptation Grant is not a traditional SAH grant. A claimant qualifying for the grant is not required to exhaust any other benefit first to include Home Improvements and Structural Alterations (HISA) or SAH funding, and does not need to apply for SAH to be found in need of the VR&E grant. However, this grant counts toward the six-time usage rules for SAH grants. There is a waiver with this grant that provides the authority to exceed the calendar limit on the amount of monies one can receive from traditional SAH grants.

Pub. L. 115-177 also amended 38 U.S.C. 3104(d) to prohibit the provision of home adaptations under the authority of Chapter 31. In accordance with 38 U.S.C. 3104(d), effective October 1, 2018, VR&E is prohibited from providing home adaptations, as defined below

(a) Process

(Change Date October 7, 2022)

If the in-home Comprehensive Independent Living Assessment (CILA) indicates that home adaptations are needed, the VRC must develop the VAF 2105, SAH/VRE Home Adaptation Referral Memo for approval by local leadership. After local leadership approves the referral memo, the VRC will send the referral memo via email to the VR&E IL Coordinator and IL mailbox at VBAVREIndependentLiving@va.gov, and the RLC of jurisdiction when the updated mailboxes are available.

The email must include the following information:

VRC and VR&E Officer name and contact information

Claimant's name, file number, and contact information including county of residence

The CILA, completed within the past six-month period, with a focus on all identified home adaptations noted

VAF 2105, SAH/VR&E Home Adaptation Grant Memo, including a description of the claimant's accessibility and mobility needs and an outline of part(s) of the identified home adaptation. For example, the project will require the services of a licensed contractor.

The VA RLC jurisdictions have been revised and provided below. Email addresses for these jurisdictions will be provided once they are available.

Mid-Atlantic Serving: Virginia, West Virginia, Kentucky, Tennessee, North Carolina, Indiana, Illinois, Missouri

Southeast Serving: South Carolina, Georgia, Florida, Alabama, Mississippi, Louisiana, Puerto Rico, Virgin Islands

Northeast Serving: Ohio, Michigan, Pennsylvania, New York, Connecticut, Rhode Island, Massachusetts, Vermont, Maine, New Hampshire, Delaware, Maryland, District of Columbia

Mid-South Serving: Texas, Oklahoma, Arkansas, Kansas, Colorado, Wyoming, Utah, Arizona, New Mexico, Hawaii

Northwest Serving: California, Nevada, Oregon, Idaho, Washington, Alaska, Montana, North Dakota, South Dakota, Nebraska, Iowa, Minnesota, Wisconsin

The VRC must upload a copy of this email to the claimant's VR&E record.

The VR&E home adaptation grants are managed through LGY's Specially Adapted Housing Special Home Adaptation (SAHSHA) records management system. In this regard, the VRC and local station manager must register in the LGY hub and complete the TMS course titled VRE Housing Adaptation Grant & SAHSHA System Training (# VA 4633274) to learn how to manage their referral in SAHSHA. Upon completion of this course, they are to send confirmation of completion to the VR&E IL Coordinator via email.

The assigned RLC will review the incoming VR&E 2102B Housing Adaptation Grant Referral. The RLC will assign an SAH agent to manage the home adaptation segment of the rehabilitation plan in collaboration with the VRC. The RLC will upload the CILA and referral memo to SAHSHA. Upon development of the IL grant record in SAHSHA, VR&E staff members shall be granted access to the system after completion of the required training.

Additionally, the SAH agent shall undertake the following activities:

Coordinate with the referring VRC on the initial meeting with the claimant regarding the grant referral. Resolve any queries with the VRC regarding the required home adaptations.

Following notification and verification of the comprehensive evaluation being uploaded in SAHSHA, the SAH agent and VRC shall conduct an in-home adaptation evaluation within 30 business days from the date the plan is uploaded into the system.

Complete a home suitability and feasibility study of the requested adaptations. This evaluation is documented on the VA Form 26-1858a. If feasible, the VRC is encouraged to attend this initial meeting with the assigned agent. The agent will include photos of the property. The report will cover all the necessary items required for SAH paraplegic cases.

The Minimum Property Requirements (MPR) may also be considered if the claimant is entitled to SAH benefits or their medical conditions determine that the requirement is necessary. If the claimant is not eligible for SAH grants, then an MPR will not be required.

The claimant is required to meet the SAH guidelines on home ownership. SAH will review all title documents.

This grant process is a Veteran's choice program, meaning the Veteran is required to locate a builder who is willing to work within the grant process. The builder must provide the following documents to the SAH agent:

Detailed plans and specifications

A comprehensive list of materials required

Cost disbursement schedule

(b) Approval

(Change Date October 7, 2022)

The VR&E Officer may approve the cost of all rehabilitation plans that include VR&E home adaptations up to the current VR&E grant amount.

If the total amount of the home adaptation under the VR&E Housing Adaptation Grant exceeds the current VR&E grant limit, a waiver is required.

The Executive Director of VR&E Service, in collaboration with the Executive Director of LGY Service, must approve the waiver before the rehabilitation plan is signed. The VR&E Officer, or designee, must submit a draft of VAF 28-0953, Executive Director's Checklist for Waiver of Veteran Readiness and Employment (VR&E) Housing Adaptation Grant Amount, and all required documentation noted on the checklist to the Executive Director of VR&E Service for approval through the VR&E IL Mailbox.

The Executive Directors of VR&E Service and LGY Service will review the information and provide a written response to the RO Director for the approval request, with a copy to the VR&E Officer and SAH agent of record within 30 business days from receipt of the drafted VAF 28-0953.

The concurrence process must be completed before the VRC and claimant sign the rehabilitation plan. Once the plan is signed, the VRC must provide a copy of the signed rehabilitation plan to the SAH agent. At this point, the home adaptation may begin.

(c) Completion of Home Adaptation

(Change Date October 1, 2018)

Following completion of the home adaptation objective of the rehabilitation plan, the SAH agent will advise the VRC of project completion, and both will perform a final in-home review to verify all aspects of the identified home adaptations are completed accurately. The SAH agent will be responsible for obtaining a satisfaction letter and final payment to the contractor who completed the home adaptation.

2. Home Improvements and Structural Alterations Grant

(Change Date August 15, 2013)

Service members and Veterans may receive assistance for home improvement and structural alterations necessary for the continuation of treatment or for access to the primary residence, with some exclusions. A claimant may receive a Home Improvements and Structural Alterations Grant (HISA) grant in conjunction with either a SAH or a SHA grant, if eligible. The HISA program is managed by VHA's Rehabilitation and Prosthetic Services.

Lifetime HISA benefits limits are:

$6,800 for a Veteran or Service member with a service-connected disability and for Veterans with a non-service-connected condition rated 50% or more service-connected.

$2,000 for a Veteran with a non-service-connected disability

Refer to HISA website for additional information about HISA grants.

b. Coordinate with Other VA Programs

(Change Date April 23, 2021)

The claimant can apply for SAH, Special Home Adaptation (SHA), and Temporary Residence Adaptation (TRA) grants online at va.gov or by completing and submitting VAF 26-4555, Veterans Application in Acquiring Specially Adapted Housing or Special Home Adaptation Grant to VBA.

To apply for a HISA grant, the claimant must have a prescription from a VA or fee-basis physician, in addition to completing and submitting VAF 10-0103, Veterans Application for Assistance in Acquiring Home Improvement and Structural Alterations, to VHA.

c. Verify Title Information

(Change Date October 1, 2018)

To qualify for home modifications that require construction under a VA program, such as VR&E Housing Adaptation Grant, SAH, SHA, TRA, or HISA, or as a part of an IILP, the claimant must provide evidence of title information per 38 CFR 36.4402. This ensures that the title is good and marketable, with no liens attached to the property and verifies the ownership of the property.

1. Name on the Title

(Change Date March 31, 2014)

The VRC must verify that the title of the home to qualify for home modifications that require construction as part of an IILP.

Verification is conducted using one of the following:

Claimant only

Claimant and spouse

Claimant and family member

Claimant and non-family member

Claimant's family member, or a non-family member, when the claimant resides or intends to reside in the property but is not listed on the title.

Note: This option is provided for the claimant that does not own housing that can be adapted or rents the home that will be adapted. The claimant must provide documentation from the owner of the home that states he or she agrees to the modification plan and will allow the claimant to reside in the home. In addition, the claimant must provide a personal statement indicating his or her intent to reside in the home on a permanent basis following the completion of the modification.

The VRC must inform and ensure that the claimant understands that there is a limit to the amount of money that he or she can receive from VA grant programs. Once this limit has been met, VA grant programs will no longer provide assistance with home modifications if the claimant moves to another residence.

Although there is no such limitation on the delivery of services by VR&E, the VRC must still follow the procedure to ensure that the claimant remains in the home on a permanent basis following the modification. The claimant must be confident that this housing arrangement will be permanent prior to the modification to the home. This process is necessary to ensure public funds are allocated in a responsible manner.

2. Good and Marketable Title

(Change Date March 31, 2014)

A good and marketable title has no clouds or encumbrances attached to it and can be transferred.

Definitions:

Good and marketable title - a title that a prudent buyer would accept.

Cloud on a title - a defect in the title that prevents an owner from providing a good and marketable title. For example, a lien remains on the title after the owner has paid the lien amount.

Encumbrance - an interest in the property held by someone other than the owner that affects the title or the use of the property. For example, the Internal Revenue Service has placed a lien on the property for non-payment of taxes.

The claimant must provide verification that the title is good and marketable before the VRC can proceed with the development of the home modification plan. If the clamant qualifies for a VA grant program, such as SAH, SHA, TRA, or HISA, a representative from one of those programs will assist with the provision of this information. However, if the claimant solely depends on VR&E for the provision of home modifications as part of an IILP, then the claimant must obtain this information and provide it to the VRC.

Evidence of a good and marketable title can be obtained via a title company or attorney. There will be a cost associated with obtaining this information. If the claimant provides the necessary information, the VRC can reimburse for the cost of obtaining this information, per M28C.V.B.6.

d. Pre-Solicitation Requirements for the Home Modification Process

(Change Date March 31, 2014)

The procurement process for obtaining home modification services through acquisition is a two-step process. The procedures outlined in this section represent the first step, and the procedures outlined in section 6.05.h of this chapter represent the second step of the process.

Note: This process only applies to claimants who do not meet the requirements for the VR&E Home Adaptation Grant. The denial from the SAH program must be in writing and documented in the claimant's VR&E record prior to proceeding with the acquisition process for home modifications.

Once the required home modification has been identified and determined feasible, the VRC must work closely with the Contracting Officer to complete a series of steps to ensure that the solicitation process is completed accurately and within regulations set forth in the Federal Acquisition Regulation (FAR) and Veterans Affairs Acquisition Regulations (VAAR).

The VRC and Contracting Officer work together to obtain the following information, which outlines the procedure to complete the first step in the procurement process.

Develop a Statement of Work that clearly defines all aspects of the proposed home modification.

Complete VAF 90-2237, Request, Turn-in and Receipt for Property or Services.

Complete Appendix A of VA Handbook 6500.6, Checklist for Information Security in the Initiation Phase of Acquisitions.

The Contracting Officer will secure the services of a Construction Management Service (CMS). The CMS provides an estimate of construction costs and develops a technical description of the work that will be suitable for obtaining bids from construction contractors.

If the cost of CMS is less than the Micro-Purchase Threshold, per FAR 2.101, the Contracting Officer will request that VR&E pay the CMS via a government purchase card, per FAR 13.301. The current Micro-Purchase Threshold for these types of services is $2,000.

If the cost of CMS is more than the Micro-Purchase Threshold, the Contracting Officer will issue a purchase order to pay for the service.

Note: Step two of the acquisition process occurs after the IILP has been developed and approved. The procedures for this process are described below in section 6.05.h of this chapter.

6.05 Independent Living Plan Development

The following information outlines the development of an IILP.

a. Analysis and Concurrence of Proposed Home Modification Plan

(Change Date October 1, 2018)

If a home modification is a part of the proposed IILP and the project is not part of the VR&E Housing Adaptation Grant, the VRC must complete an analysis of the home modification plan for review and concurrence by the VR&E Officer, Regional Officer (RO) Director, and/or Executive Director of VR&E Service, as applicable. The required level of review and concurrence depends on the cost of the proposed modification(s), per section 6.02 of this chapter.

This analysis must address the questions outlined in section 6.04 of this chapter and must include any additional supporting documentation relevant to the claimant's request for home modification. Supporting documentation must include professional drawings of the proposed modifications. The drawings, which may be blueprints or technical drawings, must define the rooms and surrounding areas where the construction will take place. The analysis should clearly identify the viability of the home modification.

Prior to submitting the plan for review and concurrence, the VRC must:

Summarize information from the home modification plan into a written report in the claimant's record, or an electronic case note.

Ensure the written report from the SAH/SHA agent who assisted in reviewing the home modification plan, if applicable, is placed in the claimant's VR&E record.

Ensure all documentation from the CMS, if applicable, is placed in the claimant's VR&E record.

The VRC must submit the analysis and supporting documentation to the VR&E Officer for review and concurrence. If additional levels of review are required based on cost, the VR&E Officer will forward to the next concurrence level, as indicated.

Note: This step does not apply for cases using the VR&E Housing Adaptation Grant. However, the IILP must include the coordination with SAH to have home adaptations provided via the VR&E Housing Adaptation Grant.

b. Develop the Independent Living Plan

(Change Date August 15, 2013)

All rehabilitation plans have common elements, but the VRC must ensure that the elements or services correspond with the claimant's identified needs. Refer to M28C.IV.C.2 for the required elements of all rehabilitation plans.

c. Determine Case Management Level

(Change Date August 15, 2013)

Refer to M28C.IV.C.2 for information regarding the required case management level, appointments, and contacts that must be followed for an IILP.

d. CWINRS Update

(Change Date August 15, 2013)

CWINRS requires updates to the claims processing and disposition tabs prior to the development of the rehabilitation plan. Refer to M28C.IV.C.2 for detailed information on CWINRS Actions regarding rehabilitation plan development.

e. Independent Living Plan Concurrence

(Change Date July 14, 2022)

In accordance with 38 CFR 21.162, the VR&E Officer must approve all IILPs before the VRC and claimant sign the plan. The VRC must submit the drafted VAF 28-10214, Rehabilitation Plan; VAF 28-0814, Checklist for Independent Living Plan Approval; and any additional relevant information, to include professional drawings if proposed home modification is a part of the IILP to the VR&E Officer for approval.

The VRC must ensure all levels of required approval or concurrence are completed prior to signing the IILP. Refer to section 6.02 of this chapter for more information pertaining to roles and responsibility related to IILP approval.

f. Independent Living Plan Non-Concurrence

(Change Date February 19, 2019)

If an IILP and/or associated cost is not approved for any of the concurrence levels, the VRC must perform one of the following tasks:

Make the recommended corrective action(s) to revise the IILP and resubmit for approval, or

Consider alternative rehabilitation options, if revision will not result in an approval.

In accordance with 38 U.S.C. 3107, if the IILP is not approved, and the claimant does not agree with the newly developed and proposed plan, the claimant may request a review of the plan at the RO level or appeal the development of the plan. In this situation, the claimant must submit the appropriate form to request the type of review or appeal he or she wishes to pursue. Refer to M28C.III.C.3 for detailed information.

g. Complete the Orientation for Home Modification Process

(Change Date August 15, 2013)

If home modification is part of the IILP, then the orientation must also include the following discussions:

Where will the claimant reside during the construction if it is necessary to vacate the home during the modification process?

Is the claimant prepared for possible delays in the construction process?

How will issues that arise and are identified during the construction process be addressed?

Does the claimant understand the coordination of services will require communication and cooperation with different entities?

Does the claimant understand his or her roles and responsibilities?

Any other questions specific to the claimant's home modification plan.

h. Procure Home Modifications

(Change Date March 31, 2014)

The procedures outlined here are step two of the procurement processes for procuring home modifications. Step one of the process was discussed above in section 6.04 of this chapter

If home modifications are part of the IILP and the cost of the modification is greater than the Micro-Purchase Threshold for construction, currently $2,000, the VRC must work closely with the Contracting Officer to secure the acquisition of these services. The VRC must complete the following activities:

1. Submit Information to the Contracting Officer

(Change Date March 31, 2014)

The documents that must be submitted include much of what was submitted to the Contracting Officer when the services of the CMS were obtained (as described above), with the addition of a few other documents. The VRC must submit the required information to the Contracting Officer to initiate support, including:

VAF 90-2237, which confirms that funding is available

Documentation of VR&E approval of funds, as indicated by the document on which the appropriate approval was provided

Description of the work to be performed, as outlined in the information provided by the CMS.

Copy of VA Handbook 6500.6, Appendix A, checklist that was submitted when the services of the CMS were obtained.

Copy of the signed IILP, with the redaction of the claimant's social security number.

Draft a waiver request for the RO Director to submit to the Executive Director of VR&E Service if quotes for construction are over $15,000.

2. Contracting Officer Activities

(Change Date March 31, 2014)

The Contracting Officer will complete the following activities to ensure that the procurement of home modification services is performed accurately and within the guidelines set forth in the FAR and VAAR:

Issue a solicitation for bids

Obtain quotes for the home modification

Notify the VRC if quotes are over $15,000, so a waiver can be requested prior to contract award.

Make an award for the completion of the home modification

Monitor the process to ensure that the contractor is paid in an accurate and timely manner

Perform a final site visit to sign off on project completion

i. Administer the Plan

(Change Date August 15, 2013)

The VRC must implement the services identified in the plan and must document all case activity in electronic case notes. The VRC, or a VA contract counselor, provides the claimant case management services to ensure that the objectives of his or her rehabilitation plan are being addressed and completed.

Additionally, the VA contract counselor must discuss with the VRC any concerns with the claimant and identifies appropriate action(s) to address the concerns. The VRC must document the concerns and corresponding actions in an electronic case note. This will ensure the claimant's successful completion of his or her rehabilitation program.

Refer to M28C.V.A for detailed information on plan implementation.

j. Evaluate and Amend the Plan

(Change Date November 7, 2014)

The VRC must review and evaluate the claimant's progress toward completion of the objectives of the rehabilitation plan. In accordance with 38 CFR 21.94 and M28C.IV.C.2, if additional services are needed to achieve the goal of the plan, the VRC must adjust or amend the plan accordingly. If the amendment to the plan includes additional construction costs, the VRC must obtain the proper level of approval. Refer to M28C.III.A.1 for information on case status during plan redevelopment.

6.06 Outcomes of Independent Living Plans

a. Rehabilitation

(Change Date November 4, 2013)

Refer to M28C.V.A.6 for information for declaration of rehabilitation and procedures for case closure.

The VRC must use VAF 28-0791, Pre and Post Independent Living Assessment at Case Closure, when determining rehabilitation closure following provision of services under an IILP.

b. Discontinued

(Change Date August 15, 2013)

If the claimant decides not to pursue IL services, does not respond to attempts by the VRC to participate in the rehabilitation plan, demonstrates non-cooperative behaviors, or does not complete planned services within the allowable timeline then it may be necessary to discontinue the case. Refer to M28C.V.A.6 for information for procedures on case closure for discontinuance

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PART V

Services, Procurement Costs, Retroactive Induction, & Payouts

Department of Veterans Affairs
VR&E Chapter 31 Codification

M28C.V.A.3 — Services, Supplies, and Equipment

Chapter 3

SERVICES, SUPPLIES, AND EQUIPMENT

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3.01 Providing Supplies and Equipment

(Change Date October 21, 2022)

The purpose for providing required supplies and equipment is to enable a claimant to pursue rehabilitation and achieve the goals of his or her program.

a. Definition of Supplies and Equipment

(Change Date November 7, 2013)

The term supplies is defined as books, tools, and other supplies and equipment which VA determines are necessary for the claimant's rehabilitation program.

The case manager is responsible for ensuring that any purchase of supplies is required or necessary for the claimant to pursue his or her rehabiliation goal. Refer to M28C.V.B.1.07 on authorization for supplies and other services.

The claimant must contact his or her case manager to request approval prior to purchasing any supplies that are optional, recommended, or reference books.

The claimant is responsible for payment of any unauthorized item.The claimant's failure to pay the bookstore may result in his or her inability to purchase any required books and supplies from the bookstore for subsequent terms.

Note: A computer and/or webcam must not be provided to any claimant for the sole purpose of participating in Tele-counseling. Refer to M28C.IV.A.1 for more information on Tele-counseling.

b. Determining When Supplies and Equipment are Needed

(Change Date June 18, 2024)

VA must provide a claimant with all the supplies, including consumable goods, needed for a program of rehabilitation services. The case manager is solely responsible for determining the need for the goods. In accordance with 38 CFR 21.210 through 21.222, VA will authorize only those goods which are required:

To be used by similarly circumstanced individuals who do not have a disability in the same training or employment situation

To mitigate or compensate for the effects of the claimant's disability while he or she is being evaluated, trained, or assisted in gaining employment

To allow the claimant to function more independently and to lessen his or her dependence on others

A case manager who questions the appropriateness of a request for a specific item must check with the facility to determine whether the program requires the item. VA cannot pay for an item solely because the claimant wants it. Unless the claimant qualifies under one of the exceptions outlined above, the case manager must not approve payment for the item if other participants in the same program do not need the item, and the case manager has not otherwise approved the item.

When the goods are not required, but still necessary for the claimant to successfully pursue his or her program under provisions of 38 CFR 21.156 pertaining to incidental goods and services, the case manager may authorize the item if both of the following conditions apply:

The item is generally owned and used by all students pursuing the required course.

Students who do not have the item would be placed at a distinct disadvantage in pursuing the course.

The case manager must take into consideration whether the claimant already owns the goods before authorizing purchase of the goods, including a computer package or Internet service. However, there may be situations when a claimant already owns a good, such as a computer, but it is still necessary to purchase the supply because it is used by others in the household. It may not be necessary to purchase Internet service in this situation if the claimant already has Internet service provided for the use of his or her entire household.

The case manager must document the determination of need for goods in electronic case notes. Refer to section 3.02 for additional documentation needed on the VAF 28-1905m, Request and Authorization for Supplies and Direct Reimbursement (Chapter 31 - Veteran Readiness and Employment), for Supplies for Special Programs. Information on how to document the need for supplies is outlined in M28C.V.B.4 and M28C.V.B.6.

Note: Once the goods are received by the claimant, he or she must verify receipt of the goods using one of the methods specified in M28C.V.B.4.

c. Authorizing Supplies and Equipment

1. Case Status Requirement

(Change Date November 7, 2013)

A claimant's case must be assigned to one of the following case statuses to be eligible to receive supplies:

Rehabilitation to the Point of Employability (RTE)

Extended Evaluation (EE)

Independent Living (IL)

Job Ready (JR)

2. Authorization Date

(Change Date November 7, 2013)

Supplies should be authorized after the date of enrollment in training or the beginning date of other rehabilitation services unless there are compelling reasons to authorize them earlier. Refer to section 3.01.c for more information on Early Release of Supplies. A case manager may authorize delivery of supplies only after the claimant signs his or her rehabilitation plan and is accepted to start training at a facility.

3. Instances when Prior Authorization Not Required

(Change Date November 7, 2013)

The case manager must preapprove all supply and equipment purchases, except when all the following apply:

The item is a standard required book, tool, or material

The facility requires the item for all individuals in the claimant's course or employment

The facility provides the item.

Items such as computer packages, cameras, and voice recorders must be approved in advance unless the facility requires all individuals pursuing the training course or program to own them personally.

4. Written Request from Claimant Required

(Change Date November 7, 2013)

Requests for supplies must be received in writing from the claimant; an email from the claimant meets this requirement. VA must not reimburse a claimant for supplies purchased without prior VA approval unless the case manager determines that the claimant was acting in good faith to obtain the supplies.

5. Reasons for Early Release of Supplies

(Change Date November 7, 2013)

Reasons for authorizing supplies before the training start date may include one or more of the following circumstances:

The facility does not provide the required supplies and the case manager must purchase the items using the government purchase card. Refer to M28C.V.B.4 for more information on using the government purchase card.

The facility provides the required supplies, but VA is required to submit orders for supplies to the facility before the training start date.

The required supply is needed prior to the training start date to increase the claimant's ability to succeed in his or her program, such as purchasing a computer in order to give the claimant time to adjust to new software systems.

The reasons for early release of supplies must be documented in electronic case notes.

d. Methods of Providing Supplies and Equipment

1. e-Authorization to Training Facility

(Change Date January 1, 2020)

Whenever possible, VA will use the e-authorization form available in the Integrated Payment Processing System (IPPS) to authorize the purchase of supplies from the claimant's training facility. This method ensures that supplies are available and can be secured in a timely manner. The case manager must only authorize supplies for approved periods. The e-authorization form outlines the approved supplies and is the basis for what services and supplies a vendor may invoice the VA. Refer to M28C.V.B.1.07 on authorization for Supplies, Services, and Training.

When a facility operates a bookstore for all students, payment to the bookstore for supplies issued to Chapter 31 claimants must not be greater than charges made to non-claimant students. Refer to the IPPS User Guide for information related to the preparation of the e-authorization form and processing payments for services. Refer to M28C.V.B.2 for additional information on IPPS.

2. Government Purchase Card

(Change Date November 19, 2015)

The government purchase card may be used as a procurement and payment method for supplies purchased for claimants participating in the VR&E Program in accordance with the information and regulations established in Federal Acquisition Regulation (FAR), VAAR, and VBA Letter 20-18-08, Veterans Benefits Administration Procedures for the Government Purchase Program. The government purchase card should be used by VR&E as a payment method for supplies not available at a local facility bookstore. Refer to M28C.V.B.4 for more information on using the Government Purchase Card.

3. Direct Reimbursement

(Change Date November 7, 2013)

Direct reimbursement is appropriate when a facility bookstore does not carry required supplies, or a vendor does not accept the government purchase card. Reimbursement to a claimant for the purchase of supplies should be the last available option and should not be utilized unless there is no other way to obtain the supplies in a timely manner. Refer to M28C.V.B.6 for more information on direct reimbursement.

e. Replacement of Supplies or Equipment

(Change Date February 19, 2019)

VA may replace items that are necessary to the further pursuit of the claimant's program when they are lost, stolen, misplaced, or damaged beyond repair through no fault of the claimant. A request for replacement of an item previously purchased must be received in writing from the claimant (an email from the claimant meets this requirement) and must explain how the item was lost, stolen, misplaced, or damaged. A police report must be attached to a request for the replacement of a lost or stolen item and evidence that the claimant investigated replacement through an extended warranty, service plan, or homeowner's insurance must also be presented by the claimant along with the request, as appropriate. If a replacement item is granted the claimant will be provided a replacement item at a comparable value of the previous item.

If the case manager grants the claimant's request for replacement of supplies or equipment, the claimant must be provided VR-64, Positive Chapter 31 Decision Letter. This letter must include VAF 20-0998, Your Rights to Seek Further Review of our Decision.

If the case manager denies the claimant's request for replacement of supplies or equipment, the claimant must be provided VR-58, Chapter 31 Adverse Decision Letter. The letter must include VAF 20-0998.

VA may make a loan from the revolving fund to a claimant to purchase an item that VA will not agree to replace, if the claimant is without funds to pay for the item. Refer to M28C.V.B.8 for more guidance on Revolving Fund Loans (RFL).

If a claimant refuses to replace an item needed to pursue the program after VA determines that its loss or damage was his or her fault, the claimant's refusal may be considered as noncooperation under 38 CFR 21.364. Refer to M28C.III.C.3 for more guidance on actions following findings of unsatisfactory conduct and/or cooperation. If the claimant's program is discontinued under provisions of 38 CFR 21.364(b), he or she will be able to be reenter the program only when the necessary items have been replaced, or it is determined the item is no longer required to complete the vocational goal or a different vocational goal.

f. Supplies Used in More Than One Part of the Program

(Change Date November 7, 2013)

VA will generally provide non-consumable supplies only one time, even though the same supplies may be required for use by the claimant in another subject or in another quarter, semester, or school year. Examples of non-consumable supplies that VA will generally only provide one time include the following:

Books

Computer packages

Voice recorders

Cameras

Tools

3.02 Providing Supplies or Equipment for Special Programs

a. Training in the Home

(Change Date November 7, 2013)

VA may provide the following supplies or equipment to claimants training in the home:

Books, tools and supplies required by all facilities that train individuals for the claimant’s objective, whether the training is at home or outside of the home.

Supplies and equipment that are essential because the claimant is pursuing training at home. Equipment in this category may consist of items that are not required by facilities that train outside of the home.

Special equipment, such as a vise or drafting table.

Supplies needed to enable the claimant to function more independently in his or her home and community.

b. Farm Cooperative Training

(Change Date November 7, 2013)

The books and related training supplies that VA may provide a claimant in farm cooperative training depend upon the type of instruction he or she is receiving. The following conditions apply:

When group instruction is part of a claimant's course, VA must provide books and supplies that the facility requires all students taking the course to own personally.

When all instruction is given on the claimant's farm by an individual instructor, VA must provide to the claimant only those textbooks and other supplies that would ordinarily be required by a facility.

c. Employment Services

(Change Date June 18, 2024)

A claimant receiving employment services may be provided with goods in the following situations:

The employer requires similarly circumstanced individuals to own the item upon beginning employment. This means that the items were not provided during the period that the claimant was training for the objective or that the items that were provided for training purposes are not adequate for employment.

VA determines that special equipment is necessary for the claimant to perform his or her duties, subject to the obligation of the employer to make reasonable accommodation to the disabling effects of the claimant's condition.

If the claimant needs goods to secure employment following training or while in a program consisting only of employment services, the case manager must take the following steps:

Obtain VAF 28-1905m, Request and Authorization for Supplies and Direct Reimbursement (Chapter 31 - Veteran Readiness and Employment), from the employer; the employer must identify the type of program and sign under Signature and Title of Official in Section III to verify that the requested items are necessary for the successful achievement of a vocational goal.

Arrange for delivery of the required goods during the period of employment services. Once the goods have been received by the claimant, he or she must verify receipt of the goods using one of the methods specified in M28C.V.B.4.

d. Self-employment

(Change Date November 7, 2013)

The case manager must determine what supplies and equipment the claimant needs for self-employment while developing the self-employment plan and secure all necessary approvals before authorizing supplies. The case manager and the claimant must prepare VAF 28-1905m to document the supplies that VA will provide. Refer to M28C.IV.C.5 for guidelines related to self-employment.

e. Independent Living

(Change Date November 7, 2013)

The need for any supplies or equipment being considered to address an IL need must be substantiated by results of both the preliminary and comprehensive IL assessments. The claimant’s rehabilitation plan must specify how the authorized equipment will be used to overcome an identified barrier to independence in daily living, include criteria to measure the success of providing this service, and explain how this success will be sustained after

VR&E services are terminated. Refer to M28C.IV.C.6 for additional information on supplies and equipment for IL plans and services.

f. On-the-Job Training, Apprenticeship, or Non-paid Work Experience

(Change Date June 18, 2024)

VR&E may purchase necessary goods for claimants participating in an On-the-Job Training (OJT), Apprenticeship, or Non-paid Work Experience (NPWE). The case manager must discuss with the employer any goods that are required of all journeymen employees on the job. This does not include goods that are normally owned by the employer. Uniforms that are normally rented must be rented as opposed to purchased. A VAF 28-1905m must be completed and signed by the employer, the claimant, and the case manager for all required goods. Once the claimant receives the goods, he or she must verify receipt of the goods using one of the methods specified in M28C.V.B.4.

g. Special Employer Incentive Program

(Change Date November 7, 2013)

A claimant who is eligible for the Special Employer Incentive (SEI) Program may be required to have specific training materials and supplies. The employer may receive reimbursement for direct expenses. The employer must be vendorized and obtain a facility code. The employer must submit an invoice which is authorized by the counselor in the Invoice Payment Processing system (IPPS). The employer must only be provided direct reimbursement for training materials and supplies that they provided which are required by all employees on the job.

h. Flight Training

(Change Date March 29, 2023)

Flight training may be authorized for a claimant as part of his or her degree curriculum in the field of aviation or related field.

Payment for medical examinations that are required to obtain a medical certificate may be authorized for the claimant to pursue pilot training.

In addition, payment for the flight insurance may be authorized for the claimant if the institution requires all students to purchase flight insurance. However, deductibles under the purchased insurance policy cannot be authorized since those are not an established charge or customary fee paid by all flight students.

3.03 Special Supplies and Equipment

(Change Date November 7, 2013)

Special supplies and equipment may be authorized as necessary to enable a claimant to mitigate or overcome the effects of a disability in pursuing a rehabilitation program. If the claimant needs special equipment and is eligible for the equipment under other VA programs, such as medical care and treatment at VA medical centers, then the items must be provided under that program.

When the case manager establishes evidence that special equipment may be needed for a claimant to begin, continue in, or complete a rehabilitation program, a referral to the Veteran's Health Administration (VHA) should be completed. The case manager should use VAF 28-8861, Request for Medical Services – Chapter 31, or electronic referral to describe the reason(s) he or she believes special equipment is needed as part of the claimant's rehabilitation plan, and to request that VHA conduct an evaluation and provide any necessary services. Refer to M28C.V.A.4 for further guidance on completing VAF 28-8861 or electronic referral.

Before the item may be purchased by VR&E, the VHA physician must determine that the claimant both:

Needs the special equipment, and

Is ineligible for the needed special equipment under other programs and benefits administered by VA.

The major types of special equipment that may be authorized by VR&E include the following:

a. Equipment for Educational or Vocational Purposes

(Change Date November 7, 2013)

This category includes items that are ordinarily used by all individuals pursuing training but are modified to make more accessible to an individual who has a disability (e.g. a calculator with speech capability for a claimant who is blind or visually impaired, a computer keyboard adapted for one-hand typing, or voice activation and speech recognition software).

b. Sensory Aids and Prostheses

(Change Date November 7, 2013)

This category includes items that are specifically designed to mitigate or overcome the effects of disability. They range from eyeglasses and hearing aids to closed-circuit TV systems that amplify reading material for claimants with severe visual impairments.

c. Modifications to Improve Access

(Change Date November 7, 2013)

This category includes adaptations of environment not generally associated with education and training, such as adaptive equipment for automobiles or supplies necessary to modify a claimant's home to make either training, self-employment or independence in daily living possible.

d. Mobility Aids

(Change Date November 7, 2013)

VR&E may provide mobility devices, such as wheelchairs or mobility scooters, as part of a rehabilitation plan of services when arrangements cannot be made to provide these services through VHA. A wheelchair or mobility scooter is defined as a mobility device designed to accommodate a disability and must be prescribed by a physician. Consultation between VR&E staff and VHA prosthetics staff may be necessary to determine what type of mobility device a claimant needs and to decide whether it can be provided by VHA. VR&E's authority to provide mobility services does not extend to the purchase or rental of automobiles, trucks, boats, or similar conveyances, such as golf carts or All-Terrain Vehicles (ATV). A tractor or mower must never be approved as a mobility aid.

e. Vehicles

(Change Date November 7, 2013)

The purchase or rental of vehicles for claimants participating in the VR&E Program is prohibited under any circumstance. A vehicle is defined as a conveyance moving on wheels, runners, tracks, or the like, that is used for transporting people or goods. VA must not authorize assistance for the purchase or rental of cars, trucks, boats, or other vehicles, such as golf carts or ATVs.

f. Firearms

(Change Date November 19, 2015)

Authorization for reimbursement for purchase of firearms is addressed during evaluation and planning with the claimant. For authorizing reimbursement for purchase of firearm for a claimant, the term “firearm” also refers to ammunition and firearm parts. The requirements for approving the authorization for reimbursement for purchase of firearms prior to plan development are outlined in M28C.IV.C.2.

g. Companion Animals and Service Dogs

(Change Date March 31, 2014)

Payment for the purchase of service dogs, guide dogs, or companion animals for claimants participating in the VR&E Program is prohibited under any circumstance. This also means that VR&E must not authorize payment for training, or any other services related to the claimant’s companion animals or service dogs. Refer to M28C.V.A.4 for further information related to the use of companion animals and service dogs.

h. Clothing, Magazines and Periodicals, and Items that May be Personally Used

1. Clothing

(Change Date March 31, 2014)

Protective articles or uniforms will be provided at VA expense, when the facility requires all individuals to wear this type of clothing to pursue training or employment. In accordance with 38 CFR 21.219(a), VA must not provide any other types of clothing, including caps and gowns for graduation.

If the case manager grants the claimant's request for supplies or equipment, the claimant must be provided VR-67, Positive Chapter 31 Decision Letter at Plan Development or VR-64, Chapter 31 Positive Decision Letter if the request is approved outside of plan development. This letter must include VAF 20-0998, Your Rights to Seek Further Review of our Decision.

If the case manager denies the claimant's request for supplies or equipment, the claimant must be provided VR-58, Chapter 31 Adverse Decision Letter. The letter must include VAF 20-0998.

2. Magazines and Periodicals

(Change Date February 19, 2019)

In accordance with 38 CFR 21.219(b), appropriate past issues of magazines, periodicals, or reprints may be provided in the same manner as books when required for a course or training.

If the case manager grants the claimant's request for supplies or equipment, the claimant must be provided VR-67, Positive Chapter 31 Decision Letter at Plan Development or VR-64, Chapter 31 Positive Decision Letter if the request is approved outside of plan development. This letter must include VAF 20-0998.

If the case manager denies the claimant's request for supplies or equipment, the claimant must be provided VR-58, Chapter 31 Adverse Decision Letter. The letter must include VAF 20-0998.

3. Items that May be Personally Used

(Change Date February 19, 2019)

Musical instruments, cameras, or other items that could be used personally by the claimant must only be provided if required by the facility to meet requirements for degree.

If the case manager grants the claimant's request for supplies or equipment, the claimant must be provided VR-67, Positive Chapter 31 Decision Letter at Plan Development or VR-64, Chapter 31 Positive Decision Letter if the request is approved outside of plan development. This letter must include VAF 20-0998, Your Rights to Seek Further Review of our Decision.

If the case manager denies the claimant's request for supplies or equipment, the claimant must be provided VR-58, Chapter 31 Adverse Decision Letter. The letter must include VAF 20-0998.

i. Supplies for Special Projects and Theses

(Change Date February 19, 2019)

The amount of supplies that VA may authorize for special projects, including theses, must not exceed the amount generally needed by similarly circumstanced individuals in meeting course or thesis requirements. The claimant's committee chairman, major professor, department head, or appropriate dean must certify that the special project or thesis is a course requirement and that the expenses are reasonable and required to complete the project or thesis. Furthermore, requests for supplies for special projects and theses may have additional requirements the claimant must provide prior to the case manager making a determination regarding the request in a timely fashion. Requests for special projects and theses will not be granted on the sole basis there is not enough time to change the project or thesis. In accordance with VA Acquisition Regulation (VAAR) 831.7001-3 (e), these expenses may include research expenses, typing, printing, microfilming, or copying.

If the case manager grants the claimant's request for supplies, the claimant must be provided VR-67, Positive Chapter 31 Decision Letter at Plan Development or VR-64, Chapter 31 Positive Decision Letter if the request is approved outside of plan development. This letter must include VAF 20-0998, Your Rights to Seek Further Review of our Decision.

If the case manager denies the claimant's request for supplies, the claimant must be provided VR-58, Chapter 31 Adverse Decision Letter. The letter must include VAF 20-0998.

j. Upgrades and Maintenance

(Change Date November 7, 2013)

While the claimant is in a rehabilitation program, VR&E must arrange for maintenance of computer or special equipment. VR&E may pay for upgrades to the computer or special equipment for the claimant's program or to make the claimant competitive in the employment market.

1. Extended Warranty/Service Plan

(Change Date November 7, 2013)

Often the best way to get system maintenance is to buy a reliable, comprehensive extended warranty/service plan on the equipment for the projected duration of the claimant's program.

2. Upgrading to a New Computer System

(Change Date November 7, 2013)

Upgrading may involve buying a new computer system if the claimant's current system cannot be adequately upgraded to meet either of the following:

The current needs of the rehabilitation program course work.

The projected use of the computer in the claimant's planned employment.

Upgrading to a new system includes the transfer of the software and files from the old system onto the new system.

3. End of VR&E Responsibility

(Change Date November 7, 2013)

VR&E responsibility for maintenance and upgrade of supplies and equipment purchase by VR&E ends when the case manager places the claimant's case in Rehabilitated or Discontinued case status.

k. Child Care Services

(Change Date November 7, 2013)

A case manager may authorize assistance for a Veteran's child care if the case manager determines that child care is necessary for the implementation or continuation of the claimant's rehabilitation program as outlined in 38 CFR 21.156. However, this service does not pertain to provision of services as outlined in 38 CFR 21.210 through 21.224.

1. Limited Assistance

(Change Date March 31, 2014)

A case manager may not routinely authorize recurring child care expenses. This limited assistance may only be authorized after all other options have been explored and determined as not viable solutions.

2. Limitations

(Change Date November 7, 2013)

Generally, child care assistance must not be authorized for more than one semester for the claimant pursuing college training or the equivalent amount of time for the claimant pursuing vocational or technical school training. In rare instances, when payment of child care expenses is approved, a licensed facility must be used to provide child care. Under no circumstances must payment be authorized for child care services that are being provided by a claimant's family member.

3. Resources

(Change Date November 7, 2013)

The following are some resources that a case manager must explore and utilize for child care assistance:

Child Care Access Means Parents In School Program This is a Department of Education sponsored program, which supports the participation of low-income parents in the postsecondary education system through the provision of campus-based child care services. Institutions of higher education that are awarded grants under this program may subsidize the costs of child care services for low-income students.

Authorization under Public law 101-508 Part of Public Law 101-508 enacted legislation on Child Care and Development Block Grant Act of 1990, to make child care affordable for more parents. It provides eligible participants with temporary child care assistance during periods of subsidized job training and transitional periods after such training. As authorized by Public Law 101-508, child care assistance is available to eligible families through state agencies that administer federal grants. Each state determines eligibility requirements for families within their state. The case manager may refer the claimant to a list of state agencies on the National Child Care Information Center . The claimant may contact the coordinating agency in his or her state directly for eligibility information and how to apply for assistance. In some states, families can apply by telephone or mail.

4. Other Referral Agencies

(Change Date November 7, 2013)

Numerous communities also identify child care resources and referral agencies that can provide information about how to apply for child care assistance. A list of childcare resources and referral agencies is available from Child Care Aware .

5. Need Documentation

(Change Date November 7, 2013)

Prior to authorizing goods and services under 38 CFR 21.156, the case manager must explore the claimant's current circumstances and need. Procurements under this section are limited to those items and services that are necessary for a claimant to begin or continue in a rehabilitation program. When authorizing goods and services under this section, the case manager must document the claimant's identified need for assistance, as well as other resources explored and the outcome of those efforts. The narrative for the claimant's need for child care assistance must be documented on CWINRS Notes or VAF 28-1902n. The case manager must include a thorough analysis of the claimant's financial condition including his or her income, assets and monthly expenses.

6. Cost Limitations

(Change Date November 7, 2013)

Authorization for child care assistance must follow the same provision under 38 CFR 21.156. Ordinarily, the cost for child care assistance must not exceed $1,250 per year. Any authorization in excess of $1,250 requires the approval of the VR&E Officer.

l. Textbook Rentals

(Change Date February 25, 2022)

(1) Hardcopy Textbook Rentals

Claimants have the option choose to rent hard copy textbooks rather than VR&E purchasing them. Book rentals for hardcopy textbooks may be authorized and paid for in the Invoice Payment Processing System (IPPS) or via direct reimbursement. Refer to

M28C.V.B.2 for more information on IPPS and M28C.V.B.6 for more information on direct reimbursements.

Claimant's Responsibilities

Claimants are responsible for any upfront “hold” procedures or fees and such fees are not payable or reimbursable.

Claimants are responsible for any lost, stolen, damaged or late textbook rental fees.

Claimants who are unable to adhere to these provisions must opt out of the rental option and work with their case manager to obtain textbooks.

Case Manager Responsibilities

Case managers must not use the Government Purchase Card to issue payment for textbook rentals or upfront “hold” fees to any school bookstores.

Case managers must not approve payments for lost, stolen, damaged or late textbook rentals fees.

Case managers must not authorize the payments for book rentals when the same textbook has already been purchased for the claimant.

(2) Electronic Textbook Rentals

(Change Date January 29, 2021)

Electronic textbook rentals or online access fees may be authorized and paid in IPPS or reimbursed via direct reimbursement as outlined in section (1) above.

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M28C.V.B.1 — Program Costs and Approval Levels

Chapter 31 program.

The levels of approval are as follows:

1. Vocational Rehabilitation Counselor

(Change Date January 18, 2023)

The VRC may approve rehabilitation plans with annual costs of up to $50,000, except for the following rehabilitation plans:

a) Self-employment plan

b) Independent living plan

c) Extended evaluation plan

2. Veteran Readiness and Employment Officer

(Change Date August 16, 2024)

The approval of the VR&E Officer must be granted for the following program of services and costs.

a) Program Costs

The responsibility for approving for the following program costs is delegated to VR&E Officer and cannot be delegated to any designee as specified in 38 CFR 21.430:

Rehabilitation plan with annual costs of $50,000 to $75,000

Retroactive inductions

Individualized Extended Evaluation Plan (IEEP) with program costs that exceed $25,000

Rehabilitation plan that contains the VR&E Housing Adaptation Grant with costs up to the SAH limit

Rehabilitation plan with program costs of up to $2,000 that includes construction using Acquisition

IILP with program costs of up to $75,000 for a calendar year and does not contain construction

Self-employment plan with program costs of up to $49,999

Reimbursement for purchase of a firearm

High Dollar Invoices (38) CFR 21.430

b) Rehabilitation Plan and Extension of Period of Services

The responsibility for the following approvals is delegated to the VR&E Officer and may be delegated to a designee:

Extended evaluation that exceeds the 12 month period (38 CFR 21.74)

Entitlement that exceeds 48 months (38 CFR 21.78)

Individualized Independent Living Plans (IILP) (38 CFR 21.162)

IILP that exceeds 24 month period, but does not exceed the 36 month period (38 U.S.C. 3105(d))

Special Employer Incentive (SEI) program that exceeds the six month period (38 CFR 21.256),

Overturning previous rehabilitation decision for a case that is reopened less than one year from the date of closure

Overturning previous discontinuance decision using Maximum Rehabilitation Gain (MRG) for a case that is reopened less than one year from the date of closure

3. Regional Office Director

(Change Date February 19, 2019)

The Regional Office (RO) Director must approve the following program and costs:

Rehabilitation plan that exceeds the program costs of $75,000-$100,000 per calendar year

IILP with program costs of $75,000 to $100,000 and does not include construction

IILP that includes construction costs between $2,000 and $15,000 using Acquisition

Reimbursement for purchase of a firearm

4. Executive Director, VR&E Service

(Change Date June 21, 2023)

The Executive Director of VR&E Service must approve the following program and costs:

Rehabilitation plan with program costs that exceed $100,000 per calendar year

Self-Employment plan with program costs that exceed $49,999

Rehabilitation plan that does not include IL construction costs of services that exceed $100,000 per calendar year using Acquisition

Rehabilitation plan that includes IL construction costs that exceed $15,000 using Acquisition

Rehabilitation plan that includes a VR&E Housing Adaptation Grant that exceeds the SAH grant limit

IILP that exceeds the 36 month period

c. Documentation

(Change Date November 7, 2013)

When a claimant's program costs exceed the Vocational Rehabilitation Counselor's level of authority, the case manager must create a memorandum describing the program costs. This memorandum must include appropriate concurrence lines. The High Cost

Memo is located in CWINRS under the Rehabilitation Tab and can be accessed by clicking "View Plan" and choosing the "High Cost Memo" button.

The case manager must review estimated program costs during each annual review of the rehabilitation plan to ensure that the costs have not increased since the rehabilitation plan was implemented. However, program costs approval thresholds are based on a calendar year.

d. Increase in Program Costs that Exceed Cost Approval

(Change Date November 7, 2013)

When the case manager determines that a claimant's actual program costs will exceed the original estimated cost, the case manager must consider whether the program requires a higher level of concurrence. If the case manager determines that the new cost projections exceed the limit that has been approved, he or she must seek the appropriate level of concurrence. In this instance, the claimant will continue with his or her planned program while the case manager obtains the appropriate cost approvals.

e. Program Costs Not Approved

(Change Date February 19, 2019)

If program costs are not approved by the appropriate authority, then the case manager must inform the claimant of the denial by letter and must explain the reason for the denial using Vocational Rehabilitation VR-58, Chapter 31 Adverse Decision Letter and VA Form VAF 20-0998, Your Rights to Seek Further Review of our Decision.

1.03 Vendorization

a. Overview

(Change Date November 7, 2013)

Vendorization is the process that allows vendors' information to be entered into Financial Management System (FMS). This is a prerequisite to processing payments for facilities, contractors, and other service providers. Vendors who provide services or supplies to Chapter 31 claimants must be vendorized by submitting either a Tax Identification Number

(TIN) or Social Security Number (SSN) to the Financial Management System (FMS) before the Treasury Department will release a payment through this system.

b. Purpose

(Change Date July 2, 2014)

Any vendor that will be submitting invoices to VA must be vendorized or set up in the FMS by the Financial Services Center (FSC) Vendorizing Unit (0473A1) in Austin, Texas, so that payments can be made for services. In accordance with the Debt Collection Improvement Act of 1996 the majority of the federal payments must be made by Electronic Funds Transfer (EFT).

c. Procedures

(Change Date October 1, 2020)

All requests must be submitted using the webform in the Customer Engagement Portal (CEP) at https://www.cep.fsc.va.gov/. All requests will be processed within one to five business days.

The vendor must register in CEP using ID.me. The vendor must only register once and must use ID.me username and password when accessing the site.

d. Vendorization of Multiple Locations of Same Facility

(Change Date November 7, 2013)

In some situations, a vendor may have established centralized accounts to receive payments for services provided to claimants who are training either on-line, at the main campus, or at a branch or satellite campus. The facility location for enrollment authorization must be identified correctly. The locations and addresses are displayed in IPPS in the Search for Vendor Section of the Authorization Form. For more information on Vendor Search, refer to the IPPS User Guide.

1.04 Budget Object Codes

(Change Date November 7, 2013)

Budget Object Codes (BOC) reflect the nature of financial transactions when obligations are first incurred and are an expansion of the associated object classes. Object classes are categories or accounting identifiers that code financial obligations according to the nature of the services or items purchased by VA. The object class is used throughout the Federal Government.

The budgets for General Operating Expense (GOE) and Educational Vocational (Ed/Voc) funds are set by the Office of Field Operations (OFO) and distributed to RO accounts. Applicable funds must be available and appropriately allocated prior to any contracting action. The person making the expenditure will be in violation of the Anti-Deficiency Act and can be held personally liable and responsible for reimbursing the government for unfunded expenditures. Readjustment Benefits (RB) funds are not subject to a budgetary limit but must be closely monitored in CWINRS and/or CAATS.

VR&E utilizes the following three fund types in the provision of services to claimants participating in the VR&E Program:

a. General Operating Expenses

(Change Date November 7, 2013)

GOE funds are used to provide services considered inherently governmental to mitigate staffing gaps or provide more geographically convenient or timely services to claimants. This includes services typically provided by case managers and actions that approve and/or pay benefits for claimants. This fund type corresponds to the following BOC categories:

2504: Initial Evaluation

2505: Case Management

2506: Employment Services

b. Educational Vocational Funds

(Change Date July 15, 2022)

Educational and Vocational (Ed/Voc funds) are used to provide services to claimants eligible to receive Ed/Voc counseling under Chapters 30, 32, 33, 35 (including Special

Restorative Training [SRT] and Specialized Vocational Training [SVT]), and 1607. Although these funds are a part of the readjustment benefit costs for VA, the costs recorded in this account are governed by a statutory $6 million limitation per fiscal year. This fund type corresponds to the following BOC category:

4192: Non-Chapter 31 Contract Counseling

c. Readjustment Benefits Account

(Change Date November 4, 2022)

Readjustment Benefits (RB) funds are used to provide services to claimants participating in the VR&E Program, including BOC categories in the 4000 series. RB funds are not subject to a budgetary limit but must be closely monitored. This fund type corresponds to the following BOC categories:

2504: Initial Evaluation

2505: Case Management

2506: Employment Services

4192: Non-Chapter 31 Contract Counseling

4107: Tuition and fees

4108: Books

4109: Supplies

4112: Handling Charges

4113: Tutorial

4114: Mandatory Taxes

4118: Shipping Fees

4150: Required Equipment

4155: One-time Miscellaneous Items

1.05 High Dollar Invoice Approval Levels

(Change Date August 26, 2019)

The following levels of approval are required for single invoices that are considered high dollar invoices.

a. Tuition Approval Threshold

(Change Date August 26, 2019)

Case Manager: Less than $25,000.00

VR&E Officer: $25,000.00 to $49,999.99

RO Director: $50,000.00 to $99,999.99

Executive Director of VR&E Service: $100,000.00 or greater

b. Books Approval Threshold

(Change Date August 26, 2019)

Case Manager: Less than $5,000.00

VR&E Officer: $5,000.00 to $9,999.99

RO Director: $10,000.00 to $14,999.99

Executive Director of VR&E Service: $15,000.00 or greater

c. Supplies Approval Threshold

(Change Date August 26, 2019)

Case Manager: Less than $5,000.00

VR&E Officer: $5,000.00 to $9,999.99

RO Director: $10,000.00 to $14,999.99

Executive Director of VR&E Service: $15,000.00 or greater

These thresholds only apply to a single invoice and should not be confused with the High Program Cost approval levels, which are related to the total cost of services approved in a calendar year, (CY) as outlined in M28C.IV.C.2.

For example, if a case manager receives an invoice, totaling $20,000, for a claimant for the spring term and then another invoice, totaling $15,000, is received for the summer term, and then a third invoice, totaling $20,000 is received for the fall terms of the same CY, the case manager has the approval level to authorize all three invoices since none of the invoices exceeds the $24,999.99 threshold. However, using the same example, because the total cost of the services exceeds the annual $50,000 high program cost threshold in one calendar year, a high program cost memo must be signed by the VR&E Officer and filed in the claimant's VR&E record.

The VR&E Officer or Assistant VR&E Officer and the RO Director roles in IPPS are assigned for each VR&E office. If an invoice is received that requires the Supervisor or RO Director's approval and the VR&E office does not have a user assigned to that role, the invoice will remain in the Pending-High Value Invoice Review status and will not go to FMS for payment processing.

1.06 Facility Invoices

(Change Date November 7, 2013)

A case manager must take the following specific guidelines into consideration when reviewing and approving an invoice from a facility.

a. VAAR 831.7001-1

(Change Date November 7, 2013)

In accordance with VAAR 831.7001-1, when federal funds pay the total cost of instruction, or grants from the Federal Government pay a portion of the cost, that subsidy must be taken into consideration in determining the charge to VA.

The following guidelines are derived from VA policy and regulations:

VA pays in arrears directly to the institution all vouchers for the claimant's tuition, required fees, books and supplies. Therefore, VA must not be billed for a particular term or semester until after any drop/add period for that term has ended. The claimant under Chapter 31 or dependent under Chapter 18 should not have his or her registration cancelled for non-payment of these expenses, since VA has obligated payment for that term.

VA should be billed only for the actual cost for tuition and fees assessed by the institution for the program of education after the application of:

Any waiver of, or reduction in, tuition and fees; and

Any fellowship, scholarship, grant-in-aid, assistantship, or similar award, or other federal, state, instructional, or employer-based aid or assistance that is provided directly to the institution and specifically designated for the sole purpose of defraying tuition and fees, with the following exception: Loans and any funds provided under section 401(b) of the Higher Education Act of 1965 (20 U.S.C. 1070a), such as Pell grants, should not be used to reduces the amount billed to VA.

If the award limits its use to payment of tuition, fees, or any charge that VA normally pays as part of a claimant's rehabilitation program, then VA will pay the portion of the charges remaining after applying the award.

In all other cases, VA will pay the full amount of the tuition, fees, or other charges unless a state or other government authority waives the claimant's tuition and fees. In this situation, VA will reduce the payment of charges by the amount of the waiver.

If the claimant receives assistance that is not specifically designated for tuition and fees (funds that may be disbursed directly to the claimant) from a federal, state, or private contribution, the VA will not deny or reduce a Chapter 31 payment on behalf of the claimant unless the claimant actually applies such funds to tuition and fee charges. If the claimant chooses to apply such assistance to tuition and fees, the school should then reduce its bill to the VA by an equal amount.

Reimbursement of duplicate funding or errors in accounting: All errors in accounting or disbursing funds should be corrected by the school and any funds that are unused by, or recouped from, the claimant or another source should be returned to the appropriate funding source, including VA. It is the responsibility of the school to contact the agency that created the duplication and arrange the return of any unused funds.

b. Public Law 111-377

(Change Date November 7, 2013)

In accordance with Pub.L. 111-377, facilities are not required to apply for loans, or any funds provided under section 401(b) of the Higher Education Act of 1965 (Pell grant) before billing the VA. The Pell grant is designed to provide a foundation of financial aid to help defray education costs to include living expenses.

c. In-State Tuition

(Change Date July 30, 2021)

Effective for courses, semesters or terms beginning after March 1, 2019, all public IHLs must charge the resident rate to Chapter 31 claimants, as well as the individuals previously covered in 38 U.S.C. 3679(c).

Refer to M28C.IV.C.2 for additional and updated information on in-state tuition.

1.07 Authorization for Services, Supplies, and Training

(Change Date July 1, 2022)

An authorization notifies the training facility that a Chapter 31 claimant is approved by VA to attend a program of training or course and that VA is responsible for payment for the claimant's tuition, fees, books, and supplies. The end date on the enrollment period being authorized must not be more than one year from the start date.

Prior to processing an authorization, an Individualized Written Rehabilitation Plan (IWRP) must be developed upon determination that the claimant needs a period of training and rehabilitation services to develop the skills necessary to obtain and maintain suitable employment. Refer to M28C.IV.C.2 for procedures on plan development and redevelopment.

a. Methods for Authorization

1. Authorization via Invoice Payment Processing System

(Change Date November 4, 2022)

The case manager must create authorizations for training, services, and supplies in the Invoice Payment Processing System (IPPS) when authorizing training facilities or vendors to provide services and supplies to Chapter 31 claimants and to authorize payments to approved vendors. The authorization via IPPS is also referred to as an e-Authorization. If a school certifies enrollment for more than one year, a new authorization must be submitted for the period that extends beyond one year. At least one service on the new authorization must be selected, even if no additional invoices are expected to be submitted for the authorization.

Note: This process is to allow the authorization of subsistence allowance beyond one year, when a facility has invoiced for an entire term that is longer than one year, such as a 15 month cosmetology program.

The training must be outlined in the claimant's rehabilitation plan as an intermediate objective prior to the case manager's issuing the authorization.

Case managers must use the appropriate Budget Object Code(s) (BOC) when authorizing services in IPPS as follows:

BOC 4107: Tuition and Fees

BOC 4108: Required Books

BOC 4109: Required Supplies

BOC 4112: Handling Charges

BOC 4113: Required Tutorial Services

BOC 4114: Mandatory Taxes

BOC 4118: Shipping Fees

BOC 4150: Required Equipment

BOC 4155: Required One-Time Miscellaneous

The case manager must check the appropriate BOC box for the services being authorized for the claimant.

The facility code identified on the authorization in IPPS must be the same facility code the SCO uses when certifying training in Enrollment Manager. If the facility codes do not match, the case manager must request that the SCO update Enrollment Manager with the facility code identified in the IPPS authorization. If Enrollment Manager is not updated within three business days from this request, the case manager must process the subsistence allowance payment using the facility code identified on the IPPS authorization to avoid a delay in subsistence allowance payment. The case manager must clearly document these actions in electronic case notes to prevent a potential fiscal error related to subsistence allowance processing when facility codes do not match in IPPS and Enrollment Manager.

Once an e-Authorization is completed, a unique authorization number is assigned to track and report the status of the authorization.

In addition, a system-generated email will be sent to the point of contact listed in the service provider email. This notifies the facility that an e-Authorization is now available in the Tungsten Network. Refer to the IPPS User Guide and Transition to e-Authorization and e-Invoicing Playbook for more information on how to authorize and approve payments in IPPS.

2. Authorization using VAF 28-1905, Authorization to School, On-Job-Training Establishment or Facility

There are two circumstances when VAF 28-1905 may be used for authorization:

When a facility is in a foreign country since payments to these facilities cannot be processed in IPPS.

When payments for services or supplies will not be billed by the facility, such as OJT, Apprenticeships, Non-Paid Work Experience (NPWE), Work adjustment evaluations.

The case manager must send a completed VAF 28-1905 to the training facility once the IWRP has been completed and signed by the claimant and the VRC.

b. Authorization for Training at More than One Facility

(Change Date August 13, 2021)

A claimant may be authorized to attend training at more than one facility based on the following conditions:

The claimant is taking a combination course for an OJT and an institutional training.

The claimant is attending two institutions of higher learning.

Prior to authorizing a claimant's school attendance at more than one facility, the case manager must ensure that the primary training facility will accept the courses to be taken by the claimant at the secondary training facility.

Refer to M28C.IV.C.2.04.b.2 for developing intermediate objectives for a claimant who will be attending training at more than one facility.

c. Authorization for Supplies and Other Services

Payment for a bookstore or a service provider may be authorized in IPPS using the facility code of the related training facility. However, the VR&E Officer must ensure that there is a documented agreement between the training facility and the bookstore or service provider. Information listed in the training facility website that verifies the agreement, such as a link to the bookstore, is an acceptable form of documentation.

Note: IPPS is not an authorized method for purchasing supplies from an unapproved vendor that has no documented agreement with the training facility.

d. VA cancels an e-Authorization

The case manager must contact and notify the vendor when an e-Authorization is cancelled. The case manager must also inform the vendor if a new e-Authorization will be re-issued.

e. Vendor rejects an e-Authorization

IPPS does not automatically generate a notification to VA when a vendor rejects an authorization.

Prior to creating an e-Authorization, the case manager must inform the vendor that it is necessary for the vendor to notify the case manager when he or she rejects an e-Authorization and to explain the reason for the rejection.

f. Facility Codes

All authorizations entered in IPPS or completed using VAF 28-1905 must provide a valid facility or sub-facility code to complete the authorization.

A facility code is a unique eight-digit code that identifies facilities approved for payment of education or training under all VA educational benefits, including the Chapter 31 program.

A facility code that includes an “X” as the third digit in a facility code are referred to as “sub-facility codes” (SFC), This represents the location of extension campuses.

When authorizing payments in IPPS for bookstores and related services, such as parking, the facility or sub-facility code of the training facility that has an agreement with the bookstore or vendors for related services must be used.

The case manager must access the Web Enabled Approval Management System (WEAMS) to obtain assigned facility or sub-facility code.

Case managers must request access to WEAMS to ensure that the correct facility codes are used when issuing authorizations. Access may be requested by completing and submitting VAF-8824e, Common Security Services (CSS) User Access Request.

Under no circumstances should an invalid facility code that is not assigned in WEAMS be used for any authorization.

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M28C.V.B.5.01 — Cost Approval Thresholds and Procurement

> This section is consolidated on KnowVA. Detailed reference guidelines are provided here for cross-reference.

5.01 Cost Approval Thresholds

VA personnel must adhere to strict cost approval thresholds for procurement of services, tuition, tools, and technology.

> **VOCATIONAL REHABILITATION COUNSELOR (VRC) AUTHORITY**
>
> VRCs have independent authority to approve standard educational services, tuition, fees, and supplies up to $35,000 per year, provided the services are included in an approved rehabilitation plan.

> **VOCATIONAL REHABILITATION AND EMPLOYMENT OFFICER (VREO) CONCURRENCE**
>
> Purchases or annual plan costs exceeding $35,000 but under $100,000 require the written concurrence of the VREO.

> **DIRECTOR OF VR&E SERVICE (CENTRAL OFFICE) APPROVAL**
>
> Any plan where the total estimated cost exceeds $100,000, or where specialized equipment/adaptions exceed statutory limits, must be forwarded to the Director of VR&E Service for central office approval.

5.02 Supplies, Technology, and Computer Packages

Under 38 C.F.R. 21.212 and 21.220, there is no flat statutory dollar cap on approved books, supplies, or computer technology. VRCs must evaluate requests on an individualized necessity basis.

RULE OF NECESSITY

A computer package or specific supplies must be authorized if required by the educational institution for all students, OR if necessitated by the veteran's disability (e.g. adaptive software, lightweight laptop for mobility), OR if the lack of such technology puts the veteran at a distinct disadvantage compared to non-disabled peers.

VA ERROR SPOTTER

VRCs who deny a computer package because it "exceeds a $500 cap" are committing an administrative error. Counselors are required to perform a written, individualized analysis of necessity.

M28C.V.B.6 — Retroactive Induction Guidelines

Chapter 6

DIRECT REIMBURSEMENT AND RETROACTIVE INDUCTION

6.01 Direct Reimbursement

a. Authorization of Direct Reimbursement

b. Approval Criteria for Direct Reimbursement

c. Processing a Direct Reimbursement

6.02 Retroactive Induction Criteria and Limitations

a. Criteria for Retroactive Induction

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6.03 Retroactive Inductions for a Period Previously Completed via Self-Pay

a. Roles and Responsibilities

b. Completing the Retroactive Induction

6.04 Retroactive Inductions for a Period Previously Completed Under Chapter 33

a. Prior to Veteran Readiness and Employment Officer Approval

b. Veteran Readiness and Employment Officer Concurrence of Retroactive Induction

c. Required Regional Processing Office Contact

d. Yellow Ribbon Program Participants

6.05 Retroactive Induction for a Period Previously Completed Under Chapters 30, 35, and 1606

a. Important Items to be Aware of When Processing a Retroactive Induction Involving Chapters 30, 35, and 1606

b. Prior to the VR&E Officer's Approval of a Retroactive Induction Involving Chapters 30, 35, and 1606

c. After the VR&E Officer's Approval of the Retroactive Induction Involving Chapters 30, 35, and 1606

6.06 Impact of the New Interpretation of the 48-Month Rule on Chapter 31 Claims

a. Open Chapter 31 Cases

b. Open Chapter 31 Cases Where a Retroactive Reimbursement was Previously Completed for Only One Term

c. Open Chapter 31 Case Where the Claimant Has an Updated Certificate of Eligibility Reflecting Chapter 33 Entitlement

d. Cases Closed Between April 1, 2021 and March 11, 2022

e. Cases Where Retroactive Induction Was Requested and Not Processed Prior to Closure

6.07 Movement of Entitlement for Previously Completed Retroactive Reimbursements

a. Factors to Consider Prior to Moving Entitlement

b. Calculating Entitlement for a Previously Completed Retroactive Reimbursement

6.01 Direct Reimbursement

a. Authorization of Direct Reimbursement

(Change Date July 2, 2014)

Direct Reimbursement (DR) is appropriate when:

A facility bookstore does not carry required supplies.

A vendor does not accept the government purchase card.

Reimbursement to a claimant for the purchase of supplies or services must be a last resort option and must not be used unless there is no other way to obtain the supplies in a timely manner.

b. Approval Criteria for Direct Reimbursement

(Change Date July 2, 2014)

The Veteran Readiness and Employment (VR&E) case manager must determine the claimant needs the requested item to achieve a rehabilitation goal and should authorize the item before the claimant can obtain it.

To ensure timely delivery of the supplies, the VR&E case manager should receive all requests for reimbursement:

Within the first two weeks of a course or term, and

In writing, to include email, from the claimant.

VA should not reimburse a claimant who buys supplies without prior VA authorization unless the case manager determines either of the conditions below exists:

The claimant was acting in good faith to obtain the required supplies.

The claimant is participating in an approved retroactive induction plan of services.

The case manager and claimant must discuss the reasons the claimant made the purchase without prior approval. The case manager must document the discussion and the final determination in an electronic case note.

1. Denial of Direct Reimbursement Request

If a request for Direct Reimbursement is denied, the case manager must provide the claimant notification using VR-58, Chapter 31 Adverse Decision Letter. The letter must include VA Form (VAF) 20-0998, Your Rights to Seek Further Review of our Decision.

2. Approval of Direct Reimbursement Request

If a request for Direct Reimbursement is approved, the case manager must follow the steps below for processing a direct reimbursement.

c. Processing a Direct Reimbursement

(Change Date June 18, 2024)

To approve a Direct Reimbursement, the case manager must take the following steps:

Obtain written request for goods and/or services from the claimant. An email or e-VA message satisfies this requirement.

Document justification for the Direct Reimbursement in electronic notes in the claimant's VR&E record. The justification must explain:

Use of Direct Reimbursement in lieu of direct purchase from the school or bookstore and/or use of a government purchase card.

Purchase of items that were not listed in the claimant's rehabilitation plan.

Purchase of incidental goods that are not required but are needed by the claimant to complete his or her rehabilitation program.

Generate and send VAF-1905m, Request for and Authorization for Supplies and Direct Reimbursement (Chapter 31 - Veteran Readiness and Employment) to the claimant to return after Sections 1, 2, 3, and 4 (if applicable) on VAF 28-1905m are completed and signed by the claimant. These sections include:

Claimant's Name and Address

VA File Number

Rehabilitation plan goal

Name of Item and/or Services and the description, quantity, estimated cost (for government purchase card), actual cost (for direct reimbursement)

Date the items and/or services received (for direct reimbursement)

Name and Address of Training Facility or Employer and Training Facility or Employer's Signature (if applicable)

Claimant's signature and date.

When the case manager receives the completed VAF 28-1905m from the claimant and is proceeding to process the request the VR-64, Chapter 31 Positive Decision Letter must be sent to the claimant, unless VR-67, Positive Decision Letter-Plan Development was previously sent. The case manager must complete the items in section V of the VAF 28-1905m, which include the following:

Station Number (Regional Office Number)

Name of Item and/or services

Actual amount to be reimbursed for each item or service

Total amount to be reimbursed

In section VI the Authorizing Certifying Officer (VR&E Officer must concur for incidental goods or services exceeding $2,500 in a 12-month period). Note: The VRC may be the Authorized Certifying Official if cost limits are not exceeded.

Signature who is authorizing the direct reimbursement (Authorizing Certifying Officer)

Date

Section VII will be completed by Support Services Division (SSD).

Create a document file for each claimant in a PDF file.

Name the file using the last name, first name, Direct Reimbursement, date of submission to SSD. (Example: Einstein, Albert, DR, 01-01-20)

Include all supporting documentation in the document file listed below:

Copy of the Claimant's Written Request for Direct Reimbursement

Completed VAF 28-1905m (this includes confirmation of items/services received).

Receipts and/or Invoices

Other Supporting Documentation to Justify the Purchase

Send the PDF file to SSD electronically. The local SSD defines the specific method for electronic transmittal such as email, SharePoint, or shared drives.

Direct Reimbursements must be completed via the eMPWR-VA. All payment requests must be submitted electronically to SSD. The method for electronic submission is determined by each local SSD.

VR&E offices are not required to maintain copies of payment documentation, because SSD staff are responsible for uploading the documents to Veterans Benefits Management System (VBMS) after payment is processed.

Note: Digital signatures and/or signatures using e-signature pads on forms are preferred, however, wet signatures from claimants are acceptable.

6.02 Retroactive Induction Criteria and Limitations

(Change Date April 1, 2021)

A retroactive induction is an authorization of payment for tuition, fees, and other verifiable expenses paid by the claimant or by another VA educational program. The authorized benefits in a retroactive induction may include tuition and fees; books and supplies; and subsistence allowance.

a. Criteria for Retroactive Induction

(Change Date August 15, 2013)

In accordance with title 38 of the Code of Federal Regulations (CFR) section 21.282, a program of rehabilitation and assistance may be approved retroactively when all the following conditions are met:

The period for which retroactive induction is requested is within the claimant's basic period of eligibility or extended eligibility as provided in 38 United States Code (U.S.C.) 3103 and 38 CFR 21.41 through 21.44.

The claimant is entitled to disability compensation during the period for which retroactive induction is requested, or likely would have been if not for active duty status during the previous period.

Upon completion of the initial evaluation, the claimant is determined entitled to VR&E benefits and services.

The Vocational Rehabilitation Counselor (VRC) determines the claimant would have met the criteria of entitlement to VR&E benefits and services in effect for the requested previous period.

The VRC determines the claimant's training and other rehabilitation services during the previous period were reasonably needed to achieve the goals and objectives identified for the claimant and may be included in the current rehabilitation plan.

A vocational goal is identified and an Individualized Written Rehabilitation Plan (IWRP) or combined IWRP/Individualized Employment Assistance Plan (IEAP) with a DOT code other than 999 is developed.

Note: If a claimant is enrolled in and participating in a current term for a training or education program at the time of plan development, this is not considered a retroactive induction situation. A retroactive induction plan is only developed for past enrollment periods that have been completed.

b. Limitations

(Change Date April 1, 2021)

Retroactive induction is prohibited in the following situations:

The claimant is not found entitled to Chapter 31 benefits and services.

For rehabilitation plans of service consisting solely of Independent Living (IL) services.

During periods of extended evaluation.

IWRP with a Deferred Vocational Goal.

The claimant's case is in a closed status.

6.03 Retroactive Inductions for a Period Previously Completed via Self-Pay

(Change Date July 2, 2021)

The procedures in this section are applicable when a claimant self-paid for his or her previous education or training approved for retroactive induction.

Note: All eligibility criteria and limitations addressed in section 6.02 of this chapter are applicable for these types of retroactive inductions.

a. Roles and Responsibilities

1. Claimant

(Change Date October 1, 2020)

The claimant must complete the following activities when requesting a retroactive induction:

Submit a written request that outlines the period for which retroactive induction is requested.

Submit a written justification and a completed VAF 28-1905m, for all goods for which reimbursement is requested.

Provide an itemized receipt with proof of purchase for all goods for which reimbursement is requested.

Provide a course syllabus documenting need of goods for which reimbursement is requested.

Submit a copy of transcripts for the retroactive period.

Provide a degree audit indicating the classes completed during the retroactive period will be accepted as part of the current educational program.

2. Vocational Rehabilitation Counselor

(Change Date May 7, 2021)

The VRC must complete the following activities when determining if a retroactive induction is appropriate:

(a) Verify that the claimant meets the criteria for retroactive induction, as outlined in section 6.02.a of this chapter.

(b) Review transcripts and the degree audit for the training the claimant is requesting retroactive induction to verify that the classes are consistent with and will apply to the claimant's current vocational goal as indicated on the rehabilitation plan.

(c) Review each term individually with the claimant to determine if the term can be approved for retroactive processing. If, for example, a claimant fails all courses in a term, that term would not be approved for retroactive induction. If a claimant fails some courses, but receives passing grades for others, the entire term can be approved retroactively. If a claimant withdraws from some courses during the term, the standard withdraw procedures must be followed for calculating the subsistence allowance payments and entitlement charges.

(d) Obtain receipts, either directly from the claimant, vendor, or training facility. If receipts are not available, then obtain a letter from the facility or vendor, which identifies the cost of required items at the time training was completed.

Note: If the annual costs of services, including the retroactive induction costs, exceeds the VRC's approval threshold, the appropriate approval level must also be obtained, as outlined in M28C.IV.C.2.03.b Rehabilitation Plan Development and Redevelopment.

(e) Prepare Appendix CX, VR&E Officer Concurrence – Chapter 31 Retroactive Induction, for review and approval by the VR&E Officer. Appendix CX must be included in the VR&E record.

3. VR&E Officer

(Change Date May 7, 2021)

The VR&E Officer must review and concur with or not concur with the retroactive induction request on Appendix CX. The VR&E Officer's concurrence is required prior to the processing of payment.

b. Completing the Retroactive Induction

(Change Date May 7, 2021)

1. If the VR&E Officer does not concur with the retroactive induction request, the case manager must:

Upload Appendix CX to the claimant's VR&E record.

Inform the claimant of the decision via VR-58, Chapter 31 Adverse Decision Letter. The letter must include VAF 20-0998.

Place a copy of VR-58 in the claimant's VR&E record.

Consider any necessary re-evaluation or modifications to the proposed plan in coordination with the claimant.

2. If the VR&E Officer concurs with the retroactive induction request, the case manager must:

Upload Appendix CX to the claimant's VR&E record.

Inform the claimant of the decision using VR-67, Positive Chapter 31 Decision Letter at Plan Development, or VR-64, Chapter 31 Positive Decision Letter. The letter must include VAF 20-0998.

Place a copy of the letter in the claimant's VR&E record.

Develop or amend the rehabilitation plan to include an objective for retroactive induction, including the services provided.

Authorize services and assistance consistent with achievement of the claimant's vocational goal.

For payment of tuition and fees, create an authorization in the Invoice Payment Processing System (IPPS) for the period of training for which the claimant has been approved for retroactive induction. It is important to note VA must be billed only for program costs after the application of:

Any waiver of, or reduction in, tuition and fees.

Any scholarship, or other Federal, State, institutional, or employer-based aid or assistance that is provided directly to the institution and specifically designated for the sole purpose of defraying tuition and fees, with the exception of loans and any funds provided under section 401(b) of the Higher Education Act of 1995 (20 U.S.C. 1070a), such as Pell Grant Funds.

For payment of subsistence allowance, establish subsistence allowance awards based on the Enrollment Manager certification for each of the semesters or terms in the Subsistence Allowance Module for the period covered by the approved retroactive induction plan.

Directly reimburse the claimant for all applicable expenses of books and supplies incurred during the retroactive period.

Refer to section 6.01 of this chapter for information on processing direct reimbursements.

6.04 Retroactive Inductions for a Period Previously Completed Under Chapter 33

(Change Date January 17, 2024)

Effective April 1, 2021, retroactive induction replaced retroactive reimbursement for previous periods of training completed under Chapter 33.

The procedures in this section are specific to retroactive inductions for a period previously completed under Chapter 33. The eligibility criteria and limitations addressed in section 6.02 of this chapter are applicable for these types of retroactive inductions.

A retroactive induction for a period previously completed under Chapter 33 does not require the recoupment of VA benefits that were previously paid in order to process Chapter 31 benefits for the approved retroactive time period. This means that an overpayment of Chapter 33 benefits is not created by VA Education for claimants who qualify for a retroactive induction, except for any kicker payments. Furthermore, a debt may be established for Edith Nourse Science Technology Engineering Math (STEM) Scholarship payments the claimant may have received in certain situations.

The Office of General Counsel (OGC) does not consider this a duplication of benefits if payments authorized under Chapter 31 only include any of the following:

Charges that were not previously paid under Chapter 33.

Charges that were not previously waived by the training facility.

Charges that were not previously paid by grant or scholarship.

To receive the difference in benefits under Chapter 31 and Chapter 33, the claimant must elect a start date for Chapter 31 coverage that includes the period when Chapter 33 benefits were paid.

a. Prior to Veteran Readiness and Employment Officer Approval

1. Claimant

(Change Date January 17, 2024)

The claimant must complete the following activities when requesting a retroactive induction:

Submit a signed copy of VAF 28-10286, Request for Retroactive Induction for a Period Previously Completed Under Chapter 33.

Submit a written justification and a completed VAF 28-1905m, for all goods for which reimbursement is requested.

Provide an itemized receipt with proof of purchase, or an itemized list of items with bank or credit card statements to substantiate cost and proof of purchase for all goods for which reimbursement is requested. The bank or credit card account number must be redacted prior to submission to the VA.

Provide a course syllabus documenting need of goods for which reimbursement is requested.

Submit a copy of transcripts for the retroactive period.

Provide a degree audit indicating the classes completed during the retroactive period will be accepted as part of the current educational program.

2. Vocational Rehabilitation Counselor

(Change Date September 9, 2022)

The VRC may use Appendix CW, VRC Checklist – Retroactive Induction for a Period Previously Completed Under Chapter 33, as a reference to ensure all necessary steps are completed. Prior to the VR&E Officer approving the retroactive induction on Appendix CX, the VRC must follow the steps below.

Explain the benefits the claimant would receive under each program, as outlined in Appendix AX, Chapter 31 and Chapter 33 Benefits Comparison.

Advise the claimant that he or she must elect to use only one of the two benefits, as both cannot be used concurrently.

Verify that the claimant meets the criteria for retroactive induction, as outlined in section 6.02.a of this chapter.

Verify that the claimant is within his or her Chapter 33 delimiting date.

Note: If the claimant is outside of his or her Chapter 33 delimiting date, a retroactive induction can still be approved but the months cannot be moved from Chapter 33 to Chapter 31. Therefore, the Regional Processing Office (RPO) does not need to be notified.

Review Long-Term Solution (LTS) to determine if claimant was receiving kicker payments. If so, the VRC must inform the claimant that Education Service (EDU) will create an overpayment for the retroactive period once the entitlement is moved from Chapter 33 to Chapter 31.

Review LTS to determine if the claimant received or is receiving the STEM Scholarship. If so, the VRC must inform the claimant that EDU may create an overpayment for the STEM funds used if the retroactive induction is pursued. An overpayment may be created when the retroactive induction includes STEM and Ch 33 usage. If the returned months of entitlement under Ch 33 based on the retroactive induction is not enough to offset the money received under STEM, then the claimant will incur a debt. The VRC can identify the approximate STEM overpayment that will be created by viewing the most recent STEM award in the "Work Product History" screen in LTS. Once in the award, the VRC should look at the STEM "funds remaining" listed and subtract this amount from $30,000 since $30,000 is the maximum amount that a claimant can receive under STEM. Claimants may receive up to $30,000 or 9 months of benefits, whichever comes first. If the claimant requests the details of the potential STEM debt, to include what portion of STEM was applied to tuition/fees, books/supplies, and housing allowance, the VRC must email the Buffalo RPO at the address mentioned in section 6.04.c of this chapter and request a STEM financial audit. The Buffalo RPO is the only RPO that handles STEM benefits.

Note: The enrollment periods under STEM may be included in the retroactive induction if they can be applied to the claimant's vocational goal on his or her rehabilitation plan. Additionally, despite the official policy to create a STEM debt not being revised until September 9, 2022, STEM debts may be created for all retroactive inductions where STEM was received when retroactive inductions incorporates both STEM and Ch 33 usage. The claimant will solely be responsible for this debt if there is not enought months of entitlement moved Ch 33 to be applied to the amount of money paid out under STEM that was used. Furthermore, once STEM is terminated this will restore some or all of the 9 months and funds used under STEM, but the two-year STEM delimiting date which was established when STEM payments first began, will not be reset. However, the claimant may reapply for STEM in the future and may have a new STEM COE issued if funds are available.

Review VAF 28-10286 with the claimant to ensure that claimant understands that an overpayment for the kicker will be established and an overpayment for STEM may be established, if applicable. VAF 28-10286 must be uploaded to the claimant's VR&E record once received.

Note: If the claimant does not want the entitlement moved, the claimant must update VAF 28-10286 to indicate he or she wants to withdraw the request for retroactive induction for a period previously completed under Chapter 33. The VRC must send VR-58, to include VAF 20-0998, since the retroactive induction cannot be approved without the entitlement being moved.

Review LTS to determine if the claimant participated in the Yellow Ribbon program. If so, all procedures detailed in section 6.04.d of this chapter must be followed once the VR&E Officer approves the retroactive induction.

Review transcripts and the degree audit for the training the claimant is requesting retroactive induction to verify that the classes are consistent with and will apply to the claimant's current vocational goal as indicated on the rehabilitation plan.

Review each term individually with the claimant to determine if the term can be approved by VR&E. If, for example, a claimant fails all courses in a term VR&E would not include that term in the retroactive induction. If a claimant fails some courses, but receives passing grades for others, the entire term can be approved retroactively regarding tuition/fees and allowance monies. If a claimant withdraws from some courses during the term, the standard withdraw procedures must be followed for calculating the subsistence allowance payments and entitlement.

Complete VAF 28-1905m with the claimant if reimbursement on books or supplies is requested.

Complete and send Appendix CX for VR&E Officer review and approval or denial. Approval of annual costs of services, including the retroactive induction, must also be obtained as specified in M28C.IV.C.2.03.b, if applicable.

b. Veteran Readiness and Employment Officer Concurrence of Retroactive Induction

1. Veteran Readiness and Employment Officer Does Not Concur

(Change Date September 9, 2022)

If the VR&E Officer does not concur with the retroactive induction request, the VRC must:

Consider any necessary re-evaluation or modifications to the proposed plan in coordination with the claimant.

Inform the claimant of the decision via VR-58. The letter must include VAF 20-0998.

Upload VR-58 in the claimant's VR&E record.

Upload Appendix CX to the claimant's VR&E record.

2. Veteran Readiness and Employment Officer Concurs

(Change Date January 17, 2024)

If the VR&E Officer concurs with the retroactive induction request, the case manager must proceed with the steps detailed below, as applicable:

Upload Appendix CX to the claimant's VR&E record.

Develop or amend the rehabilitation plan to include an objective for retroactive induction, including services provided.

Use Appendix AH, Retroactive Induction Calculator, to calculate the amount of Chapter 31 entitlement (number of months and days) used during the retroactive period; and the difference in all training costs and monthly allowance benefits, as applicable.

If applicable, provide VAF 28-1905m, and receipts for concurrence.

Note: When determining the difference for books/supplies, the amount must exceed the books/supplies amount provided under Chapter 33 during the retroactive period. The claimant must provide receipts for all books/supplies he or she is seeking reimbursement. The claimant will only be reimbursed the amount that exceeds what he or she received from Chapter 33.

If the claimant participated in the Yellow Ribbon program, the steps detailed in section 6.04.d of this chapter must also be followed.

If the retroactive induction includes enrollment periods completed under STEM, the case manager must send authorizations to the facility for those periods and pay all required tuition/fees once an invoice(s) is received since EDU may create an overpayment when the retroactive induction incorporates both STEM and Ch 33 usage. The SCO will not, however, terminate the STEM enrollment certifications in Enrollment Manager or recertify under Chapter 31 so the case manager must still obtain the enrollment period information in LTS and use Appendix AH to calculate any housing allowance reimbursements

If the retroactive period begins on or before December 31, 2017, the claimant will be eligible for the uncapped P911SA rate.

If the retroactive induction includes enrollment periods prior to August 1, 2011, VR&E does not have the authority to pay the P911SA rate for those periods. However, the claimant would be eligible for break pay between semesters or terms for all enrollment periods prior to August 1, 2011.

Note: The break pay must not exceed eight weeks, or 56 days, and the terms before and after the break must not be shorter than the break.

If after completing the calculations on Appendix AH, the results is only the CH31 entitlement will be moved to CH33 and no monetary transactions are required, VR&E Officer concurrence is not required and the case manager may complete the retroactive induction.

If the retroactive induction will include monetary transactions, VR&E Officer's concurrence is required. Send Appendix AH and a copy of the LTS screens showing Chapter 33 benefits paid to the claimant for the period that is requested for retroactive induction to the VR&E Officer for concurrence.

If applicable, provide VAF 28-1905m and receipts for concurrence.

3. Obtain Veteran Readiness and Employment Officer Concurrence on Retroactive Induction Cost

(Change Date September 9, 2022)

Once the VR&E Officer concurs on the retroactive induction, he or she must then approve the costs associated with the retroactive induction via Appendix AH.

Once the VR&E Officer concurs on Appendix AH, the case manager must:

Notify the respective RPO of the approved retroactive induction, following the procedures detailed in section 6.04.c of this chapter.

Once the RPO sends a confirmation email, manually charge Chapter 31 entitlement used during the retroactive period by updating the GED, as outlined in Appendix DR, Manually Charging Entitlement.

If the claimant is due a reimbursement, follow procedures outlined in section 6.01.c of this chapter to send the payment request electronically to SSD. In addition to the supporting documentation mentioned in section 6.01.c, the payment request must also include the Summary Sheet from Appendix AH and LTS screens showing Chapter 33 benefits paid to the claimant for the period of the requested retroactive induction.

Send VR-64 or VR-67, to include VAF 20-0998, to the claimant.

Note: If a claimant previously exhausted all Chapter 33 benefits and a retroactive induction is approved, the Chapter 33 remaining entitlement must be updated to reflect at least one day of remaining entitlement under Chapter 33 to allow the P911SA rate to be approved in the system. The case manager must submit a CWINRS ticket via the Helpdesk. The request must also include Appendix CX with the VR&E Officer's concurrence. The case manager must confirm LTS has been updated to reflect the entitlement that was transferred back to Chapter 33. Once this is complete, the case manager can select the Ch33 Refresh button on the Awards tab in CWINRS and the number of months that were transferred to Chapter 33 will be added in the Ch33 Entitlement Remaining tab.

c. Required Regional Processing Office Contact

(Change Date September 9, 2022)

When a claimant is using or has used another VA education benefit and he or she is now requesting to use Chapter 31 benefits, the RPO of jurisdiction must be notified. This is true regardless of whether a retroactive induction is being approved. The RPO of jurisdiction is associated with the primary address of the facility where the claimant last used his or her VA education benefits. Please see www.benefits.va.gov/gibill/regional_processing.asp for a list of states assigned to each RPO. The Buffalo RPO can be contacted at Ch31.VAVBABUF@va.gov and the Muskogee RPO can be contacted at EDU.VBAMUS@va.gov.

Prior to plan development, the VRC must follow the steps specified in M28C.IV.C.2.03.d for notifying the RPO. After these steps are completed and the retroactive induction has been approved, the case manager must contact the RPO of jurisdiction again via email. The email must contain the following information:

Claimant's name,

VA File Number,

Effective date for retroactive induction,

Previous enrollment period(s) under Chapter 33 that are approved for retroactive induction indicated by start and end dates for each period, and

The case manager's contact information.

The email must be included in the claimant's electronic file.

Based on the email request, the Veterans Claims Examiner (VCE) will:

Terminate each enrollment period included in the retroactive induction (termination of each enrollment period will appear as if debts have been created).

Debt letters for tuition/fees, books/supplies, and month housing allowance will be established in LTS, but will not be sent to the claimant or training facility unless STEM or kicker debts are established.

If a claimant previously received kicker payments:

A debt will be created using Benefits Delivery Network (BDN) and a debt letter will be sent to the claimant.

The authorizing VCE or Senior VCE will notify the case manager when the debt has been created and include a snapshot of the M01 screen showing the 73b debt within an encrypted email.

If a claimant received the STEM scholarship, an overpayment will also be created for these funds as specified in section 6.04.a.2 of this chapter.

d. Yellow Ribbon Program Participants

(Change Date July 2, 2021)

Once the VR&E Officer concurs on Appendix CX, if the claimant participated in the Yellow Ribbon Program, the facility must be reimbursed for the monies the facility contributed toward the cost of tuition and fees.

Authorizations must be sent to the facility in IPPS:

The facility must only bill VR&E for the portion of the Yellow Ribbon Program that they contributed, and

Any tuition/fees that the claimant contributed beyond the Chapter 33 tuition and fees cap.

Refer to section 6.03.b.2 of this chapter for more information on what VR&E can and cannot pay pertaining to tuition/fees.

The case manager must use Appendix AH to calculate entitlement (number of months and days) for the retroactive period, the difference between allowance monies, books/supplies and equipment, as applicable and then follow the procedures as outlined in sections 6.04.b.2 and 6.04.b.3 of this chapter.

Note: In this situation, the claimant will only be directly reimbursed for any differences between allowance monies, books/supplies, and equipment. All differences in tuition/fees will be paid to the facility directly and the claimant will be reimbursed for any overages from the facility.

6.05 Retroactive Induction for a Period Previously Completed Under Chapters 30, 35, and 1606

(Change Date September 23, 2022)

Claimants who previously used Chapters 30, 35, and 1606 can also have a retroactive induction approved if the eligibility criteria detailed in 38 CFR 21.282(c) and section 6.02.a of this chapter are met. The specific situation in which a claimant could have used Chapter 35 and have a retroactive induction approved to bring the previous Chapter 35 enrollment period(s) into Chapter 31 is when a claimant is both a dependent and a Veteran.

For example, a claimant used Chapter 35 specialized vocational training since she is the spouse of a Veteran with a 100% SCD rating. However, she also served in the Army and has a SCD rating herself, which makes her eligible to apply for Chapter 31. In this situation, the claimant may have her previously used Chapter 35 enrollment periods approved for a retroactive induction to Chapter 31 if the eligibility criteria in 38 CFR 21.282(c) are met and it is determined that having used Chapter 31 for the previous enrollment periods as opposed to Chapter 35 would be advantageous for the claimant.

a. Important Items to be Aware of When Processing a Retroactive Induction Involving Chapters 30, 35, and 1606

(Change Date September 23, 2022)

Local VR&E staff must be mindful of the items listed below when processing retroactive inductions involving previous periods under Chapters 30, 35, and 1606.

Retroactive inductions involving Chapters 30, 35, and 1606 are processed in the system and do not involve Appendix AH, Retroactive Induction Calculator. Education Service (EDU) will create a debt for the educational allowance received under the other VA education program, which will largely be offset by the retroactive Chapter 31 subsistence allowance award(s) once entered. The key is to have the Chapter 31 subsistence allowance award(s) for the retroactive period(s) be applied to the EDU debt.

To accomplish this, the procedures detailed below must be followed and open communication between the case manager, local Support Services Division (SSD), and the respective Regional Processing Office (RPO) must be maintained. Local VR&E staff must contact their assigned VR&E Service Field Liaison for any assistance needed with these procedures.

Due to an Office of Financial Management system's limitation that will be addressed in an upcoming system's update, it is currently only possible to process a retroactive induction for a period previously completed under Chapters 30, 35, or 1606 when there is at least one Chapter 31 subsistence allowance award already in the Subsistence Allowance Module (SAM). Therefore, if a claimant has not previously used Chapter 31 and he or she is also being approved for a current or future enrollment period(s) under Chapter 31, the Chapter 31 subsistence allowance award must be entered for the current or future enrollment period(s) before any of the retroactive induction enrollment periods can be processed. If the claimant does not have a previous Chapter 31 award in the system and he or she is not being approved for any current or future enrollment period(s), however, the processing of the retroactive induction cannot occur until the system update is complete. VR&E Service will notify local VR&E staff once the system is updated.

Local VR&E staff must refresh the AutoGED for the claimant's record prior to entering any subsistence allowance award(s) associated with the retroactive induction. If this is not done, an error message will be received in CWINRS and the award(s) will not be processed.

If the case is already in Job Ready (JR) status at the time the retroactive induction is approved, the following steps must be taken to have the case temporarily moved back to Rehabilitation to Employment (RTE) status so that the retroactive subsistence allowance awards can be entered:

Send an e-mail message to CWINRS mailbox: VAVBAWAS/CO/CORP WINRS TICKETS providing the claimant's name/file number and requesting that an RTE status be added to the case effective the date of the email.

Once the request has been received, Central Office staff will move the case to RTE on a temporary basis effective the date of the email and the case manager will be able to process the retroactive induction subsistence allowance award(s) in SAM.

After the retroactive award(s) has been added to SAM, the case manager must send another email to the CWINRS mailbox requesting that the case be moved back to JR status and the original data restored.

b. Prior to the VR&E Officer's Approval of the Retroactive Induction Involving Chapters 30, 35, and 1606

(Change Date September 23, 2022)

The VRC and claimant must follow the steps outlined in section 6.03.a of this chapter prior to the VR&E Officer approving the retroactive induction on Appendix CX. However, it should be noted that the following appendices, which are separate from those used for retroactive inductions involving Chapter 33, have been developed and must be used to ensure that the specific issues associated with retroactive inductions involving Chapters 30, 35, and 1606 are addressed:

Appendix EF, Chapters 30, 31, 35, and 1606 Benefits Comparison, must be used to assist the claimant in understanding the differences between the Chapter 30, 31, 35, and 1606 programs.

Appendix EE, Claimant Checklist – Retroactive Induction for a Period Previously Completed Under Chapter 30, 35, and 1606, must be used to allow the claimant to officially request a retroactive induction.

Appendix EG, VRC Checklist – Retroactive Induction for a Period Previously Completed Under Chapter 30, 35, and 1606, may be used by VRCs as a resource in completing the retroactive induction process.

When exploring the possibility of a retroactive induction with the claimant, the case manager may email the respective RPO, as specified in section 6.04.c of this chapter, and ask for the amount of debt that would be created if the retroactive induction is approved. This will help the claimant make an informed decision about whether to pursue the retroactive induction. The email to the RPO must include the following information:

Claimant’s name,

VA File Number,

Effective Date for the proposed retroactive induction,

Specify what previously used VA education benefit VR&E would request for the proposed retroactive induction, Previous enrollment periods under the other VA education benefit that would be approved indicated by start and end dates for each period,

The case manager's contact information, and

A clear and bolded annotation in the email that this is a proposed retroactive induction that has not been approved yet, and therefore, the previous education benefit must not be terminated until further notice.

If the VR&E Officer approves the retroactive induction on Appendix CX, the case manager must proceed with the steps below. If the VR&E Officer does not approve the retroactive induction, the steps in section 6.04.b.1 of this chapter must be followed.

c. After the VR&E Officer's Approval of the Retroactive Induction Involving Chapters 30, 35, and 1606

(Change Date September 23, 2022)

The following steps must be taken after the retroactive induction involving Chapters 30, 35, or 1606 has been approved by the VR&E Officer on Appendix CX.

Develop or amend the rehabilitation plan to include an objective for the retroactive induction and the services provided.

Send VR-64, Chapter 31 Positive Decision Letter, or VR-67, Positive Decision Letter – Plan Development, to include VAF 20-0998.

Arrange for the termination of any other VA education benefit that was used during the retroactive period by emailing the respective RPO using the address listed in section 6.04.c of this chapter. The email to the RPO must contain the following information:

Claimant's name,

VA File Number,

Effective Date for retroactive induction,

Specify what previously used VA education benefit VR&E is requesting for the retroactive induction, Previous enrollment periods under the other VA education benefit that are approved for retroactive induction indicated by start and end dates for each period, and

The case manager's contact information.

Based on this information from the case manager, the RPO's EDU Service staff will process a termination (STOP) in BDN to establish a debt for the applicable award period(s), resulting in a debt being created for the EDU program. EDU will take the newly created debt in BDN and change it from collection code status "1" to collection code status "2" non-collectible on the M01 screen with a CORR command to prevent the Debt Management Center (DMC) from collecting the debt. The RPO must inform the case manager via email of the debt information once it is established in BDN, to include a BDN screenshot of the M01 screen which shows the amount of debt, collection code, and the date it was created. In addition to emailing the case manager, the RPO must also email the DMC at DMC_TEEMgmt@va.gov with the debt information and request that the DMC not send debt letters pertaining to this debt. The debt letters are not necessary at this time and could cause confusion to the claimant since the Chapter 31 subsistence allowance payments associated with the retroactive induction will be applied to the debt as stated in a step below.

After this occurs, the case manager must:

Email the School Certifying Official (SCO) informing the facility of the claimant's approved retroactive induction and switch to Chapter 31.

The email must inform the SCO to not terminate any past enrollment certifications from the other EDU program(s) or recertify under Chapter 31 for the retroactive period.

Inform the local SSD of the BDN debt information provided by the RPO, including the claimant's file number, debt type, debt amount, collection code, and the RPO of jurisdiction point of contact that created the debt.

Note: The local SSD establishes a FAS 18/63C deduction in the amount of the non-collectible debt to offset the to-be-authorized Chapter 31 subsistence allowance payments from the retroactive induction.

Contact the assigned VR&E Service Field Liaison to access past enrollment certifications in Enrollment Manager and enter the Chapter 31 award(s) in SAM. The VR&E Field Liaison must be provided the following information: claimant's file number, approved enrollment periods for the retroactive induction, and the facility code(s) of the facility/facilities associated with the retroactive induction (if possible). While most EDU facilities use Enrollment Manager, there are a few that do not. If there are no past enrollment certifications in Enrollment Manager, the VR&E Service field liaison must contact the RPO of jurisdiction to request the certifications.

Note: The award must not be authorized until the local SSD confirms, via email to the case manager, that the 18/63c transaction mentioned above has been processed to ensure the Chapter 31 allowance monies are offset from the award to be applied to the debt. The Chapter 31 subsistence allowance award balance will be released after the 18/63C debt offset, if applicable.

If a debt remains after the Chapter 31 subsistence allowance awards are processed and applied to the debt, the RPO SSD will place the debt back in "collectible" status and notify the DMC at DMC_TEEMgmt@va.gov to start the collection process. The DMC will subsequently release the debt letters to the claimant once the debt is no longer in suspense. If the case manager needs to know the amount of debt that remains after the Chapter 31 subsistence allowance awards have been applied, he or she may ask local SSD to determine the "remaining deduction" by going into the DMC system. The claimant will ultimately be responsible for working with the DMC to set-up a payment arrangement.

Authorize services and assistance consistent with the achievement of the claimant's vocational goal, which may include tuition/fees and books/supplies.

For payment of tuition and fees, create an authorization in the Invoice Payment Processing System for the period of training for which the claimant has been approved for retroactive induction. The case manager and claimant will need to work with the facility to ensure the facility reimburses the claimant for any overages for tuition/fees. It is important to note VA must be billed only for program costs after the application of:

Any waiver of, or reduction in, tuition and fees.

Any scholarship, or other Federal, State, institutional, or employer-based aid or assistance that is provided directly to the institution and specifically designated for the sole purpose of defraying tuition and fees, with the exception of loans and any funds provided under section 401(b) of the Higher Education Act of 1995 (20 U.S.C. 1070a), such as Pell Grant Funds.

For payment of subsistence allowance, establish subsistence allowance awards, based on the Enrollment Manager certification for each of the enrollment periods, in the Subsistence Allowance Module (SAM) for the period covered by the approved retroactive induction plan.

Directly reimburse the claimant for all applicable out-of-pocket expenses he or she incurred during the retroactive period that were required for the program, as applicable, if the claimant submits a completed VAF 28-1905m and provides itemized receipts.

Enter reimbursement information correctly in CWINRS. This information must reflect the requested dates for retroactive induction and invoice information. Refer to the CWINRS User Guide, Chapter 7.5.2, for instructions on entering direct reimbursement information in the Add/Edit/View Direct Reimbursement Payment screen.

Send all documentation related to the direct reimbursement, to include VAF 28-1905m and receipts to the Regional Office (RO) SSD for processing, as outlined in sections 6.01.c.5 and 6.01.c.6 of this chapter.

6.06 Impact of the New Interpretation of the 48-Month Rule on Chapter 31 Claims

(Change Date July 2, 2021)

Due to Education Service's changes in the interpretation of the 48-month rule, a retroactive induction may now be advantageous to the claimant. As such, the new interpretation of the 48-month rule may impact open claims. Therefore, it is necessary to review open claims to determine if the claimant can benefit from the new interpretation.

a. Open Chapter 31 Cases

(Change Date September 23, 2022)

If retroactive processing was not previously completed and the case is currently in Evaluation and Planning (EP), Rehabilitation To the point of Employability (RTE), Interrupted (INT), or Job Ready (JR) status, the case manager must review the case to determine whether the claimant meets the criteria for a retroactive induction, as outlined in section 6.02.a of this chapter. If the claimant meets the criteria, all procedures in section 6.04 of this chapter must be followed for retroactive inductions involving previous periods under Chapter 33 and the procedures in section 6.05 of this chapter must be followed for retroactive inductions involving previous periods under Chapters 30, 35, and 1606.

b. Open Chapter 31 Cases Where a Retroactive Reimbursement Was Previously Completed for Only One Term

(Change Date July 2, 2021)

If the claimant was previously provided a retroactive reimbursement for only one-term, but the case is still in an active status, including EP, RTE, JR, or INT, the following steps must be taken:

Maintain the current case status unless it is appropriate for the status to be changed.

Schedule a meeting with the claimant to determine if the claimant meets the criteria in section 6.02.a of this chapter to have additional terms be retroactively approved.

If additional terms can be approved, follow all applicable procedures in section 6.04 of this chapter.

If additional terms cannot be approved, follow the procedures in section 6.07 of this chapter.

c. Open Case Where the Claimant Has an Updated Certification of Eligibility Reflecting Chapter 33 Entitlement

(Change Date July 29, 2022)

Due to the changes in the interpretation of the 48-month rule, a claimant may now have an updated Certificate of Eligibility (COE) showing months of entitlement under Chapter 33. If a clamant has an updated COE and his or her case is in EP, RTE, INT, or JR, the case manager must:

Review the claimant's VR&E record to determine if the claimant was paid the Chapter 31 SA rate.

Evaluate the case to determine if the claimant meets criteria for retroactive induction as outlined in section 6.02.a of this chapter.

Follow all applicable procedures in sections 6.04 of this chapter.

If the claimant does not meet the criteria for retroactive induction, follow procedures outlined in section 6.04.b.1 of this chapter.

Note: If the claimant does not meet the criteria for a retroactive induction, the P911SA rate must be paid at the capped rate unless the claimant used Chapter 31 entitlement on or before December 31, 2017 and qualifies for the uncapped rate. Additionally, the Office of General Counsel provided guidance indicating that a claimant must be paid the P911SA rate going back to the date of the updated COE reflecting remaining Chapter 33 entitlement for all enrollment periods approved under VR&E if the claimant elected the P911SA rate. If the claimant elected the P911SA rate and was not provided this rate for enrollment periods going back to the date of the updated COE, the previous awards must be amended to provide the P911SA rate.

d. Cases Closed Between April 1, 2021 and March 11, 2022

(Change Date June 6, 2022)

Refer to Appendix ED, Retroactive Induction for Cases Closed Between 4/1/21 and 3/11/22, for procedures on how to process these cases.

e. Cases Where Retroactive Induction Was Determined Beneficial and the Claimant Does Not Pursue Prior to Closure

(Change Date January 17, 2024)

For all cases that are in an open status on or after April 1, 2021, where there is documentation in the VR&E record that a retroactive induction was determined beneficial to the claimant but the claimant did not pursue the retroactive induction by completing and returning VAF 28-10286 or Appendix EE, depending on which VA education benefit was previously used, within 60 calendar days, the claimant may later pursue the retroactive induction during the course of their program, as long as it is prior to case closure. However, if the claimant's case is closed, either via discontinuance or rehabilitation, and the claimant reapplies, he or she must meet entitlement criteria at the time of reapplication prior to the consideration of a retroactive induction.

A claimant may not initiate a new claim or request a closed claim to be reopened solely for the purpose of retroactive induction.

VR&E does not have the authority to allow retroactive induction for closed cases; therefore, the only time it is permissible to process a retroactive induction for a closed case, meaning a case in Rehabilitation (REH) or Discontinued (DIS) status is when:

There is documented proof that the claimant completed and returned VAF 28-10286 or Appendix EE while he or she was actively participating in a Chapter 31 rehabilitation plan, and

VR&E did not process the retroactive induction.

Note: The procedures for processing a retroactive induction for cases in a closed status are only for administrative errors. Cases must not be intentionally rehabilitated or discontinued when a retroactive induction has been requested and not yet processed.

If the claimant later wants to pursue a retroactive induction after his or case is closed and the criteria above are met, the case manager must schedule an appointment with the claimant. During the appointment, the case manager must determine if the claimant meets the eligibility criteria for retroactive induction detailed in section 6.02.a of this chapter. In this situation, the claimant does not need to currently meet entitlement criteria to VR&E but must meet all other eligibility criteria for a retroactive induction.

If the claimant is eligible for a retroactive induction, the following steps must be taken:

Follow all applicable procedures in section 6.04 or section 6.05 of this chapter depending on which VA education benefit was previously used.

Reactivate the case, but the case must remain in the REH or DIS status while the retroactive approval is processed.

The rehabilitation plan must not be redeveloped.

Document all retroactive services that have been approved in an electronic case note.

Inform the claimant via VR-64, to include VAF 20-0998.

If the claimant is determined not eligible for a retroactive induction, the following steps must be taken:

Send VR-58 to include VAF 20-0998.

Document reason for the denial in an electronic case note.

6.07 Movement of Entitlement for Previously Completed Retroactive Reimbursements

(Change Date September 24, 2021)

The case manager must identify cases where a retroactive reimbursement was previously completed. The claimant may initiate this action or the case manager may identify cases based on a number of resources, as outlined below:

RO of jurisdiction kept a list of claimants who received a retroactive reimbursement.

Review of the Retro-Reimbursements by District Spreadsheet which is a list of retroactive reimbursements that were completed during Fiscal Year (FY) 2015 through FY 2019 that were reported to VR&E Central Office.

Review of 06A Payments-by-District Spreadsheet which is a list of out-of-system reimbursements completed from January 1, 2019 to September 14, 2021.

For claimants who previously received a retroactive reimbursement, the following actions must be completed to properly move entitlement from Chapter 33 to Chapter 31. This will allow Chapter 33 entitlement to be returned to the claimant.

a. Factors to Consider Prior to Moving Entitlement

(Change Date September 24, 2021)

The case manager must consider the following when reviewing all cases where a retroactive reimbursement was previously completed:

Determine if the claimant is within his or her delimitating date for Chapter 33. If not, there is no need to move the entitlement since the claimant will not be able to use it.

If the claimant is determined to only have an Employment Handicap, the total period for which a claimant may receive a program of rehabilitation under CH31 alone may not exceed 48 months.

If the claimant received kicker payments, the case manager must reach out to the claimant to determine if he or she wants entitlement moved because an overpayment will be created for the amount of the kicker for the retroactive period.

The claimant must provide confirmation in writing (email preferred) or an Electronic Virtual Assistant (e-VA) correspondence, regarding the claimant's decision on whether or not to move his or her entitlement and that he or she understands an overpayment will be created for kicker payments, if applicable. This confirmation must be uploaded to the claimant's electronic case file.

For closed cases, reactivate the case but do not move the case from the current case status. Entitlement must only be moved for the periods previously completed retroactive reimbursements.

Note: If the case is currently in DIS or REH status and the previous retroactive reimbursement was completed for only one-term, the claimant must be contacted to determine if he or she is interested in having the entitlement from the one-term of the retroactive reimbursement moved from Chapter 31 to Chapter 33. All applicable steps listed above and in section 6.04 of this chapter must be followed. However, the case must remain in DIS or REH status and the claimant cannot be evaluated for additional terms of retroactive approval beyond the one-term that was previously approved. If the claimant wishes to be evaluated for additional retroactive terms, he or she must first reapply for VR&E benefits and be determined entitled.

b. Calculating Entitlement for a Previously Completed Retroactive Reimbursement

(Change Date September 9, 2022)

To calculate the entitlement the case manager must:

Determine the periods of enrollment covered under the previous retroactive reimbursement based on documentation in the VR&E electronic file.

Calculate the amount of Chapter 31 entitlement (number of months and days) used under the previous retroactive reimbursement using Appendix AH.

Obtain VR&E Officer concurrence on Appendix AH for the calculation of entitlement used for the previous retroactive reimbursement period.

Send an email to the RPO of jurisdiction to request that the retroactive period(s) previously approved be deducted from Chapter 33 if the claimant is within his or her Chapter 33 delimiting date. Follow the guidance in section 6.04.c of this chapter detailing how to contact an RPO. In this situation, the email must also specify that this is for a previously completed retroactive reimbursement.

Update the GED to manually add and then charge entitlement under Chapter 31, as outlined section 6.04.b.3 of this chapter.

Send VR-76, Movement of Entitlement Notification, to the claimant, to include VAF 20-0998.

The email to the RPO; Appendix AH; and VR-76 must be uploaded to the claimant's electronic record.

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7.01 Overview

(Change Date December 18, 2020)

In accordance with 38 Code of Federal Regulation (CFR) 21.320, subsistence allowance may be authorized when a claimant has completed the development of a rehabilitation plan and the requirements for entrance or reentrance into a rehabilitation program have been met.

A claimant’s case must be assigned to one of the following case statuses to be eligible for a subsistence allowance:

Rehabilitation to the Point of Employability (RTE)

Extended Evaluation (EE)

Independent Living (IL)

Note: It is the responsibly of the VRC or VRS to ensure award entries and award changes are processed accurately and within 10 business days of receipt of Enrollment Manager certification. Refer to M28C.V.A.2 and Chapter 9 of the CWINRS User Guide for information on how to process subsistence allowance awards in the Subsistence Allowance Module (SAM).

7.02 Exceptions to Paying Subsistence Allowance

(Change Date July 2, 2014)

In accordance with 38 CFR 21.260 (d), a claimant must not receive a subsistence allowance when VA is providing the claimant with only the following services:

Initial evaluation

Placement and post-placement services

Counseling

a. Concurrent Education Benefits

(Change Date July 1, 2015)

In accordance with 38 CFR 21.4022, a claimant who is eligible for education or training benefits under more than one provision of law cannot receive such benefits concurrently. The claimant must elect which benefit he or she will receive for the particular period or periods during which education or training is to be pursued. A claimant must not switch between benefits during a semester, quarter or term as it will create a debt to the claimant and will be considered using two VA benefits concurrently as prohibited under Title 38 of United States Code (U.S.C.) section 3681. Refer to 38 CFR 21.9635 for more information.

Before processing a payment of subsistence allowance in the SAM, Veteran Readiness and Employment (VR&E) staff must check all other Department of Veterans Affairs (VA) education benefits (e.g., CH 30, 32, 33, 34, 1607) to ensure that the claimant is not receiving benefits under another education program.

b. Active Duty Service Members

(Change Date July 2, 2014)

Before processing a payment of subsistence allowance, a VRC or VRS must ensure the Date of Release from Active Duty (RAD) is entered into Corporate WINRS (CWINRS), because active duty Service members are not eligible to receive subsistence allowance. Service members cannot begin to receive subsistence allowance until the day after his or her RAD date. Entitlement must be manually charged against active duty Service members for time spent in training depending on enrollment (i.e., full-time, three-quarter-time, half-time, or less than half-time), by following the guidance in section 7.16 of this chapter.

Claimants who are in the National Guard or Reserves and participating in the VR&E Program may receive subsistence allowance during drill weekends. However, they are not eligible to receive subsistence allowance during the two-week active duty training period because an active duty service member receives extra pay for meals and housing allowance.

The VRC or VRS must suspend any payment of subsistence allowance using the earlier of the following dates:

The reporting date on the claimant’s orders.

The last date of the claimant’s last program participation.

Refer to M28C.III.A.1 for information on case status and reason codes.

7.03 Authorization for Training

(Change Date August 13, 2021)

An authorization must be completed and issued to a facility to authorize services for a claimant participating in an approved training program. The authorization notifies the facility of the approved program of study for the claimant. Refer to M28C.V.B.1 for guidelines on authorizing a claimant's training attendance.

An authorization must not be sent to a facility unless the training program has been approved and the facility has been assigned a valid facility code or sub-facility code, as outlined in M28C.IV.C.1 . If a claimant is attending training at more than one facility, the rehabilitation plan must be amended to include all the training facilities as outlined in M28C.IV.C.2 .The training must be outlined in the claimant’s rehabilitation plan under an intermediate objective prior to the VRC or VRS issuing the authorization.

7.04 Certification of Training

A claimant's subsistence allowance may be processed only if the school or training facility certifies the claimant's training attendance. After receiving the authorization from VA, the designated School Certifying Official (SCO) must verify the claimant's enrollment by completing a certification of training attendance. In addition, the SCO must only certify courses that are required in the claimant's training program.

The school certification must include the information below:

Beginning and ending dates of enrollment

Rate of pursuit or number or type of hours identified by semester, quarter, or clock hour

Note: Changes in a claimant's enrollment must also be certified by the SCO.

In addition, the VRC or VRS must ensure that the claimant is eligible for payment during the specified period of training.

A certification may be submitted through one of the following methods:

a. Veterans Administration On-line Certification Enrollment

(Change Date August 13, 2021)

The Veterans Administration On-line Certification Enrollment (Enrollment Manager) is the required method for training facilities to certify a claimant's enrollment or training attendance. CWINRS receives Enrollment Manager information sent by the training facility. Refer to Chapter 9.4 of the CWINRS Users Guide for additional information on how to use Enrollment Manager.

VR&E staff should encourage training facilities to submit certifications through Enrollment Manager. All electronic certifications of enrollment or changes in enrollment submitted through Enrollment Manager are retained in the claimant's electronic VR&E record.

b. VAF 28-1905c, Certification of Training Hours, Wages, and Progress

VAF 28-1905c may only be used only when the training facility is unable to certify a claimant's enrollment using Enrollment Manager. The VR&E Officer must ensure that a documentation from the training facility electing not to use Enrollment Manager is obtained and maintained for VR&E records.

This form may be used also for certifying a claimant’s participation in one of the following programs:

On-the-Job Training (OJT)

Apprenticeship

Non-Paid Work Experience (NPWE)

Community-Based Work Experience (CWE)

Other Specialized Programs

The completed VA 28-1905c must be incorporated in the claimant's electronic record.

7.05 Processing Chapter 31 Subsistence Allowance

(Change Date November 5, 2021)

The subsistence allowance award must be processed within 10 business days of receipt of certification from the SCO.

VR&E staff must ensure that the rate of payment for subsistence allowance is accurate. In accordance with 38 CFR 21.260, payment of subsistence allowance is based on all the following:

Rate of attendance (full-time, three-quarter-time, or half-time)

Number of dependents

Type of training the claimant is pursuing (such as Institution of Higher Learning (IHL), Farm Cooperative, Apprenticeship, NPWE, or for claimants under special programs such as OJT at no or nominal pay in a Federal agency, Training in the Home Program, Independent Instructor Program, Cooperative Program, or Foreign Institution)

To determine the rate of training attendance, refer to Appendix AM, Training Time Equivalency Table- Semester and Appendix AN, Training Time Equivalency Table- Quarters. Refer to Cost of Living Adjustment and Options to the current Fiscal Year Subsistence Allowance Rates for Chapter 31 Subsistence Allowance Rates, for guidance on determining rate of payment.

Note: Some institutions of higher learning offer courses that are not measured in whole credit hours. When entering the number of credit hours in SAM, only whole numbers can be entered. Therefore, any fraction must be dropped from the final number before entering the number in SAM.

Example: A training facility reports that a student is enrolled in 13.5 hours for a semester. Therefore, 13 credits would be entered in SAM. Please see section 7.11.d of this chapter for more information on calculating overlapping terms with courses that are not measured in whole credit hours.

In accordance with 38 CFR 21.79, subsistence allowance is not payable when pursuing a plan at less than half-time unless a determination of reduced work tolerance (RWT) has been made or the claimant is participating in an individualized extended evaluation plan (IEEP) or Individualized Independent Living Plan (IILP). The VRC or VRS must enter all Enrollment Manager certifications in SAM even if it is less than half time training rate. Refer to M28C.IV.C.2 for further guidance on RWT.

SA payments are prorated on the number of days attended each month and payments are made in arrears. Payment is issued for the dates of training. Since most training programs do not begin on the first of the month, most claimants will receive less than a full month's subsistence allowance for the first subsistence payment for that semester or term.

Cost of Living Allowance (COLA) rates are updated yearly on October 1 for Chapter 31 subsistence allowance (CH31SA) rates. A batch computer program identifies and automatically retroactively adjusts awards effective date of October 1. The automatic adjustment to Chapter 31 awards will:

Generate a report of all SAM adjusted and non-adjusted awards in early October.

Generate award letters to claimants notifying them of the change in their subsistence rate(s) effective on or after October 1 of that fiscal year.

a. Dependent Information for Chapter 31 Subsistence Allowance Rates

(Change Date November 10, 2015)

All information regarding a claimant's dependent(s) must be verified prior to adding the dependents in CWINRS. The procedures are outlined in the CWINRS User Guide, Chapter 9.

VR&E staff must ensure that each claimant's dependent is appropriately added or removed by reviewing the dependency screens in Share and CWINRS.

1. Type of Dependents

The following individuals may be considered as a claimant's dependent when calculating CH31SA rates:

a) Spouse

b) Child under age 18

c) Child between the ages of 18 and 23 and is attending school

d) Child over the age 18 and has been determined permanently incapable of self-support before his or her 18th birthday

e) Dependent parent

2. Dependent Verification

The dependent information for a claimant who has been granted 30 percent or more SCD rating can be verified in Share.

Below are the steps for accessing Share:

a) Log in to Share.

b) Select Corporate Inquiries in the left column.

c) Enter the claimant’s Social Security Number (SSN).

d) Click on the Submit Number

e) Review Dependents Information on the All Relationships tab.

3. Dependent Information not displayed in Share

Compensation does not pay for a dependent when one of the following conditions exists:

a) Claimant has a combined SCD rating of less than 30%.

b) The dependent is using Chapter 35 or Chapter 33 benefits.

Since Share does not display the dependents based on one of the conditions cited above, the VR&E staff must verify the dependents information from the claimant.

Hence, the claimant must complete and submit VAF 21-686c, Application Request to Add and/or Remove Dependents.

Additionally, the claimant must complete and submit VAF 21-674, Request for Approval of School Attendance, for each dependent between the age of 18 and 23 and attending school. The claimant must notify his or her VRC or VRS with any changes in the dependent's enrollment.

b. Dependent Spouse - Same Sex Marriage

(Change Date November 10, 2015)

Effective June 26, 2015, VA recognizes same-sex marriage of all claimants. For VA purposes, a spouse of a claimant in a same-sex marriage may be considered as a dependent. .

c. Dependent Child

(Change Date December 18, 2020)

For VA purposes, a claimant's child may be considered as a dependent if the child is under age 18; or is between the age of 18 and 23 and pursuing a course of instruction at an approved educational institution.

Additionally,the child must meet one of the following categories:

1. A legitimate child

2. A legally adopted child

3. A stepchild, who is a member of the claimant's household

4. An adult child, who has been determined permanently incapable of self-support before his or her 18th birthday

d. Adding Dependents

(Change Date November 7, 2013)

The claimant’s dependent(s) must be added when processing his or her subsistence allowance award in SAM.

1. A dependent may be added to the subsistence award effective the first day the claimant is enrolled in training provided that the dependent meets the specified criteria and the claimant has provided the necessary information.

2. When a claimant requests to add a parent as a dependent, the VR&E staff must verify that the dependent parent is displayed in SHARE prior to adding the dependent in CWINRS.

3. A claimant requesting to add a new dependent must provide the required information from the claimant using VAF 21-686c.

(a) If the information is not provided within 30 days of the request from the VA, the dependent will not be added to the award.

(b) If additional information is provided within one year of the event (marriage, birth, adoption), the award will be adjusted back to the first day the dependent met the definition of dependent.

(c) If the information is not received within one year of the request, the award will be adjusted the first day the claimant provides the information and the period for submission of the evidence is adjusted in accordance with 38 CFR 21.32.

4. The effective date of a same-sex marriage claim for adding a dependent must be determined as follows:

(a) If the claim was pending or open upon direct review as of September 4, 2013, the effective date should be assigned under 38 U.S.C. 5110 and 38 CFR 3.400, as if the laws barring VA's recognition of same-sex marriage had never been in effect.

(b) If the claim was received after September 4, 2013, VA should apply U.S.C. 5110(g) and 38 CFR 3.114, if applicable, to assign an effective date as early as September 4, 2013, if to do so would be to the claimant's benefit. However, the effective date may not be retroactive for more than one year from the date of receipt of the claim.

Note: To be entitled to benefits for up to one year prior to the date of the claim under 38 CFR 3.114, the claimant must have met all eligibility criteria on the date of the liberalizing change in law. For these purposes, the date of the liberalizing change in law is September 4, 2013, and a claimant may be considered to have met the marriage eligibility criteria on that date if they were actually married as of that date, even if their state of residence did not then recognize the marriage.

e. Removing Dependents

(Change Date November 7, 2013)

The claimant's dependent will be removed from the subsistence allowance award as follows:

1. The date for the removal of a spouse dependent through divorce, annulment, or death is the last day of the month.

2. The date for the removal of a child dependent who is between the age of 18 and 23 through marriage, death, or discontinuance of school is the last day of the month.

3. The date for the removal of a child dependent who turns 18 is the day before the child's 18th birthday.

4. The date for the removal of a child dependent who turns 23 and attending school is the day before the child's 23rd birthday.

7.06 Processing Chapter 30 Elections

(Change Date November 7, 2013)

In accordance with 38 CFR 21.264, a claimant participating in the VR&E Program may elect to use the Chapter 30 rate of payment, and other assistance furnished under Chapter 30, in lieu of a subsistence allowance if the following criteria are met:

The claimant has remaining eligibility for, and entitlement to, educational assistance under Chapter 30.

The claimant enrolls in a program of education or training approved for benefits under Chapter 30.

The program of education is part of an approved IWRP.

When a claimant elects payment of an allowance at the Chapter 30 rate, the effective dates for commencement, reduction, and termination of the allowance must be in accordance with 38 CFR 21.7130 through 21.7135 and 38 CFR 21.7050 under Chapter 30. The election must be made in writing.

In accordance with 38 CFR 21.264, a claimant participating in the VR&E program who elects Chapter 30 rate of payment must be provided the same training and rehabilitation services as other claimants participating in the VR&E program, but must not be provided the following:

Subsistence allowance

Revolving fund loan

Payment of vocational and other training services

Payment of supplies

Payment of tutorial assistance

7.07 Processing Post-9/11 Subsistence Allowance Election

(Change Date July 14, 2022)

Election of the Post 9/11 Subsistence Allowance (P911SA) rate can contain coursework pursued on a semester, quarter, or clock hour schedule, which is the same as when a claimant elects subsistence allowance at the Chapter 30 or 31 rates as referenced above.

As outlined in M28C.IV.C.2.04.e, if the claimant is entitled to both Chapter 31 subsistence allowance and Post 9/11 GI Bill Chapter 33 educational assistance, the claimant must make an initial election of which rate they are electing, with an effective date of the date the plan is signed, on VAF 28-10214, Rehabilitation Plan. If the claimant has entitlement to Chapter 33 and has not passed his or her delimiting date at the time of entitlement to Chapter 31, the claimant is eligible for the P911 rate for the life of the claim. If the claimant requests to change his or her election, the claimant must notify his or her VRC or VRS in writing. In accordance with 38 CFR 21.264, the claimant may only change election to either Ch31 SA rate or P911 SA rate at the beginning of a semester or term.

If the claimant’s rehabilitation program is completed, either by discontinuance or rehabilitation and the claimant reapplies, he or she must meet the eligibility criteria in place at the time of reapplication.

a. Eligibility

(Change Date October 1, 2020)

Eligibility information is available in the Long-Term Solution (LTS) for a claimant who has applied for Chapter 33 benefits. This information is sufficient for the purpose of determining eligibility for P911SA rate.

VR&E staff must ensure there is at least one day of Chapter 33 entitlement remaining and the delimiting date has not passed for claimants who do not qualify for the Forever GI Bill. The Forever GI Bill eliminated the Chapter 33 delimiting date effective for all Servicemembers who discharge from active duty service on or after January 1, 2013. Therefore, the delimiting date will not apply to these individuals.

Note: If the claimant has exhausted all entitlement under Chapter 33, eligibility for Post 9/11SA rate may be established by considering retroactive induction. Refer to M28C.V.B.6.

The VRC or VRS must inform a claimant who has not previously applied for Post 9/11 benefits, that he or she must apply for Post 9/11 benefits to establish eligibility for the P911SA rate. A claimant may take one of the following steps to apply for the Post-9/11 GI Bill:

Call 1-888-GI BILL-1 (1-888-442-4551).

Obtain an application from the VA Certifying official at the training facility.

Apply online at VA Education Benefits website.

b. Post 9/11 Subsistence Allowance Payment Rate

(Change Date of July 14, 2022)

Once a claimant establishes eligibility to Post 9/11 GI bill benefits, he or she may elect to receive the alternate P9/11 subsistence rate in lieu of the Chapter 31 subsistence allowance (Ch31SA) rate. The alternate payment is based on the Basic Allowance for Housing (BAH) that the military authorizes for a Service member at the rank of E-5 with dependents in the housing area that encompasses all or a majority of the zip code area where the training institution is located. VR&E staff must determine the appropriate rate by using the BAH Calculator located at Defense Travel Management Office website (BAH Calculator). The VRC or VRS will need to select the following:

Appropriate year

Enter the zip code of the facility, agency, or employer

Select the E-5 pay grade

Press the Calculate button

Use the rate displayed E-5 with dependents

The BAH rate of payment is based on the zip code of the training facility with an assigned facility code where the claimant is enrolled, as outlined in title 38 United States Code (U.S.C.) 3108(b)(4) If the claimant is attending an extension campus with an assigned sub facility code (SFC), that includes an "X" as the third digit, the VRC or VRS must use the zip code of the extension campus to calculate the P911SA rate. Refer to M28C.V.B.2 for additional information on sub-facility codes.

However, a claimant training full-time solely in-home or online must receive a payment that is 50 percent of the BAH national average. Training during a term that includes online courses and at least one credit at a brick and mortar facility is paid at the appropriate training time using the BAH amount associated with the zip code of the brick and mortar facility.

For training not associated with a zip code (or solely on-line or in-home):

Find BAH National Average at the Post-9/11 GI Bill web site.

Calculate training in a foreign facility as follows:

Full-time = BAH National Average x 1.00

¾ time = BAH National Average x 0.75

½ time = BAH National Average x 0.50

Calculate training that is solely on-line or in-home as follows:

Full-time = BAH National Average x 0.50

¾ time = BAH National Average x 0.375

½ time = BAH National Average x 0.25

To determine the P911SA amount for periods of training in which the claimant is enrolled at more than one facility simultaneously, use the zip code of the facility where the claimant is taking a majority of his or her classes. If the claimant is enrolled in an equal number of credits at each facility, use the zip code for the facility that provides the highest P911SA rate.

VAF 28-10214, Rehabilitation Plan, must be used to document all changes in the claimant's election for payment of his or her subsistence allowance. The claimant must be eligible for P911SA rate at the time of entitlement to Chapter 31 benefits. For the initial election, VAF 28-10214 must be signed by the claimant prior to the authorization of payments of the P911SA rate. If the claimant authorizes his or her assigned VRC or VRS to elect the most beneficial rate on his or her behalf, the VRC or VRS must place a note in the VR&E record each time the award is adjusted. If the claimant wants to change his or her election, he or she must notify his or her VRC or VRS in writing. The claimant may only change election to either Ch31SA rate or P911SA rate at the beginning of a certified term, quarter or semester. Therefore, the rate election of either the P911SA or CH31SA rate is effective the first date of the certified term, quarter, or semester and cannot be changed until the beginning of a certified new term, quarter, or semester. A claimant is not able to elect to utilize P911SA subsistence allowance rate during the middle of a term, quarter, or semester regardless if the term, quarter, or semester is overlapping or not.

Per 38 CFR § 21.264 Reelection of payment of benefits at the Chapter 31 subsistence allowance rate under § 21.260(b) may be made only after completion of a term, quarter, or semester.

Once the claimant establishes eligibility for the P911SA rate, he or she may continue to receive the P911SA rate while completing his or her rehabilitation program, even after his or her delimiting date for Chapter 33 education benefits has passed. However, if the claimant's rehabilitation program is completed, either via discontinuance or rehabilitation, and the claimant reapplies, he or she must meet the P911SA eligibility criteria at the time of reapplication.

c. Rate Protection

(Change Date July 2, 2014)

In accordance with 37 U.S.C. 403(b)(6), VR&E provides rate protection for claimants who are continuously enrolled in training at the same facility under Chapter 31. This means that if the BAH rate for the zip code of the training facility, agency, or employer decreased, the higher rate for the previous year must be paid.

Rate protection for the P911SA is provided when a claimant received the previous year's P911SA rate for training at the same facility and is continuously enrolled at the same facility. Continuously enrolled means enrolled in the facility with no more than a six-month break in training.

Rate protection for the P911SA is not provided when:

P911SA was not previously paid for training at that facility, even if the claimant was enrolled or when a claimant switches from Chapter 33 to Chapter 31, and/or

A change in facility code, which is considered a change in facility.

Any claimant called to active duty during an enrollment period or six-month grace period will receive rate protection as long as he or she begins training at the same facility within six months from the date of RAD.

Cost of Living Allowance (COLA) rates are updated January 1 for each calendar year (CY) for P911SA. In approximately January of each year, a batch computer program identifies and automatically retroactively adjust awards that include an effective date of January 1. The automatic adjustment to Chapter 31 awards will:

Generate a report of all SAM adjusted and non-adjusted cases in early January.

Generate award letters to claimants notifying them of the change in their subsistence rate(s) effective on or after January 1 of that CY

d. Overseas Housing Allowance

(Change Date October 1, 2020)

In some instances, a claimant may pursue training in a United States (U.S.) Territory with an assigned zip code and elect payment at the P911SA rate of pay. Before authorizing payment, VR&E staff must verify that the training site is located at one of the following U.S. Territories where Overseas Housing Allowance (OHA) is payable:

American Samoa

Northern Mariana Islands

Puerto Rico

Virgin Islands

Guam

VR&E staff can determine the appropriate rate by using the OHA Calculator located at Defense Travel Management Office website (OHA Calculator).

Enter the year, month, and day. If the term starts prior to the 15th day of the month, use the 1st day of the month in which the term begins. If the term starts on or after the 16th day of the month, use the 16th day of the month in which the term begins.

Choose the correct location from the drop-down box.

Choose pay grade “E-5”.

Choose “Yes” in the dependents box.

Click “Calculate” to obtain the rate.

Note: the correct rate of pay for P911SA is titled “OHA Rental Allowance”

For training at a brick and mortar facility except OJT and apprenticeship, multiply OHA full-time rate by the training time certified for the enrollment period as follows:

Full-time = OHA x 1.00

¾ time = OHA x 0.75

½ time = OHA x 0.50

e. Protected Rate

(Change Date July 1, 2015)

Processing P911SA in SAM requires the use of a special Protected Rate (PR) code that allows VR&E staff with the proper SAM commands to enter the correct BAH rate applicable to the claimant's enrollment rate and facility zip code. It is not necessary to use the PR code in SAM to process awards with traditional subsistence allowance rates, since SAM will calculate the correct monthly amount based on type of training, duration, and rate of pursuit. The use of PR invokes a system-edit which requires a second authorizer. This means that both the originator and a second authorizer must authorize the award.

f. Impact of National Defense Authorization Act for Fiscal Year 2016

(Change Date October 1, 2020)

On November 25, 2015, Pub. L. 114-92. Section 603, was promulgated and reduced the compensation model for BAH rates.

1. Uncapped P911SA Rate

(Change Date January 1, 2024)

Section 604(b) of NDAA for FY 2015, Pub. L. 113-291, provided a special rule that exempted the VA from the BAH reduction computation model. As a result, the (DoD) BAH Calculator did not accurately reflect the correct amount that VR&E used to determine the P911SA. Therefore, for several years, VR&E staff members have added an additional amount to the BAH Calculator rate to determine the correct P911SA rate. This additional amount was $16 in (CY) 2015, $33 in CY 2016, $50 in CY 2017, $69 in CY 2018; $89 in CY 2019, $92 in CY 2020, $95 in CY 2021, $99 in CY 2022, $111 in CY 2023, $118 in CY 2024, and $123 in CY 2025.

Since VR&E can add the additional amount to the BAH Calculator rate, this rate is defined as the “uncapped” P911SA rate. Claimants who first used entitlement to Chapter 31 on or before December 31, 2017 are entitled to the uncapped P911SA rate.

For example, a claimant utilized Chapter 31 entitlement to attend training in 2013, and his or her case was discontinued or rehabilitated from a plan of services. If this claimant reapplies for Chapter 31 on March 1, 2019, he or she would be entitled to receive the “uncapped” P911SA rate.

Note: If the claimant applies and it is determined the retroactive induction is beneficial to the claimant and is approved, he or she may receive the uncapped P911 SA rate if the retroactive period begins on or before December 31, 2017.

To determine the uncapped P911SA rate for VR&E claimants participating in training, who first used entitlement under Chapter 31 on or before December 31, 2017, VR&E staff must:

Access DoD's BAH Calculator at the Defense Travel Management Office (BAH Calculator)

Enter the zip code of the facility for training at Institution of Higher Learning (IHL); Non-College Degree (NCD) program; the employer for On-Job Training (OJT); or of the agency for Non-Paid Work Experience (NPWE).

Obtain the rate for "E-5 with Dependents".

Add the additional amount listed in section 7.07.f.1 of this chapter for the appropriate CY.

Note: When calculating ¾, ½, and ¼ rates, add the additional dollar amount first, and then calculate the rate based on the rate of pursuit.

2. Capped P911SA Rate

(Change Date January 5, 2015)

Section 501 of the Harry W. Colmery Veterans Educational Assistance Act of 2017, Pub. L. 115-48, repealed Section 604(b) of NDAA for FY 2015, Pub. L. 113-291, which allowed VR&E to add the additional amount to the BAH Calculator rate when obtaining the P911SA rate. As a result, claimants who first used their entitlement to Chapter 31 on or after January 1, 2018, and elected to receive the P911SA rate, will not qualify for the additional amount.

Since VR&E must not add the additional amount to the BAH Calculator rate, this rate is referred to as the "capped" P911SA rate. Claimants who first used entitlement to Chapter 31 on or after January 1, 2018 are entitled to the capped P911SA rate.

To determine the capped P911SA rate for VR&E claimants who first used their entitlement under Chapter 31 on or after January 1, 2018, VR&E staff must:

Access DoD's BAH Calculator at the Defense Travel Management Office (BAH Calculator)

Enter the zip code of the facility for training at Institutes of Higher Learning (IHL)/Non-College Degree (NCD) programs, of the employer for On-Job Training (OJT), or of the agency for Non-Paid Work Experience (NPWE).

Use the rate for "E-5 with Dependents".

g. National Average Basic Allowance for Housing Rate

(Change Date February 6, 2026)

In accordance with 38 CFR 21.260, VR&E requires the use of BAH national average rate for VR&E claimants pursing training in an institution with no assigned zip code, including foreign institutions. VR&E provides 50 percent of the BAH national average rate for claimants pursing training solely online based on their rate of training. For claimants pursing in-home training, including independent instructor, must receive 50 percent of the full-time BAH national average rate regardless of rate of pursuit.

The 2026 uncapped national average BAH rate for VR&E participants who first used their entitlement under Chapter 31 on or before December 31, 2017, is $2,522.00 per month. This rate includes the $126.00 that is added to the capped rate to determine the uncapped rate.

One half of the 2026 uncapped national average BAH rate for these VR&E participants is $1,261.00 per month.

The 2026 capped national average BAH rate for VR&E participants who first used their entitlement under Chapter 31 on or after January 1, 2018, is $2,396.00 per month.

One half of the 2026 capped national average BAH rate for these VR&E participants is $1,198.00 per month.

h. Subsistence Allowance Module Processing – Active Awards at the Uncapped P911SA Rate

(Change Date October 1, 2020)

Subsistence allowance awards processed in SAM at the uncapped P911SA rate for an active award with a beginning date on or before December 31, and an end date on or after January 1, may need to be amended to ensure the correct rate is paid.

VR&E staff must determine whether the claimant qualifies for rate protection of continued payment at the current rate if greater than the next CY rate, based on guidance in section 7.07.f.1 of this chapter. If not, VR&E staff must amend the award to the CY uncapped P911SA rate. VR&E staff may use the SAM "rate override" feature that allows for manual entry of the correct rate or wait for the batch update. When the "rate override" feature is used, VR&E staff must enter an override remark that this feature was used to process the award.

i. Subsistence Allowance Module Processing – New Awards at Capped P911SA Rate

(Change Date January 5, 2015)

Subsistence allowance processed in SAM at the capped 2019 P911SA rate for an award beginning on or after January 1, 2018 may need to be amended to ensure the correct rate is paid. The awards can by amended by:

First, verifying the correct amount via the BAH Calculator, as outlined in section 7.07.f.2 of this chapter.

If SAM does not provide the correct rate, use the SAM "rate override" feature that allows for manual entry of the correct rate.

When the "rate override" feature is used, VR&E staff must enter an override remark that this feature was used to process the award with the CY rate provided by the BAH Calculator.

If SAM is updated to include the additional CY amount, it will be necessary to deduct this amount for full time awards.

When calculating ¾, ½, and ¼ rates, deduct the additional CY amount first and then calculate the rate of pursuit.

j. Obtain Information Needed for Award Processing

(Change Date July 1, 2015)

Select one of the following scenarios to determine the next steps toward processing the award in the SAM:

1. The Claimant Has Not Used Chapter 33 Benefits

(Change Date July 1, 2015)

If the claimant has not used Chapter 33 benefits for the period elected and has not been paid regular Chapter 31 subsistence for the current period, VR&E staff must take the following steps:

Contact the Regional Processing Office (RPO) to notify them of the details of the election, verify the claimant's Chapter 33 eligibility, and ensure that there is not a pending Chapter 33 award for the elected enrollment period. Refer to M28C.IV.C.2.03.d for procedures on how to contact the RPO.

Document the details of contact with the RPO in electronic case notes, including the date the RPO verifies the last date the claimant will be paid under Chapter 33 due to transfer to Chapter 31.

Obtain certification of enrollment from the training facility.

Identify the appropriate BAH or OHA to use when determining rate of pay.

Process the P911SA award in SAM.

2. The Claimant Has Used or is Currently Using Chapter 33 Benefits

(Change Date July 1, 2015)

When benefits are being paid under Chapter 33, the earliest transfer from Chapter 33 to Chapter 31 may be effective the term after the claimant's request to transfer to Chapter 31.

3. The Claimant Has Been Paid Regular Chapter 31 Subsistence Allowance

(Change Date July 1, 2015)

If the claimant has been paid regular Chapter 31 subsistence allowance for part or all of the enrollment period in which P911SA is elected, VR&E staff must process an amended award as indicated in chapter 9 of the CWINRS User Guide.

k. Manual Entry for Protected Rates

(Change Date July 1, 2015)

SAM allows for manual entry of a dollar amount when using special code PR in processing P911SA awards. This field has a maximum dollar amount that is periodically adjusted so that SAM can accommodate the appropriate payable amount of P911SA.

7.08 Course Measurement

Refer to 38 CFR 21.4270, 38 CFR 21.4272 through 21.4275, and 38 CFR 21.79, for detailed information on measurement of courses and rate of pursuit.

a. Standard Semester and Quarter Terms

(Change Date October 1, 2020)

A standard semester term is 15-19 weeks in length. A standard quarter term is 10-13 weeks in length.

b. Nonstandard Terms and Equivalency Hours

(Change Date October 1, 2020)

A nonstandard term is a division of a school year that is longer or shorter than a standard quarter or semester term. Equivalent hours must be calculated for nonstandard terms. To determine whole weeks in the course, disregard fractions of 3 days or less, and consider fraction of 4 days or more as a full week. Refer to Appendix AM, Training Time Equivalency-Semester Hour and/or Appendix AN, Training Time Equivalency Table-Quarter Hours.

c. Calculating Equivalency Hours in a Non-Standard Term

(Change Date October 1, 2020)

In accordance with 38 CFR 21.4272(g), take these steps in order to properly use the formula to calculate equivalent credit hours for a semester or quarter term:

1. When a term is not a standard semester or quarter as defined in 38 CFR 21.4200(b), determine the equivalent for full-time training by:

Multiplying the credits to be earned in the term by 18 if credit is granted in semester hours, or by 12 if credit is granted in quarter hours, and

Dividing the product by the number of whole weeks in the term.

Drop the decimal in the final results, as the end product is not rounded up.

Note: When calculating overlapping terms with one or more standard term, round to the nearest tenth decimal, keep the decimal when adding the rates of pursuit together for the overlapping period and then drop the decimal in the final result.

2. In determining whole weeks for this formula, follow the steps listed below:

Determine the number of days from the beginning to the end of the term as certified by the educational institution, subtracting any vacation period of 7 days or more.

Divide the number of days in the term by 7.

Disregard a remainder of 3 days or less.

Consider 4 days or more to be a whole week.

3. The quotient resulting from the use of the formula is called equivalent credit hours. VA treats equivalent credit hours as credit hours for measurement purposes.

d. Non-Standard Terms Less than One Week

(Change Date November 5, 2021)

For nonstandard terms that are less than a week, the VRC or VRS should first verify the course information with the school certifying official (SCO) and verify if the course is graduate level training. In accordance with 38 CFR 21.4273(a), if the course is a graduate level course, the school determines the training time equivalency.

In accordance with 38 CFR 21.4272(g), if the course information is correct and it is not a graduate level course, then the rate of pursuit would be full time, regardless of the number of days or the number of credit hours. That is because one credit hour for one whole week is considered full time. Therefore, anything less than one whole week would also be considered full time. Note: this is a different calculation than when you are determining the number of weeks when calculating equivalency hours in a non-standard term and the result has a residual week of less than seven days. For more information on calculating equivalency hours in a non-standard term, see section 7.08.b and 7.08.c of this chapter.

e. Clock Hour Coursework

(Change Date October 1, 2020)

1. For a trade or technical training program not leading to a standard college degree, where theory and classroom instruction constitute more than 50 percent of the required hours,

the following clock hour schedule applies:

18 clock hours or more = Full-time

13-17 clock hours or more = ¾ time

9-12 clock hours or more = ½ time

2. For a trade or technical training program not leading to a standard college degree, where shop practice is an integral part of the training, the following clock hour schedule applies:

22 clock hours or more = Full-time

16-21 clock hours or more = ¾ time

11-15 clock hours or more = ½ time

Refer to 38 CFR 21.4270 for detailed information.

3. In accordance with 38 CFR 21.310(d), for situational work assessment, if the facility does not have established criteria for full-time and part-time pursuit, or services are being provided by more than one facility, the rate of pursuit will be assessed as follows:

120 or more clock hours per month = Full-time

90-119 clock hours per month = ¾ time

60-89 clock hours per month = ½ time

30-59 clock hours per month = ¼ time

f. Graduate Coursework

1. Overview

(Change Date August 27, 2021)

On August 11, 2020 a new process was implemented for certifying training hours for graduate programs that stated SCOs must provide additional information on the Enrollment Manager for Chapter 31 claimants attending graduate programs. In addition to certifying the number of credit hours the claimant takes, which apply to his or her program, the SCO must also report the number of credit hours considered full time. Therefore, when certifying in Enrollment Manager, SCOs will report the number of credit hours a claimant is taking in a term in the "Credit Hours" box, and also the minimum number of hours required for full-time training in the "Training Time" box on the certification screen. If the Full-Time training requirement is not listed in the Enrollment Manager, VRC or VRS must contact the SCO and request an amended Enrollment Manager with the correct number of hours required.

During the August 2021 Office Hours Webinars, SCOs were issued revised guidance in a Procedural Advisory developed by Education Service dated August 13, 2021 (see Appendix DV). The information explains how SCOs should calculate the full-time requirement for standard and non-standard terms for graduate programs when the school has an individually defined full-time modifier (IDM) and when the school does not have an IDM. This means the SCOs will report the number of full-time hours, regardless of whether their school has an IDM or not.

This change in procedure will also apply to Chapter 31 programs for terms beginning on or after September 1, 2021 and will result in two changes to the previous process for calculating the rate of pursuit for Chapter 31 claimants attending graduate programs as follows:

(a) Since it is the SCO's responsibility to calculate the defined or adjusted full-time modifier, the VRC or VRS will no longer convert the certified credit hours for non-standard terms to equivalent credit hours (ECH).

(b) There is no longer a need for SCOs to include "Graduate non-standard term" in the VBA Standard Remarks section of the Enrollment Manager.

SCOs should follow the same procedures to certify graduate programs for Chapter 31 claimants in the same way as Chapter 33. The procedures are outlined in the Procedural Advisory issued by Education Service dated August 13, 2021 (Appendix DV).

2. Calculating Rate of Pursuit

(Change Date August 27, 2021)

Upon receipt of the Enrollment Manager, the claimant's rate of pursuit must be calculated as follows:

Divide the number of credit hours reported in the Training Time field by the number of hours reported in the Full-time field (TT/FF).

If the result of the calculation is equal to .25, but less than .50, the rate of pursuit is 1/4 time.

If the result of the calculation is equal to .50, but less than .75, the rate of pursuit is 1/2 time.

If the result of the calculation is equal to .75, but less than 1, the rate of pursuit is 3/4 time.

If the result of the calculation is equal to or greater than 1, the rate of pursuit is full-time.

The following is an example of how the calculation works:

Example: Enrollment Manager shows 9 credit hours as the required full-time training with the modifier. The claimant is enrolled in 6 credit hours. Thus, 6 divided by 9 equals .67. Using the calculation chart above, select 1/2 time as the training time in SAM.

g. Internship and Residency Measurement

(Change Date October 1, 2020)

In accordance with 38 CFR 21.4275, the following courses, when approved under 38 CFR 21.4265, may be measured in clock or credit hours, as certified by the School Certifying Official (SCO).

Medical, dental, and osteopathic specialty courses, internships, and residencies, as part of an accredited program

Nursing courses as part of an accredited program

Nonmedically related professional training courses

Other practical training courses, such as practicum, internship, or externship

h. Additional Courses during a Claimant's Final Term

(Change Date June 21, 2021)

Chapter 31 only pays for training courses that are required to complete a claimant's rehabilitation plan. However, additional courses may be authorized during the claimant's last term for degree courses that are taken on a quarter, semester, or term basis. This means a claimant may enroll in additional credit hours during his or her last term to allow payment at the full-time rate of training, even if he or she only needs one or two courses to complete the approved degree program. However, the additional class(es) must be directly related to the claimant's vocational goal. The VRC or VRS must document and justify the approval for the additional classes in the claimant's VR&E electronic record.

Note: The additional courses must not be approved for clock hours to complete a non-college degree program.

In addition, the claimant must have remaining entitlement for the additional courses or must qualify for an extension beyond 48 months of entitlement under 38 CFR 21.78. If the claimant's entitlement needs extension, the extension request must be made prior to the start of the semester or term. Refer to M28C.IV.C.2 for additional information on extension of entitlement.

7.09 Calculating Payments for Educational, Vocational and Special Rehabilitation Services

a. Apprenticeship and On-the-Job Training

(Change Date July 1, 2015)

The calculation of payments for subsistence allowance for apprenticeship and OJT claimants are processed in the same manner. In accordance with 38 CFR 21.260, a claimant in an apprenticeship or OJT program must be paid a monthly subsistence allowance rate.

1. Wage Schedule

(Change Date October 1, 2020)

The claimant’s employer must document the wage schedule to be paid to the claimant while in the program and must specify the journeyman wage for the job. This information must be provided by the employer on a company letterhead and must be signed by the employer. The claimant's wages should gradually increase as he or she completes the apprenticeship and OJT program. If there is a change in either the journeyman or the training wage, the subsistence allowance award should be adjusted accordingly. When processing OJT/apprenticeship awards, all changes in subsistence allowance based on a salary increase that occurs prior to the end the month become effective the first day of the second month following the salary increase (38 CFR 21.324 (h)).

An example wage schedule is demonstrated as follows:

Journeyman salary = $2000/month

Duration of apprenticeship or OJT = 12 months

Wages for first 4 months = $1200/month

Wages for next 4 months = $1500/month

Wages for last 4 months = $1800/month

Wages at end of program = $2000/month

2. Determining Apprenticeship and On the Job Training Monthly Subsistence Allowance

(Change Date December 18, 2020)

In accordance with 38 CFR 21.4270, subsistence allowance is paid to claimants participating in the apprenticeship and OJT program at the full-time rate only.

A standard workweek for full-time employment is typically 40 hours per week, equivalent to160 hours per month. However, there may be exceptions where an employer defines full-time as less than 40 hours for all employees in a particular position that has been approved for apprenticeship and on-the-job training.

The number of hours required for full-time training will depend on the standard workweek of the training establishment. The minimum number of hours required per week is 30 hours, equivalent to a minimum of 120 hours per month unless the establishment and its employees have agreed on a different standard workweek through collective bargaining as stated in the 38 CFR 21.4270.c.

In accordance with 38 U.S.C. 3677, the starting training wage for an OJT program must be at least 50 percent of the journeyman wage. The monthly subsistence rate should be based on an average of the total hours completed for the month. It is determined using the difference in amounts between the journeyman wage and the training wage, excluding overtime, to calculate the monthly amount. The monthly amount must not exceed the Chapter 31 Subsistence Allowance rate or the P911SA rate.

Certifying Officials or trainers must complete and submit VAF 28-1905c, Certification of Training Hours, Wages, and Progress each month to the VRC or VRS for review. The review should include verifying that Item #12E is completed in order to know the number of hours the employer considers to be full-time. The original form should be submitted to VA no later than the 10th day after the end of each month. This form documents the following:

Attendance

Progress

Changes in wage status

The subsistence allowance award must be adjusted as the claimant gains proficiency and moves toward the journeyman level. Upon receipt of the VAF 1905c, Certification of Training Hours, Wages, and Progress, VR&E staff must ensure that subsistence allowance is appropriately entered in SAM. Refer to M28C.V.A.1 for additional procedural guidance on apprenticeship and OJT.

All apprenticeships and OJT awards require a second authorization. This means that both the originator and a second authorizer must authorize the award.

b. Non-paid Work Experience

(Change Date October 1, 2020)

In accordance with 38 CFR 21.266(c), a claimant participating in a Non-Paid Work Experience (NPWE) must receive subsistence allowance at the institutional rate. Full-time NPWE is defined as an unpaid work experience that meets the criteria in 38 CFR 21.299. Full-time is the number of hours specified by the employer for that position.

In accordance with 38 CFR 21.79(f)(3)(ii), NPWE may also be pursued on a less than full-time basis. This means that if the claimant is participating in NPWE on a less than full-time basis, a payment of subsistence allowance is based upon a proportionate amount of a work week. For example, if the standard work week is 40 hours: three-quarter time is at least 30 hours, and half-time is at least 20 hours.

Certifying Officials or trainers must complete and submit VAF 28-1905c, Certification of Training Hours, Wages, and Progress each month to the VRC or VRS for review. This form documents training wages, attendance, and progress, which should be submitted to VRE staff no later than the 10th day after the end of each month. Since the NPWE monthly subsistence allowance may change based on hours worked, the claimant should be notified they may consider opportunities to make up missed workdays, (i.e., sick days or personal days), so that the total number of hours completed by the end of the month is consistent with the appropriate rate of pay. The VRC or VRS must adjust the award accordingly.

Subsistence allowance for both NPWE and NPWE combined with training must be paid at the institutional rate when total training time is at least half-time. If the employer's standard full-time work schedule is less than 40 hours, the number of hours the employer considers full-time will be used to calculate the training time of the NPWE or NPWE combined with training portion, (i.e full-time, three-quarter time, half-time or one-quarter time). Quarter-time training rate is not payable for sole NPWE but may be used to calculate subsistence allowance for NPWE combined with training.

When P911SA has been elected, the zip code of either the NPWE agency or the training facility must be used to ensure that the greater benefit is provided to the claimant. The VRC or VRS must carefully consider a claimant's circumstances and rehabilitation needs before approving NPWE combined with training that amounts to more than full-time.

Additionally, the VR&E staff must ensure that subsistence allowance is appropriately entered and authorized in SAM. The procedures for processing awards found in Chapter 9 of the CWINRS User Guide and section 7.05 of this chapter must be followed. Refer to M28C.V.A.1 for additional procedural guidance on OJT and NPWE. Refer to Appendix AP, Rate of Pay for NPWE, for more guidance on subsistence rates.

c. Farm Cooperative

(Change Date of October 1, 2020)

In accordance with 38 CFR 21.4270, Farm cooperative is measured for supervised instruction, excluding shop practice and rest periods. Full-time training requires at least 80 clock hours of training in a three-month period.

10 or more clock hours = Full-time

Less than 10, but at least 7 clock hours = ¾ time

Less than 7, but at least 5 clock hours = ½ time

7.10 Payment of Subsistence Allowance under Special Conditions

a. Educational Institution Closures, Withdrawals, and Course Disapprovals

1. Temporary Training Facility Closures due to Emergency Situation based on 38 U.S.C. 3680(a)(2)(A)

(Change Date August 1, 2018)

In accordance with 38 U.S.C. 3680(a)(2)(A), effective on August 1, 2018, VR&E may continue the payment of subsistence allowance when an educational institutional is temporarily closed based on an Executive Order of the President or due to an emergency situation.

This provision is limited to 4 weeks during any 12-month period.

2. Temporary Facility Closure due to Emergency Situation based on 38 U.S.C 3601

(Change Date January 5, 2023)

38 U.S.C 3601 defines an emergency situation as a situation that—

the President declares is an emergency; and

the Secretary determines is an emergency for purposes of the laws administered by the Secretary.

The following are conditions for authorizing subsistence allowance when a facility is temporarily closed as a result of an emergency situation:

a) Authorization for payment of subsistence allowance may continue for a claimant, who is currently enrolled in a training program, during an emergency situation if he or she has been determined to be negatively affected by the emergency situation during the covered period per 38 U.S.C. 3602.

In addition, the school certifying official must certify that training has been changed due to the emergency as follows:

Shortened

Delayed

Canceled

Partially canceled

Relocated

Converted from on-site training to distance learning

Modified

Unavailable

The covered period for payment must not exceed four weeks. However, this period will not count against the claimant's entitlement if he or she did not earn credits during the covered period.

b) Emergency situation covered under 38 U.S.C. 3680(h)

If the training facility closes due to an emergency situation, subsistence allowance may be authorized up to four weeks.

c) A claimant whose training program has been converted from in-residence to distance learning based on a determination of an emergency or health-related situation, may be paid the in-residence rate during the covered period under the provisions of 38 U.S.C. 3603.

d) Restoration of entitlement for the covered period may be allowed under the following conditions as prescribed by 38 U.S.C. 3604:

The education institution is closed or the full or partial cancellation of a course or program, or

The disapproval of the course or a course was modified, and the claimant did not receive credit or lost training time.

A claimant may continue with his or her program if disapproval is due to an emergency situation and it is determined that it is in his or her best interest.

If a claimant's program changes on a full-time basis on the first day of the emergency situation, he or she may continue to receive SA at full-time rate.

A VRC or VRS will have five business days from the date of notification of the facility closure due to an emergency situation to notify the claimant of the closure, date of closure and its effect on his or her entitlement.

e) Mitigating circumstances may be granted during the covered period on the following conditions under the provisions of 38 U.S.C. 3605:

If the claimant's withdrawal is for the first time, mitigating circumstances does not apply for the first six credit hours per 38 U.S.C. 3680(a)(1)(C)(ii).

If the claimant's withdrawal is more than six credits hours, mitigating circumstances must be determined, which may include the following:

Illness, quarantine, or social distancing requirements

Issues associated with accessibility

Access or availability of childcare

Care for a family member or cohabitants

Change of location or residence due to the emergency situation or associated school closures

Employment changes or financial hardship

Issues associated with changes in format or medium of instruction

3. Permanent Training Facility Closures

(Change Date July 30, 2021)

When a school closes permanently, VR&E may continue to pay SA until either the end of the term in which the closure or disapproval occurs, or 120 days from the date of the closure, whichever occurs first. The VRC or VRS may enable the Veteran to reach the planned vocational objective by identifying other approved schools or training facilities.

4. Withdrawal of Approval of the Accrediting Agency

(Change Date September 7, 2018)

When a program of training or course is subject for disapproval because the Secretary of Education withdrew the recognition of the accrediting agency, which accredited the program of training or course, all claimants enrolled in the program of training or course, must be notified of the withdrawal of approval.

In this situation, the program of training or course may be considered approved for a period not to exceed 18 months from the date of the withdrawal of recognition by the accrediting agency, unless VA determines that the approval should not be extended. This means that the claimants currently enrolled in the program of training or course may continue to complete the program within the 18-month period, and subsistence allowance must continue to be paid, if VA approves the extension, per 38 U.S.C. 3679(a)(2).

Note: This 18-month period does not apply to situations where an individual program of training or course loses accreditation. It only pertains to when the accrediting agency loses their recognition from the Secretary of Education.

5. Disapproval of Courses

(Change Date September 09, 2022)

In accordance with 38 U.S.C. 3680(a)(2)(B), when a course of study has been disapproved a claimant's SA payments may continue until either the end of the term in which the disapproval occurs or 120 days from the date of the closure or disapproval, whichever occurs first.

Note: If the VRC or VRS is unable to amend or stop the subsistence allowance award in the Subsistence Allowance Module (SAM), submit a trouble ticket in YourIT for assistance. Be sure to annotate “Assign to PHI SME CWINRS Group” in the issue description. The VRC or VRS must document changes to the award in an electronic case note.

b. Hospitalized Claimant

(Change Date November 7, 2013)

When a claimant is receiving compensation at the temporary 100% rate while hospitalized at VA expense, the total amount of subsistence allowance, plus the amount of temporary compensation, must not exceed the greater of one of the following:

The amount of monthly subsistence or other allowance that the claimant would otherwise be paid plus the amount of monthly compensation that would be paid to the claimant if he or she were not receiving compensation at the temporary rate (refer to 38 U.S.C. 1114 for current disability rates).

The amount of monthly compensation payable under 38 U.S.C. 1114(j) of this title ($2,393 in 2013).

In accordance with 38 CFR 21.324, a claimant pursuing a training program while in post-hospital convalescence must be paid his or her regular rate of subsistence allowance.

Example 1: A claimant with no dependents who is attending training at the CH31SA full-time rate ($585.11) and usually receives compensation at the 80% rate ($1,277), totaling $1,862.11, would not be eligible to receive subsistence allowance since the subsistence allowance combined with the temporary 100% rate ($2,393) equals $2,978.11 which is greater than $1,862.11. Therefore, the claimant should receive only the temporary 100% rate and no subsistence allowance. The subsistence allowance award must be terminated the day before the increased disability compensation award. The subsistence allowance award must be restarted following the reinstatement of the prior rating.

Example 2: A claimant who is attending training at the full-time P911SA rate ($2,193) and receives compensation at the 80% rate ($1,277) totaling $3,470, would receive a reduced subsistence allowance since the subsistence allowance combined with the temporary 100% rate ($2,393) equals $4586 which is greater than $3470. The subsistence allowance must be reduced to the difference between the temporary 100% rate ($2,393) and the total amount of subsistence allowance and regular compensation ($3,470), which equals $1,077. This means that the claimant's subsistence allowance will be reduced from $2,193 to $1,077 while hospitalized and receiving the temporary 100% rate. The subsistence allowance award must be reduced the day before the increased disability compensation award. The subsistence allowance award must be adjusted following the reinstatement of the prior rating.

c. Specialized Rehabilitation Facility

(Change Date November 7, 2013)

A claimant in a specialized rehabilitation facility will be paid the regular rate of subsistence allowance at the institutional rate. VA may pay the cost of room and board in lieu of subsistence allowance when each of the following applies:

The specialized rehabilitation facility requires that similarly circumstanced persons pay the same charges for room and board.

The VRC or VRS finds, and the claimant agrees, that it is to his/her advantage to pay the cost of room and board.

Note: The claimant is only eligible for subsistence allowance payable for his or her dependents when VA pays the cost of room and board.

d. Extended Evaluation and Independent Living Program

(Change Date November 7, 2013)

In accordance with 38 CFR 21.79, a claimant in a program of extended evaluation or an Independent Living (IL) program may be paid subsistence allowance for full, three-quarter, half-time, or quarter-time participation at the rate specified for institutional training. If an extended evaluation or IL program is pursued on a less than a quarter-time basis, VA will only pay established charges for services provided.

e. Incarcerated Claimants

(Change Date November 7, 2013)

In accordance with 38 CFR 21.276, an incarcerated claimant is any claimant incarcerated in a federal, state, or local prison for a felony. It does not include a claimant who is participating in the VR&E program while living in a halfway house or participating in a work-release program. A subsistence allowance must not be paid to an incarcerated claimant convicted of a felony, but VA may pay all or part of the claimant 's tuition and fees. Refer to M28C.V.C.2 for more information on incarcerated claimants.

7.11 Enrollment Periods and Type of Training

a. Concurrent Enrollment in Multiple Training Types

(Change Date October 1, 2020)

If a claimant is enrolled in more than one type of program simultaneously, select the subsistence allowance rate that will provide the highest rate of payment. For example, if the claimant is enrolled at a specialized rehabilitation facility while also being enrolled at a non-college degree program for the same time period, the VRC or VRS will authorize subsistence allowance at the rate for institutional training since the rate is higher. Training rate equivalency must be calculated to determine the correct rate of pursuit for payment.

b. Course Start Dates

(Change Date May 8, 2018)

In accordance with 38 CFR 21.7131(b)(3), the SCO should report the first scheduled date of classes, for any standard term, quarter, or semester in which the student is enrolled. If the course begins within seven calendar days, then the SCO should certify the course using the first day of the term. If the standard term is taken concurrently with a nonstandard term, the two must be certified separately.

Example: A student is taking 9 credits for two 3 credit classes (held Tuesday and Thursday) and one 3 credit class (held Friday) during a standard term. The term began on a Friday. The school would submit one enrollment certification for this term for all 9 credits with a begin date of the first day of term and the normal term end date.

Example: A student is taking 9 credits during a nonstandard summer term. The term dates for those classes are:

7/01/16 –8/01/16 7/07/16 –8/01/16 7/13/16 –8/13/16

In this example each of these terms would need to be certified separately because each term is a non-standard term.

Note: If there is a discrepancy in the Enrollment Manager certification, the VRC or VRS must reach out to the SCO to request an amended Enrollment Manager certification.

c. Approved Periods of Leave

(Change Date October 1, 2020)

In accordance with 38 CFR 21.270, a claimant will continue to receive subsistence allowance during any approved period of leave including:

When a claimant is receiving medical or rehabilitation services on an outpatient basis at a VA medical center, and who provides his or her own room and board.

When a claimant is receiving service department retirement or retained pay while not on active duty.

When a claimant is hospitalized at a VA medical center while on approved leave. If the claimant becomes eligible for payment of disability compensation at the temporary 100 percent rate, under 38 CFR 3.401(h) of this title due to hospitalization, payment will be made under provisions of 38 CFR 21.266(a).

During periods in which the school is temporarily closed under emergency conditions described in 38 CFR 21.4138(f).

When a claimant requests a leave of absence as outlined in M28C.V.A.2.

d. Overlapping Terms

(Change Date October 1, 2020)

A claimant may simultaneously pursue overlapping terms at one training facility or multiple training facilities.

1. Overlapping Standard Terms

(Change Date October 1, 2020)

When a claimant is enrolled in overlapping standard quarter or semester terms, compute the training time separately for the enrollment periods before, during, and after the overlapping period. For standard quarter or semester terms, equivalency hour calculation is not required prior to determination of rate of pursuit. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

Example: Overlapping Standard Terms

Quarter Term A: 03/05/2020 to 05/27/2020 6 credits

Quarter Term B: 03/19/2020 to 06/10/2020 6 credits

Both of these terms are standard, quarter hour terms. Because they are standard quarter hour terms at 12 weeks, equivalency hour calculation is not required prior to determination of rate of pursuit. Therefore, the award will generate as follows:

03/05/2020 - 03/18/2020 ½ time (6 Quarter hours)

03/19/2020 – 05/27/2020 FT (12 Quarter hours)

05/28/2020 – 06/10/2020 ½ time (6 Quarter hours)

When the enrollment includes overlapping standard semester and quarter hour terms, convert quarter hours to semester hours utilizing the equivalency hour formula.

Example: Overlapping Standard Semester and Quarter Hour Terms

08/24/20 to 12/14/20 8 credits Standard Semester Term

09/04/20 to 11/17/20 4 credits Standard Quarter Term

Step 1: Calculate equivalency hours for the quarter hour term

4 quarter credit hours X 18 semester hours divide by 11 weeks = 6.5 equivalency hours

Step 2: Compute the training time separately for the enrollment periods before, during, and after the overlapping period. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

Step 3: The award will be entered into SAM as follows:

08/24/20 to 12/14/20 Semester Hours 8 credits ½ time

09/04/20 to 11/17/20 Quarter Hours 6 credits ½ time

Step 4: The award will generate in SAM as follows:

08/24/20 - 09/03/20 ½ time 8 credits

09/04/20 - 11/17/20 FT 14 credits

11/18/20 - 12/14/20 ½ time 8 credits

2. Overlapping Nonstandard Terms

(Change Date October 1, 2020)

If one or more overlapping terms is nonstandard, compute equivalent credit hours for this nonstandard term utilizing the equivalency hour formula. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

Example: Overlapping Standard and Nonstandard Quarter Hour Terms

03/12/20 to 05/04/20 4 credits Nonstandard Quarter Term 8 weeks

02/23/20 to 05/11/20 7 credits Standard Quarter Term 11 weeks

Step 1: Calculate equivalency hours for the nonstandard term

4 credits X 12 (quarter hours) divide by 8 weeks = 6 equivalency hours

Step 2: Compute the training time separately for the enrollment periods before, during, and after the overlapping period. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

Step 3: The award will be entered into SAM as follows:

02/23/20 to 05/11/20 Quarter hours 7 credits ½ time

03/12/20 to 05/04/20 Quarter hours 6 credits ½ time

Step 4: SAM will generate the award as follows:

02/23/20 - 03/11/20 ½ time 7 credits

03/12/20 – 05/04/20 FT 13 credits

05/05/20 – 05/11/20 ½ time 7 credits

e. Overlapping Clock Hour and Semester or Quarter Terms

(Change Date October 1, 2020)

If a clock-hour course overlaps with a semester or quarter hour course, enter each award line separately using the correct training type and rate of pursuit. Refer to M28C.V.B.7.08.e for the clock hour coursework. When entering an award with different training types at different facilities, the case manager should use the facility code of the parent training facility if he or she is not able to enter the correct facility code due to system limitation and document in an electronic case note. The conversion below is not required unless there is a system limitation that prevents from entering the award.

1. Converting Clock Hours to Credit Hours

(Change Date October 1, 2020)

If a clock-hour course overlaps with a course taken at the primary training facility that is measured on a semester or quarter-hour basis, convert the clock hours to equivalent semester or quarter hours. Calculate the equivalency hours for the clock hour term by taking the following steps

Divide the number of semester or quarter hours required for full-time attendance at the primary training facility by the number of clock hours required for full-time attendance at the secondary school.

Multiply the result by the number of clock hours in which the student is enrolled.

Drop any fraction that may result.

Compute the training time separately for the enrollment periods before, during, and after the overlapping period. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

2. Converting Credit Hours to Clock Hours

(Change Date October 1, 2020)

If a semester or quarter-hour course overlaps with a course taken at the primary school measured on a clock-hour basis, convert the semester or quarter hours to equivalent clock hours. If the semester or quarter hours are for nonstandard terms, first convert credit hours to equivalent credit hours. To convert semester or quarter hours to equivalent clock hours:

Divide the number of clock hours required for full-time attendance at the primary school by the number of semester or quarters hours required for full time at the secondary school.

Multiply the result by the number of semester or quarter hours in which the claimant is enrolled.

Drop any fraction that may result.

Compute the training time separately for the enrollment periods before, during, and after the overlapping period. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

Example: Overlapping Clock-Hour and Semester or Quarter Terms

08/20/20 to 12/07/20	8 semester credits	IHL
09/10/20 to 10/26/20	10 clock hours	NCD-theory

Step 1: Calculate equivalency hours for the clock hour term

12 credits/18 clock hours X 10 clock hours= 6.7 equivalency semester hours

Step 2: Compute the training time separately for the enrollment periods before, during, and after the overlapping period. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

Step 3: The award will be entered into SAM as follows:

08/20/20 to 12/07/20	semester hours	8	½ time
09/10/20 to 10/26/20	clock hours	10	½ time

Step 4: Authorize the award in SAM as follows

08/20/20 - 09/09/20	½ time	8 credits
09/10/20 - 10/26/20	FT	14 credits

10/27/20 - 12/07/20 ½ time 8 credits

Example: Semester or Quarter hour course overlaps with course taken at primary school on a Clock Hour basis

01/02/20 to 07/31/20 18 clock hours NCD-Shop

03/12/20 to 05/25/20 3 quarter hours IHL

Step 1: Calculate equivalency hours for the quarter hour term

22 clock hrs / 12 quarter hours X 3 quarter hours = 5.5 equivalency clock hours

Step 2: Compute the training time separately for the enrollment periods before, during, and after the overlapping period. Retain fractional credit hours when adding the credits for overlapping periods but drop any fraction from the final result.

Step 3: The award will be entered into SAM as follows:

01/02/20 to 07/31/20 clock hours 18 ¾ time

03/12/20 to 05/25/20 quarter hours 5 ¼ time

Step 4: Authorize the award in SAM as follows

01/02/20 to 03/11/20 ¾ time 18 clock hours

03/12/20 to 05/25/20 FT 23 clock hours

05/26/20 to 07/31/20 3/4 time 18 clock hours

7.12 Processing Retroactive Awards

(Change Date July 1, 2015)

Before processing a retroactive award of subsistence allowance award, VR&E staff must always verify whether the claimant is in receipt of another VA benefit (e.g., Ch 30, Ch 32, Ch 33, Ch 34, 1607).

VR&E must not process a retroactive subsistence allowance award when benefits have already been paid under Chapter 33. The earliest Chapter 31 benefits may be paid on the next term following the claimant's request to transfer to Chapter 31.

For retroactive induction process the subsistence allowance award based on the certification of the enrollment and period covered by the claimant's approved retroactive. If the claimant is in receipt of another VA benefit other than the Chapter 33, VR&E staff must ensure that the following actions are completed prior to processing the CH31SA in SAM:

Any current payment for the education benefit has been stopped.

Any previous education benefit covered by the retroactive period authorized in the rehabilitation plan that has been paid will be collected. A debt may be created for the claimant. Refer to section 7.14 of this chapter for more information about debt.

Refer to M28C.V.B.6 for further guidance on retroactive induction and retroactive.

7.13 Award Reduction and Termination

(Change Date December 18, 2020)

In accordance with 38 U.S.C. 3680(a)(1)(C), VA may not pay benefits for a course in which a claimant withdraws and receives a non-punitive grades for credits that do not count towards the graduation requirements and is not calculated into the Grade Point Average (GPA).

Facilities may assign punitive and non-punitive grades differently, therefore the VRC or VRS must check with the training facility to determine if the grade assigned is punitive or not before adjusting any payments. Many schools consider a withdrawal fail (WF) as punitive and count towards the GPA: however, that may not be applicable to some schools.

If a claimant does not complete training attendance and does not receive a grade or a non-punitive grade towards his or her degree, VA must reduce his or her subsistence allowance effective the first day of the term.

The VRC or VRS must amend the subsistence allowance award to create an overpayment if VA has paid for a course assigned a non-punitive grade, unless one of the following exceptions applies:

The student can establish that the failure to complete the course was due to mitigating circumstances.

The student was ordered to active duty.

The course withdrawal occurred during the drop/add period.

The award must be adjusted within 10 business days of receipt of Enrollment Manager.

The VRC or VRS does not need to amend a subsistence allowance award for a change in training hours that does not change the rate of pursuit. Example: if the Veteran reduces training from 18 to 15 semester hours, no action should be taken on the award since the reduced training of 15 semester hours is still considered full-time training. The VRC or VRS must document the reduction and the reason for the reduction in an electronic case note.

Note: Failure on the part of the SCO or claimant to report withdrawals or reductions does not meet the terms for an administrative error, as only overpayments caused by the VA are considered Administrative error section. Refer to section 7.14 of this chapter for more information about overpayments.

a. Mitigating Circumstances

(Change Date October 1, 2020)

Mitigating circumstances are conditions beyond the claimant's control, which prevent continuous pursuit of his or her training program. When a claimant reduces his or her training rate or withdraws completely from training, the VRC or VRS must assist the claimant to resolve difficulties and avoid overpayments or program interruption. The VRC or VRS must determine whether mitigating circumstances exist when a claimant reduces or withdraws completely from training.

If mitigating circumstances exist, the subsistence allowance award must be reduced or stopped as follows:

for complete withdrawal, stop the award on the last date of attendance.

for partial withdrawal, reduce the award on the last day of the month or the last day of the term, whichever is earlier.

If mitigating circumstances do not exist, the subsistence allowance payment must be reduced or stopped on the first day of the term.

1. Developing Evidence for Mitigating Circumstances

(Change Date October 1, 2020)

In accordance with 38 CFR 21.4136, acceptable mitigating circumstances include but are not limited to the following:

Illness of the claimant

Illness or death in the claimant's family

Unavoidable change in the claimant's employment

Unavoidable geographical change in the claimant's employment

Immediate family or financial obligations beyond the claimant's control

Discontinuance of a course or program by the educational institution

Unanticipated active duty for training

Difficulty with childcare issues beyond the claimant's control

2. Deadline for Submission of Mitigating Circumstances

(Change Date October 1, 2020)

VA must reduce or terminate the claimant's subsistence allowance award retroactively for failure to provide acceptable evidence of mitigating circumstances within 30 days. The claimant may submit evidence up to one year from the date of VA's request for mitigating circumstances. If the claimant submits acceptable evidence within the one-year timeframe, the VRC or VRS may modify the decision and amend the subsistence allowance award to repay any money VA recouped as a result of the reversed adverse decision. If the claimant submits evidence beyond the one-year timeframe, the VRC or VRS may not consider the evidence submitted. The VRC or VRS must also notify the claimant of the decision using either VR-64 or VR-58, and VAF 20-0998.

Once the documentation is received, the VRC or VRS must analyze the evidence provided by the claimant and determine whether the reasons are acceptable or unacceptable mitigating circumstances. The VRC or VRS must clearly document the decision in an electronic case note. The VRC or VRS must also notify the claimant of the decision using either using either VR-64, Chapter 31 Positive Decision Letter, or VR-58, Chapter 31 Adverse Decision letter, and VAF 20-0998, Your Right to Seek Further Review of our Decision.

3. Mitigating Circumstances Not Applicable

(Change Date October 1, 2020)

Mitigating circumstance are not applicable in the following situations:

A claimant withdraws from all courses before the end of the institution's drop/add period.

A claimant withdraws from all courses after the end of the institution's drop/add period and punitive grades are assigned for the courses.

If the course reduction does not change the claimants training time (e.g. claimant remains enrolled full-time).

b. Six-Credit Hour Exclusion

(Change Date November 7, 2013)

In accordance with 38 CFR 21.324, claimants have a one-time exclusion from the requirement to establish mitigating circumstances. VA automatically grants mitigating circumstances for up to six credits the first time a claimant reduces or withdraws from training and mitigating circumstances must be considered. The VRC or VRS must document the granting of the six-credit exclusion in an electronic case note.

A claimant who withdraws from fewer than six-credit hours in the first instance will exhaust this benefit.

A claimant who withdraws from more than six-credit hours and receives the exclusion for only six credits; mitigating circumstances need to be developed for the remaining credit(s).

A claimant who first withdraws from a three-semester hour course and several days later withdraws from an additional three-semester hour course, will receive the exclusion only for the first instance of withdrawal.

The six-credit hour exclusion applies to a course withdrawal only if all the following criteria are met:

The withdrawal is the first instance of withdrawal from a course which changes the rate of pursuit.

The claimant has been awarded subsistence for the withdrawn course(s).

Mitigating circumstances would normally be an issue (e.g., the withdrawal was beyond the drop period and a non-punitive grade was assigned for the course).

c. Procedures to Reduce or Terminate an Award

(Change Date October 1, 2020)

Note: When a reduction or termination occurs, a debt may be generated depending on when the enrollment certification is received and when the award is amended. The VRC or VRC must amend the award within 10 business days from the date the enrollment certification is received.

1. When a course reduction occurs, and mitigating circumstances exist:

(a) If the reduction occurs on the first day of the certified enrollment period and claimant does not attend the course(s), reduce the award effective the first day of the certified enrollment period.

Example: The claimant is enrolled in 12 credit hours for the period 8/21/2020 to 12/10/2020. The claimant reduces his or her enrollment effective the first day on 8/21/2020, therefore the award must be reduced on 8/21/2020. The amended award should be corrected in SAM as 8/21/2020 to 12/10/2020 at 9 credits, because the claimant did not attend the course.

(b) If the reduction takes place on any day other than the first day of the certified enrollment period, reduce the award on the last day of the month or the end of the certified enrollment period, whichever is earlier. The corrected award should start on the first day of the next month or end on the last day of the certified enrollment period.

Example: The claimant is enrolled in 12 credit hours for the period 8/21/2020 to 12/10/2020. The claimant reduces his or her enrollment effective the 12/1/2020, reduce the award effective 12/10/2020. In this instance no adjustment will be made on the award since the reduction occurred in the last month of the certified enrollment period.

(c) If the reduction does not result in a complete withdrawal from all credits but reduces the rate of pursuit to less than ½ time so that the claimant is not eligible to receive subsistence allowance, stop the award on the last day of the month or the end of the certified enrollment period, whichever is earlier.

Example: The claimant is enrolled in 12 credit hours for the period of 8/21/2020 to 12/10/2020. The claimant reduces his or her enrollment effective 10/15/2020 to 3 credit hours. In this instance, amend the award effective 11/01/2020. The amended award should be corrected in SAM as 08/21/2020 to 10/31/2020 at 12 credits, then 11/01/2020 to 12/10/2020 at three credit hours equal to 1/4 time. 1/4 time training rate should still be entered into SAM to calculate entitlement usage.

2. When a complete withdrawal occurs, and mitigating circumstances exist:

(a) If the withdrawal takes place on the first day of the certified enrollment period, and the claimant did not attend the course(s), stop the award on the first day of the certified enrollment period and do not pay for one day. This is considered a complete withdrawal; therefore, no payment will be generated.

Example: The claimant is enrolled in 12 credit hours for the period of 8/21/2020 to 12/10/2020. The claimant withdrew from his or her enrollment effective 8/21/2020 and did not attend any course(s). In this instance, select "complete withdrawal/stop" and enter "last day of pay" as 8/21/2020 and "last date of attendance" as 8/21/2020. Select no for "mitigating circumstances" since no payment will be generated. When asked to pay for one day, select "no".

(b) If the withdrawal occurs on any day other than on the first day of term, the end date of the award is the last date of attendance.

Example: The claimant is enrolled in 12 credit hours for the period of 8/21/2020 to 12/10/2020. The claimant withdrew from his or her enrollment effective 10/15/2020. In this instance, select "complete withdrawal/stop", enter " last day of pay" as 10/15/2020 and "last date of attendance" as 10/15/2020. Since mitigating circumstances exist, the award ends on 10/15/2020.

3. When nonpunitive grade(s) assigned and mitigating circumstances do not exist

The claimant completes a course but at the end of the certified enrollment period receives a non-punitive grade and acceptable mitigating circumstances are not found, terminate subsistence allowance from the first date of the term.

Note: The 6-credit exclusion does not apply in this instance.

4. When a complete withdrawal occurs and mitigating circumstances do not exist, terminate benefits effective the first date of the enrollment period, unless the 6-credit hour exclusion applies.

Example: The claimant is enrolled in 12 credit hours for the period of 8/21/2020 to 12/10/2020. The claimant completes a total withdrawal on 10/15/2020. In this instance, select "complete withdrawal/stop", enter " last day of pay" as 8/21/2020 and "last date of attendance" as 08/21/2020. Select no for "mitigating circumstances" since no payment will be generated. When asked to pay for one day, select "no".

d. Informing the Claimant

(Change Date of October 1, 2020)

The VRC or VRS must inform the claimant and his or her designated representative of all VR&E decisions using Vocational Rehabilitation (VR) letters. The written notice must include the possible effects of the decision on the subsistence allowance award. This written notification must be sent regardless of action taken on a claim of mitigating circumstances or whether the claimant submits evidence of mitigating circumstances. The VRC or VRS must use VR-73, Reduction or Withdraw and Six Credit Hour Exclusion Letter, and VAF-20-0998, Your Right to Seek Review of Our Decision, when the six-credit hour exclusion is applied or any reduction or termination of the subsistence allowance award.

Refer to M28C.III.C.1 for more information on notification requirements, types of notification, and adverse action.

The following adverse actions do not require prior notification:

Award reduction, suspension, or termination

Returned or undeliverable checks

If the basis for the adverse action is one of the reasons listed above, the VRC or VRS must take the adverse action immediately and send written notice to the claimant with a copy to the designated representative.

7.14 Overpayments

a. Debt Management

(Change Date April 20, 2018)

A reduction or withdrawal from training may result in changes to the claimant's subsistence allowance payment. If subsistence allowance has been paid and an amendment is subsequently made for the certified enrollment period, a debt will be created for the claimant.

Note: The claimant is responsible for informing the SCO of the reduction or withdrawal to ensure the certification is correct and the updated information is sent the VA.

The Debt Management Center (DMC) is responsible for managing debts created on Chapter 31 subsistence allowance. Once the debt is established, DMC will notify the claimant using VP-001, VRE Notification -Overpayment, explaining the process for requesting a waiver. The letter also informs the claimant of the amount of overpayment and that DMC will contact him or her regarding a repayment plan.

VR&E staff must be aware of the process for requesting a waiver or consideration for a compromise offer from the appropriate Committee on Waivers and Compromises (COWC). For more information visit the DMC website.

b. Procedures for Correcting Overpayments due to Administrative Errors

(Change Date November 3, 2013)

An administrative error is an error solely created by a VA employee when processing VA benefits that results in an erroneous payment or award. A debt must not be created. A claimant must not be held financially responsible for overpayment that resulted solely from an administrative error.

In accordance with 38 U.S.C. 5112(b)(10) and 38 CFR 21.7135(v)(2), when an administrative error is the sole cause of an erroneous award, VA must reduce or terminate the award effective the date of last payment to avoid an overpayment.

Corrective action should be taken as soon as an overpayment caused by administrative error is identified. VR&E staff must not attempt to correct the award back to the beginning of the award period. The award should be corrected effective the day after the "Date Last Paid" to avoid creation of debt and further erroneous payments.

Example: A claimant was authorized the P911SA rate for the period of 8/21/2020 to 12/10/2020 but was only eligible to receive the Ch31SA rate. The VRC or VRS discovers the error on 9/10/2020, since the claimant was already paid for the month of August, no overpayment should be created for the period paid. However, the award should be adjusted on 9/1/2020 to the correct rate. The VRC or VRS must notify the claimant and complete an administrative error memo to the VR&E Officer.

Below are some additional common errors:

For an award corrected in early June in which the payment for the month of May has been made but the June payment has not been processed, the begin date of the corrected award is June 1st

For an award corrected in late June in which the payment for June had already been processed, the begin date of the corrected award is July 1st.

When the sole corrective award action is to end an erroneous award, the no pay date should be one day after the ending date of the last period paid.

For an award that is no longer active, no corrective action is needed in SAM.

c. Reporting Administrative Errors

(Change Date November 7, 2013)

The VRC or VRS must document the administrative error and proposed award correction on a memo for the VR&E Officer's concurrence, citing 38 U.S.C. 5112(b)(10) and 38 CFR 21.7135(v)(2).

The memo must be filed in the claimant's VR&E record and the award correction should be made immediately after VR&E Officer's concurrence.

Refer to M28C.VIII.A.4 for information on SAO analysis of this information.

d. Common Administrative Errors

(Change Date December 18, 2020)

Common administrative errors by VR&E staff include, but are not limited to, the following:

Incorrect application of regulations such as rate of pursuit or dependents.

Data entry error(s).

Debts that were created because a VRC or VRS did not process the amended award within 10 business days from receipt of the amended certification and the delay caused an overpayment. This does not apply when an amendment is received within 10 business days from the end of the month and the award is not amended until the next month. In this case, no administrative error exists, and the debt may be created for the previous month.

It is not considered to be an administrative error when an overpayment results from the school or claimant failing to provide timely notification of enrollment change. Nor is it in an administrative error when an award is processed using incorrect enrollment information provided by the training facility. In these cases, follow the procedures for providing due process notification.

7.15 Electronic Funds Transfer

(Change Date July 1, 2015)

In accordance with 31 CFR Part 208, U.S. Department of Treasury requires that recipients of Federal payments receive payment by Electronic Funds Transfer (EFT). According to Disbursements and Collections Requirement, Volume VIII - Chapter 2, if a claimant has just become eligible to begin receiving a Federal payment, he or she may choose to receive the payment by direct deposit through the financial institution of his or her choice. Direct deposit is a safe, convenient and reliable way to receive a Federal payment electronically through a financial institution. A financial institution can be a bank, credit union, savings bank, or thrift. A claimant must provide VA with his or her local bank account information in order to enroll in the Direct Deposit program. It should be noted that subsistence allowance payments are not connected to compensation and pension payments, but the claimant will receive his or her subsistence allowance payments in the same account he or she receives their compensation award.

If a claimant needs to set up or make a change to his or her direct deposit, he or she can do so at VA.gov or contact the National Call Center at 1-800-827-1000.

7.16 Manually Charging Entitlement

a. When to Manually Charge Entitlement

(Change Date October 1, 2020)

In accordance with 38 CFR 21.79, charges for entitlement usage are based upon the principle that a claimant who pursues a rehabilitation program for one day should be charged one day of entitlement. VA must make a charge against entitlement based on the following:

Total elapsed time (one day of entitlement for each day of pursuit) if the claimant is being provided a rehabilitation program on a full-time basis.

A proportionate rate of elapsed time if the claimant is being provided a rehabilitation program on a three-quarter, one-half, or less than half-time basis.

Claimants may only be paid subsistence allowance at the one-quarter time rate in independent living or extended evaluation programs. In rare situations, claimants may attend other training on a less than half-time basis without receiving a subsistence allowance. The VRC or VRS must manually deduct entitlement at the one-quarter time rate for claimants in any type of training when they are pursuing at a less than half-time rate since these claimants do not receive subsistence allowance.

Servicemembers may not receive subsistence allowance while on active duty. The VRC or VRS must manually deduct entitlement for Servicemembers in any type of training.

b. Procedures for Manually Charging Entitlement

(Change Date October 1, 2020)

To manually charge entitlement VR&E staff must:

Go to GED tab in CWINRS and select the Look up Single GED processing tab

Select Update Eligibility

Add months and days to CH 31 Debited prior. VR&E staff must calculate how many months and days were used for each term or semester based on the certification in Enrollment Manager.

Select OK, once processed a notification will appear in the status indicating pending eligibility update.

A Claims Authorization (CAUT) is required by another VR&E staff with authorization permission.

7.17 Apportionment

(Change Date November 7, 2013)

In accordance with 38 U.S.C. 5307, any subsistence allowance payable to a claimant participating in the VR&E Program may be apportioned if one of the following conditions is met

The claimant is not living with his or her spouse.

The claimant 's dependent(s) is not in his or her custody.

Subsistence allowance may be apportioned between a claimant and his or her dependent(s) as long as it does not cause the claimant undue hardship. Care must be exercised to ensure that the claimant's successful pursuit of his or her vocational goal will not be impaired by granting the apportionment. When a claim for an apportionment of a claimant's subsistence allowance is received, VA must develop for evidence, decide whether to grant or deny the apportionment claim and notify the claimant and dependent(s) of the decision. Guidelines on apportionment can be found in 38 CFR 21.330, 38 CFR 3.450, 38 CFR 3.451, 38 CFR 3.458, 38 CFR 3.400(e), and M21-1MR.III.v.3.

a. Eligibility

(Change Date November 7, 2013)

In accordance with 38 CFR 21.330, If the claimant is in receipt of benefits at the Chapter 30 rate, VA will not apportion these benefits.

In order for a dependent(s) to receive an apportionment of a claimant's subsistence allowance, the dependent(s) must file a claim for an apportionment and meet one of the following eligibility requirements:

Demonstrate a need, per the requirements of 38 CFR 3.451.

Live apart from the claimant and not receive a reasonable level of support, as stated in 38 CFR 3.450.

If the requirements for eligibility above are met and the claimant will not suffer undue hardship, VA may authorize an apportionment of the claimant's subsistence allowance.

b. Claimant's Subsistence Allowance Not Apportionable

A claimant's subsistence allowance must not be apportioned in the following situations:

1. Benefit Too Small

(Change Date November 7, 2013)

In accordance with 38 CFR 3.458(a), the claim must not be apportioned when the total benefit payable to the claimant is so small that it does not allow payment of a reasonable amount to a dependent(s).

2. Infidelity

(Change Date November 7, 2013)

In accordance with 38 CFR 3.458(b), the claim must not be apportioned when the spouse of the claimant has been found guilty of conjugal infidelity by a court having proper jurisdiction.

3. Spouse Remarried

(Change Date November 7, 2013)

In accordance with 38 CFR 3.458(c), the claim must not be apportioned when the spouse of the claimant has lived with another person and held himself or herself out openly to the public to be the spouse of the other person.

4. Child Adopted Out of Family

(Change Date November 7, 2013)

In accordance with 38 CFR 21.330(c), when the evidence establishes that the claimant is the natural parent of a child legally adopted outside of the claimant's family, VA will apportion in favor of the child only the additional amount of subsistence allowance payable on account of the existence of the child. The claimant is not entitled to the additional amount of subsistence allowance payable for the child unless the claimant is contributing to the child's support.

5. Claimant is Convicted of a Felony

(Change Date November 7, 2013)

In accordance with 38 CFR 21.330(d), the subsistence allowance of a claimant must not be apportioned if the claimant is incarcerated because of a felony conviction.

6. Child Enters the Military

(Change Date November 7, 2013)

In accordance with 38 CFR 3.458(e), the claimant's benefits will not be apportionable when a claimant's child enters the active military, air, or navel service, any additional amount will be paid to the claimant unless such child in an existing apportionment to an estranged spouse. No adjustment in the apportioned award will be made based on the child's entry into service.

c. Evidence

(Change Date November 7, 2013)

When a claim is received for apportionment, the following evidence must be developed to make a decision as to whether the apportionment is appropriate: VAF 21-0788 may be used for this purpose.

1. Evidence from the Claimant

(Change Date November 7, 2013)

A statement as to the amount and frequency of any support or contributions being made to or on behalf of the dependent(s), or an explanation of the reasons for non-support if the claimant is not making any contributions.

If there is conflicting information between the claimant and the dependent, proof of the claimant's contributions of support such as canceled checks or any receipts.

A statement of net worth, annual income, and expenses.

An explanation of any hardship that would be created or experienced if the apportionment was made.

2. Evidence from the Dependent

(Change Date November 7, 2013)

A statement of net worth, annual income, and expenses.

An explanation of any hardship that would be created or experienced if the apportionment was not made.

3. Notice of Proposed Adverse Action

(Change Date November 16, 2018)

When evidence is requested from the claimant and the dependent(s) requesting apportionment, he or she must be notified of the following information:

(a) Claimant

(Change Date November 16, 2018)

The claimant must be notified of the following:

He or she has thirty days to present evidence and that a decision will be made after thirty days on the basis of the evidence of record, unless an extension is requested (for a required prior notification, VA must allow at least thirty days for the claimant to respond before finalizing the adverse action; if circumstances warrant, VA may exceed this thirty-day period).

The statutory authority for granting an apportionment, 38 U.S.C. 5307.

His or her award may be reduced by a monthly amount if the apportionment is authorized.

d. Dependent(s)

(Change Date November 16, 2018)

The dependent(s) must be notified that he or she must present evidence within thirty days and that a decision will be made after thirty days based on the evidence of record, unless an extension is requested.

e. Procedures

1. Determining to Grant or Deny an Apportionment

(Change Date November 7, 2013)

A determination to grant or deny an apportionment must be based on an evaluation of the evidence.

(a) If the dependent(s) responds within thirty days, but the evidence does not demonstrate a hardship on the part of the dependent(s), then the VRC or VRS must take the following actions:

Deny the pending claim

Send notification of the decision.

(b) If the dependent(s) does not respond within thirty days and/or the evidence does not demonstrate hardship on the part of the dependent(s) then the VRC must take the following actions:

Deny the pending claim

Send notification of the decision.

(c) If the dependent provides evidence of a hardship, but the payment of an apportionment will create a hardship for the claimant based on evidence received if either both parties respond within 30 days or the evidence of the record after the expiration of 30 days, the VRC must take the following action:

Deny the pending claim

Send notification of the decision

(d) If the dependent furnishes evidence of a hardship and the evidence of record does not demonstrate a hardship on the part of the claimant based on either the evidence received if both parties respond within thirty days or the evidence of record after the expiration of thirty days, the VRC must take the following actions:

Grant the pending claim.

Send notification of the decision.

2. Determining the Amount of an Apportionment

(Change Date November 7, 2013)

In accordance with 38 CFR 3.451, when determining the amount of an apportionment, consideration must be given to the following factors:

The amount of VA benefits payable.

The other resources and income of the claimant and the dependent(s) claiming an apportionment.

The special needs of the claimant and the dependent(s) claiming an apportionment.

If a decision to grant an apportionment is made, VR&E staff must determine the amount awarded from an equitable assessment of any hardship or demonstrated need on the part of the claimant and the dependent(s). The amount apportioned should be consistent with the total number of dependents involved. In accordance with 38 CFR 3.451, an apportionment of more than fifty percent of the claimant's subsistence allowance would constitute undue hardship on him or her while apportionment of less than twenty percent of his or her subsistence allowance would not provide a reasonable amount for a dependent(s) claiming apportionment. When the claimant is receiving additional subsistence allowance for a dependent(s) and the evidence shows he or she is not reasonably contributing to their support, hardship for the claimant would not normally result from apportionment of the additional amount payable for the dependent.

3. Effective Date

(Change Date November 7, 2013)

In accordance with 38 CFR 21.330, the effective date of apportionment must be as prescribed in 38 CFR 3.400(e). If a decision to grant an apportionment is made, an overpayment may be created because VA will pay the dependent back to the effective date of the claimant's subsistence allowance award. In accordance with 38 CFR 3.400(e), the effective dates of apportionment are as follows:

On original claims, in accordance with the facts found.

On other than original claims, apportionment will be effective the day following the date of last payment of the claimant's subsistence allowance, if a claim for apportionment is received within one year after the claimant's subsistence allowance.

It should be noted that for the purpose of effective date under 38 CFR 3.400(e), "original claim" refers to the effective date of the claimant's subsistence award, with a presumption that an apportionment claim is received before any subsistence allowance has been paid. The effective date for other than original claims refers to the date of receipt of the apportionment claim after subsistence allowance to the claimant has already been issued. The concept is to preclude creation of undue overpayment against the claimant if an apportionment is authorized.

4. Notification of Apportionment Claim

(Change Date February 19, 2019)

The VRC or VRS must advise both the claimant and the dependent(s) of the apportionment decision by sending VR-29, Apportionment-Guardian letter, if granted or VR-66, General Proposed Adverse Action Letter, if not granted, with the following information:

The effective date of payment, if apportionment granted.

The amount of the apportionment, if granted.

The reasons for the decision.

The evidence that was considered.

The claimant's and the dependent's right to present new evidence, request a personal meeting and have representation within a thirty-day period from the date of the notification letter.

VR-29 must include VAF 20-0998, Your Rights to Seek Further Review of our Decision

5. Documenting the Apportionment Decision

(Change Date November 7, 2013)

A formal memorandum for the VR&E record is required for both favorable and unfavorable decisions on claims for apportionment. The VRC or VRS must document the decision in an electronic case note.

6. Processing the Award

(Change Date July 1, 2015)

The apportioned award must be processed in SAM.

(a) If the apportionment is granted, and the claimant's award was running at the time the apportionment claim was received, then take the following steps:

Retroactively adjust the award of the claimant effective the first day of the month after the date the apportionment claim was received, creating any resulting overpayment against the claimant.

Make the apportionment award for the dependent(s) effective from the first day of the month after the date the apportionment claim was received.

(b) If the apportionment is granted, and the apportionment claim was received with or before the claimant's original claim, then pay the apportionment on the basis of the facts found (it should be noted that this may be from same effective date as the claimant's award).

(c) If the apportionment is granted, and the apportioned amount is greater than the withheld amount, then take the following steps:

Pay the apportionment for the amount previously withheld from the effective date.

Determine the additional amount to be apportioned, as well as the effective date.

Send the claimant an adverse action letter, VR-66, covering the additional amount.

7. Adjusting the Claimant's Award Due to Loss of a Dependent(s)

(Change Date November 7, 2013)

In most situations, VA uses the end-of-month rule when adjusting a claimant's award to reflect loss of a dependent. Under this rule, VA continues to pay the claimant for the dependent through the end of the month in which the event that resulted in the loss took place. Accordingly, the effective date of the reduced rate is the first day of the month following the date of loss. An apportionment must be discontinued when the claimant's award is affected by either of the following:

Discontinued for any reason.

Reduced to a rate that would not support a continuation of the apportionment without creating an undue hardship on the claimant.

(a) Loss of a Spouse

This rule applies to loss of a spouse due to one of the following reasons:

Divorce

Annulment

Death

Discontinue the apportionment of a claimant's award to his or her spouse on the first day of the month following the month in which a divorce becomes final or an annulment decree is issued.

(b) Loss of a Child

This rule also applies to loss of a child due to one of the following reasons:

Marriage

Death

Discontinuance of school attendance

(c) When a child dies and is the only apportionee:

Discontinue the apportionment for the child effective the first day of the month of death, and

Remove the child from the claimant's award effective the first day of the month following death.

(d) When a child marries and is the only apportionee:

Discontinue the apportionment for the child effective the first day of the month of marriage, and

Remove the child from the claimant's award effective the first day of the month following marriage.

(e) When a child stops attending school and is the only apportionee:

Discontinue the apportionment, and

Remove the child from the claimant's award effective the first day of the month following the date school attendance ended.

(f) When a child marries, dies, or stops attending school and is included as a dependent on a spouse apportionee' s award, reduce the spouse-apportionee' s award effective the first day of the month following the date of the child's marriage, death, or the date the child stopped attending school, as applicable.

8. Notifying the Claimant and Dependent When Adjusting an Award

(Change Date February 19, 2019)

The VRC or VRS must advise both the claimant and the dependent(s) of the decision to adjust the award, and furnish them with an adverse action letter, VR-72 with the following information, as applicable:

The effective date of the adjustment.

The amount of the apportionment.

The reasons for the decision.

The evidence that was considered and the right of the claimant and dependent to present new evidence, request a personal meeting, and have representation.

The claimant's/dependent's right to present new evidence, request a personal meeting and have representation within a thirty-day period from the date of the notification letter.

VAF 20-0998, Your Rights to Seek Further Review of our Decision.

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